

Capri Global (CGCL)

Conference call transcripts, oldest-first. 14 call(s). Generated 2026-06-08.

Call: May 2023

May 27, 2023

The Secretary

BSE Limited

Pheeroze Jeejeebhoy Towers

Dalal Street, Fort

Mumbai-400001

Scrip Code: 531595 The Secretary

National Stock Exchange of India Limited

Exchange Plaza, 5th Floor

Plot No-'C' Block, G Block

Bandra-Kurla Complex, Bandra (East)

Mumbai-400051

Scrip Code: CGCL

Sub: Intimation pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements), Regulations, 2015, regarding Q4 FY23 Earnings Call-Transcript

Dear Sir/Madam,

Further to our letter dated May 15, 2023, intimating schedule of the Earnings Conference Call on May 23, 2023 to discuss the Company's Q4 FY23 Earnings, we are attaching herewith the transcript of the said Conference Call.

The above is for your information and dissemination to all the stakeholders.

Thanking you,

Yours faithfully,

for Capri Global Capital Limited

Yashesh Bhatt

Company Secretary & Compliance Officer

Membership No.: ACS20491

Encl.: As above

Page 1 of 14

Indian Numbering System Legend

INR 10 Lakhs = INR 1Mn

INR 1 Crore = INR 10Mn

INR 100 Crores = INR 1Bn

INR 1 Lakh Crore = INR 1Tn

NOTE:

1) This transcript has been edited for lucid reading. To that extent, this is not a verbatim transcription of the audio transcript.

2) Factual corrections are marked at relevant places in the transcript and are referenced to footnote /s.

3) Recurring terms like 'year-on-year', 'QoQ', basis (refer ring to basis points) in the audio transcript have been shrunk to 'YoY', 'QoQ', and 'bps' respectively.

Q4 FY23 Earnings Conference Call

May 23, 2023

Management

Mr. Rajesh Sharma

Founder & Managing Director, Capri Global Capital Ltd.

Mr. Ravikant Bhat

Sr. VP - Investor Relations, Capri Global Capital Ltd.

Capri Global Capital Limited

Q4 FY23 Concall Transcript | May 23, 2023

Page 2 of 14

Moderator: Ladies and gentlemen, good day, and welcome to the Capri Global Capital Limited Q4 and FY23 Earnings Conference Call hosted by Go India Advisors. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by

pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ravikant Bhat from Capri Global Capital Limited. Thank you, and over to you, sir.

Ravikant Bhat: Good afternoon, everyone. This is Ravikant. I shall read out a brief disclaimer for today's call. The discussion on today's call regarding CGCL's earnings performance will be based on judgments derived from the declared results and information regarding business opportunity available to the company at this time.

The company's performance is subject to risks, uncertainties, and assumptions that could cause actual results to differ materially in the future. Given these uncertainties and other factors, participants on today's call may observe due caution by interpreting the results. A separate disclaimer is available on Slide 2 of the Q4 FY23 investor deck. Participants are requested to note the same.

I now request our Managing Director, Mr. Rajesh Sharma, to present his opening remarks.

Rajesh Sharma: Yes. Good afternoon, friends. Like always, it's a pleasure to welcome you all to Capri Global's post earnings conference call. We declared our audited consolidated results for Q4 and FY23 on yesterday, that is 22nd May 2023. I hope you had a chance to go through the investor deck. The year FY23 was momentous in many ways for Capri Global. Our car loan business scaled new heights, where we have disbursed close to INR6,000 crores car loans in the last year. We launched our gold loan business, where we now own a meaningful network, granular retail disbursement overtook wholesale disbursement. And we concluded major equity fund raise with INR14.4 billion Rights Issue, which has taken our capital adequacy ratio to 40%.

Howe

ver, the standout highlight was our consolidated net profit for FY23, which despite our strong organic growth push and associated opex for launch of new Capri Global Capital Limited

Q4 FY23 Concall Transcript | May 23, 2023

Page 3 of 14

gold loan branches, nearly matched the FY23 consolidated net profit. This puts us firmly in the saddle to deliver mid-teen ROE over medium term. Let me, therefore, start with the earnings highlights first.

A combination of a strong net income, which increased 42% YoY and softer credit cost at 80% YoY, helped CGCL delivered a strong net profit growth of 55% YoY in Q4 FY23. This also bridged the gap with FY22 consolidated net profit with FY23 net profit coming in at INR2,047 million, nearly equal to the FY22 consolidated net profit of INR2,050 million despite we being in the investment phase in our gold loan branches.

The profitability was achieved despite CGCL continuing to expand organically in both urban retail and gold loan segment in Q4 FY23. But for the opex incurred, our net profit for FY23 would have been higher by INR840 million. Had not gold loan branches would have incurring the loss, our profit would have been higher at INR288 crores.

Our lending yields are beginning to show soft improvement with the share of gold loan slowly becoming prominent. We had started gold loan business in Aug'22 with a rate offering of 15% in our launch phase. However, we have now moved up closer to or at par with the competition with yields averaging over 18%.

In MSME and housing finance business, the loan yields are stabilizing, while the Construction Finance vertical showed further improvement in Q4. The net interest margin has generally trended lower during FY23 compared to FY22. This was due to the initial suppression of loan yields due to foreclosures, migration of higher-yielding loans. This was especially the case in MSME and Construction Finance and a reduction due to foreclosures or repayment was up to 10% higher than FY22.

However, with low yields in MSME and housing portfolio stabilizing and the share of gold loans improving in incremental share, the NIM should stabilize or improve going ahead. The net interest margin computed on average net advantage was 8.6% in Q4 FY23, a shade better than 8.5% in Q3 FY23, but lower YoY. That is also because our leverage has gone up.

We have been discussing our non-interest income in some detail since past 2

quarters. We've included a separate slide in our Q4 FY23 presentation, please refer Slide 15. The share of non-interest income was 36.3% in Q4 FY23 .
Capri Global Capital Limited
Q4 FY23 Concall Transcript | May 23, 2023

Page 4 of 14

On a full year basis, the share of non-interest income in net income was 33% in FY23 compared to 23% in FY22 . Net car loan distribution fees contributed 40% to FY23 non-interest income compared to 19% in FY22 . The car loan distribution business origination increased 3.5x YoY to touch INR60 billion. We are now present in 450 locations, including 9 branches across the country. Our cost/income ratio, which hit a peak of 69.5% in Q3 FY23 , softened marginally to 68.2% in Q4 FY23 . Excluding the cost incurred for expansion in gold loan vertical, our cost/income ratio was 48% in Q4 FY23 . Our operating cost was higher in Q3 FY23 as our hiring was high, owing to planned gold loan branch rollouts . With gold loans reaching a significant milestone in branch network , our hiring shall be more even paced leading to well spread out operating expenses in FY23 . We will have a network of 750 branches for gold loans by end of this quarter, reaching the 50% milestone of total 1,500 branches we plan. We also expect the gold loan branches to reach closer to break-even in FY23 with gold loan AUM expected to touch INR25 billion to INR30 billion. This will also soften the incremental impact on operating

costs and soften cost/income ratio significantly.

The credit cost declined to INR112 million in Q4 FY23 from INR245 million in Q3 FY23 and INR571 million in Q4 FY22 . On a full year basis , our credit cost was INR642 million, declining 39% YoY. The full year credit cost was 80 bps compared to 192 bps in FY22 . Asset quality improved with Stage 3 asset declining 65bps YoY and 57bps QoQ to 1.74%. The PCR on Stage 3 assets was 30.9%, highest in Q4 FY21. We have taken negligible write-offs during Q4 FY23 . I shall now discuss business performance. Assets under management crossed INR100 billion to touch INR103.2 billion. This is a 56% YoY growth. The share of retail loans improved to 79% in FY23 , from 76% in FY22 . The share of Construction Finance segment where growth was stronger in H1 FY23 due to a strong sanction and disbursement pipeline, softened 165bps QoQ to 18% , below our threshold of 20%. This is in line with our previous commentary that Construction Finance momentum shall be softer in H2 FY23 .

1. Restated from 1.59% previously, see revised Q4 FY23 presentation. Change YoY and QoQ and PCR have accordingly been changed.

Capri Global Capital Limited
Q4 FY23 Concall Transcript | May 23, 2023

Page 5 of 14

Disbursals touched INR28,110 million, growing 87% YoY and 55% QoQ . Disbursals in FY23 stood at 72,902 million and were up 70% YoY. The share of retail disbursement comprising MSME, affordable housing , and gold loans was 76% in Q4 FY23 compared to 49% in Q4 FY22 . Gold loan led momentum in disbursement during Q4 FY23 , constituting INR 9,582 million or 34% of the total disbursements. This translated in gold loans AUM touching INR11,259 million constituting 11% of AUM compared to 8% and 2% share in Q3 FY23 and Q2 FY23 respectively. This rapid scale-up was supported by an expansion of our exclusive gold loan branches, which has increased to 562 branches in Q4 as compared to 449 in Q3. The car loan distribution business continued with strong momentum as shown in Slide 12. The loan origination touched INR20,324 million, up 2.7x YoY and 20% QoQ . Total origination in FY23 stood at INR60 billion, over 2.5x in FY22 origination, which was INR17,022 million. Our fee income in car loan distribution alone has reached about INR18 crores in FY23 . In this strong growth backdrop, I would like to highlight we enhanced our capital adequacy ratio to 40% for CGCL from 24% in Q3 FY23 . The capital adequacy ratio has been boosted by INR14.4 billion equity raise we did in Mar'23. We have deployed INR2 billion of the money and shall be able to fully

deploy the equity in Q1 FY 24. Going ahead, we shall aim to sustain the AUM growth momentum above 30% in FY 24. Our profitability should also improve as our gold loan branches move nearer to breakeven. With that, I conclude my commentary. We shall now take questions. Thank you.

Moderator: Our first question comes from Mona Khetan with Dolat Capital.

Mona Khetan: So my first question is on the gold loan book. What is the typical tenure here? And is there hope for further rise in yields from here on?

Rajesh Sharma: So our gold loan typical tenure is about 6 months -- and what is your next -- the second part of the question was?

Mona Khetan: Could the overall yields which are 18%, is there scope for further rise in the yields?

Rajesh Sharma: So 18% is our boarding yield. But realized yield is higher because most of the schemes are rebate schemes where on default interest rates go up further. So we

Capri Global Capital Limited

Q4 FY23 Concall Transcript | May 23, 2023

Page 6 of 14

expect the realized yield will be in the range of about 20.5%. Additionally, realize about 2.5% interest above the boarding yield.

Mona Khetan: Okay. Which comes in the fee line?

Rajesh Sharma: No, which comes in the interest income only.

Mona Khetan: Okay. So eventually,

this will stabilize at 20% or so, the overall yield?

Rajesh Sharma: Yes. But that happens in new business. That will happen once you reach the end of loan tenure. Because default happens then and you realize the default interest. That happens over a period of time. You will see this quite evident in the H2 FY24.

Mona Khetan: Sure. Got it. And what percentage of gold AUM will have a yield below 12%?

Rajesh Sharma: Below 12% will be less than 10%-15% of portfolio, of the gold loan portfolio, which is only done with a view to park our surplus treasury money rather than putting it in a mutual fund. We can always devise certain schemes, where we use the treasury product and can pass that money with 11%, 12%, 13% kind of rate of interest.

Mona Khetan: Got it. Secondly, on the home loan book, we see a sharp rise in the average ticket size on a QoQ basis from INR12 lakh to INR16 lakhs. What has led to this?

Also, if you could share what are the sourcing channels for the home loan book?

Rajesh Sharma: Home loan book sourcing channel is our own direct sales team, which procure the entire home loan book. And ticket size of home loan has gone up because of growing cost of the houses. At the same time, our expansion in few cities, the average ticket size of the loans has gone up.

Mona Khetan: Okay, got it. And just 1 final question again on the gold book. What is the break-up by ticket size? The gold AUM breakup that is above INR5 lakhs, what percentage of book that may be below INR1 lakh, what percentage of book can deliver?

Rajesh Sharma: I think we can give that to you separately. At the moment, it may not be that handy.

Moderator: Our next question comes from Hitesh Gulati with Haitong Securities.

Capri Global Capital Limited

Q4 FY23 Concall Transcript | May 23, 2023

Page 7 of 14

Hitesh Gulati: Congratulations on a good set of numbers. Sir, a couple of questions from my side. Firstly, you've spoken in some media interactions about digital lending and some new products. Can you throw some light on that?

Rajesh Sharma: So digital lending at the moment is in the phase where we are just discussing with a few fintech players to tie up, where we will be disbursing the loans to -- which are originated and guaranteed by them. But recently, there are some changes in the RBI guidelines in the FLDG and all. So we are reviewing that. Once there is a clarity and comfort on our repayment obligations and some sort of comfort from the fintech who originate it, based on that will take a call. While we have a team in place, but still it is away by at least 3 to 6 months.

Hitesh Gulati: And Sir, some other products in the pipeline on the lending side?

Rajesh Sharma: No, lending and there's no other product. We will consolidate what we are doing

and we'll focus on gold loan branches to make them achieve faster breakeven.

Hitesh Gulati: Sure, Sir. And Sir, the last question from my side is gold loan is right now 11 % of AUM. What is our target for this? And what is our overall AUM growth target for the company?

Rajesh Sharma: So overall AUM growth should continue to grow between 35% to 40% and now adequate capital also is in place. And with the gold AUM over a period of next 4 to 5 years, it will be about 25% of the overall book, consolidated book.

Moderator: Our next question comes from Pushkar Jain with Sequent Investments.

Pushkar Jain: Congratulations on great set of numbers. My question is on competition from banks. The last 3, 4 quarters, we have seen a lot of competition in terms of yield from banks for gold loans. Is the competition -- how is the competition shaping up right now and what percentage of our book would be less than -- would be yielding less than 15% in gold loan?

Rajesh Sharma: So, yes, competition is increasing. But market is increasing by 12% to 13% year after year. And still the majority of the gold loan market is sti

ll with the informal

lenders and jewel lers who lend at very high rate of interest. So market will continue to move from unorganized lenders to the organized lenders like NBFCs and banks. While banks target higher ticket size and the customers are different, gold loan focused NBFCs target retail customers with ticket size in the range of starting from INR10,000 and going up to INR2 lakh. So the segment is quite

Capri Global Capital Limited
Q4 FY23 Concall Transcript | May 23, 2023

Page 8 of 14

different. Despite competition, as I said, majority of the gold loan market will continue to shift and we can see good growth in the next 4, 5 years in this.

Moderator: Our next question comes from Jai Daxini with IIFL Securities.

Jai Daxini: So in gold loans segment we were targeting 1,500 branches over the next 4 or 5 years. But we have already opened 550 during the last 8 months. So could we actually reach our target within 2.5 years? And how will be the growth in next year? And also how would this affect our opex movement and C/I ratio?

Rajesh Sharma: At the moment, we'll take a pause at 750 branches. And we will make them become profitable before we start the next phase or round 2 of balance 750 branches. Currently, our focus is to make them achieve their target business numbers and achieve profitability faster.

Our cost/income ratio, which is at the moment elevated, will come back to the level of about maybe between 45% to 50%. And when the profits start delivering, I think it will further show the improvement there.

Jai Daxini: Okay. And 1 more question -- in the Construction Finance, our ATS has declined QoQ. So is there any colour on that, like INR191 million to INR18 million on Slide 9.

Rajesh Sharma: Can you repeat the question, please?

Jai Daxini: Yes. In the Construction Finance business, our ATS has declined from INR191 million to INR18 million.

Rajesh Sharma: No. So I think because of the font size, it's got a bit hidden. It's not -- we'll rectify that.

Jai Daxini: It is INR1802 million, right?

Rajesh Sharma: Yes, yes. Correct.

Jai Daxini: Okay. And our GNPA has declined in SME segment by 120 bps QoQ. So how do you think this segment would be growing asset quality-wise and what's the strategy as of now?

2. It was Rs258 million. Relevant slide in investor presentation has been corrected.

3. MSME GNPA decline was 85bps QoQ. Please refer revised presentation.

Capri Global Capital Limited

Q4 FY23 Concall Transcript | May 23, 2023

Page 9 of 14

Rajesh Sharma: You are asking specific to MSME, which is what you're referring to? Can you please say that?

Jai Daxini: Yes, SME segment. GNPA has declined 120 bps, so -- QoQ.

Rajesh Sharma: So this is the overall. This is not talking about a specific segment. This is a

consolidated level of the company.

Jai Daxini: Yes. So what's your growth plans in this vertical as of now?

Rajesh Sharma: No, no. So as far as GNPA is concerned, that is overall of the company. As far as the growth of the vertical of MSME is concerned, MSME will continue to grow in the range of 25% to 30%.

Moderator: Our next question comes from Nikhil Nyati with Equirus Securities.

Nikhil Nyati: Sir, my first question is on the gold loan yield. I see a sharp improvement on a QoQ basis, which is reported on Slide 16. Can you throw some light upon that like and how much of it is attributable to the P&L interest and overdue interest, if any?

Rajesh Sharma: If you talk about the gold loan, the onboarding yield that we are achieving now is about 18%. Overall basis, we expect to get the default interest rate on about 25% to 30% of portfolio. Then, we will also go more granular. From a higher ticket size where jewellers used to come, we are going to the retail consumer. So the ticket size is dropping and our interest is also going up. But initially, when we la

unched

the loan, we were more focused to make our presence felt in those particular branches. So our yields were lower. With the combination of all this impact, our yields have gone up.

Nikhil Nyati: Got it, Sir. And Sir, second question is on the cost of fund side -- our cost of funds have remained fairly stable over the last year despite the rate increases. So how do you see the cost funds panning out in the next 3-4 quarters?

Rajesh Sharma: As you know that we borrow from PSU banks where interest rates are reset on an annual basis. So while the interest should have gone up, the impact comes when the interest rates are reset. Majority of the resets were started during Quarter 3 and all the resets have happened by the end of March '23. So our interest rates (cost of funds) will go up by another 40 to 50bps. And we are quite confident that we will be able to pass on this increase in interest rates to our new customers.

Capri Global Capital Limited

Q4 FY23 Concall Transcript | May 23, 2023

Page 10 of 14

Nikhil Nyati: Congratulations on a good set of numbers.

Moderator: Our next question comes from Mayur Liman with Profitmart Securities.

Mayur Liman: Congratulations on a good set of numbers. I just want to ask, what are the parameters that pushed the performance of Q4 FY23 and full year of 2023?

Rajesh Sharma: Can you please repeat the question?

Mayur Liman: Yes, Sir. What are the parameters that pushed the performance of Quarter 4 and the full year 2023?

Rajesh Sharma: Can you be specific? What exactly you wanted to ask?

Mayur Liman: If you give me details about the gold loan segment and the car loan distribution, it will be good.

Rajesh Sharma: Car loan distribution, if you talk about, that has disbursed close to INR6,000 crores worth of car loans. And we had a revenue from that about INR118 crores. If you talk about gold loan, gold loan AUM has stood about INR1,126 crores, and where the average yield is about 18%.

Mayur Liman: Yes, Sir. But what are the market scenarios that pushed these drivers, means if we look the income, I mean, operational income, so it increased. So, I mean, I just want to know what are the market or economic factors that pushed the business forward.

Rajesh Sharma: If you sum it up, going forward, our car loan distribution business, next year will grow about 50%, and that will give you a pure fee income, no capital is required. And that will improve our fee income ratio to the overall income, that has already improved from 22% to 33%.

And overall basis, our AUM will continue to grow about 35% to 40%. And as we said, since our gold loan branches are now achieving 1-year period in the next year, those branches will be near to break-even or some of them will become profitable. So our overall cost/income ratio will drop. We see that in the next year there should be a significant upside in profitability.

Moderator: Our next question comes from Ashish Kumar with Infinity Alternatives.

Capri Global Capital Limited

Q4 FY23 Concall Transcript | May 23, 2023

Page 11 of 14

Ashish Kumar: Sir, on the car loan distribution business, you mentioned that we have got our revenue of INR118 crores. What will be the profitability on that business, Sir, cost/income ratio, just to get some sense?

Rajesh Sharma: From INR118 crores top line, we have got a profitability close to about INR30 -32 crores from that segment.

Ashish Kumar: And Sir, there's no balance sheet exposure to that?

Rajesh Sharma: No, because we are just referring lead s originated by our team to the banks who have partnered with us. We have partnered with close to 8 banks. And on success ful conversion of that lead, we are paying a fee by the banks. And that is what our business model is.

Ashish Kumar: Okay. And Sir, just to understand what is it that we are doing differently as compared to so many other people that

we've been able to buil d up car distribution business so quickly? What has clicked for us?

Rajesh Sharma: So we have touch points . We have built a strong network of our own team and since we've distribution network, and we are focused only on new car s, we are able to do it with a quic k turnaround, and we know that which customer will fit in with what interest rate. We run that program and are able to offer the customer very quickly. Suppose somebody appl ies, whether he'll get a good interest rate in Bank of Baroda or HDFC Bank or Bank of India , we are able to tell him. And we help the customer do that decision quickly and making available funds to buy his car quickly. So I think the turnaround time in the right kind of way, rate of interest matching his income profile help s us to ge t better business.

Ashish Kumar: But so is what, let's say, some of the larger distributors like Andromeda, et cetera, do...

Rajesh Sharma: I do not know exactly what is the business model of Andromeda. But as far as we are concerned, we have about 450 touch points and o ur own feet -on-the-street people along with them. So that is helping us . And we are adding more locations and few more bank partners this year. So this year, again, we'll see a 50% growth in that. Currently, in the new car loan disbu rsal, other than the dealers, I think we are number one.

Moderator: Our next question comes from Gaurav Sharma of HSBC Securities.

Capri Global Capital L imited

Q4 FY23 Concall Transcript | May 2 3, 202 3

Page 12 of 14

Gaurav Sharma: Yes. I have a couple of questions. One is regarding the borrowing mix. S ince you have a large portion of bor rowings from scheduled commercial banks, I want to know what will be the break -up of this into MCLR linked bonds, EBLR linked bonds or repo rate linked bonds , if any? That is first. Second, I just wanted to know what are the cross -selling opportunities you are exploring in your loan products? These are my 2 questions.

Rajesh Sharma: We don't borrow through SLR or EBLR linked bonds. We borrow money from public sector bank s4 as a term loan. And there's less than 5% borrowing in the form of non -convertible d ebentures, which were borrowed from bank s when the TLTR O scheme w as announced . These are getting repaid. By the end of June, I think every NCD except 1 with a financial institutions will remain outstanding, which is very small amount. The rest of borrowings are term loan s ranging from 5-year to 8-year tenure.

Gaurav Sharma: Okay. Got it, Sir. And upon the cross -selling opportunities in lending product?

Rajesh Sharma: So currently, we hav e MSME branches, home loan branches , and gold loan branches plus car loan distribution. Going forward, our old gold loan branches will convert into loan centre s and they will start cross selling home loan s and MSME loan s. In any case, MSME loan branch es also cross -sell the home loan s. Our technology is under development. That will take around 6 to 9 months' time. And once that takes place, we'll launch a pilot and then we'll convert all the go ld loan branches into full-fledge d loan centre s. So, the cross -sell opportunity will rise exponentially.

Moderator: Our next question comes from the line of Satadru Chakraborty, an investor.

Satadru Chakraborty: Okay. My first question is on the MSME business. Here in the slide, I see that the average ticket size has increased, the accounts have increased, let's say, 20 -odd percent. Can you just throw some light on how you see this segment going forward in the fiscal year '23 and '24? Any stress or strain that you see in this segment? And just in general, what is your vision of this segment progressing forward?

Rajesh Sharma: If you talk about MSME, I think going forward, if you've seen that earlier, we had about restructured pool of about INR200 crores -plus amount, which has come down to about INR93 crores, which i

s clearly showing the good result.

4. Share of private banks in CGCL's borrowing mix is currently very small.

Capri Global Capital Limited

Q4 FY23 Concall Transcript | May 23, 2023

Page 13 of 14

Going forward, our average ticket size will continue to be in the range of less than INR25 lakh, which currently today is about INR19 lakh. The average ticket size will not move up. But since we are adding more branches, the distribution network will strengthen. At some point of time, our gold loan branches will also do the cross-selling. So MSME business will grow. And I think this will remain one of our key growth drivers.

Satadru Chakraborty: Okay. Similar question also for the housing finance business. I think you mentioned that the average ticket size has gone up. That is clearly visible. The loan-to-value looks pretty similar. Accounts have gone up. I was just concerned a little bit about the geographical distribution. Do you see yourself expanding into any other geographies? Or what exactly is your strategy for the next 2 years for housing finance?

Rajesh Sharma: In housing finance, we are adding new branches in Uttarakhand and Uttar Pradesh. And this year will be adding another about 25 to 30 branches there. And plus, we are adding branches in some of our existing locations where business is good. We are adding more manpower strength there to source and underwrite that business. So overall, I think Housing Finance will grow in the range of about 55% to 60% for the next 2 years.

Satadru Chakraborty: Okay. And then the last question from my side was really around your capital structure. It's not really the structure, but the capital that you raised in the Rights Issue. Congratulations on successfully raising that. When I look at the gold loan business and the opportunities that I see, I have a strong sense that capital cover, let's say, will sort of run down in 2 years. Is there any long-sighted vision of what you want to do again? And if you want to do a capital raise, will it be from public shareholders, will be from NHB, will it be from other banks? Or just any vision of how you see the capital base basically going forward for the next 2 or 3 years?

Rajesh Sharma: So last time, we raised capital was in 2010. Now we raised, even that is the Rights Issue, where we put in a significant amount of money. I don't think company will require capital for the next 6 to 7 years. And in case the co-lending takes off, company may not use the capital even for the 10 years.

Moderator: As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Rajesh Sharma: Yes. Thank you all for attending this call. As we stated earlier, we continue to build a granular book and we continue to cater to the same segment, which is

Capri Global Capital Limited

Q4 FY23 Concall Transcript | May 23, 2023

Page 14 of 14

not catered by the banks, be it MSME, be it affordable housing, be it gold loan and even be it the smaller developer construction finance.

I think we clearly see that backed by our strong distribution network, a good capital adequacy ratio, and our 10 years' experience in lending business, we have already established our underwriting standard and a good collection team. We have invested heavily in the collection team as well as the collection systems – chatbots, auto-dialling and all that.

On back of that, where the collection is the heart of our entire business, we feel that the company will continue to grow in the next few years at a range of about between 35% to 40%. Gold loan branches will convert into the loan centre, which will further bring our operating cost down. Overall, within 3 to 4 years, you will see a significant improvement in margins as well as improved return on equity. So, thank you all.

Moderator: Thank you. On behalf of Go India Advisors, that

concludes this conference.

Thank you for joining us. And you may now disconnect your lines.

Call: Aug 2023

August 14, 2023

The Secretary

BSE Limited

Pheeroze Jeejeebhoy Towers

Dalal Street, Fort

Mumbai-400001

Scrip Code: 531595 The Secretary

National Stock Exchange of India Limited

Exchange Plaza, 5th Floor

Plot No-'C' Block, G Block

Bandra-Kurla Complex, Bandra (East)

Mumbai-400051

Scrip Code: CGCL

Sub: Intimation pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements), Regulations, 2015, regarding Q1 FY24 Earnings Call- Transcript

Dear Sir/Madam,

Further to our letter dated August 02, 2023, intimating schedule of the Earnings Conference Call on August 08, 2023 to discuss the Company's Q1 FY24 Earnings, we are attaching herewith the transcript of the said Conference Call.

The above is for your information and dissemination to all the stakeholders.

Thanking you,

Yours faithfully,

for Capri Global Capital Limited

Yashesh Bhatt

Company Secretary & Compliance Officer

Membership No.: ACS20491

Encl.: As above

Page 1 of 13

Indian Numbering System Legend

INR 10 Lakhs = INR 1Mn

INR 1 Crore = INR 10Mn

INR 100 Crores = INR 1Bn

INR 1 Lakh Crore = INR 1Tn

NOTE:

1) This transcript has been edited for lucid reading. To that extent, this is not a verbatim transcription of the audio transcript.

2) Factual corrections are marked at relevant places in the transcript and are referenced to footnote /s.

3) Recurring terms like 'YoY', 'QoQ', basis (referring to basis points) in the audio transcript have been shrunk to 'YoY', 'QoQ', and 'bps' respectively.

Q1 FY24 Earnings Conference Call

August 8, 2023

Management

Mr. Rajesh Sharma

Founder & Managing Director, Capri Global Capital Ltd.

Mr. Ravikant Bhat

Sr. VP - Investor Relations, Capri Global Capital Ltd.

Capri Global Capital Limited

Q1 FY24 Concall Transcript | August 8, 2023

Page 2 of 13

Moderator: Ladies and gentlemen, good day, and welcome to Capri Global Capital Limited

Q1 FY 24 Earnings Conference Call hosted by Go India Advisors. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by

pressing star then zero on your touchtone phone. Please note that this conference is being recorded. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ravikant Bhat from Capri Global Capital Limited. Thank you. And over to you, Sir.

Ravikant Bhat: Thank you. Good morning, everyone. This is Ravikant. I shall read out a brief disclaimer for today's call. The discussion on today's call regarding CGCL's earnings performance will be based on judgments derived from the declared results and information regarding business opportunity available to the company at this time.

The company's performance is subject to risks, uncertainties, and assumptions that could cause actual results to differ materially in future. Given these uncertainties and other factors, participants on today's call may observe due caution while interpreting the results. The full disclaimer is available on Slide 42 of Q1 FY 24 Investor Deck. Participants are requested to note the same.

And I request our MD, Mr. Rajesh Sharma, to present the opening remarks.

Rajesh Sharma: Good afternoon, friends. It is a pleasure to welcome you all to the Capri Global's first earnings call of the financial year. We declared our reviewed consolidated results for Q1 FY 24 on Saturday, 5th August 2023. I hope you had a chance to go through the Investor Deck.

FY24 shall be unique in some aspects. It will be the first full year of operation for the Gold Loan vertical. We aim to turn Gold Loan vertical profitable by end of this financial year. The equity we raised in March 2023 is fully deployed. It will aid our core earnings and overall profitability. Keeping this in view, we will analyze our Q1 FY 24 performance.

Our disbursements increased 128% YoY to INR26.9 billion. Our disbursement

momentum

is usually soft in Q1 every year, due to which the disbursements have shown a 5%

Capri Global Capital Limited

Q1 FY24 Concall Transcript | August 8, 2023

Page 3 of 13

QoQ decline. However, because of the strong momentum maintained in the Gold Loan business, the decline has been muted compared to our performance in Q1 FY 23.

Excluding gold loans, our disbursements increased 65% YoY, but were lower 31% QoQ. This sequential decline is in-line with the Q1 FY 23 performance and the seasonality of Q1 in lending business. Share of gold loans was 51% of Q1 FY 24 disbursements, while MSME and Housing was 12% and 11% respectively. The balance was contributed by Construction Finance and Indirect Lending.

The AUM momentum was marginally stronger than Q4 FY23, increasing 61% YoY to INR112.3 billion. AUM excluding Gold Loan increased 38% YoY and 5% QoQ. Share of Gold Loan continued to increase, rising to 14% of AUM compared to 11% in Q4 FY23. We expect our Gold Loans AUM to touch or cross INR30 billion by end of this financial year. This could be 20% of AUM, assuming we sustain a 50% momentum in overall AUM growth.

As you may have noticed in the AUM exhibit on Slide 4, the momentum in MSME as well as the housing portfolio sustained a healthy momentum despite a sequentially weaker disbursement quarter. In housing, we concluded a maiden direct assignment transaction with a leading housing finance company amounting to INR569 million at a competitive yield. Our on-book housing AUM is lower to that extent.

The share of Construction Finance AUM was 17.5%. While growth in Construction Finance has been strong, please note that we are also guided by the share of this vertical in consolidated AUM of 20%. We are comfortable growing Construction Finance as long as our underwriting parameters are satisfied and the share of this book is at or below 20% of AUM.

We have reported a 38% YoY increase in our net profit to INR636 million. The profit is lower by a marginal 2% QoQ. To fully understand the earnings, let me first start the core earnings.

Our net interest income increased 77% YoY and 26% QoQ to INR2,370 million. As explained on Slide 16, this improvement was aided by both the strong equity funding of Q1 FY 24 balance sheet as well as our improved spreads.

Our weighted average yield on advances increased 55 bps QoQ to 15.7%, while the weighted average cost of borrowing was up 20 bps QoQ to 8.7%. You may

Page 4 of 13

recall our cost of borrowing had been steadily increasing through out FY23, while the yield on advances was improving with a lag. This difference is visible in the segmental yield graphs on Slide 15. As a result of these improvements, our spreads stood at 7%, an improvement of 66 bps YoY and 35 bps QoQ.

Our net interest margin was unsurprisingly at a robust 9.6%, a level we last reported in Q4 FY22. This was aided, as mentioned earlier, by strong equity funding of Q1 FY 24 balance sheet. As leverage improves, NIM shall mathematically decline. While we will enjoy the benefit of higher NIMs in the FY24, we would like to assess the earnings efficiency of our lending business by the spreads we generate.

The share of our non-interest income in the net income was 25.4%, lower than 33% in Q1 FY 23 and 30% in FY23. The dip was caused by lower car loan fee income owing to certain one-off adjustments. Secondly, the fee income tied to balance sheet, specifically MSME and housing finance was also lower owing to softer disbursements during Q1 FY 24. We expect this softness to reverse from Q2 FY24. The car loan fees shall also pick up momentum from Q2 FY24.

The cost-income ratio declined marginally to 66.0% in Q1 FY 24 from 68.2% in Q4 FY23. The cost-income ratio excluding Gold Loan business was at 50%. This is marginally higher than 48% w

e reported for FY23. However, this too should reverse as the earnings pick up during the year. In Gold Loan business, although our active branch network was 680, we have on-boarded staff in another 60 locations as of June 2023, with branch work at various stages of progress. Hence, the operating expenses of Q1 FY 24 also include partial opex of additional 60 Gold Loan branches.

We had stated we shall pause branch expansion in Gold Loan business after touching a network of 750 branches by Q2 FY24. We have almost reached that level as we speak, and the incremental cost intensity shall steadily decline beginning September-October 2023.

Our GNPA ratio stood at 1.89%, 15bps points higher than Q4 FY23, but is substantially lower than the 2.7% ratio we reported in Q1 FY 23. The PCR of the Stage -3 assets was 27.8%. Our credit cost stood at INR239 million, which was higher than INR112 million in Q4 FY23, but marginally lower than INR246 million we reported in Q1 FY 23. As highlighted on Slide 13, the average credit cost is trailing 5 quarters is INR176 million.

Capri Global Capital Limited
Q1 FY24 Concall Transcript | August 8, 2023

Page 5 of 13

During the quarter, we made some accelerated provisioning on three Construction Finance exposures to a single entity amounting INR160 million. This was restructured and classified as NP A, attracting a provision of INR50 million or 31% of exposure. We have initiated recovery proceedings in 2 exposures and in due course, expect a recovery of INR30 million. For the remaining INR130 million exposure, we are exploring various options to aid recovery.

Despite the higher credit costs including the one-off change, our credit cost to average Assets Under Management ratio was 89 bps in Q1 FY 24, in-line with our pre-COVID long-term trend. Apart from the INR30 million recoveries mentioned earlier, we expect additional recoveries to happen in Construction Finance vertical in Q2 or Q3 FY24.

There has also been a marginal increase in MSME NPA and a slightly sharper increase in the housing finance NPAs. Our recovery efforts are continuous and we expect to improve asset quality going ahead. I would also like to additionally highlight that we do not see any structural issues here. We are aware of the rising pessimism on asset quality of NBFCs in general and retail loans in particular, given the lending boom of past 2 years. Nevertheless, let me reiterate that we are not present in unsecured lending. Our lending is secured with very comfortable loan-to-value across all segments, whether retail or wholesale. This gives us comfort on managing our asset quality.

We have reported 2.2% ROA and 7.1% ROE in Q1 FY 24. Excluding the loss in

Gold Loan business, our ROA and ROE would have been 3.0% and 9.6% respectively. As we move towards the break-even in Gold Loan business, our profitability should substantially increase, especially in H2 FY24. There shall also be additional drivers like absence of one-off adjustments there that shall contribute to the profit momentum.

To conclude, I would say we have begun FY24 on a sound note. We shall deliver yet another year of sound business growth, but it will also be coupled with a very strong profit growth. With that, I conclude my remarks. We shall now take questions.

Moderator: The first question is from the line of Dev from Haitong Securities.

Dev: My question is related to the overall composition of AUM. The MSME segment has come down from around 40% or around 35%. And earlier, I think you had guided that it would remain north of 40% and in the range of 40% to 50%. So

Capri Global Capital Limited

Q1 FY24 Concall Transcript | August 8, 2023

Page 6 of 13

given the strong traction and the focus in the Gold Loan segment, how would the overall product mix look like going forward? Is there any kind of targeted mix that is there in mind? That

was my first question.

And second, I see that there is an increasing focus on co-lending in case of MSME as well as housing finance. Could you give us any colour on that as well?

Rajesh Sharma: Yes. So, I think before Gold Loans, our key growth drivers used to be MSME.

When we launched the Gold Loans and that also across about 750 branches, so while retail proportion in overall AUM have grown significantly. But if we talk about MSME, MSME, the disbursement plan and expansion remain the same. But since Gold Loans have aided the overall AUM growth, MSME has gone a little bit down.

If we look down the line, two-year scenario, the Gold Loan composition will be about 20% to 25% of overall AUM and MSME will be about 25% to 30%. And if you talk about Housing Finance, which is done through a standalone subsidiary company, it is growing at a faster pace ...about 50%+. And on back of branch expansion, on a standalone basis will continue to grow at that pace ...40% to 50% for the next 2 years.

Moderator: The next question is from the line of Nikhil Nyati from Equirus Securities.

Nikhil Nyati: My question is regarding the MSME yield. Sir, I wanted to know what percent of our book is repriced, knowing that our yield has gone up this quarter and how we can see the yield panning up in the future?

Rajesh Sharma: We have increased our long-term reference rate by 50bps in the first week of April. Our yield has been passed on to almost 60% of customers in MSME, 40% still remain on the semi-fixed. So for those customers, hike will not happen. But 60% customers of the past have already been increased by LTRR of 50bps. As far as the incremental lending is concerned, that is happening, maintaining the targeted spread. In MSME, we are lending about close to 15.5% yield in the incremental lending.

Moderator: The next question is from the line of Raghav Garg from Ambit Capital.

Raghav Garg: Yes. Just a few questions. Firstly, on the gold loans business. We've seen last couple of years, there's been a lot of competition. Just a very high-level question.

Capri Global Capital Limited

Q1 FY24 Concall Transcript | August 8, 2023

Page 7 of 13

What is your sense in terms of competitive intensity in this business? That'll be my first question.

Rajesh Sharma: Gold Loans, we have seen in the last 2 years a lot of competition, especially coming in the lower rate segment from public sector banks. So, they are the new entrants where they are offering at a much lower rate. But their ticket size remains high. So basically, they are focusing more on a higher ticket size. And typically, theoretically, while they welcome all the customers, they don't like to entertain the customer which comes for a INR30,000 or INR50,000 of loan.

So, there is a clear demarcation in the customer segment. Among the gold loan finance company and NBFCs also, the Gold Loan is not like a product of unsecured lending, which can be done without proper investment in the branch

expansion. So, there is some sort of entry barrier. So, we have seen that among the NBFCs, while we see in other products, more than 30, 40, 50 players and a lot of regional players, in gold loans, the major competition comes through the NBFCs with pawn brokers who lend at very unreasonable and high rates. I think that is where the opportunity also lies.

So, this business will continue to grow looking at the overall AUM growth. The growth is also coming because of the gold loan prices increasing and lot of people are open to borrow against the gold with a formal player. So, as far as Capri is concerned, with 750 branches and then branch will continue to grow, to build a AUM of INR10,000 crores to INR12,000 crores in next 5 years to 7 years in an overall AUM opportunity of INR3 lakh crores plus of gold loans still remains a very small and very much possible and profitable.

Raghav Garg: Sir,

that's very well understood. What I meant to ask is in this quarter, how do you assess the overall industry competitive intensity to be? Whether it's still as high as what you highlighted a couple of quarters ago or last year, whether it's still as high as that?

Rajesh Sharma: Are you talking about competition or are you asking about our growth?

Raghav Garg: Sir, I mean, both in terms of your growth and what is your assessment of competition and the impact on our growth?

Rajesh Sharma: We are expanding our branch network after a detailed analysis of the potential from credit bureau, AUM competition, we very well are on our target. Our branches are able to achieve the average growth of about INR22 lakhs MoM, Capri Global Capital Limited

Q1 FY24 Concall Transcript | August 8, 2023

Page 8 of 13

which has remained in our target. And our branches will achieve the desired profitability in the targeted time. And, we are not going to stop even at 750 branches. So, we clearly see the potential.

Number two, at some point of time, city-wise, we are going to convert our Gold Loan branches where they will also be sourcing business and leads for MSME and home loan also. So overall, if we talk about growth side, we are quite bullish and confident about achieving our growth target in the Gold Loan segment. And this vertical is going to be profitable by the year end - all the branches will turn profitable except which have been opened recently.

Raghav Garg: Understood. Sir, what would be the break-even level for you per gold loan branch? What would be that level where you would be regulable? I think right now it's around INR2.5 crores per branch, right?

Rajesh Sharma: Once it achieves a base of INR3.25 crores, branch achieves the break-even. Anything above shall start contributing directly to the profitability.

Raghav Garg: Understood, Sir. And Sir, I mean, although I can calculate, but I just wanted to ask, what is the per branch expense that we would be incurring typically for a Gold Loan branch, including the employee expense?

Rajesh Sharma: So we have branches, which are manned by 4 staff, by 5, by 6. So, it is not a straight answer. If our competition has AUM of INR30 crores high potential segment, is a low potential segment, depending on the size of the branch, the opex on the branch and the manpower of the branch. It ranges right from an operating cost of INR1 lakh per month to INR225,000 depending on the location and its potential.

Raghav Garg: Understood. Sir, this operating cost is apart from the employee cost, correct? These would be the other expenses.

Rajesh Sharma: This is all the operating cost, entire operating cost including salary and all.

Raghav Garg: Understood. Sir, just one last question. I understand that you have a branch in Vasai and Virar. So just today, there has been an article in Hindustan Times that the police have busted a major fake document racket in the construction sector.

The number of flats involved here are about or rather the number of families involved are about 3,500 who have basically been sold these flats. Now, they would have taken loans from some of the financiers, which are in that area.

Capri Global Capital Limited

Q1 FY24 Concall Transcript | August 8, 2023

Page 9 of 13

Would we have any kind of exposure to this project in Vasai and Virar, if you are

aware of that? That is it.

Rajesh Sharma: I don't think that we are doing any under construction project financing in housing finance vertical at all. So, we don't finance any project at all unless it is ready. That is the policy we follow in the affordable housing segment.

Raghav Garg: Understood. Even at the retail level, right?

Rajesh Sharma: We don't fund any under construction.

Moderator: The next question is from the line of Bunty Chawla from IDBI.

Bunty Chawla: Sir, continuing with the Gold Loan branches

. As we have seen earlier, we were competing at a lower interest rate like around 15% yield. Now, we have moved to the competition level around 19.5% to 20%, which is visible in the yield per se. So how do you now see the growth for you, after being at an equivalent rate with your competition?

And secondly, on the branch expansion, you had said that up to 1,000 branches you don't require any approval from the RBI, right? After 1,000 branches, have we applied for any approval and all? And how we should see the branch expansion along with the AUM growth for the Gold Loan?

Rajesh Sharma: Your first part of the question was related to the yield. When we initially opened the branches, when we first entered August 2022, that time we had launched some low rate of interest gold loans to create a buzz, to create awareness, which we have already achieved. From the January quarter onwards, we started going for the high-yield and the lower value loans like where every ticket size was less than INR1 lakh and yields were better.

So gradually now, our average on boarding of the customer is coming at about 16.5%, 17%, and plus the default rate of interest is also being earned. So, effective yield is now upwards of 19%. And we continue to follow that philosophy in-line with the market. If you talk about the RBI regulation of 1,000 branches, that is per company. So we still have a scope of about 200 branches because these 849 branches also include the housing finance branches, which are housed in the Capri's subsidiary company. And after 1,000 branches, we will apply to RBI and we don't see any issue in getting the approval per se.

Capri Global Capital Limited

Q1 FY24 Concall Transcript | August 8, 2023

Page 10 of 13

Bunty Chawla: Okay. Sir, secondly, on the Construction Finance, we are seeing that there is a boom and real estate has been quite strong currently. But as we have historically seen, we have felt across the industry some NPA issues on the Construction Finance side. Now, we are very much aggressively growing Construction Finance. So, my query is, what steps or what different we are doing so that if the real estate cycle goes down, there should not be any negative surprises from this Construction Finance segment?

Rajesh Sharma: First of all I want to say that we are not aggressively growing. We are growing what we have strategically planned. So, we have always said that we will do overall AUM basis 20% Construction Finance and 80% is going to be secured retail loans. And that is the same philosophy and principle we are following. Within a quarter sometimes, it happens that our Construction Finance share crosses 22%, 23%. Some quarter, it comes to 19%. But you see year after year, it has always remained within the 20% range.

Second thing, we follow a very unique strategy of funding to developers which are smaller. So, we are not going with the ticket size of INR200 crores or INR400 crores type. Our average ticket size still remains less than INR20 crores even today. So, you can imagine the kind of small developers we are funding. And then we take in a clear mortgage of the property. The smaller projects are completed faster than the -- we don't fund the 40-storey projects, which take 5 - 6 years to complete. So, this turnaround time is faster. There is no income -- interest cost accumulated when the projects get delayed.

Keeping in mind these core lending principles, we see all our Construction Finance projects get completed within 3 years' time. And 1/3 of our projects get balance transferred within 12 months, which speaks about our underwriting standards. Also, repayment also happens before time because of BT. In our other projects too, we have seen that 50% of the balance projects get prepayment than the repayment.

So, they get (prepaid) because of the faster sales. The strong cycle of their construction is

helping the inventory to move faster. Even if the cycle turns slightly sluggish, our safeguard mechanism of having a control on the cash flow and the security cover will always protect our principal and interest. And historically, we have seen that since last 4 - 5 years, we have not seen any major -- write-off or any unpredictable risk. While it happens, but that remains within the tolerant range of 1%.

Capri Global Capital Limited

Q1 FY24 Concall Transcript | August 8, 2023

Page 11 of 13

Bunty Chawla: That was very helpful, Sir. Lastly, on the Stage 3 assets, we have observed the provision coverage ratio has come down from 30% to 27-28% kind of range. What is the outlook on Stage-3 assets provision coverage ratio? Because what we have observed is large NBFCs generally try to maintain around 45% PCR so that if there are any hiccups going forward, that would be safeguarded by this high PCR.

Rajesh Sharma: So we are keeping -- the RBI regulates that it should be based on the PGD and LGD, and they should be a minimum 25%. So, we are following that. And if you look at our overall Gross NPA, you can clearly see that there is a downward trend. From the last year of 2.7%, it has declined to 1.9%, and net NPA has come down from 2% to 1.4%.

Bunty Chawla: So on a normal basis -- long-term basis, can we say 28-30% is the PCR we are comfortable with?

Rajesh Sharma: Yes. Keeping in mind our asset quality, which is all secured and where the hard collateral is there, either the self-occupied house or business or gold. So, that also gives us comfort for maintaining this kind of PCR. In the past 10 years, even in the worst cycle of COVID, IL&FS, DHFL, when there was a different kind of a crisis, our NPAs at any given point in time never climbed more than 4%.

Moderator: The next question is from the line of Mayur Liman from Profitmart Securities.

Mayur Liman: Congratulations for a good set of numbers. Sir, my first question is, how are you seeing the incremental demand in MSME segment? Any specific segment or geographies we are seeing a strong demand? Are we confident that we would be able to deliver 30% kind of growth in this segment?

Rajesh Sharma: You are asking any particular segment?

Mayur Liman: Yes. MSME segment or any segment where we can see the strong demand.

Rajesh Sharma: MSME and second one.

Mayur Liman: Sir, can I repeat my question?

Rajesh Sharma: Yes.

Mayur Liman: Okay. How are you seeing the incremental demand in MSME segment? Any specific segment or geographies we are seeing a strong demand?

Capri Global Capital Limited

Q1 FY24 Concall Transcript | August 8, 2023

Page 12 of 13

Rajesh Sharma: So, I'll answer this question. Wherever we see there's strong demand, we put more branches. So likewise, we have more branches of MSME in Rajasthan and then followed by Madhya Pradesh and then Gujarat, and then Maharashtra and then NCR. So, basis that, we clearly see we expand in those geographies where we see the demand and also good collection efficiency. And so we clearly see the demand is very good in Rajasthan, Madhya Pradesh, and Gujarat. And that is how our branches are.

Mayur Liman: Okay, Sir. And in which segment are we seeing strong demand?

Rajesh Sharma: So overall basis, our MSME demand is very good. It is a segment, which is largely under-penetrated. If we talk about India, have more than 70 million MSMEs, of which, only 20% of the credit demand is met by the formal lenders. So there exists a strong demand and many companies are focusing. We are few of them. We are one of those who are focused on MSMEs and it will continue to grow 30%+ for the next 3-4 years.

Mayur Liman: Okay, Sir. And my second question is Construction Finance and Housing finance vertical. Asset quality has deteriorated much this quarter, specifically Construction Finance. What would be the reason for the same

and your future

outlook on asset quality across these verticals?

Rajesh Sharma: So, asset quality has not deteriorated. If you see overall basis, GNPA is lower than the even preceding quarter and the net NPA is also lower. As far as one of the

accounts (in Construction Finance) is concerned where we have restructured and on account of restructuring, we have made the provision. And this is one of the accounts of the overall portfolio. It is not that there are many accounts that have slipped away.

And in this lending business, we'll always see, when we're operating 180, 190 Construction Finance accounts, 1, 2, 3 account can always -- will face some challenges, which we have to either recover and/or use other measures to get out of it. So, this is one of that account where we have provided, and we are confident we'll find some other developer to take over that project at a price and we should be out from it.

Mayur Liman: Okay, Sir. And my last question. Any new bank tie-up we have done for expanding our co-lending book?

Capri Global Capital Limited

Q1 FY24 Concall Transcript | August 8, 2023

Page 13 of 13

Rajesh Sharma: Co-lending book, we have already tied up with Union Bank, Punjab & Sind Bank, Bank of India and UCO Bank. In Gold Loan also those tie-ups are happening.

And co-lending in real sense will pick up for the entire NBFC segment once this tech tie-up -- technology integration happens with the public sector banking system. But in any case, we are achieving INR40 crores to INR50 crores a month. And once the Gold Loan takes off, which should happen sometime soon, then this co-lending arrangement, the volume will further go up.

Moderator: As there are no further questions, I now hand the conference over to the management for their closing comments.

Rajesh Sharma: Yes. Thank you all. We will continue to grow in the segments we operate in, which is MSME, Housing Finance, and Gold Loans. And our core philosophy will remain that we should serve the customer who are not catered by the banking system. So, we complement the banking rather than competing with them. We clearly see that our Gold Loan business will break-even and will start delivering profit.

With the approach of growing in MSME where the margins are good, Gold Loan is going to become profitable. Adequate capital is now available. We clearly see this year is going to be one of all-time high profitability and our margins will also improve. Our core banking solution is getting implemented by the year-end. So, we clearly see a nudge. Our (lower) operating cost should start showing in our results from the next year onwards. We already have about 100-plus people, technology team in our Gurgaon office. And those results will be seen in next year. So, we are quite optimistic and quite confident of delivering superior returns. Thank you.

Moderator: Thank you. Ladies and gentlemen, on behalf of Go India Advisors, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Nov 2023

November 09, 2023

The Secretary

BSE Limited

Pheeroze Jeejeebhoy Towers

Dalal Street, Fort

Mumbai-400001

Scrip Code: 531595 The Secretary

National Stock Exchange of India Limited

Exchange Plaza, 5th Floor

Plot No-'C' Block, G Block

Bandra-Kurla Complex, Bandra (East)

Mumbai-400051

Scrip Code: CGCL

Sub: Intimation pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements), Regulations, 2015, regarding Q2 FY24 Earnings Call - Revised Transcript

Dear Sir/Madam,

We wish to inform you that the company has vide its letter dated October 28, 2023, informed the exchange about intimating schedule of the Earnings Conference Call on November 02, 2023 to discuss the Company's Q2 FY24 Earnings, we are attaching herewith the revised transcript of the said Conference Call. The above is for your information and dissemination to all the stakeholders.

Thanking you,

Yours faithfully,

for Capri Global Capital Limited

Yashesh Bhatt

Company Secretary & Compliance Officer

Membership No.: ACS20491

Encl.: As above

Page 1 of 11

Indian Numbering System Legend

■ 10 Lakhs = ■ 1Mn

■ 1 Crore = ■ 10Mn

■ 100 Crores = ■ 1Bn

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- 2) Factual correction/s are superscripted at relevant places in the transcript and are explained in footnote /s.
- 3) Recurring terms like 'Year-on-Year', 'Quarter-on-Quarter', basis (referring to basis points) in the audio transcript have been shrunk to 'YoY', 'QoQ', and 'bps' respectively.
- 4) Wherever needed, emphasis is added in brackets (in italics) for better clarity.
- 5) For uniformity with reporting format, values referred to in crores in the audio transcript have been converted to billions or millions in this text transcript.

Q2 FY24 Earnings Conference Call

November 2, 2023

Management

Mr. Rajesh Sharma, Founder & Managing Director

Mr. Partha Chakraborti, CFO

Mr. Sanjeev Srivastava, CRO

Mr. Ravikant Bhat, Sr. V P (Investor Relations)

Capri Global Capital Limited

Q2 FY24 Concall Transcript | November 2, 2023

Page 2 of 11

Moderator: Ladies and gentlemen, good day, and welcome to Capri Global Capital Limited Q2 FY24 Earnings Conference Call hosted by Go India Advisors. As a reminder, all participant lines will be in the listen-only mode, and there will be an

opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ravikant Bhat from Capri Global Capital Limited. Thank you, and over to you, Sir.

Ravikant Bhat: Good morning, everyone. This is Ravikant. I shall read out a brief disclaimer for today's call. The discussion on today's call regarding CGCL's earnings performance will be based on judgments derived from the declared results and information regarding the business opportunity available to the company at this time. The company's performance is subject to risks, uncertainties, and assumptions that could cause actual results to differ materially in the future. Given these uncertainties and other factors, participants on today's call may observe due caution while interpreting the results.

The full disclaimer is available on Slide 43 of Q2 FY24 investor deck. Participants are requested to note the same.

I now request our MD, Mr. Rajesh Sharma, to present the opening remarks.

Rajesh Sharma: Good afternoon, friends, and season's greetings to all on the call. We declared our reviewed consolidated results for Q2 FY24 on Tuesday, 31st October 2023. I hope you had a chance to go through the investor deck.

In our discussions post Q1 FY24 earnings, we stated we had made a sound start to FY24 with a healthy business and earnings momentum. I shall revisit some of the discussion of the business

in Q1 FY24 and also provide a perspective on our Q2 FY24 earnings.

Please refer to Slides 4, 5, and 6. After a lean Q1 FY24, our disbursement momentum picked up in a strong manner in Q2 FY24. Disbursements increased 130% YoY and 31% on QoQ to ₹35.3 billion. Disbursement momentum was dominated by Gold and Housing business, which contributed 66% of incremental disbursements. MSME picked up pace, increasing 12% QoQ to ₹3.7 billion.

Capri Global Capital Limited

Q2 FY24 Concall Transcript | November 2, 2023

Page 3 of 11

Excluding Gold Loans, our disbursements increased 35% YoY. Construction Finance maintained pace, although the disbursements were unchanged YoY at ₹4.1 billion.

The AUM momentum continued to be robust, increasing 59% YoY to ₹123.6 billion in Q2 FY24. AUM, excluding Gold Loans, increased 35% YoY and 7% QoQ.

Share of Gold Loans continued to increase, rising to 16% at AUM compared to 14% in Q1 FY24 and 2% in Q2 FY23. We expect our Gold Loan AUM to touch or cross ₹30 billion by the end of this year, which could be 20% of AUM assuming we sustain a 50% momentum in the overall AUM growth. Our AUM includes the co-lending AUM of ₹9.7 billion, which is up 4x YoY and 40% QoQ and constitutes 8% of AUM. We started co-lending under Gold Loans during Q2 FY24 and currently have tie-ups with two commercial banks. On Slide 5, we have introduced new charts to show the journey of our co-lending business across MSME, Housing, and Gold Loan segments.

We have reported a 16% YoY and 3% QoQ increase in our net profit to ₹652 million. To fully understand the earnings, let me first start with core earnings. Our net interest income increased 63% YoY and 5% QoQ to ₹2,493 million. The QoQ growth momentum of net interest income was softer owing to spreads movement.

Our weighted average yield on advances declined 13 basis points QoQ to 15.58% in Q2 FY24 from 15.7% in Q1 FY24, while the cost of funds increased 21 basis points QoQ to 8.93%. The increase in cost of funds was in line with the increase in MCLR-linked commercial bank borrowings that constitute 87% of our borrowings. This led to a spread compression, as highlighted in Slide 17. While our consolidated cost of borrowings is competitive, given the overall pass-throughs that are happening in the cost of money across the banking system, we expect our cost of borrowing to also go up some more during H2 FY24. Some of the cost increases are expected to be compensated by an improving mix of higher-yielding loans.

The share of our non-interest income in net income declined marginally to 24.3% from 25% in Q1 FY24 primarily on account of some changing dynamics in the car

loan business. However, the non-car fee income and co-lending income picked up in-line with the growth in lending business, increasing 22% QoQ and 86% YoY.

Capri Global Capital Limited

Q2 FY24 Concall Transcript | November 2, 2023

Page 4 of 11

Although car loan originations are up on the path to cross ₹100 billion total originations during FY24, net fee income is expected to be soft due to competitive intensity. We will continue to gain market share in the origination market.

The cost-to-income ratio slightly increased to 66.9% in Q2 FY24 from 66.0% in Q1 FY24. The cost-to-income ratio, excluding Gold Loan business, was 51.0%, broadly stable QoQ.

The adjusted cost-to-income ratio is marginally higher than 48% we reported in FY24. As we have been stating, the cost-to-income ratio should improve as we expect earnings to pick up faster relative to operating expenses during H2 FY24. Our gold loan network touched 742 branches in September 30, 2023. We had possession of a few more branches, which were yet to go live. With that, we have reached the initial target of 750 gold loan branches for H1 FY24. We shall be pausing the branch addition in Gold Loan business in H2 FY24. As I stated earlier, we

expect this to aid in improving our cost/income ratio in H2 FY24.

Our GNPA ratio stood at 1.93%, 4 bps higher than Q1 FY24, but substantially lower than 2.36% we reported in Q2 FY23. The PCR on Stage-3 assets improved to 32.3%, primarily on account of proactive provisioning. We are inclined to improve the PCR further. Our credit cost stood at ₹239 million, which was higher than ₹112 million in Q4 FY23, but marginally lower than ₹246 million we reported in Q1 FY23. As highlighted on Slide 13, the average credit cost in trailing five quarters is ₹176 million.

During Q1 FY24, we made some accelerated provisioning on three construction finance exposures to a single entity amounting to ₹160 million. This was restructured and classified as NPA, attracting a provision of ₹50 million or 31% of exposure. We have further increased the provisioning on the same, taking the provision coverage ratio to 87% on Construction Finance and Indirect Lending portfolio. Recovery efforts are underway and like past instances, we are confident of fully recovering the outstanding amounts.

Our credit cost to Average AUM ratio was 78 bps annualized in Q2 FY24 compared to 89 bps in Q1 FY24. This is in-line with our pre-COVID long-term trend. We have reported 2.1% ROA and 7.1% ROE in Q2 FY24. Excluding the losses in the Gold Loan business, our ROA and ROE would have been 2.8% and 9.5% respectively.

Capri Global Capital Limited

Q2 FY24 Concall Transcript | November 2, 2023

Page 5 of 11

As we move towards the break-even in Gold Loan business, our profitability should substantially increase, especially in H2 FY24. There shall also be additional drivers like the absence of one-off adjustments that shall contribute to the profit momentum. To conclude, I would say we remain on a path of strong growth and profitability in FY24.

With that, I conclude my remarks. We shall now take questions.

Moderator: The first question is from the line of Mr. Bunty Chawla from IDBI Capital. Please go ahead, Sir.

Bunty Chawla: In the opening comments, you said there has been a pressure on the spreads or on the yields due to the competition. Can you elaborate which segment we are seeing more pressure? Is it MSME? Is it Gold? Or is it Housing? And going forward what will be the sustainable yields for these segments? And similarly, what will be the cost of funds?

Rajesh Sharma: If we see on an overall basis, our yield on advances was 15.7% in Q1 FY24, which has come down to 15.6% and thereby resulting in a spread compression of 40bps from 7.0% to 6.6%, primarily because a lot of Construction Finance portfolio has been pre-paid and the new loans are happening at lower rate of interest. We have seen because of faster sale of inventory in those accounts,

there's a faster pre-payment and repayment and thereby, the new portfolio, because of competition, is happening at a lower rate of interest. And there, we have seen that our spreads come down. But in H2 FY24, we believe that Gold Loan share will go up in overall portfolio. That will improve the overall yield on advances. And we also feel that our cost of funds, which is another factor which has gone up by 21 bps, we should be able to pass on in incremental lending better. So that should improve our overall spreads.

Bunty Chawla: So can we say the 6.6% spread, which you have reported in Q2, should be sustainable for second half of the year?

Rajesh Sharma: 6.6% is definitely sustainable. We still expect this to be slightly better because our current AUM of ₹20 bn Gold Loan will increase to ₹30 bn. Gold Loan AUM should increase the yield in the mix because that is the highest-yielding product in our overall portfolio. That will also improve the overall yield on advances.

Capri Global Capital Limited
Q2 FY24 Concall Transcript | November 2, 2023

Page 6 of 11

Bunty Chawla: So it's purely

on the Construction Finance we have got the impact on the yields and no more in Gold Loan or Housing, we don't have any competitive pressure, right?

Rajesh Sharma: Suppose we remove the Construction Finance portfolio from this calculation, then our yield would have become better by 3bps.

Bunty Chawla: Okay. So similarly, can you share your thoughts on the cost of funds going forward?

Rajesh Sharma: I think cost of fund is largely market driven. Unless there is a change in the credit rating of the company, we will continue to be in the same bracket of the cost of fund. But certain MCLR on old loans are going to reset. So there we will see cost of funds go up but that will not be more than 10 bps. However, we will be able to pass on this increased cost of funds to our incremental lending.

Bunty Chawla: Secondly, Sir, there has been a higher credit cost. You rightly said that was because we have taken a proactive step in increasing the provisioning. But if you see the provisioning, still it's kind of a 32%. How much are we targeting to increase this PCR level? Because what we have observed in other medium or large-sized NBFCs, they have a PCR on Stage -3 of 40%+. Some have 45%, some have 40%, some are at 50%. So where are we targeting to reach our PCR and how will this impact the credit cost going forward for us?

Rajesh Sharma: We will increase this PCR in a gradual manner, in-line with what I think the market expects and in-line with the best practices. But if you look at it, our portfolio is a little differentiated from many others who have a higher PCR because our portfolio is completely collateralized either by gold or by self-occupied house or by self-occupied business premises. However, with a conservative approach, if you see the PCR last quarter, it was 27.8%, now it has gone to 32.2%, already 448bps, PCR has been increased and gradually will increase. We don't want to give a level at the moment, but we will keep increasing it QoQ and stabilize somewhere around 37% to 40%.

1. This should be read as follows: 'Had the yield on our Construction Finance portfolio stayed unchanged, our weighted average yield on advances would have increased 3bps QoQ'

Capri Global Capital Limited
Q2 FY24 Concall Transcript | November 2, 2023

Page 7 of 11

Bunty Chawla: Okay, Sir. And lastly on Gold Loans, as you have shared that we have touched almost 750 branches. So no more increase in your branches in a shorter period of time. So how one should see the Gold Loan growth going forward? Because until now, the branch increase was supporting higher Gold Loan growth. So how we should see the Gold Loan growth going forward?

Rajesh Sharma: Gold Loan business, as I said, from current AUM of about ₹20 bn in Sep'23, we expect it to close about ₹30 bn by Mar'24. And by then, all our branches, which were contributing losses because they were in the investment phase, will achieve break-even. They will start contributing to profitability in the last quarter. So next

year, again, we will draw a plan to add some more branches. That plan is not yet firmed up - how many branches, where they will be opening etc. We will deliberate that somewhat in the next quarter and then we will implement in the first quarter of the new financial year.

Bunty Chawla: Can you share the ballpark Gold Loan AUM growth for next two to three years, how it should shape out? Ballpark number, roughly.

Rajesh Sharma: Ballpark number, you can imagine from ₹30 bn, we should be able to reach almost 30%, 35% growth for the next two years, even if we don't open new branches. But we are going to add branches. I said we are not -- but definitely 30% to 35% growth we are going to achieve.

Moderator: Next question is from the line of Mr. Priyesh Jain from HSBC. Please go ahead, Sir.

Priyesh Jain: Sir, we are noticing that the

there is a steady increase in the co-lending share. I have some questions regarding that. I want to understand how different is the customer profile under the co-lending book versus the on-book loans? If you could throw some light on that.

Rajesh Sharma: Under co-lending, we are doing MSME, home loans, and gold loans. When we do the loan, we do the loan as if we are going to keep it in our book. Thereafter, we run the data - our data teams have made a program where we say (check), which bank qualifies for which pool. And accordingly, we give those pools to those banks. But there's no specific program we carry out under co-lending. It is our product policy and the same is adopted by the bank also. So, there is no specific origination or underwriting done targeting that this should go in co-lending. In Capri Global Capital Limited

Q2 FY24 Concall Transcript | November 2, 2023

Page 8 of 11

routine course, our portfolio, whatever gets qualified, we place under the co-lending.

Priyesh Jain: Fair enough, Sir. I'm just trying to understand, like I'm trying to get a flavor of the co-lending book versus the regular book. So maybe if you could like -- what I understand is there are not any specific products being made or co-created specifically for such co-lending partners. But there might be some filters and, ultimately, the book that they get is different. Like what is the differences between that book and our book? Maybe there could be any differences in the loan characteristic or something in terms of interest rates or ticket size or tenure or things like that.

Rajesh Sharma: No, no, no. It is like this -- when we sign the co-lending partnership, our product is aligned first. And within that, they keep a criterion. Suppose sometimes, say, I (i.e. the bank) will take (accept) a CIBIL score of 750, somebody will say 700, somebody will say loan to value, I will give 75%, somebody will say I will give 80%. These are the variations every bank has. But we have our own policy. Our portfolio meets their criteria. Whatever the pool and the specific loan account meets the criteria, those are placed under co-lending. But when we onboard the customer, we onboard the customer as if we have to underwrite and we have to collect it back. So the underwriter and branch doesn't know whom to originate, whether for co-lending or not. It happens after the customer is onboarded and then we put the filter and, accordingly, we show it to our partner banks.

Moderator: Thank you. The next question is from the line of Mr. Jai from IIFL Securities. Please go ahead, Sir.

Jai: Our co-lending contribution has increased consistently over the past few quarters. And Sir, what could be the sustainable level here in each business segment of SME, housing finance and gold finance? And what is their incremental focus in this -- amongst these business segments for co-lending?

Moderator: Sir, could you speak a little bit louder and request you to please repeat your question?

Jai: Our co-lending contribution has increased over the past few quarters. What could be a sustainable level here? And incrementally, on which segment you could be focusing more? Will it be MSME or housing finance?

Capri Global Capital Limited

Q2 FY24 Concall Transcript | November 2, 2023

Page 9 of 11

Rajesh Sharma: We have co-lending partnership s across MSME, home loan s, and gold loan s. And we feel that co -lending under the gold loan will increase as compared to the two other prod ucts. The gro wth is happening in the gold loan. So there, substantial co -lending is expected to happen. We expect that out of ■30bn, at least 20% book will go under the co -lending. That is the target we are chasing. Of course, it depends also on the banks to grant the facilities and all, but we are hopeful to achieve that. MSME and the home loan put together are happening month

-on-month on a regular basis. And I think that is happening at the pace of ■400mn to ■500mn a month. And with that pace, that will continue. How ever, sometimes even we also -- these are based on our pricing, our overall contribution basis. So sometimes you slow it down, sometimes we increase it based on what pricing criteria we are getting from the partner banks.

Moderator: Thank you. The next que stion is from the line of Mr. Anuj Mohata from Equirus Securities Private Limited. Please go ahead, Sir.

Anuj Mohata: Congratulations for a good set of numbers. I just wanted to ask like you have highligh ted in your opening remarks that H2 will be better i n terms of disbursement . But given that our share -- that our portfolio mix is more focused towards rural and semi -urban area, and there, we are seeing some challenges due to rising inflation , how do you see the demand trend ending up in the H 2? And how will it affect our disbursement going forward?

Rajesh Sharma: I think the way we are s eeing, there is no lack or slowing down of demand in Tier 2, Tier 3 towns where our MSME, home loa n, and gold loans are happening. We clearly see that there's adequate demand at a particular level. And we hope to see that Q2 will be -- is traditionally happening for all lending businesses. We say this year also, we expect our H2 to be much higher in ter ms of volume, in terms of better contribution because there' s adequate demand on the ground. So we have not seen any slowing down of the demand of the loan.

Moderator: Thank you. The next question is from the line of Mr. Satyaprakash from Haitong Securitie s Private Limited. Please go ahead, Sir.

Satyaprakash: Sir, congratulations for the good set of numbers. My question is on the new subsidiary that we have incorporated, Capri Loans Car Platform . Would all the car loan business going to be carried from this? A nd are you planning to list this business separately? Any sp ecific reason for that?

Capri Global Capital L imited

Q2 FY24 Concall Transcript | November 2 , 202 3

Page 10 of 11

Rajesh Sharma: Since that business is now getting to a size where we have already done about ■45bn originations and I think this year, we will do about ■100 bn number . We will be financ ing about 80,000 -plus cars through our network. And this business requires a separate t hrust on technology side. And we have a couple of other plan s in that busines s. So we believe that the distribution piece of car should be separate.

On back of the car loan distribution, we have now also started selling insurance to those customers. So to bring that separate, first, supervisory and a separate profitability, we hav e taken that, formed the new company, where all the empanelment s and partnerships with banks will be shifted.

While economic interest is consolidated to the level that comes to the company, but there will be a separate Business Head, separate Head of Acquisition, Network , for t echnology there will be a separ ate CTO and data science team. So I think to bring more focus on that business and to build the distribution around that, a separate SP V has been car ved out. And you will see that next year, there will be enhanced effort on bu ilding that brand separately.

Satyaprakash: Okay. Sir, one more question, if I may ask. Even if we adjust for the gold loan business, our cost to income is almost at 50%, as mentioned in the presentation. Also, it is majorly attributed to the increased dig ital spending. Any other reason when can we expect this to normalize? Would we see it going in range of 35% to 40% in the near future?

Rajesh Sharma: There's a lo t of spending happening on the technology team. We are about 125 - people team in the technol ogy and data science. So that result will also once our new technology platform is launched in the target date in April 2024. And there will be some more addition to that, which we'll compl

ete in the next three to six months. So by September (2024) , our technolog y piece should be, by and large, up, and running in its full force with the revised mortgage tech and property tech . And with that, there will be tw o impacts.

One is the productivity of the team will improve. So the same amount of people will be able to disburse higher, thereby increasing the overall contribution. And two, there will be lesser spending going forward after September 2024 on the technolog y side. So overall, efficiency will improve and cost will also come down.

So that should bring our cost -to-income ratio down. Now whether cost -to-income ratio will come down to 45% or 40% , I won't able to comment yet. But Capri Global Capital L imited

Q2 FY24 Concall Transcript | November 2 , 202 3

Page 11 of 11

definitely, next year, you will see a remarkable difference in the cost/income ratio.

Moderator: As there are no furt her questions, I would now like to hand over the conference to the management for closing comments.

Rajesh Sharma: Yes, thank you. So as stated during the call and th e Q&A session, we'll continue to build our distribution through branches. Already 917 bran ches are up and running. And we have also focused on distributing insurance product and car loan distribution, which will enhance our fee income and support our ROE. Our gold loan branches will start contributing (profit) from the last quarter onwards. An d there will be substantial profitability coming in the next year onwards. So , we are quite hopeful that with the launch of our new technology initiative, new loan origina tion system and Oracle FLEXCUBE core banking system becoming fully operational by Mar ch 2024, all these shall contribute to lowering cost/income ratio and a very high growth.

As you have seen, we are growing at the pace of about 50% on AUM basis. That growth, coupled wi th the lower cost/income ratio and better tech initiative, company is on the path to achieve a better profitability. And our asset quality on an overall basis is still very much under control. We are in a collateralized lending portfolio.

We clearly see t hat when economy is growing, there's a clear demand that's happening on the ground, and we should reap the benefit of our branch network to build a quality, profitable portfolio along the way. Thank you so much.

Moderator: Thank you, Sir. On behalf of Go I ndia Advisors, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2023

November06,2023

TheSecretary

BSELimited

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Mumbai-400051

ScripCode:CGCL

Sub: IntimationpursuanttoRegulation30ofSEBI(ListingObligationsandDisclosureRequirements), Regulations,2015,regardingQ2FY24EarningsCall-Transcript

DearSir/Madam,

Further to our letter dated October 28, 2023, intimating schedule of the Earnings Conference Call on

November 02, 2023 to discuss the Company's Q2FY24 Earnings, we are attaching herewith the transcript of the said Conference Call.

The above is for your information and dissemination to all the stakeholders.

Thanking you,

Yours faithfully,

for Capri Global Capital Limited

Yashesh Bhatt

Company Secretary & Compliance Officer

Membership No.: ACS20491

Encl.: As above

Page 1 of 9

"Capri Global Capital Limited

Q2FY'24 Earnings Conference Call"

November 02, 2023

MANAGEMENT: MR. RAJESH SHARMA - MANAGING DIRECTOR -

CAPRI GLOBAL CAPITAL LIMITED

MR. RAVIKANT BHAT - SENIOR VICE PRESIDENT,

INVESTOR RELATIONS - CAPRI GLOBAL CAPITAL

LIMITED

Capri Global Capital Limited

November 02, 2023

Page 2 of 9

Moderator: Ladies and gentlemen, good day, and welcome to Capri Global Capital Limited Q2FY'24

Earnings Conference Call hosted by GoIndia Advisors. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

Inow hand the conference over to Mr. Ravikant Bhat from Capri Global Capital Limited.

Thank you, and over to you, sir.

Ravikant Bhat: Good morning, everyone. This is Ravikant. I shall read out a brief disclaimer for today's call.

The discussion on today's call regarding CGCL's earnings performance will be based on judgments derived from the declared results and information regarding the business opportunity available to the company at this time. The company's performance is subject to risks, uncertainties and assumptions that could cause actual results to differ materially in the future. Given these uncertainties and other factors, participants on today's call observed due caution while interpreting the results.

The full disclaimer is available on Slide 43 of Q2FY'24 investor deck. Participants are requested to note the same.

Inow request our MD, Mr. Rajesh Sharma, to present the opening remarks.

Rajesh Sharma: Good afternoon, friends, and season's greetings to all on the call. We declared our reviewed consolidated results for Q2FY'24 on Tuesday, 31st October 2023. I hope you had a chance to go through the investor deck.

In our discussions post Q1FY'24 earnings, we stated we had made a sound start to FY'24 with a healthy business and earnings momentum. I shall revisit some of the discussion of the business in Q1FY'24 and also provide a perspective on our Q2FY'24 earnings.

Please refer to Slides four, five and six. After a lean Q1FY'24, our disbursement momentum picked up in a strong manner in Q2FY'24. Disbursements increased 130% year-on-year and 31%

on quarter-on-quarter to INR 35.3 billion. Disbursement momentum was dominated by Gold and Housing business, which contributed 66% of incremental disbursements. MSME picked up pace, increasing 12% quarter-on-quarter to INR 3.7 billion.

Excluding Gold Loans, our disbursements increased 35% year-on-year. Construction Finance maintained pace, although the disbursements were unchanged year-on-year at INR 4.1 billion. The AUM momentum continued to be robust, increasing 59% year-on-year to INR 123.6 billion in Q2FY'24. AUM, excluding Gold Loans, increased 35% year-on-year and 7% quarter-on-quarter.

Share of Gold Loans continued to increase, rising to 16% at AUM compared to 14% in Q1 FY'24 and 2% in Q2FY'23. We expect our Gold Loan AUM to touch or cross INR 30 million by the end of this year, which could be 20% of AUM assuming we sustain a 50% momentum in overall AUM growth. Our AUM includes the co-lending AUM of INR 9.7 billion, which is Capri Global Capital Limited

November 02, 2023

Page 3 of 9

up 4x year-on-year and 40% quarter-on-quarter and constitute 8% of AUM. We started co-lending under Gold Loans during Q2FY'24 and currently have tie-ups with two commercial banks. On Slide five, we have introduced new charts to show the journey of our co-lending business across MSME, Housing and Gold

Loan segments.

We have reported a 16% year-on-year and 3% quarter-on-quarter increase in our net profit to INR 652 million. To fully understand the earnings, let me first start with core earnings. Our net interest income increased 63% year-on-year and 5% quarter-on-quarter to INR 2,493 million. The quarter-on-quarter growth momentum of net interest income was softer owing to spreads movement.

Our weighted average yield on advances declined 13 basis points quarter-on-quarter to 15.58% in Q2 FY'24 from 15.7% in Q1 FY'24, while the cost of funds increased 21 basis points quarter-on-quarter to 8.93%. The increase in cost of funds was in line with the increase in MCLR-linked commercial bank borrowings that constitute 87% of our borrowing. This led to a spread compression, as highlighted in Slide 17.

While our consolidated cost of borrowing is competitive, given the overall pass-through that are happening in the cost of money across the banking system, we expect our cost of borrowing to also go up somewhat during H2FY'24. Some of the cost increases are expected to be compensated by an improving mix of higher-yielding loans.

The share of our non-interest income in net income declined to 24.3% from 25% marginally. Q1FY'--primarily on account of some changing dynamics in the car loan business. However, thenon-car fee income and gold lending income picked up in line with the growth in lending business, increasing 22% quarter-on-quarter and 86% year-on-year.

Although car loan originations are up on the path to cross INR 10,000 crore of total originations during FY'24, net fee income is expected to be soft due to costs, intense competition. We will continue to gain market share in the origination market. The cost-to-income ratio slightly increased to 66.9% from 66% from Q1 to Q2. The cost-to-income ratio, excluding Gold Loan business, was 51%, broadly stable quarter-on-quarter.

The adjusted cost-to-income ratio is marginally higher than 48% were reported in FY'24. As we have been stating, the cost-to-income ratio should improve as we expect earnings to pick up faster relative to operating expenses during H2FY'24.

Our gold loan network touched 742 branches in September 30, 2023. We had positioned a few more branches, which were yet to go live. With that, we have reached the initial target of 750 gold loan branches for H1FY'24. We shall be poaching the branch addition in Gold Loan business in H2FY'24. As I stated earlier, we expect this to add to improving our cost/income ratio to H2FY'24.

Our GNP A ratio stood at 1.93%, 4bps higher than Q1FY'24, but substantially lower than 2.36% ratio were reported in Q2FY'23. The PCR on Stage 3 assets improved to 32.3%, primarily on account of productive provisioning. We are inclined to improve the PCR further. Our credit costs stood at INR 239 million, which was higher than INR 112 million in Q4FY'23,

Capri Global Capital Limited

November 02, 2023

Page 4 of 9

but marginally lower than INR 246 million were reported in Q1FY'23. As highlighted on Slide 13, the average credit cost in trailing-five quarters is INR 176 million.

During Q1FY'24, we made some accelerated provisioning on three construction client exposures to a single entity amounting to INR 160 million. This was restructured and classified as NPA, attracting a provision of INR 50 million or 31% of exposure. We have further increased the provisioning on the same, taking the provision coverage ratio to 87% on Construction Finance and indirect lending portfolio. Recovery efforts are underway. And like past instances, we are confident of fully recovering the outstanding amounts.

Our credit cost to average yield ratio was 78bps annualized in Q2FY'24 compared to 89bps in Q1FY'24. This is in line with our pre-COVID long-term trend. We have reported 2.1% ROA and 7.1% ROE in Q2FY'24. Excluding the losses in the Gold Loan business, our ROA and ROE would have been 2.8% and 9.5%, respectively.

As we move towards the breakeven in Gold Loan business, our profitability should substantially increase, especially in H2FY'24. There shall also be additional drivers like the absence of one-off adjustments that shall contribute to the profit momentum. To conclude, I would say we remain on a path of strong growth and profitability in FY'24.

With that, I conclude my remarks. We shall now take questions.

Moderator: The first question is from the line of Mr. Bunty Chawla from IDBI Capital. Please go ahead, sir.

Bunty Chawla: In the opening comment, you said, sir, there has been a pressure on the spreads or on the yields due to the competitive pressure. So can you elaborate which segment we are seeing more pressure? Is it MSME? Is it Gold? Or is it Housing? And so going forward, what will

be the sustainable yields for these segments going forward? And what will be the cost of funds similarly?

Rajesh Sharma: So if we see overall basis, our yield on advances was 15.7% in Q1FY'24, which has come down to 15.6% and thereby resulting in a spread compression of 40 basis from 7% to 6.6%, primarily because of Construction Finance portfolio has been-- a lot of Construction Finance portfolio has been prepaid and then new loans are happening at the lower rate of interest. So there, we have seen that because of the faster sale of the inventory on those accounts, there's a faster prepayment and repayment and, thereby, the new portfolio, because of the competition, is happening at a lower rate of interest.

And there, we have seen that our spread has come down. But in coming H2'24, we believe that Gold Loan share will go up in overall portfolio, that will improve the overall yield on advances. And we also feel that our cost of funds, which is another factor which have gone up by 21 basis, we should be able to pass on the incremental lending better. So that should improve our overall spreads.

Bunty Chawla: Yes, can-- sorry, so can we say the 6.6% spread, which you have reported in Q2, should be sustainable for second half of the year?

Capri Global Capital Limited

November 02, 2023

Page 5 of 9

Rajesh Sharma: 6.6%, definitely sustainable. We still expect this to be slightly better because our current AUM of INR 2,000 crores Gold Loan has become to INR 3,000 crores. Gold Loan AUM should give us-- increase the change in the mix because that is the highest-yield product in our overall portfolio. And the Gold Loan improved, it increased to INR 3,000 crores. That mix will also improve the overall yield on the advance.

Bunty Chawla: So the average, right, it's purely on the Construction Finance we have got the impact on the yields. Going-- and no more in Gold Loan or Housing, we don't have any competitive pressure, right?

Rajesh Sharma: Suppose we remove the gold-- Construction Finance portfolio from this calculation, then our yield would have become better by three basis.

Bunty Chawla: Okay. So similarly, can you share your thought process on the cost of funds going forward, sir?

Rajesh Sharma: So cost of fund, I think cost of fund largely is market driven. So unless there is a change in the credit rating of the company, we will continue to be in the same bracket of the cost of fund, but certain MCLR on the old loans are going to reset. So there, we'll see some basis to-- cost of fund to go up, but that will not be more than 10 basis. And however, we are able to pass on this increased cost of fund to our all-incremental lending.

Bunty Chawla: Secondly, sir, there has been a higher credit cost. You rightly said that because we have taken a proactive step in increasing the provisioning. But sir, if you see the provisioning, still it's kind of a 32%. How much we are targeting to increase this PCR level? Because what we have observed in other high or large or, you can say, high or large-sized NBFCs, they have a PCR on Stage three is approximately 40%-- plus kind of a thing. Some have 45%, some have 40%, some are 50%. So where we are targeting to reach our PCR and how this will impact the credit cost going forward for us?

Rajesh Sharma: So we will-- gradual manner, we will increase this PCR in line with what I think the market expects and in line with the best practices. But if you look at it, our portfolio is a little differentiated from many others who have a higher because our portfolio is completely collateralized either by the gold or by the self-occupied house or by the self-occupied business premises. However, with the conservative approach, if you see the PCR last quarter, it was 27.8%, now it has gone to 32.23%, already 448 basis, PCR has been increased and gradually will increase. We don't want to give a level at the moment, but we will keep increasing its quarter-on-quarter and stabilize somewhere about 37% to 40%.

Bunty Chawla: Okay, sir. Sir, lastly, on the Gold Loan, as you have shared that almost 750 branches we have

touched. So more increase in your branches in a shorter period of time. So how one should see the Gold Loan growth going forward? Because until now, the branch increase was supporting higher Gold Loan growth. So how we should see the Gold Loan growth going forward?

Rajesh Sharma: So Gold Loan business, as I said, from current AUM of about INR 2,000 crores in March, we expect it to close about INR 3,000 crores. And by then, our all branches, which are contributing the losses because they were in the investment phase, and so now I think all-- most of the Capri Global Capital Limited

November 02, 2023

Page 6 of 9

branches will achieve the breakeven. And they will start contrib

uting to profitability also in the

last quarter. So next year, again, we will draw a plan to add some more branches. That plan is not yet firm, okay, how many branches and where it will be opening. So we'll deliberate that somewhat in the next quarter and then we'll implement in the first quarter of the new financial year.

Bunty Chawla: Sir, so can you share the ball park Gold Loan growth, AUM growth for next two to three years, how it should shape out? Ball park number, roughly.

Rajesh Sharma: Ball park number, you can imagine from INR 3,000 crores, we should be able to reach almost 30%, 35% growth for next two years, even though we don't open the branch, but we are going to add the branches. I said we are not-- but definitely, 30% to 35% growth we are going to achieve.

Moderator: Next question is from the line of Mr. Priyesh Jain from HSBC. Please go ahead, sir.

Priyesh Jain: HSBC, Research Division Sir, we are noticing that the-- there is a steady increase in the co-lending share. I have some questions regarding that. I want to understand like is the customer profile under co-lending-- like how different is the customer profile under the co-lending book versus the on-book loans? If you could throw some light on that.

Rajesh Sharma: So under the co-lending, we are doing MSME, home loan and the gold loan. When we do the loan, we do the loan basis if we are going to keep in our book. Thereafter, we run the-- our data times, settings made program where we say, which bank qualify for which pool. And accordingly, we give those pool to those banks. But there's no specific program we carry out under co-lending. It is our product policy, and that is what the same is adopted by the bank also. So there is no specific origination or underwriting is done targeting that this should go in co-lending. In rupee, of course, our portfolio, whatever gets qualified, we place under the co-lending.

Priyesh Jain: Fair enough, sir. Sir, I'm just trying to understand, like I'm trying to get a flavor of the co-lending book versus the regular book. So maybe if you could like-- what I understand is there are not any specific products being made or co-created specifically for such co-lending partners. But there might be some filters and, ultimately, the book that they get is different. Like what is the difference between that book and our book? Maybe there could be any differences in the loan characteristics or something in terms of interest rates or ticket size or tenure or things like that.

Rajesh Sharma: No, no, no. So it is like this, we-- our-- when we sign the co-lending partnership, our product is aligned first. And within that, they keep a criterion. Suppose sometimes, say, I will take the CIBIL score of 750, somebody will say 700, somebody will say loan to value, I will give 75%, somebody will say I will give 80%, so these are the variations every bank has like that. And within that, but we have our own policy.

So our portfolio meets their criteria. Whatever the pool and the specific loan account meets the criteria, those are placed under co-lending. But when we onboard the customer, we own what the customer is, we have to underwrite and we have to collect it back. So that underwriting-- Capri Global Capital Limited

November 02, 2023

Page 7 of 9

underwriter and branch doesn't know whom to originate, whether for co-lending or not. It is happening after the customer is onboarded and then we put the filter and, accordingly, we'll show it to the-- our partner banks.

Moderator: Thank you. The next question is from the line of Mr. Ja from IIFL Securities. Please go ahead, sir.

Jai: Our co-lending contribution has increased consistently over the past few quarters. And sir, what could be the sustainable level here in each business segment of SME, housing finance and gold finance? And what is their incremental focus in this-- among these business segments for co-lending?

Moderator: Sir, could you speak a little bit louder and request you to please repeat your question?

Jai: Yes. Our co-lending contribution has increased over the past few quarters. And so what could be a sustainable level here? And incrementally, on which segment you could be focusing more? Will it be MSME or housing finance?

Rajesh Sharma: Soco-lending partnership, we have across MSME, home loan and gold loan. And we feel that co-lending under the gold loan will increase as compared to the two other products. The growth is happening in the gold loan. So there, substantial co-lending is expected to happen. We expect that out of INR 3,000 crores, at least 20% book will go under the co-lending. That is the target we are chasing. Of course, it depends also on the bank to grant the facilities and all, but we are hopeful to achieve it.

hat. MSME and the home loan put together are happening month-on-month on a regular basis. And I think that is happening at the pace of INR 40 crores to INR 50 crores a month. And with that pace, that will continue. However, sometimes even we also--these are based on our pricing, our overall contribution basis. So sometimes you slow it down, sometimes we increase it based in what pricing criteria we are getting from the partner banks. Moderator: Thank you. The next question is from the line of Mr. Anuj Mohata from Equirus Securities Private Limited. Please go ahead, sir.

Anuj Mohata: So good--congratulations for a good set of numbers. Sir, I just wanted to ask, like you have highlighted in your opening remarks that H2 will be better in terms of disbursement and all this. But given that our share--that our portfolio mix is more focused towards rural and semi-urban area, and there, we are seeing some challenges due to rising inflation. So how do you see the demand trending up in the H2? And how it will affect our disbursement going forward?

Rajesh Sharma: So I think the way we are saying there is no lack or slowing down on the demand in Tier 2, Tier 3 towns where our MSME, home loan and gold loans are happening. We clearly see that there's a adequate demand at a particular level. And we hope to see that Q2 will be--is traditionally happening for all lending businesses. We say this year also, we expect our H2 to be much higher in terms of volume, in terms of better contribution because there's a adequate demand on the ground. So we have not seen any slowing down of the demand of the loan.

Capri Global Capital Limited

November 02, 2023

Page 8 of 9

Moderator: Thank you. The next question is from the line of Mr. Satyaprakash from Haitong Securities Private Limited. Please go ahead, sir.

Satyaprakash: Sir, congratulations for the good set of numbers. My question is the news subsidiary that we have incorporated, Capri Loans Car Platform, would all the car loan business going to be carried from this? And are you planning to list this business separately? Any specific reason for that? Hello?

Rajesh Sharma: Since that business is now getting to a size where we are going to already done about INR 4,500 crores number and I think this year, we will do about INR 10,000 crores number, it looks like and our target is. So INR 10,000 crores, we will be doing about 80,000-plus cars financed through our network. And this business requires a separate trust on the technology side. And we have a couple of other plants in that business. So we believe that the distribution piece of the car should be separate.

On back of the car loan and distribution, we have also now started selling the insurance to those customers. So to bring that separate, first, supervisory and a separate profitability, we have taken that, formed the new company, where the--all the imp panelment and the partnerships with the banks will be shifted.

While economic interest is consolidated to the level that comes to the company, but there will be a separate business head, separate head of the acquisition, network and technology got separate business, CTO, and data science team. There will be--so I think to bring more focus on that business and to build the distribution around that, these separate SPE had been carved out. And you will see that next year, there'll be enhanced effort on building that brand separately.

Satyaprakash: Okay. Sir, one more question, if I may ask. So that is that even if we adjust for the gold loan business, our cost to income is almost at 50%, as mentioned in the presentation. Also, it is majorly attributed to the increased digital spending. Any other reason when can we expect this to normalize? Would we see it going in range of 35% to 40% in the near future?

Rajesh Sharma: So there's a lot of spending happening on the technology team. We are about 125-people team in the technology and data science. So that result will also once our new technology platform is launched in the target date in April 2024. And there will be some more addition to that, which we'll complete in the next three to six months. So by September, our technology pieces should be, by and large, up and running in their full force with the revised mortgage tech and property tech and everything. And with that, there will be two impacts.

One is the productivity of the team will improve. So the same amount of people will be able to disburse higher, thereby increasing the overall contribution. And two, there will be lesser spending going forward after September 2024 on the technology side. So overall, efficiency will improve and also cost will come down. So that should bring our cost-to-income ratio down. Now cost-to-income ratio will come down to 45% or 40%. I think

ink that I'm not able to comment yet. But definitely, next year, you will see a remarkable difference in the cost/income ratio.

Capri Global Capital Limited

November 02, 2023

Page 9 of 9

Moderator: As there are no further questions, I would now like to hand over the conference to the management for closing comments.

Rajesh Sharma: Yes, thank you. So as stated during the call and the Q&A session, we'll continue to build our distribution through branches. We have already now 870 branches are up and running. And we have also focused on distributing insurance product and car loan and distribution, which will enhance our fee income, which will support our ROE.

Our gold loan branches will start contributing from the last quarter onwards. And there will be substantial profitability coming in the next year onwards. So we are quite hopeful that with the launch of our new technology initiative, new loan origination system and Oracle FLEXCUBE being an element system fully operational by March 2024, all these initially put together a low cost/income ratio and a very high growth.

As you have seen, we are growing at the pace of about 50% on AUM basis. That growth, coupled with the lower cost/income ratio and better tech initiative, company is on the path to achieve a better profitability. And our asset quality on an overall basis is still -- and then very control. We are in a collateralized lending portfolio.

We clearly see that when the economy is growing, there's a clear demand that's happening on the ground, and we should reap the benefit of our branch network to build a quality, profitable portfolio along the way. Thank you so much.

Moderator: Thank you, sir. On behalf of Go India Advisors, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2024

February 07, 2024

The Secretary

BSE Limited

Pheeroze Jeejeebhoy Towers

Dalal Street, Fort

Mumbai-400001

Scrip Code: 531595 The Secretary

National Stock Exchange of India Limited

Exchange Plaza, 5th Floor

Plot No-'C' Block, G Block

Bandra-Kurla Complex, Bandra (East)

Mumbai-400051

Scrip Code: CGCL

Sub: Intimation pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements), Regulations, 2015, regarding Q3 FY24 Earnings Call- Transcript

Dear Sir/Madam,

Further to our letter dated January 27, 2024, intimating schedule of the Earnings Conference Call on January 31, 2024 to discuss the Company's Q3 FY24 Earnings, we are attaching herewith the transcript of the said Conference Call.

The above is for your information and dissemination to all the stakeholders.

Thanking you,

Yours faithfully,

for Capri Global Capital Limited

Yashesh Bhatt

Company Secretary & Compliance Officer

Membership No.: ACS20491

Encl.: As above

Page 1 of 15

Indian Numbering System Legend

■ 10 Lakh s = ■ 1 Mn

■ 1 Crore = ■ 10 Mn

■ 100 Crore s = ■ 1 Bn

■ 1 Lakh Crore = ■ 1 Tn

NOTE:

1) This transcript has been edited for lucid reading. To that extent, this is not a verbatim transcription of the audio transcript.

2) Factual correction /s are superscripted at relevant places in the transcript and are explained in footnote /s.

3) Recurring terms like 'Year-on-Year', 'Quarter-on-Quarter', basis (refer ring to basis points) in the audio transcript have been shrunk to 'YoY', 'QoQ', and 'bps' respectively.

4) Wherever needed, emphasis is added in brackets (in italics) for better clarity.

5) For uniformity with reporting format, values referred to in crores in the audio transcript have been converted to billions (bn) or millions (mn) in this text transcript.

Q3 FY24 Earnings Conference Call

January 31, 2024

Management

Mr. Rajesh Sharma, Founder & Managing Director

Mr. Partha Chakraborti, CFO

Mr. Sanjeev Srivastava, CRO

Mr. Ravikant Bhat, Sr. VP (Investor Relations)

Capri Global Capital Limited

Q3 FY24 Concall Transcript | January 31, 2024

Page 2 of 15

Moderator: Ladies and gentlemen, good day, and welcome to Capri Global Capital Limited

Q3 FY24 Earnings Conference Call hosted by Go India Advisors. As a reminder,

all participant lines will be in the listen-only mode, and there will be an

opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ravikant Bhat from Capri Global Capital Limited. Thank you, and over to you, Sir.

Ravikant Bhat: Good morning, everyone. This is Ravikant. I shall read out a brief disclaimer for today's call. The discussion on today's call regarding CGCL's earnings performance will be based on judgments derived from the declared results and information regarding the business opportunity available to the company at this time. The company's performance is subject to risks, uncertainties, and assumptions that could cause actual results to differ materially in the future. Given these uncertainties and other factors, participants on today's call may observe due caution while interpreting the results.

The full disclaimer is available on Slide 43 of Q3 FY24 investor deck. Participants are requested to note the same.

I now request our MD, Mr. Rajesh Sharma, to present the opening remarks.

Rajesh Sharma: Good afternoon, friends. Let me start by wishing you all a Happy New Year 2024. We declared our reviewed consolidated results for Q3, FY24 on Saturday, 27 January 2024. I hope you had a chance to go through the Investor Deck. We have a lot of updates to share on today's call. My opening commentary today is going to be slightly longer than usual.

I would like to start by highlighting a few key decisions that our Board approved in its latest meeting. CGCL's Board has approved

ed a stock split from ₹2 face value currently to ₹1 face value. The CGCL stock had last split in November 2016 from ₹10 to ₹2 face value then. The Board has also approved a bonus issuance in the ratio of 1:1.

The company's paid-up equity share capital shall increase from ₹412.5 mn in Q3 FY24 to ₹824.9 mn after the split and the bonus issue. The outstanding equity

Capri Global Capital Limited

Q3 FY24 Concall Transcript | January 31, 2024

Page 3 of 15

shares will quadruple from 206.23 mn shares to 824.9 mn shares. These measures shall aid in improving our liquidity.

Both split and bonus issuance are subject to shareholder approval. We have already published the notice for Extraordinary General Meeting of our shareholders to be held on 22nd February 2024 to seek approval for stock split and bonus issue.

We have also appointed three distinguished leaders from the field of finance, technology and ESG as independent directors on our Board. They are Mr. L. V. Prabhakar, a career banker and former MD and CEO of Canara Bank; Mr. Shishir Priyadarshi, former IAS officer and a Director on the World Trade Organization, having a distinguished career in public service with wide-ranging experience across all disciplines; and Ms. Nupur Mukherjee, former Global Managing Director at Standard Chartered and Barclays Bank with deep experience in critical technology, data science practices, and ESG. Their detailed profiles are available in the leadership section of our website. Please do refer to those. These appointments have added significant strength to Capri's Board and the executive management will immensely benefit from its guidance.

I would like also to inform that our newly incorporated, wholly owned subsidiary, Capri Loans Car Platform Private Limited, became operational during Q3 FY24 and has begun accruing income. In due course, the entire car loan origination business shall be conducted out of this subsidiary.

As intimated earlier, we have received a composite license from insurance regulator, IRDAI to distribute life, non-life, and health insurance policies. Our insurance distribution team is already in place. We expect to generate a gross insurance fee income of at least ₹1bn between FY25 and FY27. This will contribute towards significantly strengthening our ROA structure and support our target of crossing 15% ROE by or before FY27.

I shall now turn to commentary on business and earnings performance. Capri's performance across all verticals continued to be strong during 9M FY24 with overall AUM growing by 54% YoY to ₹133,621mn. The overall disbursement during the 9M FY24 increased by 113% YoY to touch ₹99,827mn assisted by

adding 311 branches on a YoY basis, taking the total branch count to 920. The growth momentum was strong across our verticals. Gold Loan AUM grew by 235% YoY to ₹23,936mn, partially supported by addition of 298 branches. Gold Capri Global Capital Limited
Q3 FY24 Concall Transcript | January 31, 2024

Page 4 of 15

Loan specific branches YoY. Home Loan AUM grew by 53% YoY to ₹34,903mn, driven by growth in disbursement by 48% YoY to ₹11,455mn for 9M FY24. Construction Finance AUM grew by 35% YoY to ₹22,710mn, driven by growth in disbursement by 33% YoY to ₹13,475mn for 9M FY24. MSME loan AUM grew by 24% YoY to ₹47,676mn. On the back of a strong business momentum during 9M FY24, the company is targeting to clock FY24 AUM growth in the range of 50% YoY to ₹150,000mn. The strong momentum in AUM growth along with a strong thrust in fee income drove growth of 59% YoY in net income. Supported by focused collection effort and active monitoring of the book, our gross Stage -3 assets showed a decline of 20bps YoY to 2.1% Q3 FY24 versus 2.3% in Q3 FY23. Our Car Loan distribution business is on course to originate ₹100bn business in FY24. On behalf of eight commercial bank partners during 9M FY24, the

company originated car loan to the tune of ₹70,728mn, which is up by 83% YoY. Net fee generated was ₹805mn in 9M FY24. The company is confident of crossing its set target of ₹100bn, that is a growth of 75% YoY by FY24. To further scale up the Car Loan origination business in FY25, CGCL is planning to build a tech platform and transfer the entire business to a newly created wholly owned subsidiary. We also have a plan to build the insurance platform as I told earlier. CGCL has an active client base of 300,000 customers as of December 2023, of which about 137,000 customers were added in 9M FY24. With strong momentum in the retail lending business, the company aims to take active client base to 400,000 by the end of FY24 and 800,000 by the end of FY27. CGCL's rapidly increasing client relationship offers a sizable captive base to cross-sell and improve insurance penetration. This will help CGCL to strengthen its insurance cross-sell income and deliver about ₹1bn fee income, which will generate ROE about 2% in the span of the next three years. Our cost-to-income ratio has declined 392 bps QoQ and 651 bps YoY to 63%. In absolute terms, the operating expenses were unchanged QoQ to ₹2,203 mn. The flattening of opex in Q3 FY24 is in sharp contrast with the steep increase we have reported since the launch of our Gold Loan business in Q2 FY23. Capri Global Capital Limited
Q3 FY24 Concall Transcript | January 31, 2024

Page 5 of 15

The flattening is also on account of the pause we have taken in our branch expansion. Since it has completed its plans, the reversal and decline in cost-to-income ratio shall continue with the Gold Loan business likely to break even in Q4 FY24. Owing to a strong net income performance as well as a flat operating expenses, our pre-provisioning operating profit touched to ₹1,296 mn, increasing by a robust 19% QoQ and 78% YoY. This also allowed us to not just comfortably absorb incremental ECL provisioning requirement on account of higher NPA but also improve the provision coverage ratio. Now I come to credit cost and asset quality. Our GNPA ratio increased 80 bps QoQ to 2.10%. Although it remained 22 bps lower on a YoY basis, in absolute terms, the gross NPA pool increased by ₹361mn QoQ. MSME contributed ₹148mn to the increase, while CF and Housing contributed ₹106mn each. Some of the increase in MSME and Housing NPA was a result of the flow from restructured assets which are now fully out of moratorium since Q2 FY24. The standard restructured assets stood at 92bps of on-book AUM compared to 113bps to Q2 FY24 and 176 bps in Q3 FY23. Our legal and collection teams expect to resolve a chunk of legacy NPAs in MSME and Housing during Q4 FY24 with the minimal haircut on the net outstanding. In Construction Finance, we expect to resolve nearly ₹25mn of Q3 FY24

slippage s during Q4 FY24 and the remaining ₹81mn in the next financial year. Of the ₹160mn slippage on the Construction Finance, during Q1 FY24, we are happy to share that the stressed project has been approved funding from the stressed asset fund of Government of India (SWAMIH Fund). And the same is also likely to be resolved during FY24 with the likelihood of a full recovery. Our credit cost for Q3 FY24 stood at ₹403mn or 1.25% annualized as a per cent of average AUM. The increased credit cost was both a result of higher NPA flow as well as for improving the provision coverage ratio.

You may recall our guidance during Q2 FY24 conference call wherein we had indicated our target of gradually improving the PCR and stabilizing at around 37% to 40% level. Our PCR improved 243bps in Q3 FY24 to 34.7%. Despite our focus on improvement of PCR, which will continue in Q4 FY24. Our full year credit cost in FY24 will remain in the range of 1%, which has been our long-term average credit cost.

Capri Global Capital Limited
Q3 FY24 Concall Transcript | January

January 31, 2024

Page 6 of 15

We have reported a net profit of ₹680mn, which is higher 82% YoY and 4% QoQ. Excluding the loss incurred in the Gold Loan business, our net profit would have been ₹803mn. We reported 2% ROA and 7.3% ROE in Q3 FY24.

Our earnings performance during Q3 FY24 can be termed as being resilient. Our efforts at diversifying our business and income stream over the past two to three years are now beginning to support us meaningfully as seen in Q3 FY24. We have coped up with a decline in spreads and increase in credit costs for two consecutive quarters but reported a stronger bottom line. As we break even in the Gold Loan business in Q4 FY24, this shall be once again strongly validated. Now coming to technology and ESG. Over past two years, we have been preparing to establish a systematic ESG practice internally. Among the exercise undertaken was preparation of a materiality and gap assessment report with help from a Big 4 consultant. We are moving ahead to obtain ratings under leading global ESG frameworks. Our Board in the latest meeting approved ESG related policies in setting up of ESG governing framework through a dedicated ESG department. Our new Board inductees also reflect our orientation. Going ahead, we shall periodically keep our stakeholder updated on the progress we make on ESG assessment.

Technology has been another critical area of focus for us. We have undertaken a number of initiatives in the form of a revamp of our LOS/LMS, collections technology, process re-engineering, and analytics-driven decision-making have been implemented. Very soon, we shall be announcing the launch of our exclusive co-lending platform that shall smoothen the co-lending process. In coming months, we shall complete implementation of Oracle FLEXCUBE LMS for our MSME business. In-house applications developed to improve log-in to disbursement and rejection and start delivering a tangible cost savings from FY25 onwards. We look forward to regularly sharing qualitative outcomes of our tech initiatives in a couple of quarters.

With that, I conclude my remarks. We shall now take questions.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Hitesh Jain from Avagrah Capital.

Hitesh Jain: My first question is on the Gold Loan business. At a branch level, how much business does a branch need to do to break even? And currently, how many branches are at that break-even level? I mean, I'm assuming a lot of -- there are a

Capri Global Capital Limited
Q3 FY24 Concall Transcript | January 31, 2024

Page 7 of 15

lot of new branches which may be at -- which maybe incurring losses. So how many branches are already at break-even level? That's my first question.

Rajesh Sharma: Currently we have about 747 Gold Loan dedicated branches, which only book the Gold Loan businesses. And currently, at ₹30mn business per branch we start breaking even. So out of 747, give me a couple of minutes, I will tell you how many branches are at ₹30mn and above. There are some branches which have even crossed ₹50mn, so they are reasonably good, profitable. But exact number,

give me a couple of minutes. Meanwhile we can take up another question and then come back to answering your question.

Hitesh Jain: So -- I mean, what if a branch doesn't reach ₹30mn ? Like how much time do you all hold on to it and then decide, okay, fine, let's shut this branch?

Rajesh Sharma: So normally, for a branch to reach ₹30mn depends on location to location. Every branch doesn't have the same formula. Some branches reach ₹30mn within 12 months. Some branches have taken even 15 months. And some of the branches are going to take 18 months to reach that.

Hitesh Jain: Have you ever closed any branches?

Rajesh Sharma: No, we've not closed any branches.

Hitesh Jain: Okay. And what is

like the cross-selling opportunities at these branches, the Gold Loan branches?

Rajesh Sharma: We all know there is an increased awareness about insurance. Every Gold Loan branch has capability to sell the insurance policy to their -- our borrowers. Now the customers when they come in, sometimes even Gold Loan customers, it's very easy to explain them and convince them that they take insurance policy, which takes care of their mediclaim and hospital bills. And that policy will cost maybe about ₹5,000 per year.

But we explain to them, even next 10 years, they get admitted by for any reason, any of their family member, even wife, they will be able to afford good treatment. At the same time, it will turn out to be cheaper. So with that connection, we have started selling insurance policy already.

And I think from April onwards, we should be able to generate about ₹300mn a year insurance policy premium income, out of which, a significant portion of the

Capri Global Capital Limited

Q3 FY24 Concall Transcript | January 31, 2024

Page 8 of 15

commission will accrue to us. So it is very easy. We are targeting cross-sell. Our technology is already being made in-house for that.

And our corporate agency license is already active now. So you will start seeing the traction. I think in Q4, we should be able to report the specific number on the insurance income earned from each segment, be it Gold Loan, be it MSME, be it Home Loan or be it Construction Finance. This is going to be a very sizable income next year onwards.

Hitesh Jain: Okay. Sir. Just continuing with this question on the insurance. In your opening remarks, you mentioned that you will touch ROE of 15% with the help of insurance. Can you just elaborate more on that? How is that journey going to be?

Rajesh Sharma: So if you talk about ROE, let us go step by step. First of all, this year, our Gold Loan loss will be in the range of about ₹1,000mn. Next year, our Gold Loan vertical will start delivering profit. So, this entire ₹1,000mn loss will go away and we should turn into positive where we expect anything between ₹400mn to ₹500mn of profit contribution from the Gold Loan business next year. So that is ₹1,400mn to ₹1,500mn upside from the current financial.

Now Car Loan distribution will continue to grow and that is also going to be a good amount of fee income. If you say the gross revenue from Car Loan business comes in the range of about 2.3% on the volume originated. But this year, the gross revenue will be in the range of about ₹2,300mn from the Car Loan vertical. And next year, this business again should grow 20%. Even after all the expenses and the fee, commission payment, we should be able to generate about ₹500mn of profit from the Car Loan distribution alone.

Insurance side, by putting the people, team, and license now in place, we should be able to generate income of about ₹400mn to ₹500mn again from the car insurance business. So the cross-sell is going to give us a fee income support from our customer base. And next year, we expect our number of customers would be in the range of about 800,000.

Hitesh Jain: But when can you achieve this 15%, which year? I mean, next year or...

Rajesh Sharma: 15% ROE, we hope to achieve by around -- between FY26 and FY27.

Hitesh Jain: Okay. Sure. Just one last question from my side. What was the rationale for making a separate subsidiary for auto loans?

Capri Global Capital Limited

Q3 FY24 Concall Transcript | January 31, 2024

Page 9 of 15

Rajesh Sharma: Now I've got the data -- sorry, I've got the data of the Gold Loan branch. Out of 747, 313 branches have already crossed ₹30mn, 113 branches were already more and are making -- already started contributing to P&L.

Moderator: The next question is from the line of Rajat Roy from Investec.

Rajat Roy: I just wanted to sort of get an understanding on the

growth in the Gold Loan

business at about 250% YoY with regard to AUM. Could you please shed some light on, one, how this growth was achieved as well as forward guidance for what we could expect with regard to specifically Gold Loans as well as the other business segments?

Rajesh Sharma: If we talk about Gold Loan growth, this year we have added about 298 branches in Gold Loan alone. On back of that, we expect to close our Gold Loan AUM this year at about ₹30,000mn and next year we should achieve a Gold Loan AUM in the range of about ₹47bn to ₹50bn. So that is where our growth will come to. You can say next year's Gold Loan business, again, will continue to grow in the range of about 50% to 60%. If we talk about our MSME business, it has grown about 24% and our Home Loan business has grown in the range of about 50%. Next year, if we talk about overall growth, we should -- we are confident to achieve a growth in the range of about 35% +.

Moderator: The next question is from the line of Gaurav Sharma from HSBC.

Gaurav Sharma: So a couple of questions, Sir. A couple of NBFCs mentioned in their results that they are slowing down their co-lending disbursement in housing finance as they received some directions or formulas from NHB to maintain certain threshold of home loans in their own book. So, they are slowing down their co-lending disbursement. Just wanted to know whether you have also received such directions from NHB to slow down co-lending disbursement. That is question number one.

And second, Sir on the margin outlook, you have seen a 40bps compression in margins. So where do you see that further going in FY25? And what will be the key drivers for sustainable margins?

Rajesh Sharma: So, we have not got any direction to slow down co-lending or otherwise in home loan disbursements. On the contrary, now NHB is holding the meeting of all CEOs and key management every six months and asking them if they are facing any difficulty or how they can improve the business, expansion etc.

Capri Global Capital Limited

Q3 FY24 Concall Transcript | January 31, 2024

Page 10 of 15

So I can clearly see, it is a thrust of the government, it is the thrust of the regulator that how the first home buyer can be serviced by making the credit easily available. And in affordable housing another plus point is that smaller houses are getting built by developers because the people have started getting the loan. So we see this segment will continue to grow for the next few years. And while we are growing at a 50% pace, I don't think even next year we will be slowing down this segment. So this is one part. What was the other question? Other part of your question?

Gaurav Sharma: Sir, on the margin outlook, so how can you protect margins going forward? And what will be the key drivers?

Rajesh Sharma: So there are two ways to protect the margin. There are three things we will do rather. One is that we have currently got from the six banks co-lending lines. So co-lending line, efficiently, what they do is that 20% money we have to put, 80% they do. We have got about ₹30bn plus of co-lending line. This will give us an ability to service even those customers we otherwise would have said no because there's low interest rate. So it will help us to control the balance transfer to the competition. Plus, it will give us an additional layer of the customer we would have said no. And third, the Gold Loan contribution in the overall yield will continue to grow. Gold Loan realized yield in the range of about -- targeted yield for the next year in the range of about 18%. So overall, our spread will continue to improve. Fourth, our fee distribution from the Car Loan business and the insurance business will be additional support to improve overall our margins.

Moderator: The next question is from the line of Satyaprakash Pandey from Haitong.

Satyaprakash Pandey:

Could you please provide further details regarding our plan for insurance business? Specifically, what policies are we intending to launch? And what is the current progress regarding the establishment of team and infrastructure to finish it?

Rajesh Sharma: So we are not going to start an insurance company. We are just partnering with the existing life, non-life, and health insurance companies to distribute their products among our customers and earn the commission out of cross selling insurance policies.

Satyaprakash Pandey: Okay. And if I may ask one more question, just wanted to understand your distribution and network reach in Car Loan business. Capri's presence across

Capri Global Capital Limited

Q3 FY24 Concall Transcript | January 31, 2024

Page 11 of 15

locations is actually constant at around 715 since last few quarters. Any specific reason for not widening the presence? Additionally, I would like to understand how our new subsidiary, Capri Loans Car Platform will integrate into our existing Car Loan distribution business.

Rajesh Sharma: So this Car Loan distribution business, while we have about 700-plus locations where our employees are present, we have a dealership network about 1,800 locations. And with pride, I can say that right from Jammu to Kanyakumari, we have a network either of dealership or our employees on the ground. So there is no place left where if there is car loan business is happening and bank branches are there, we are not there.

So we have already deeply penetrated in this. And that is the reason you can see that among the non-car dealer segment, we are the number one. And by far, margin, we are number one in that segment. This year, we're close to ₹100bn distribution. And next year, we are putting all efforts to grow that business by another 20%.

Moderator: The next question is from the line of Darshil Pandya from Fintree Capital.

Darshil Pandya: Sir, I just wanted to understand how will the cost of funds evolve in the light of restrictions on bank lending? And what is the expected lag between the increase in the cost and the pass-through to the customers?

Rajesh Sharma: So you've seen recently, RBI has also issued the circular where the risk weightage based on the ratings have been increased and that the bigger increase has happened for the AAA companies and AA companies because flatly the risk weightages have been doubled. As far as we're concerned, our risk weightage has been increased only by 5 bps. However, the cost of funds has become costlier as compared to six months ago.

As far as the new lending is concerned, we are able to pass on that increase. Our existing portfolio, about 45% of the customer we are able to pass on. The rest we have to absorb. So whereby you could have seen there's a little compression in the spread. But since Gold Loan business is going to increase in overall proportion, our spread will improve in the next year.

But a lot of efficiency is coming from our existing branches. And our technology initiative, where about 100-plus people in our technology team, along with outside vendors, we are putting up our loan originating system, which will be

Capri Global Capital Limited

Q3 FY24 Concall Transcript | January 31, 2024

Page 12 of 15

launched in the April. That will bring a lot of efficiency in PAT and thereby improve the productivity.

So next year, a lot of things are happening where our Gold Loan branches are going to turn positive. Since we are not going to do more expansion in the Gold Loans, investment losses will stop happening. Plus, with the expansion of and scale up of insurance distribution business, we'll see a lot of positives in the FY25.

Moderator: The next question is from the line of Kunaal N from Emkay Global.

Kunaal N: Sir, my question is your MSME contribution as a percentage of your total AUM has come down to close to 35.7%

from 44.5% a year ago. So are there any intentions to further reduce this contribution? And what are the strategies the company has in place for MSME business segment? And additionally, are there any plans to expand SME lending into new geographical areas?

Rajesh Sharma: So since we launched the Gold Loan, new product in Gold Loan is increasing

also, but overall AUM and percentage of the overall AUM and also contribution will come down. However, our MSME business, as you have seen, has also grown about 24%. We are evaluating utilizing our existing branch network to launch the micro -LAP, which means secure lending in the segment where ticket size is less than ₹7.5 lakh. Once we decide which branches and how to launch, then we will set up the team. But that is in active consideration. So that is where the expansion will happen.

As far as the new geography in MSME is concerned, at the moment, we are not thinking. Next quarter, which is the Q1 FY25, we will draw a plan, but that is only under consideration - we still have not chosen yet. However, overall, MSME is going to be a key contributor because there the tenure of loan is 15 years and that is a loan with even longer horizon of income. The rundown doesn't happen the way rundown happens in Gold Loan. The balance tenure of customer in MSME is five years. So I think that will continue to show a decent growth.

Kunaal N: Got it. Just one more question. So after adjusting for the Gold Loan vertical, the cost -to-income ratio remains slightly elevated at over 50%. What do you anticipate this -- like when do you anticipate this to moderate? And what would be like a sustainable level in the near future?

Rajesh Sharma: So I think we should have -- excluding Gold Loan, our cost -to-income ratio should come down in the range of about 45%.

Capri Global Capital Limited

Q3 FY24 Concall Transcript | January 31, 2024

Page 13 of 15

Kunaal N: Okay. And by when are you expecting this to happen in the near future?

Rajesh Sharma: We expect that next year because of the various initiative plus technology, I think it should come down in the next year itself. We will see the traction in the first quarter FY25 itself.

Kunaal N: Okay, Sir. And that is 45% would be a sustainable level, right?

Rajesh Sharma: I think we are hoping that once the technology Phase 1 comes, then another Phase 2 will come in another six months' time. And then we clearly see our productivity level improving from the same manpower. So I don't want to give you a number, but we are working towards to bring it down in the range of 40%.

Moderator: The next question is from the line of Tanishq Makwana from Elara.

Tanishq Makwana: Sir, I would like to know what is the rejection rate for this quarter in our loans compared to FY23 and what would be our credit top -up for the same?

Rajesh Sharma: Can you please repeat? We are not able to hear clearly.

Tanishq Makwana: So what will be rejection ratio for the quarter as compared to FY23? And how are you evolving in the filtering process, how are we -- like what is basically -- on what basis are we accepting the consumer, rejecting it? And also what will the loan top-up amount to these existing customers?

Rajesh Sharma: So you are asking about which segment?

Tanishq Makwana: Sir, all. Like a blended on a whole level basically. You can give us segment -wise as well, that would be very helpful.

Rajesh Sharma: If you talk about our MSME and the Home Loan, log -in to disbursement ratio is in the range of about 30%. Log -in to sanction ratio in the range of 40%, but disbursement ratio is 30%. And in Gold Loan, there is no log -in and disbursement because on the spot, we decide whether to do it or not do it.

Whether the customer is accepting or whether we are rejecting the customer. So that happens on the spot itself. So there is no log -in and all that ratio.

Tanishq Makwana: No, no, Sir,

I wanted to know the conversion ratio. I guess if 100 consumers are there, like what is your rejection ratio? Not log -in, rejections, Sir? Like how many do you reject and how many do accept on the basis of what are your like -- do you accept a CIBIL of 700 or 750, around the lines of that?

Capri Global Capital Limited

Q3 FY24 Concall Transcript | January 31, 2024

Page 14 of 15

Rajesh Sharma: If we are saying 30%, then 70% -- our 60% you can say rejection ratio because 40% you'd sanction, 60% you'd reject it.

Moderator: Does that answer your question? Mr. Tanishq Makwana, do you have any further questions?

Tanishq Makwana: Yes, I would like to -- yes, I have one more question. So where do you anticipate

your ROA and ROE for -- ROA for basically FY25, FY26?

Moderator: Members of the management, if you are speaking at the moment, you are not audible.

Rajesh Sharma: Yes. So next year, ROA -- ROA, we should be having in the range of 2.75% to 3%, and ROE should be in the range of about 11.5% to 12%.

Moderator: The next question is from the line of Jai Daxini from IIFL Securities.

Jai Daxini: Yes. What would be our incremental cost of fund for the quarter? And second would be, is the PCR increase on an overall level or led by housing and gold segment?

Rajesh Sharma: So PCR increased at overall level, which is about 30%...

Management: 34%.

Rajesh Sharma: 34% overall. And our cost of funds is overall about 9.3% for CGCL, about 8.3% for the housing finance company.

Jai Daxini: On the incremental level, right?

Rajesh Sharma: If you talk about the incremental cost of funds, incremental cost of fund is about 9% for the housing finance and about 9.8% for CGCL.

Moderator : The next question is from the line of Kunaal N from Emkay Global.

Kunaal N: Sir, I just wanted to understand who are your key co-lending partners for gold loan, mortgages and SMEs?

Rajesh Sharma: So for the gold loan, mortgage and SME are Yes Bank, State Bank of India, Union Bank of India, Punjab & Sind Bank, UCO Bank and Indian Overseas Bank.

Capri Global Capital Limited

Q3 FY24 Concall Transcript | January 31, 2024

Page 15 of 15

Kunaal N: Okay, Sir. And Sir, RBI has recently shown some uneasiness in digital lending and they have also shown some concerns in co-lending space. Do you see any regulatory action on this front?

Rajesh Sharma: So I don't think on co-lending side, RBI has any concern because they are -- the RBI and banks are more keen to increase its volume for the purpose of making customers' cost of funds going down. That is their sole objective.

So we are seeing more and more lines coming to us from the co-lending partners. As compared to last year, I think we have at least 5x to 6x more co-lending sanctioned by this year. So we think co-lending is going to be very acceptable and growing future between the banks and NBFC partnerships.

Moderator: We have no further questions, ladies and gentlemen. I would now like to hand the conference over to the management for closing comments. Over to you, Sir.

Rajesh Sharma: Yes. So thank you. If you have seen, all of you would have noticed that as an organization and the management, we have shown our ability to build the new businesses. In last three years, we have started Gold Loan, we have built the Car Loan distribution platform. Now we have launched this insurance platform based on the technology.

So we have shown as an organization successfully doing that. In Gold Loan business, we have activated 747 branches in a short span of time. Now we are thinking about the micro-LAP, which is the same kind of a customer for a smaller ticket size to leverage our branch network.

Going forward, cross-sell utilizing our existing customer base to reduce the cost income ratio and to improvement in margins will be the focus. And we hope with the technology focus which has increase

d our cost-to-income ratio significantly, because we are spending a lot of money on the technology side, will come down in the next year. The effort of technology will be seen in the next year.

So we are quite excited that at FY25 holds lot of hopes and a lot of good things, which will translate into better income and earnings. With that, I conclude my speech and address. Thank you so much.

Moderator: Thank you. On behalf of Go India Advisors, that concludes this conference.

Thank you all for joining us. You may now disconnect your lines.

Call: May 2024

May 17, 2024

The Secretary

BSE Limited

Pheeroze Jeejeebhoy Towers

Dalal Street, Fort

Mumbai-400001

Scrip Code: 531595 The Secretary

National Stock Exchange of India Limited

Exchange Plaza, 5th Floor

Plot No-'C' Block, G Block

Bandra-Kurla Complex, Bandra (East)

Mumbai-400051

Scrip Code: CGCL

Sub: Intimation pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements), Regulations, 2015, regarding Q4 FY24 Earnings Call- Transcript

Dear Sir/Madam,

Further to our letter dated May 3, 2024, intimating the schedule of the Earnings Conference Call on May 10, 2024 to discuss the Company's Q4 FY24 Earnings, we are attaching herewith the transcript of the said Conference Call.

The above is for your information and dissemination to all the stakeholders.

Thanking you,

Yours faithfully,

for Capri Global Capital Limited

Yashesh Bhatt

Company Secretary & Compliance Officer

Membership No.: ACS20491

Encl.: As above

Page 1 of 17

Indian Numbering System Legend

■ 10 Lakhs = ■ 1Mn

■ 1 Crore = ■ 10Mn

■ 100 Crores = ■ 1Bn

■ 1 Lakh Crore = ■ 1Tn

NOTE:

- 1) This transcript has been edited for lucid reading. To that extent, this is not a verbatim transcription of the audio transcript.
- 2) Factual correction /s are superscripted at relevant places in the transcript and are explained in footnote /s.
- 3) Recurring terms like 'YoY', 'Quarter-on-Quarter', basis (refer ring to basis points) in the audio transcript have been shrunk to 'YoY', 'QoQ', and 'bps' respectively.
- 4) Wherever needed, emphasis is added in brackets (in italics) for better clarity.
- 5) For uniformity with reporting format, values referred to in crores in the audio transcript have been converted to billions (bn) or millions (mn) in this text transcript.

Q4 FY24 Earnings Conference Call

May 10, 2024

Management

Mr. Rajesh Sharma - Managing Director

Mr. Partha Chakraborti - Chief Financial Officer

Mr. Sanjeev Srivastava - Chief Risk Officer

Mr. Pramod Shettigar – Senior Vice President

Capri Global Capital Limited

Q4 FY24 Concall Transcript | May 10, 2024

Page 2 of 17

Moderator: Ladies and gentlemen, good day, and welcome to Q4 FY '24 earnings conference call of Capri Global Capital Limited hosted by Go India Advisors. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star

then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pramod Shettigar from Capri Global Capital Limited. Thank you, and over to you.

Pramod Shettigar: Good afternoon, everyone. This is Pramod Shettigar, Senior Vice President at Capri Global Capital Limited. I shall read out a brief disclaimer for today's call. The discussion on today's call regarding Capri Global Capital Limited's earnings performance will be based on judgment derived from the declared results and information regarding business opportunity available to the company at this time. The company's performance is subject to risks, uncertainties and assumptions that could cause actual results to differ materially in future. Given these uncertainties and other factors, participants on today's call may observe due caution while interpreting the results. The full disclaimer is available on Slide number 41 of Q4 presentation. Participants are requested to note of the same. We have Mr. Rajesh Sharma, Managing Director of the company; Mr. Partha Chakraborti, CFO; and Mr. Sanjeev Srivastava, CRO, over the call today.

I may now request Mr. Rajesh Sharma, Managing Director to present the opening remarks.

Rajesh Sharma: Good afternoon, friends. Let me start by wishing you all a happy Akshaya Tritiya. We declared our audited consolidated results for Q4 FY24 in Wednesday, 8th, May 2024. I hope you had a chance to go through the Investors' deck. I would like to start by highlighting a few decisions that our Board approved in its latest meetings. CGCL's Board in the meeting dated 29th April 2024, has appointed Shri L. V. Prabhakar, Independent Director as Chairman of the Board of Directors. Shri Prabhakar, a career banker and former MD and CEO of Canara Bank, was appointed to CGCL Board in January 2024.

The Board of Directors approved dividend at the rate of 15 % per share on the face value of INR1 for FY24. This will be payable on CGCL enhanced equity base after Capri Global Capital Limited

Q4 FY24 Concall Transcript | May 10, 2024

Page 3 of 17

the recent split from INR2 face value to INR1 face value, as well as the bonus in the ratio of 1:1.

As a result, CGCL's outstanding fully paid-up equity shares have increased 4x from approximately 206 million equity shares in Q4 FY23 to approximately 825 million equity shares in Q4 FY24. In the light of the split and the bonus issue, the EPS and book value per share for the past quarter has been suitably changed to make the values comparable. Please take note the same wherever the values appear in our earnings release.

I shall now turn to the commentary on business and earning performance. So far as business is concerned, please refer Slides 4, 5, and 6. During FY24, we crossed various business milestones with AUM crossing INR150 billion to touch INR156.5 billion. This was a second consecutive year of 50% AUM growth. We are well placed to drive growth and achieve the targeted INR300 billion AUM by FY27, as we stated earlier.

As guided, our gold loan AUM increased to 3.1x YoY to cross INR30 billion AUM target. The gold loan AUM including co-lending AUM stood at INR34.9 billion in March '24. The milestone in Gold Loan business was achieved in just 20 months of launching the business. Momentum continued in a strong manner. The share of gold loan AUM was 37% and the share in

disbursal was approximately 50% in Q4

as well as FY24, respectively. The number of exclusive gold loan branches were 750 as of March 2024. Talking about one of our key growth drivers, MSME, our AUM has grown to INR50.2bn, which is growth of about 15% YoY.

Coming to construction finance, disbursals remained range bound in Q4 FY24, driven by the existing sanction pipeline. The AUM share of both CF and Indirect Lending together was ~ 20%. The commentary in CF business remains unchanged. The business continues to be supported by a strong outlook for residential real estate in our key geographies like Mumbai, Ahmedabad, Pune, and Bengaluru. The competition amongst lenders for quality projects is intense although we have seen return of some pricing power. In construction finance, we will remain guided by our cautious risk management strategy to keep its mix at/or below 20% of consolidated AUM and remaining focused only on residential project in the affordable housing space.

Our co-lending AUM continued to rise during Q4 FY24 increasing to 11.7% of

AUM compared to 8.9% in Q3 FY24 and 5.3% in Q4 FY23. We have gone through a learning curve since commencing co-lending 2 years ago. The acceptance ratio
Capri Global Capital Limited
Q4 FY24 Concall Transcript | May 10, 2024

Page 4 of 17

of loans with our partner banks is now significantly higher than a year ago. With new technology being put in place, we see momentum in co-lending continuing. If we talk about housing finance, our book has grown 52.8% YoY, from INR26.7bn to INR40.7bn. Home loans will continue to grow in coming years in the range of about 30% + growth rate. We clearly see a strong traction helping on ground there. Now I come to the earnings. Let me first start with the core earnings. Our spreads were stable at 6.4% for a second consecutive quarter. The increase in marginal cost of funds was more than offset by an improvement in yield on advances. The net interest income, or NII, during Q4 FY24 increased 4% QoQ and 36% YoY. On a full year basis, the NII increased 55% YoY.

The non-interest income performance also exhibited strong momentum across key income lines. It increased 10% QoQ and 25% YoY Q4 FY24. On a full year basis, the non-interest income increased 41% YoY. The share of non-interest income in net income was 31% in Q4 FY24 and 28% in Q4 FY23.

The share of non-interest income in net income is settling over 30% as some of the changes we effected to the car loan distribution commission in Q2 FY24 and co-lending income recognition during Q4 FY24 stabilized. With AUM momentum continuing to be robust and new insurance fee income expected to be contributing FY25, we expect the non-interest income performance to continue a strong growth trajectory.

The cost-to-income ratio touched 70.5% during Q4 FY24. This was majorly due to strategic investment in expanding our team and implementing impactful marketing initiatives. We'll be able to significantly review this issue.

A result of higher quarterly opex, the pre-provisioning operating profit declined 16% QoQ to INR1,096 mn, but was up 22% YoY. On a full year basis, the pre-provisioning operating profit increased 37% YoY.

I come to the asset quality now. Our GNPA ratio declined 18 bps QoQ to 1.92%. The PCR on GNPA stood at 43.2%, and the net NPA ratio declined by 28 bps QoQ to 1.1%.

As regards profitability and outlook, we have reported a net profit of INR826 mn, which is high 27% YoY and 26% QoQ. Excluding the loss incurred in the gold loan
Capri Global Capital Limited

Q4 FY24 Concall Transcript | May 10, 2024

Page 5 of 17

business, our net profit would have been INR885 mn. We reported 2.3% ROA and 8.7% ROE in Q4 FY24.

Our earnings performance during Q4 FY24 can be termed as being very resilient. Our efforts in diversifying our business and income streams over past 2-3 years are

re

now beginning to support us meaningfully, as seen in Q4 FY24. We have coped with a decline in spreads and increase in credit cost for two consecutive quarters but reported a stronger bottom line.

Now I come to the technology and ESG initiatives. FY24 has been a year of innovation and transformation. Technology has been a critical area of focus for us where a number of initiatives have gone live, including our in-house developed LOS, FLEXCUBE LMS developed by Oracle, collection module, process reengineering, analytical decision-making have been implemented.

These tech initiatives will improve turnaround time, especially for MSME and affordable housing business loan through technology, which is new LOS and LMS, leading to improvement in sales productivity, optimize cost through reduction in per file processing cost and this pricing enabled by the decision is compared to drive improvement in the net interest margin, which should be visible in the first half.

Capri is in the process of establishing systematic ESG practice internally and has crafted policies required in the ESG guidelines. We are currently in the process of obtaining ratings from global agencies. Furthermore, we are conducting training for our internal teams and aligning our business processes with ESG requirements. Going ahead, we shall periodically keep our stakeholders updated on the progress we make on ESG assessments.

We look forward to regularly sharing quantitative outcomes of our tech initiatives over the next few quarters.

Capri Loan continues to be "Great Place To Work" certified for a third year in a row.

With that, I conclude my remarks. We shall now take questions.

Moderator: We'll take our first question from the line of Satyaprakash Pandey from Haitong.

Satyaprakash Pandey: I had just one question. With the introduction of the new RBI regulation on gold loans, what operational challenge do you foresee your branches encountering?

For instance, do you anticipate an increase in TAT or a potential shift of customers

Capri Global Capital Limited

Q4 FY24 Concall Transcript | May 10, 2024

Page 6 of 17

back to the informal segment, considering that many from rural areas, specifically women borrowers may not have bank accounts.

Rajesh Sharma: I believe that after Jan Dhan accounts, there are no customers which we come across, which are significant in numbers, who do not have bank accounts. I think this circular on cash disbursement in excess of Rs20,000 has been clarified by RBI that NBFCs should not have done it.

So, I think all NBFCs will not be doing it. I do not foresee any challenge in it – of volume shifting back to the informal segment. Because most of the time, cash disbursement was being facilitated through BT transactions. So, I think when everybody in competition was following the same norm. Customers will have no option but to take their disbursements in the bank account. And today, everybody has a bank account.

You don't come across any customers who do not have an Aadhaar or a bank account. So, I think we do not foresee any problem. Earlier because everybody else was doing, some of the players are continuing to do it. But now common norms have been stipulated. So I clearly see that the customer will also fall in line.

Moderator: The next question is from the line of Aman from Dolat Capital.

Aman: Regarding the previous question the analyst has asked, what percent of your gold AUM is on cash basis?

Rajesh Sharma: Very difficult to point out what percentage, but I can say that there was no disbursement happening, which was just purely cash. And after the guidelines have been issued, we have already stopped the disbursement in cash. And we can see that despite that, the volumes have not dipped.

And we can give you outlook that the first quarter results, when we again meet, sometime in July on the call, you

will see that despite gold loan cash

disbursements stopping, volumes have gone up. We saw it in the March quarter.

We are currently seeing this. So we don't see any dip because of that.

Aman: Okay. So let me ask what will be – what is the share of (gold loans) about INR20,000 average ticket size? Like, what will be the share of cash transactions? I want to understand like -- for example, if you say that more of the transactions are BT-based, can you give just a ballpark number regarding that?

Capri Global Capital Limited

Q4 FY24 Concall Transcript | May 10, 2024

Page 7 of 17

Rajesh Sharma: I think giving a ballpark number would be difficult. But going forward, less than INR20,000 loans will be less than 10%.

Aman: Less than 10%? Okay. So it is like close to the BT number. Like can I know what is the BT number?

Rajesh Sharma: It is not the BT number you can specifically say where you are disbursing the loan in the bank account of the borrower. You do not know whether he has already repaid that loan out of his own funds. It will be difficult to point out.

Aman: Okay. So less than 10% is about INR20,000 ATS, right?

Rajesh Sharma: Yes.

Aman: Okay. And you have no clarity with respect to percent of gold AUM, which is cash-based, right?

Rajesh Sharma: No, because that is not how you tag it in the system.

Aman: Okay. Got it. And I have other two questions, like if I may proceed. Can you provide a brief overview of the robust housing outlook considering the underlying demand in real estate across different geographies? And do you anticipate whether we will be able to accelerate the growth of our housing business significantly in response to this demand? And shall we enter new micro markets as well?

Rajesh Sharma: If you see the housing demand which is in the affordable housing segment, even the incremental 90% demand is coming from affordable housing. Not value-wise, but number-wise. If you look at the data of various bureaus, rating agencies, even NHB data and other data, clearly, there's no lack of demand.

So if you have seen last few years, we have grown significantly. Last few years' growth has been in the excess of 50%. I think next 4 to 5 years, we'll continue to grow 30%+ in housing finance. And we will continue to add branches. This year, we will add some of the branches maybe in UP and UK (Uttarakhand). That plan is under discussion. But yes, every year, we add branches and we'll continue to grow 30%+ in housing finance.

Aman: Okay. So can you give me the -- what is your targeted branch plans?

Rajesh Sharma: For?

Capri Global Capital Limited

Q4 FY24 Concall Transcript | May 10, 2024

Page 8 of 17

Aman: For housing, how many branches you want to add for this year?

Rajesh Sharma: So that plan is yet to be frozen. In the first quarter, we'll go to the Board. And again, then we have to take all the other approvals. But on an average, we will keep adding 20 to 30 branches every year.

Aman: Okay, 20 to 30 branches, is that right, what I heard? And regarding this car loan business, which has seen a very good growth trajectory - this quarter, we have seen a slight downturn compared to Q3. Is there any specific reason for this decline?

And what sort of growth are we anticipating for this business for FY25?

Rajesh Sharma: In FY25, we should see a growth of about 20% in the overall volume. But in the coming year, we are going to add another business vertical, which is used car finance. And that business vertical will take about 3 to 6 months to step up. And starting in the second half, we'll see some volume happening.

I think next year onwards, with used car finance and new car finance (distribution), you will see significantly enhanced profitability. And as you know, the pure fee income play we do not take any underwriting risk. We don't provide any capital here. And this entire business

has been shifted to the new company called Capri

Loans Car Platform Private Limited, which is a subsidiary company.

All the business related to cars is going to be there. We see significant development and technology initiatives in this company to garner business in anything related to car. If you see even today, the corporate DSAs who are not dealers, we are #1 pan-India, and we are having a dominant position in this space.

Aman: Okay. Got it. And if I missed the earlier commentary, like why was there a dip in this quarter?

Rajesh Sharma: There is a slight dip, maybe because in one of the months, there is lesser volume. Plus we are in the process of shifting our codes from CGCL to the new entity. But we look at it like this - Q3 also we had done the good number. In Q4, the numbers are similar to that of Q3 number, maybe a dip of a marginal 1%.

Aman: Okay. It's like more of a process issue, right?

Rajesh Sharma: Yes. You cannot say this is a dip because we have done about INR28 bn in Q3 and we have done INR27.6bn in Q4.

Capri Global Capital Limited

Q4 FY24 Concall Transcript | May 10, 2024

Page 9 of 17

Moderator: We'll take our next question from the line of Romil Savaliya from Concept InvestWell.

Romil Savaliya: First of all, congratulations on a good set of numbers. I have a couple of questions. Let me start on the first one. Our cost of funds has increased by 50 bps points approximately in the last few quarters and that has remained same so far. It is actually impacting our NIM. Is there any specific reason why we haven't been able to pass it on to the borrowers? That's the first one. And second one is on the technological initiative expense side. What would be the total expense we attributed on the technological side in FY24?

Rajesh Sharma: If you talk about the cost of funds, cost of funds have gone up about 50 bps between Q1 and Q4. Out of that, we were able to pass on partly because some of the loans are semi-fixed in nature and some of the loans are on a floating rate. So the loans, which are in the floating rate, get automatically reset at a higher rate. But the loans which are in a 3-year lock-in for the price, they have not been. However, our gold loan portfolio is increasing in the overall contribution. And gold

loan pricing is higher. So higher the share of gold loans in overall AUM, our net interest margin as well the spread will continue to improve.

If you talk about the last year, we have spent about INR112 crores on technology and data science. And this is a significant investment and that is one of the reasons that our cost income ratio is quite elevated. But in the second half of the current year, we will see a significant difference in TAT, resulting in higher productivity and better volumes at a lower cost. The cost-income ratio will start showing improvement in the second half of the current year.

Moderator: We'll take the next question from the line of Akansha from Matsya Capital.

Akansha: I have a couple of questions around gold financing. Firstly, I wanted to get a sense of the competitive intensity in this space. I mean, given banks are extremely aggressive - still continue to be aggressive here - how are you seeing that tracking in this space?

Rajesh Sharma: We are not aggressive because that is backed by branch expansion. In about 15 months we have opened 750 branches. Branch opening has happened across every quarter. And every branch is giving us AUM. I believe that this year, we have closed AUM of INR50mn per branch. And next year, we are targeting to close the AUM at about INR85mn per branch. Co-lending is also helping us in this space in addition to that. In co-lending, we are able to get adequate lines, which is helping

Capri Global Capital Limited

Q4 FY24 Concall Transcript | May 10, 2024

Page 10 of 17

us to offer competitive interest rate to customers which otherwise

we would not

have offered. So gold loan will continue to give a good amount of fee income because of the co-lending in the coming years.

Akansha: Sure. Noted on that. Following up on the sales, how much of the growth this quarter - sorry if I missed this - but how much of it was driven by, let's say, the tonnage addition and how much was the gold price benefit?

Rajesh Sharma: Are you asking what was the growth in the current quarter compared to last...

Akansha: How much was being driven by the real growth in tonnage versus pricing additions?

Rajesh Sharma: If we talk about last 6 months, as my colleague has told, we have moved from 5tonnes to the 10tonnes. So while the tonnage will not reflect the pricing, we will see the kind of volume it has gone up.

Akansha: I have one additional question, which is on housing. But this is not really specific to the quarter, but more of a long-term view that I'm trying to get a sense around, which is that housing penetration in India is very low - 11% to 12% throughout the country. But do you see India's rural mix has been a challenge to growth. What are the levels specific to Capri? And then what does -- how does it differentiate versus the industry?

Rajesh Sharma: As far as Capri is concerned, we are lending to the real semi-urban customers, where they do not have adequate income proof. And we are more in the semi-urban rural areas. So our USP will be that how can we do underwriting, which is better and faster, understand the customer need, tailor-made solution. And this is that now we have aligned our technology also.

So the mortgage tech side, we have done a significant work in the last 15 months. And as I said earlier, that this will reflect in second half in terms of productivity and thus improving our cost-to-income ratio. We have developed in-house collection model, which is very, very effective. We have taken the help of Boston Consulting Group to advise in the entire process.

We are doing automated AI-based selection of the calls to be made by the automated callers. And by optimally selecting where our field source should go, where our automated calls should happen. So this significant work has happened

Capri Global Capital Limited

Q4 FY24 Concall Transcript | May 10, 2024

Page 11 of 17

on the housing finance side as well. So I believe that next year will be a defining year in terms of all aspects of the way we are doing entire retail lending.

Akansha: Noted on that. Just one last question from my end, which is what would be your outlook on cost of funds and how do you see it tracking from here on?

Rajesh Sharma: I think on cost of funds, we gather the impression from various commentaries of the market and Reserve Bank and everything. I think cost of fund should stabilize at this level. I don't see any further hike going forward.

However, we expect if there is a strong performance, in six months or so, we should see some rating upgrades. And if that happens, on back of that, we should see some reduction in the cost of funds. However, for new lending, we are able to pass on the cost of fund. So net-net basis, incremental lending will not have any spread contraction.

It has happened to a limited extent last year, where we were not able to pass that on to the immediate customer. In the coming year, we don't see any hike. So clearly, there will not be much impact on the cost of fund reduction.

Moderator: We'll take our next question from the line of Gaurav Sharma from HSBC.

Gaurav Sharma: So a couple of questions. So first is, like a few months ago, RBI raised concerns in one of the gold loan NBFCs that there were some discrepancies noted in the gold loan quality and weight when the gold is coming for disbursement as compared to the auction. So have you also come across any such instances? And at CGCL, what are the corrective measures you have taken a

t your end? That's number one.

And Sir, I also want to know the internal threshold of LTV beyond which you go for the auction of the gold related to that? And another question is related to housing finance. Sir, recently, RBI issued some guidelines, where it has directed companies, which are delaying the disbursement and charging the interest rate on the portion of giving (printing) cheque and the time when the cheque is actually issued to the customer and the NBFCs are charging interest for that portion. So -- have you also noticed such instances in our company? And if yes, then what would be the amount of interest you would be reversing? So these are my questions.

Rajesh Sharma: Yes, my colleague Sanjeev will answer.

Sanjeev Srivastava: Sanjeev Srivastava here. I'm the Chief Risk Officer. I think, if I recollect your first question is that what are the precautionary measures that we have taken with the Capri Global Capital Limited

Q4 FY24 Concall Transcript | May 10, 2024

Page 12 of 17

difference in caratage or weights that you wanted to understand. So what we have done is that we are in continuous engagement with various regulators. We are in continuous engagement with all the departments, whether it is audit, our business, and everybody. And we are giving a lot of training workshops and everything is happening. A notable thing that what we have done is that we have organized training from the government's MSME skill development department. And we have trained around 1,600 of our staff on valuation of gold. And it is an online training, it is a physical training, where they teach you how to value a gold and also give you a certification. So now 1,600 staff of my gold loan team are certified by this training program.

Since we're laterally entering into gold loans business, my team members - valuers have more than 5 years of experience in valuation. They are from competition. They understand the gold loan business very well. So that has worked to our advantage. Added with a fresh set of training for all of our employees, which is going to take care of any kind of difference in gold valuation.

Your second question was at what level do we go for auction? Auction happens on two counts. One is the plain and simple DPD, which is obviously both 90+, we go for auction. And the second point was that internally, we also track something on a daily basis, which is for mark-to-market. So in mark-to-market cases, we start giving notices to the customers the moment they reach 80% LTV. And once they reach at 85% to 90%, we do the auction. Can you repeat your third question?

Gaurav Sharma: Yes. So sir, my third question was related to the housing finance business. So what happened was that some of the NBFCs were charging interest between the time duration they actually issued the check and the amount when it was actually getting credited into the customer account. So for that portion like - 15 days to 20 days - they were charging interest. Now RBI has asked them to stop such practices.

Sanjeev Srivastava: Basically, if you look at the business per se, there are some nuances where the customers will take a disbursement request form. If the customer asks for disbursement, only then we disburse.

Now in a housing kind of a scenario, there is something called registration. For registration, they get a time or token from the SRO and which can be like a week or 10 days later. So that was the situation which the regulator wanted to curb. So the action that we have taken is even though we disburse it in the system on a certain date so that we are ready and the customer doesn't face any issues when his actual date of registration comes by, my interest charge will happen on the

Capri Global Capital Limited

Page 13 of 17

date I'm handing over the cheque to the customer. So in my system,

I'm also

building a button called handover button. And post that only, my whole calculation will start. So that's how we are complying with the regulation.

Gaurav Sharma: Okay. So sir, that means you don't have to reverse any of the interest till now like in the period this has happened ...

Sanjeev Srivastava: This has recently come up. And the only time it took was more to do with implementation on system. In this period whatever we have disbursed, those will be far and few transactions. Because, as you know, April anyways is a very muted kind of a month for the business.

Moderator: We'll take the next question from the line of Manvi Rathod from Ventura Securities.

Manvi Rathod: My first question is, what is the average business for gold loan branch that we're doing currently?

Rajesh Sharma: So you're talking about the average, AUM per branch is INR46mn.

Manvi Rathod: INR46mn, okay. And what increase do we see going forward?

Rajesh Sharma: What was the next question, ma'am?

Manvi Rathod: Yes. I'm saying going forward, do you see any increase in the average basis?

Moderator: I'm sorry, Manvi. Can you use the handset mode, please. It is not very clear.

Manvi Rathod: I was asking what is the average business for gold loan branch? And do we see any increase going forward?

Sanjeev Srivastava: Yes, definitely. As we mentioned, if you look at any of the gold loan businesses and for any of our peers or competitors, you'll see that Rs120mn is the average AUM for branches, is what we understand from our study of peers and everything.

Currently, we're at Rs40mn to Rs50mn. So we have a good runway to grow. And obviously, one is led by the growth in the same branches. And also, if we open some more branches, then that will also add to my growth. But having said that, I think we have ample room to grow from the existing branches.

Manvi Rathod: Exactly. Okay. And secondly, in our previous concall, you had mentioned that going forward, from Q4, we'll be able to share some specific numbers in the Capri Global Capital Limited

Q4 FY24 Concall Transcript | May 10, 2024

Page 14 of 17

insurance income on the segmental front. So do we have any insights on that as of now?

Sanjeev Srivastava: So I think right now, we are yet to publish that, but we will come back to you with this number.

Moderator: We'll take our next question from the line of Akshat from Niveshaay.

Akshat: So my question is why has the cost-income ratio inclined upwards again this quarter?

Rajesh Sharma: The cost-income ratio has gone up primarily because of 3 reasons: that some of the hiring has happened. And plus, we have taken some marketing initiatives, including Capri car loans, where we have taken this partnership with the Gujarat Titans for the IPL and some other initiatives. Plus technology spending is also impacting. As I said, we have spent close to INR1,120mn on the technology side this year. So combined fact is that our cost-income ratio has gone up. But I clearly see that after first half, we will see technology spend going down significantly because a lot of initiatives will come to completion and only the enhancement for which will need a smaller amount of expenses to be incurred. So a combination of this, I think, we'll see a significant drop down after first half.

Akshat: Okay, okay. The next question from my side is that what would be our contribution from MSME over next year?

Rajesh Sharma: MSME contribution, so if you see, the MSME will continue to grow at the pace of about 15%, and gold loan will increase in the pace of about 30% to 35%. Home loan will also increase over 30%. So this is how the pace will go for the coming years.

Akshat: Okay. Sir, one more thing I want to ask is about the demand around rural automobile loan sector.

Rajesh Sharma: We have a new car loan distribution business. And if you look at the new car market

, it is growing with the pace of economy, it is growing at about 10%, 12% every year. We have set up the distribution across about 750 locations pan-India,

with either help of our DST network or with the DSA network. So our car loan business per se will increase about 20%.

Moderator: We'll take our next question from the line of Professor Ajit Kaushal from GD Goenka University.

Capri Global Capital Limited

Q4 FY24 Concall Transcript | May 10, 2024

Page 15 of 17

Ajit Kaushal: And first of all, I would like to congratulate the entire team for successfully taking the company ahead. My question -- a part of my question has already been taken by one of the participants here. My question is related to gold loan, its valuation and auditing. So I heard the CFO explaining about the evaluation of the gold loan. My question is that once the valuation is done, so after that, what is the system of assessment and auditing at a higher stage?

Rajesh Sharma: I will ask my colleague Sanjeev to explain.

Sanjeev Srivastava: Yes. A very important question, a good question to at least answer when so many regulatory aspects are going on. Basically, each of our branch is equipped by 5 people, where 3 of them know and understand how to value gold. They have competence in valuation. And if you look at our process, each gold (jewellery) is valued by 2 of the valuers. So there's a maker-checker control in the system built-in.

And both of them have to put their approval authority into the system through their user ID. So that takes care of that -- if there is any confusion or there is a lapse which can be taken care of. Now coming to the audit piece of it, we have a trained audit staff of 100 people, who are responsible for auditing every gold (jewellery), which we have underwritten on a regular basis.

In addition to that, we have also deployed some AI, ML triggers on the system. We have built some 35-odd triggers, which give me early warning signals on this valuation. In addition to that, what we have also created is called a cross audit or a price audit.

So cross audit happens in the way that, suppose there is a rotation of auditors, then there is something -- particular branch is audited by X employee, then my team from the west will suddenly go to north and do the audit. So these kind of controls we have built in. Otherwise, we can proudly say that we have -- actually 100% of my packets of gold have been audited by my internal team.

Ajit Kaushal: Okay. That's great. Sir, I am fully satisfied with your answer and we have total trust in your managerial system. But we'd like to talk something further about the technology, which you are employing for the purpose of valuing and assessing the gold, which has been submitted for the gold loan, if there is something?

Rajesh Sharma: For assessing the gold loan, there cannot be any technology as such because you have to physically touch the gold, use all the various methods of either putting the

Capri Global Capital Limited

Q4 FY24 Concall Transcript | May 10, 2024

Page 16 of 17

chemical or cutting it or using some machine to do that. So it has to be done manually. Assessing the gold cannot be done with any kind of technology.

Moderator: We have a question from the line of Gaurav Sharma from HSBC.

Gaurav Sharma: Just one question on NIM outlook. You mentioned that the cost of fund like almost peaked out and other income and gold business will also improve or increased so can you please give a NIM guidance for FY25?

Rajesh Sharma: Guidance on?

Gaurav Sharma: Net interest margin, Sir?

Rajesh Sharma: As you know, more the leverage will happen, the net interest margin will continue to go down. So I think that may not be a right indicator always. The indicator is always spread. Currently, our spread is in the range of about 6.4%.

As I said, since our gold loan proportion is increasing in the over

all AUM, our

spread will improve from 6.4% to -- it should improve to -- in the range of about 6.8%, 6.9%. And that is where our margins will further improve. So assuming that we are able to achieve a significant hike in the gold loan business, it will continue to improve. Now improvement of 300bps or 400 bps, that will depend on the -- how much gold loan we are able to close by March.

Moderator: We'll take a follow-up question from the line of Aman from Dolat Capital.

Aman: Yes, Sir, just a data keeping question. I wanted to know the BT number regarding gold loan and affordable housing, if you can share for this quarter and previous

quarter and for the year?

Rajesh Sharma: And that number may not be readily available. You can separately contact us and get it after a week.

Moderator: As there are no further questions, I would now like to hand the conference over to management for closing comments. Over to you, Sir.

Rajesh Sharma: Thank you. Thank you for sparing time and showing the interest to know more about us. As we continue to grow our secured lending business, which is -- and we are all in the sectors which are very, very high growth, keeping in India's economic growth and the way that our economy has picked up the momentum across rural, Capri Global Capital Limited

Q4 FY24 Concall Transcript | May 10, 2024

Page 17 of 17

semi-urban area, we'll continue to grow our book in MSME, home loan, gold loan, and construction finance side.

And our fee income from the car loan and the insurance income will also significantly contribute. Co-lending is another space where it will give us a good amount of fee income because we do not put any capital, but just originate, underwrite, and collect. So that model will continue to grow. Collectively, we see 2024-25 will be a year which will define us the way we process our entire end-to-end loan processing.

Being property involved or the security involved, where legal valuation technicals are done, I think this is the piece we have cracked, which will put us in a very unique position, and this will result in lower TAT and better productivity, resulting in ultimately the lower cost-to-income ratio.

So with this, I will say, this year, we'll see a good high growth, along with the lower cost-to-income ratio compared to the last year, and we should see some good numbers coming in.

Moderator: On behalf of Go India Advisors, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2024

August 12, 2024

The Secretary
BSE Limited
Pheeroze Jeejeebhoy Towers
Dalal Street, Fort
Mumbai - 400 001
Scrip Code: 531595 The Secretary
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No - 'C' Block, G Block
Bandra -Kurla Complex, Bandra (East)
Mumbai – 400 051
Scrip Code: CGCL

Sub: Intimation pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements), Regulations, 2015, regarding Q1 FY25 Earnings Call - Transcript

Dear Sir /Madam,

Further to our letter dated July 31, 2024, intimating schedule of the Earnings Conference Call on August 6, 2024, to discuss the Company's Q1 FY25 Earnings, we are attaching herewith the transcript of the said Conference Call.

The above is for your information and dissemination to all the stakeholders.

Thanking you,

Yours faithfully,
for Capri Global Capital Limited

Yashesh Bhatt
Company Secretary & Compliance Officer
Membership No.: ACS 20491

Encl.: As above

Page 1 of 13

“Capri Global Capital Limited

Q1 FY25 Earnings Conference Call
August 06, 2024

MANAGEMENT

MR. RAJESH SHARMA – MANAGING DIRECTOR
MR. PARTHA CHAKRABORTI, CFO
MR. SANJEEV SRIVASTAVA, CRO
MR. HARDIK DOSHI – CORPORATE FINANCE & INVESTOR RELATIONS

Indian Numbering System Legend
■ 10 Lakhs = ■ 1Mn

■ 1 Crore = ■ 10Mn
■ 100 Crores = ■ 1Bn
■ 1 Lakh Crore = ■ 1Tn

NOTE:

- 1) This transcript has been edited for lucid reading. To that extent, this is not a verbatim transcription of the audio transcript.
- 2) Factual correction/s are superscripted at relevant places in the transcript and are explained in footnote/s.
- 3) Wherever needed, emphasis is added in brackets (in italics) for better clarity.
- 4) For uniformity with reporting format, values referred to in crores in the audio transcript have been converted to billions (bn) or millions (mn) in this text transcript.

Capri Global Capital Limited
Q1 FY25 Concall Transcript | Aug 6, 2024

Page 2 of 14

Moderator: Ladies and gentlemen, good day, and welcome to Capri Global Capital Limited Q1 FY25 Earnings Conference Call hosted by Go India Advisors. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Hardik Doshi from Capri Global Capital Limited.

Thank you, and over to you, Mr. Doshi.

Hardik Doshi : Good afternoon, everyone. This is Hardik Doshi. I shall read out a brief disclaimer for today's call. The discussion on today's call regarding Capri Global Capital Limited earnings performance will be based on judgments derived from the declared results and information regarding business opportunity available to the company at this time. The company's performance is subject to risks, uncertainties and assumptions that could cause actual results to differ materially in future.

Given these uncertainties and other factors, participants on today's call may observe due caution while interpreting the results. The full disclaimer is available on Slide 42 of Q1 FY25 investor presentation. Participants are requested to note the same. I now request our Managing Director, Mr. Rajesh Sharma, to present the opening remarks. Over to you, sir.

Rajesh Sharma: Yes. Thank you. Good afternoon, friends. I hope you all are doing very well. We declared our unaudited consolidated results for Q1 FY25 on Saturday, 3rd August 2024. I hope you had a chance to go through the investor deck.

As you all know, Capri Global Capital Limited continues to have a strategic focus on serving the large and fast-growing addressable market, maintaining a retail franchise with the granular book and high-quality fee income. We have distinguished ourselves through our robust presence in the lending sector, focusing on secure MSME lending, housing loans, gold loans, construction finance and indirect lending.

We have also ventured into micro LAP, focusing on smaller ticket secured loans to self-employed customers. We are dedicated to using a digital first technology-driven strategy to provide last-mile financing to the unbanked population. To achieve this, we have made substantial investment, which I will discuss subsequently.

Capri Global Capital Limited
Q1 FY25 Concall Transcript | Aug 6, 2024

Page 3 of 14

I'm pleased to report that all our technological initiatives have successfully gone live in the first quarter of FY25. This positions CGCL to reap significant long-term benefits. I shall now move the commentary on business and earnings performance.

As regards to business, please refer Slide 4, 5 and 6. We maintained a strong growth momentum in Q1 FY25 with our AUM reaching to INR174,579 million, with an increase of 56% year-on-year. This growth was primarily driven by a 40% year-on-year increase in home loan and a 238% year-on-year growth in our gold loans.

Our disbursement was INR56,197 million during the quarter, reflected 109% year-on-year growth. We remain focused on retail lending with retail AUM constituting over 80% of our portfolio. We are well positioned to drive growth and are on track to achieve our target of INR300,000 million AUM by FY27.

Our co-lending AUM continued to surge during Q1 FY25, increasing to 16.4% of AUM compared to 11.7% in Q4 FY24 and 6.2% in Q1 FY24. We have further strengthened our bank partnerships, significantly increasing the acceptance ratio of loans with our partner banks compared to a year ago. With new technology in place, we expect this momentum

of co-lending to continue to grow.
We continue to build a granular a

nd well-diversified portfolio for MSME and housing finance with the average ticket size of about INR19 lakhs. Due to seasonality effect and transition of a new loan origination system and loan management system during the first 2 months of the year, the MSME and housing finance saw temporary stabilization. However, we are confident that our growth momentum will be back from Q2 onwards and will continue in coming quarters.

Our gold loan AUM increased by 55% quarter-on-quarter to cross INR54,001 million, supported by our extensive gold loan branch network of 750 branches spread across 9 states and union territories and co-lending partnership with 4 banks. These branches have started to scale up and have reached the productivity of INR70 million AUM per branch. Share of construction finance and indirect lending disbursement remained steady during the quarter driven by the existing pension pipeline.

The combined AUM share for both construction finance and indirect lending stayed at 20%. Further, we are committed to our cautious risk management strategy keeping the mix below 20%. Our focus will remain on residential projects within the affordable housing sector while maintaining a granular book in indirect lending.

Capri Global Capital Limited

Q1 FY25 Concall Transcript | Aug 6, 2024

Page 4 of 14

Now coming to the earnings, let me first start with our core earnings. Our yields were at 16.3%, an increase of 70 basis points and our spreads reached to 7%, increase of 60 basis points quarter-on-quarter. Driven by our diversification into high-margin segments, the increase in marginal cost of funds was more than offset by the improvement in yield for advances. The net interest income or NII during Q1 FY25 came in at INR3,013 million, an increase of 18% quarter-on-quarter and 27% year-on-year.

Our non-interest income comprises of 3 components: car loan distribution fee, co-lending income and other non-interest income. Our non-interest income increased by 35% year-on-year, supported by strong fee income from co-lending, which increased by 126% year-on-year and 17% quarter-on-quarter.

With the momentum of our AUM remaining robust, our distribution franchise for car loan origination is now spread across pan-India. We anticipate this strong foundation will sustain the impressive growth trajectory of non-interest income. This strategic partnership and widespread distribution network positions us well to capitalize on emerging opportunities and further enhance our fee income stream.

On the insurance distribution front, we have already tied up with about 11 insurance companies and started accruing fee income. We are looking to generate more than INR20 crores in net fee income from insurance distribution in FY25. Following our branch expansion, we are now shifting our focus to improving the efficiency and productivity, the effect of this already started to reflect in our cost-to-income ratio, which has improved to 64.6% in Q1 FY25, down from 70.5% in Q4 FY24, marking an improvement of 5.9% in this quarter.

Additionally, we are implementing advanced analytics to streamline our operation and enhance decision-making processes, which we believe will drive further gains in efficiency. We expect further benefits will accrue as the operating leverage will kick in. As a result, our pre-provisioning operating profit increased significantly to INR1,452 million, up by 33% quarter-on-quarter.

Our credit cost increased in Q1 FY25 due to one-off slippages in our construction finance book, resulting in a technical write-off of INR 280 million. However, based on our experience, we are confident of recovering the entire amount. Our GNPA ratio and NNPA ratio remained broadly flat at 2% and 1.1%, respectively. Our Stage 3 PCR ratio stood at 43%. As part of our resource diversification strategy, the company has initiated market borrowings in Q

1. We successfully raised INR 5,000 million issuance for commercial paper, getting A1 Plus rating by CRISIL. This demonstrates our strong credit worthiness and enhances our financial flexibility to support future growth initiatives.

Capri Global Capital Limited

Q1 FY25 Concall Transcript | Aug 6, 2024

Page 5 of 14

Our Board has also approved fund raise of INR 20,000 million by way of equity, debt or

convertible securities through rights issue, preferential allotment or QIP. This fund raise will support our growth momentum and will further strengthen our balance sheet. Our gold loan business has now become profitable at operating level, and we reported a consolidated net profit of INR 757 million, which increased about 19% year-on-year. The gains from higher NII and flat opex was partially offset by higher credit costs. Our efforts to diversify our business income in past few years are now beginning to yield significant results as seen in Q1 FY25 performance.

Now coming to technology and ESG, technology has been a critical focus area for us, and we implemented several key initiatives in FY24. Our entire end-to-end loan life cycle is now completely digitized and tech driven. We have made significant investment in technology, including our in-house developed loan origination system called Loan Express for MSME & home loan and Swarnim for gold loans.

Flex Cube, which is a loan management system developed by Oracle; Capri Loans as for omnichannel customer engagement; Pragati sales app for digital onboarding by our sales team; CollectXpress, an efficient tool for collections and Capri Business Partner app for our business partners. These platforms are currently stabilizing and have already started to yield positive results.

These initiatives will lead to improvement in turnaround time, especially for our MSME and affordable housing businesses by enabling seamless distribution that enhances sales productivity. We will also optimize cost by reducing per file processing expenses, facilitate risk-based pricing through AI-driven credit underwriting, scorecards and digital collateral valuation to enhance portfolio quality, sophisticated dashboards and live monitoring as efficient collection tools.

We look forward to sharing quantitative outcome of our tech initiatives in a couple of quarters. Capri has established a systematic ESG practice, internally has crafted policies as per international standard and ESG guidelines. We are currently in the process of obtaining ratings from global agencies. Furthermore, we are conducting training for our internal team and aligning our business processes with ESG requirements.

Going ahead, we shall immediately keep our stakeholders updated on the progress we make on the ESG assessments. With that, I conclude my remarks. We shall now take questions. Thank you.

Moderator: We have our first question from the line of Satyaprakash Pandey from Haitong. Capri Global Capital Limited
Q1 FY25 Concall Transcript | Aug 6, 2024

Page 6 of 14

Satyaprakash Pandey: I have 2 questions. First is on your insurance business. What was our net fee contribution from insurance business during the quarter? And if you can explain a little more on the 11 tie-ups for insurance distribution we have done. This is the first question.

And the second is we've been discussing our target to achieve mid-teen ROE in the midterm, driven by higher fee income and operating leverage. Can you provide a clear timelines for when we might start seeing this improvement reflecting in our numbers?

Especially when do you anticipate reaching a sustainable 15% ROE? Because it's been some time that you've been guiding for mid-teens ROE. Yes, these are my 2 questions.

Rajesh Sharma: So as far as the insurance contribution is concerned, in quarter 1, we have achieved about INR 120 million insurance income and have tied-up with about 1

1 insurance companies.

There are different products for different kind of customers, for medical and for health insurance, for life, for accident cover. So we have variety of the products.

Now coming to by when we will reach mid-teen ROE and how is ROE looking for this year? So as compared to ROE, which was less than 8%, in 1QFY 25 we are likely to report ROE, in the range of about 10.5% to 11% for FY25. And we believe that next year, ROE should improve further by another 2% to 2.5%. And from there, once we achieve a scale of about INR 250,000 million plus, by then, I think we will be more or less in a steady state in terms of our branch expansion also on the incremental investment in the technology and data science capability, so we should be able to achieve about 15% ROE in FY27.

Moderator: We have our next question from the line of Satyam Vadera from Profitmart Securities.

Satyam Vadera: I have a couple of questions. Could you explain the impact on net interest margin during the quarter in the gold loan business following the RBI regulations? Additionally, you mentioned that the gold loan segment has turned profitable. Could you provide the insights on your expansion plans, given that you previously indicated the temporary pause before resuming branch operations? And another question is car loan origination continue to be down for past couple of quarters. What could be the reason behind the decline?

Rajesh Sharma: Net interest income has improved in Q1FY25 as compared to Q4FY24. If we talk about our net interest income, it has come to INR 3,013 million. If we talk about the Q4 FY24, it

was INR 2,552 million . So there is a significant increase, about 18% in this.
And if we compare to the year -on-year basis, it has increased from INR 2,373 million to about INR 3,013 million . Interest income has been contributed largely from all the segments, but more from the gold loan side. If we talk about gold loan profitability, gold
Capri Global Capital Limited
Q1 FY25 Concall Transcript | Aug 6, 2024

Page 7 of 14

loan has become profitable because we have crossed INR 50 million AUM in all the branches. And normally gold loans become breakeven above INR 45 million . So all the gold loan branches of 750, have started contributing.
And compared to last year we were incurring the operating losses in the gold loan business because AUM was at lower side, and that is the journey that every branch generally achieve profitability only after 12 to 15 months depending on when they achieve their AUM of INR 50 million or so. So gold loan this year will contribute significantly on the profitability side compared to the losses last year.

If we talk about the car loan. Car loan, we have shifted the business from the Capri Global Capital Limited to the newly formed subsidiary . The preceding quarter, because of the January, February, March is always high, and April, May, June is a little soft quarter always for all the financial services. That is why our net fee income from Car loan in Q1 FY2 5, was INR246 million , as against INR 271 million in Q4 FY24.

Satyam Vadera: And sir, for branch expansion, any plans further for gold loan segment?

Rajesh Sharma : So gold loan segment, we might add about 50 branches in the coming year. So that expansion will not be as aggressive as it was earlier because we already reached one threshold of 750 branches, so now large expanse will be gradual. So about 50 branches or so we will add in the current financial year.

Moderator: We have our next question from the line of Sohail Kanaliil from ULJK Financial Services.

Sohail Kanaliil: Congratulations on a good set of numbers. I would like to ask; how much of the book is floating rate currently?

Rajesh Sharma : Your question is, you are asking the composition of assets on home loan side by floating and fixed rate of interest ?

Sohail Kanaliil: Yes, mostly

because on gold loan interest rate would be fixed, right? So besides that, whichever segments that we are in, how much of that would be in floating, I mean?

Rajesh Sharma : So gold loan, it is a rate of interest we pre -decide based on the scheme taken by the customer. Construction finance, it is all 100% floating. And home loan and MSME, we offer both the option to the customer. Exact percentage, I think we will be able to tell you separately. You can send a mail to IR, and they'll share the exact data.

Capri Global Capital Limited

Q1 FY25 Concall Transcript | Aug 6, 2024

Page 8 of 14

Sohail Kanaliil: Got it. Got it. And 1 more question I would like to ask. So we have seen a huge rise in yield on advances. Any light you would like to throw on that, sir?

Rajesh Sharma : So yield on advances, if you see Q4 FY24 yield on advances was 15.6%, which has gone to about 16.3% on a portfolio basis. And th is is because contribution from the gold loan AUM in the overall portfolio is increasing. Gold loan yields are better than all the other products. So that is the reason where the improvement in the overall yield on advances by about 70 basis have happened.

Sohail Kanaliil: Got it, sir. Got it. I would like to ask 1 last question. How do you see the loan book shaping up going ahead? Is there any particular segment you see a bit more exponential growth or higher growth than others? Or is there any other book that you would like to cut out or like to reduce a portion from your loan book?

Rajesh Sharma : So I think on the overall loan book, our key growth drivers will remain th at retail products comprises of home loans, gold loan, MSME. And this year, we added the micro LAP, the smaller loan of about less than INR 0.5 million against collateral in rural areas. So these are the products which will give the contribution towards the growth. And there has been no single product, which will contribute disproportionately higher than others.

So I think , our MSME is about 28%, 30% is gold loan and then 23% is housing. So they will remain by and large in this proportion.

Moderator: We have our next question from the line of Jai Daxini from IIFL Securities.

Jai Daxini: Yes, I want to ask 2 questions. First would be, what will be your cost of borrowing or market borrowings that you borrowed in this quarter? And the difference of debt versus your borrowings from banks? And what will be your borrowings mix post 1, 2 years?

Rajesh Sharma : So, the recent capital market borrowing are in the range of about 9%. And overall cost of borrowing is in the range of about 9.3% - 9.6%. And borrowing mix, I think still, the majority of borrowing will continue to happen from the mix of bank and some borrowing we will do as refinancing from the larger institutions. So NHB Refinance, SIDBI, NABARD and all these kind of refinance institutions.

Jai Daxini: Okay. And what is the breakup of bank borrowings for MCLR linked and EBLR linked?

Rajesh Sharma : So, all the bank borrowings are MCLR linked

Capri Global Capital Limited

Q1 FY25 Concall Transcript | Aug 6, 2024

Page 9 of 14

Jai Daxini: Got it. And there is a significant decline in disbursement in MSME and HL loans. So, what were the factors causing decline in disbursement growth?

Rajesh Sharma : Since we have gone live with new technology platform for origination called, loan origination system. And because of that, it took some time to stabilize. The first quarter also saw training our on-ground team to get familiarized with the system. So I think that system, by and large, is stabilized now in the month of July. So this month, this quarter onwards, we will see the growth coming back. And by the October onwards, we'll see full-fledged benefit of the new technology also start coming in.

And so we will see the change happening because of technology, which was getting adopted on the ground, first quarter

was a little softer.

Moderator: We have our next question from the line of Aryan Oswal from Finterest Capital.

Aryan Oswal: So my first question is regarding the cost of funds. Do you expect it to increase even further in the coming quarter? And when do you see the trend reversing? And also what are we doing so that our cost of funds doesn't cross a certain limit?

Rajesh Sharma : So I think cost of funds in this year should remain by and large in this range. But I believe that cost of funds should not increase. If at all it increases, it will not be more than 10 to 20 basis points, which we should be able to pass on to all the new disbursements, which are happening now. So it should not have an impact on our expense.

Aryan Oswal: Okay. And sir, a lot of bigger names from the NBFC space have turned their focus on granular retail loans. So can you shed some light on the increasing competition in this space? And how are we different from the competition?

Rajesh Sharma : So I think this space is quite competitive, not from now, even last 2, 3 years. The only way is that, we keep focusing on giving a better turnaround time to our customer. And the only way to help this is technology. Our decision-making should happen based on the data science capabilities on various things. So I think automated processes and data science-driven decision-making, these are the 2 aspects which we are confident that we'll have an edge over most of the competition and be able to have a faster processing, better decisioning and better outcome in terms of asset quality and all.

Moderator: The next question is from the line of Dipesh Sancheti from Manya Finance.

Capri Global Capital Limited

Q1 FY25 Concall Transcript | Aug 6, 2024

Page 10 of 14

Dipesh Sancheti: Yes. We have crossed the breakeven mark in our gold loan business. Are you trying to expand in the Southern and Eastern parts of the country? Or are we planning to deepen our presence in the existing markets?

Rajesh Sharma : Yes. In gold loan, our expansion will continue to be in the North and West. We do not intend to go in South because we believe that South is already hugely penetrated and already the competition is in much larger areas. North and West still have a lot of scope. And besides that, our entire current network of branches of home loan and MSME are in the Northern belt. So even from the cost, branding and credit perspective, that is going to be helpful to us.

Dipesh Sancheti: Are we facing a lot of competition from the PSUs also? Because in between, the government has mandated the PSUs to go aggressive on gold loan?

Rajesh Sharma : Competition in retail segment is always there. I still believe that we have to focus on our service delivery and our origination and our customized product. Competition will remain but within that competition, we have to focus on our offerings and continue to grow.

Dipesh Sancheti: Okay. What is the impact of import duty on gold? With the cut on import duty, the prices have declined. What is the impact on our gold loan business due to this? And do you expect the prices to decline further or start increasing as we enter the festive season?

Rajesh Sharma : So gold loan reduction on the import duty have resulted in the gold loan prices going softer. And so on the existing portfolio, our LTV has gone up, so we have to see that our LTV

come within the acceptable range. And for that, we will reach out to our customers and inform them about this so that they can provide additional margin .
But having said that, how the gold loan prices will behave , we are not focusing on that. This is an impact because of the custom duty reduction. And that is in control because it is not more than 5%. But going forward, the gold prices will behave based on various other factors, which we are not able to comment on.
Dipesh Sancheti: So how much more margin requirement is required

with every 1% decrease in gold prices?

Rajesh Sharma : If the gold prices decrease by 1% , and our LTV is 75 % , our LTV will increase by approx. 1%. And to that extent , either the LTV should remain within the acceptable range, and we have to collect from the customer. And given these are the customers in the range of average ticket size of about INR 90,000 , so time to recovery is low.
Capri Global Capital Limited
Q1 FY25 Concall Transcript | Aug 6, 2024

Page 11 of 14

Dipesh Sancheti: Okay. Just a last question from my side now. With the new fundraising, which we have done, what would be the impact on our book value?
Rajesh Sharma : It's p re-mature to say because it depends on what quantum and what shape and when we would raise. And it is just enabling provision, we are yet to take shareholder approval and also discuss various options. And then we decide which option, which instrument and wh en will we be finally doing.
Dipesh Sancheti: Okay. So just a follow -up on that. So in case if you're going for preferential warrants or maybe preferential equity. We, as retail investors, can also participate? And whom do we have to contact if that is the case?
Rajesh Sharma : As I said, we have not yet decided what instrument and what time we raise funds . So, when it happens, that will be, in any case, will be disclosed to the stock exchanges in time-to-time through various announcement. But at this moment, we are not yet clear, and no further progress has been done till date. We will decide after the shareholder's approval.
Dipesh Sancheti: I'm sure. But if there is a participation from proprietary houses like us, then what is the point of contact of the company?
Rajesh Sharma : Whenever we crystallize this, everybody will be informed via stock exchange announcement and various other ways.
Dipesh Sancheti: Okay, sir. I'll contact you regarding this again.
Moderator: The next question is from the line of Ajit Kaushal from Royal Global University.
Ajit Kaushal: Yes. I am late joining to this particular conference. Can you let me know, my question is regarding the asset impairments and maximum impairments you are looking...
Rajesh Sharma : Yes, this actually, includes 2 part s: one is the ECL, which is a provisioning expected credit loss and the other one is write -off. So there is a round INR 280 million of write -off and rest is the provisions mainly .
Ajit Kaushal: Okay. Yes. Another part of my question is again, related to the asset impairment. So most of the write -off on non -performing assets, it is coming from MSME or gold loan or housing? From which sector...
Capri Global Capital Limited
Q1 FY25 Concall Transcript | Aug 6, 2024

Page 12 of 14

Rajesh Sharma : So it is more from the Construction Finance . It's a technical write -off.
Ajit Kaushal: What is the meaning of technical write -off?
Rajesh Sharma : Technical write -off means recovery will continue. It's not like that it's a completely write - off. So technically, we have taken the impact for now but our efforts to recover will continue.
Ajit Kaushal: Okay. Okay. So may I ask what you are expecting, to what percent you will be able to recover, if you can have any kind of estimate regarding that?
Rajesh Sharma : Almost 80%, 90% we'll be able to recover.
Ajit Kaushal: Okay. Out of this INR 280 million ?
Rajesh Sharma : Yes.
Ajit Kaushal: Yes. What about the rest of the INR 180 million ? I think, if I'm right, I saw it is INR 464 million around the assets impairment.
Rajesh Sharma : Yes, that is provision s on the assets.
Ajit Kaushal: But the rest of the INR 180 million is provisions?
Rajesh Sharma : More or less, yes.
Rajesh Sharma : Yes, rest of the INR 180 million is provision s. As a part of normal course of business, when the loan book grows , AUM grows , as an NBFC business, they will have to continue to

make provisions also against that.

So that's a normal course of the business. So that INR

180 million is a ECL provision and INR 280 million is one time technical write -off.

And it's a technical write -off. So technically, what happens is we write it off and then we initiate the recovery process. And based on our experience from the past, we should be able to recover 80% to 90%.

Capri Global Capital Limited

Q1 FY25 Concall Transcript | Aug 6, 2024

Page 13 of 14

Ajit Kaushal: Yes. So last year also I saw that it was showing around INR 240 million of write -off in the 1QFY24 . Again, you have written off in the 1QFY25 . So whether it is being done strategically as far as provisioning of this technical assets impairment is concerned?

Rajesh Sharma : So in that INR 130 million was the write -off and the rest was the provision in ordinary course of business.

Moderator: The next question is from the line of Marazbaan Dastur from Emkay Global.

Marazbaan Dastur: Yes. Sir, I just have a couple of questions. So could you help us understand this new micro LAP segment. Like is it a part of the existing MSME business vertical? Or is it different in some way? Aside from the ticket size range given that the MSME segment also has a ticket size of around 1 million to 1.5 million?

Rajesh Sharma : So it is a completely different segment, different team, different branches. So it is a different vertical. MSME, currently, we have average ticket size of INR 1.9 million .

However, micro LAP will have average ticket size of INR 0.5 million , all the loans will be below INR 0.8 million . And these are the loans at the yield in the range of about 22% as against the MSME yield in the range of 15.5%.

So this is to serve our customer segment in the rural areas and branches are also getting opened accordingly. We intend to open about 70 branches in next 3 quarters. And already 27 branches have gone live, and we will start seeing some portfolio, but initial few months are the phase where we will build up these branches. Actually, we will see full benefit from these branches will start coming in next year .

Marazbaan Dastur: Okay. Okay. And secondly, on your guidance of INR 300,000 million AUM over the next 3 years, could you help us understand better your plans in terms of scaling the business and what verticals would you see higher growth?

Rajesh Sharma : So Higher growth will, of course come from MSME, gold loan and housing and construction finance because micro LAP is a shorter tenure loan for a lower amount. And last year, we closed at INR156,530 million and in this quarter we have already reached INR 174,579 million . So we would be able to achieve INR 200,000 – INR 210,000 million in FY25, I think we are well within our target to reach INR 300,000 million by FY27.

Moderator: As there are no further questions, I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Capri Global Capital Limited

Q1 FY25 Concall Transcript | Aug 6, 2024

Page 14 of 14

Hardik Doshi : Thank you, everyone, for your time today in attending the 1QFY 25 Capri Global Financial results. We look forward to continuing to engage with each one of you and speak again during Q2FY25 results .

Moderator: Thank you. On behalf of Go India Advisors, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2024

November 6 , 2024

The Secretary
BSE Limited
Pheeroze Jeejeebhoy Towers
Dalal Street, Fort
Mumbai - 400 001
Scrip Code: 531595 The Secretary
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No - 'C' Block, G Block
Bandra -Kurla Complex, Bandra (East)
Mumbai – 400 051
Scrip Code: CGCL

Sub: Intimation pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements), Regulations, 2015, regarding Q1 FY25 Earnings Call - Transcript

Dear Sir /Madam,

Further to our letter dated October 21 , 2024, intimating schedule of the Earnings Conference Call on October 30, 2024, to discuss the Company's Q 2 FY25 Earnings, we are attaching herewith the transcript of the said Conference Call.

The above is for your information and dissemination to all the stakeholders.

Thanking you,

Yours faithfully,
for Capri Global Capital Limited

Yashesh Bhatt
Company Secretary & Compliance Officer
Membership No.: ACS 20491

Encl.: As above

Page 1 of 11

“Capri Global Capital Limited

Q2 FY25 Earnings Conference Call
October 30, 2024

MANAGEMENT

MR. RAJESH SHARMA – MANAGING DIRECTOR
MR. PARTHA CHAKRABORTI , CFO
MR. SANJEEV SRIVASTAVA , CRO
MR. HARDIK DOSHI – CORPORATE FINANCE & INVESTOR RELATIONS

Indian Numbering System Legend

- 10 Lakhs = ■ 1Mn
- 1 Crore = ■ 10Mn
- 100 Crores = ■ 1Bn
- 1 Lakh Crore = ■ 1Tn

NOTE:

- 1) This transcript has been edited for lucid reading. To that extent, this is not a verbatim transcription of the audio transcript.
- 2) Factual correction/s are superscripted at relevant places in the transcript and are explained in footnote/s.
- 3) Wherever needed, emphasis is added in brackets (in italics) for better clarity.

Capri Global Capital Limited

Q2 FY25 Concall Transcript | October 30, 2024

Page 2 of 11

Moderator: Ladies and gentlemen, good day, and welcome to Capri Global Capital Limited Q2 FY '25 Earnings Conference Call hosted by Go India Advisors. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Hardik Doshi from Capri Global Capital Limited.

Thank you, and over to you, sir.

Hardik Doshi: Good afternoon, everyone, and welcome to Q2 FY '25 Earnings Call for Capri Global Capital. This is Hardik Doshi, Head Corporate Finance & Investor Relations. I shall read out a brief disclaimer for today's call. The discussion on today's call regarding Capri Global Capital Limited's earnings performance will be based on judgments derived from the declared results and information regarding business opportunity available to the company at this time. The company's performance is subject to risks, uncertainties and assumptions that could cause actual results to differ materially in the future. Given these uncertainties and other factors, participants on today's call may observe due caution while interpreting the results. The full disclaimer is available on Slide 42 of Q2 FY '25 earnings presentation. Participants are requested to note the same.

With us today on the call, we have Mr. Rajesh Sharma, Managing Director of the company; Mr. Partha Chakraborti, CFO; Mr. Sanjeev Srivastava, CRO; Ms. Divya Sutar, Head Business Strategy.

With that, I now request our Managing Director, Mr. Rajesh Sharma, to present the opening remarks. Over to you, sir.

Rajesh Sharma: Thank you. Good afternoon, everyone. I hope you all are doing very well. First of all, let me wish you all a very Happy Diwali. We declared our unaudited consolidated financial results for Q2 FY '25 yesterday, and I hope you had a chance to go through the earnings presentation, which is uploaded on our website.

As you all know, Capri Global Capital Limited continues to serve under-penetrated, under-banked customers in high-growth segments with substantial untapped market potential, while maintaining a strategic focus on building retail, granular and secured lending book. We have diversified ourselves through the robust presence in MSME loans, housing loans, gold loans and construction finance. We continue to further diversify ourselves by identifying newer opportunities and expanding our product offerings.

In the last quarter, under our MSME loan segment, we have launched Micro LAP, a small ticket secured loan product for self-employed customers. And in this quarter, we launched rooftop solar loans, part of green financing in partnership with Credit Fair, a leading renewable energy fintech, with ticket size ranging from about INR50,000 to INR25 lakh. In addition to interest income, we are also focusing on increasing share of high-quality, recurring fee income through insurance distribution and also car loan origination. We believe that our digital-first approach and superior technology processes, will be the key differentiator enabling us to serve our customers more effectively than our peers. We also

Capri Global Capital Limited

Q2 FY25 Concall Transcript | October 30, 2024

Page 3 of 11

implemented several AI-driven initiatives in this quarter, which I will mention

subsequently. We believe this will benefit us meaningfully going forward.

I shall now move to the commentary on business and earnings performance. With regards to business, please refer Slide 3, 4, 5 and 6. We maintained a strong growth momentum in Q2 FY '25 with our AUM reaching INR19,272

crores, an increase of about 56% year-on-year and 10% quarter-on-quarter. This growth was primarily driven by a strong growth of 225% year-on-year gold loan and 33% year-on-year housing loans. Our disbursement touched INR5,465 crores during the quarter, reflecting 55% year-on-year growth. We remain focused on retail lending, with retail AUM constituting over 80% of our portfolio. We are well positioned to drive growth and are confident of crossing our target of INR30,000 crores AUM by FY '27. Our core lending AUM continued to surge during Q2 FY '25, increasing to 18.3% of AUM compared to 16.3% in Q1 FY '25 and 11.6% in Q4 FY '24. We have further strengthened our bank partnerships, significantly increasing the acceptance ratio of loans with our partner bank compared to a year ago. We expect to continue this momentum in co-lending as an efficient tool for high ROE accretion and liability management.

We continue to build a granular and well-diversified portfolio for MSME in housing loans with average ticket size of around INR2 million. Our MSME AUM reached INR4,824 crores. In our housing loan segment, AUM reached about INR4,271 crores, up by 33% year-on-year. MSME and housing together continues to constitute 50% of our overall AUM. With our strategic initiative and focus on underserved market, we are confident that our MSME and housing loan portfolio will continue to deliver robust and sustainable growth in the coming quarters.

Our gold loan AUM increased by 225% year-on-year to cross INR6,500 crores, supported by our extensive gold loan branch network of 758 branches across 9 states and UT, along with co-lending partnership with four banks. These branches have started to scale up in achieving a productivity level of INR8.7 crore AUM per branch. We are confident that our expanding reach and partnerships will continue to fuel sustainable growth and further strengthen our position in the gold loan segment.

Our construction finance AUM increased by 63% year-on-year to cross INR3,346 crores driven by uptick in real estate sector with a strong pipeline of new projects. Our disbursement in construction finance stood at INR924 crores, up 51% subsequently. In construction finance, our focus will remain on residential project within the affordable housing sector while maintaining a granular book in indirect lending.

As with regards to earnings, let me now provide an update on core earnings. Our yields and spread remained steady this quarter at 16.2% and 7%, respectively. Net interest income for Q2 FY '25 reached INR305 crores, marking a 22% year-on-year increase driven by robust growth in our loan book. Our non-interest income comprised of 3 components: car loan distribution fee, co-lending income and other non-interest income. Our non-interest income was INR103 crores in Q2 FY '25, up by 29% year-on-year, supported by co-lending fee income of INR41 crores and net car loan origination fee of INR18 crores.

We have scaled our car loan origination network within a very short period of time to become a meaningful player in this segment with pan-India presence across 788 locations in 31 states and UT. We worked with 12 partner bank and financial institutions for car loan originations. Our car loan origination in Q2 FY '25 was INR2,563 crores, up by 8% year-

Capri Global Capital Limited

Q2 FY25 Concall Transcript | October 30, 2024

Page 4 of 11

on-year. On the insurance distribution front, we have tied up with 18 insurance companies and started accruing fee income. We are looking to generate around INR40 crores in net fee income from insurance distribution in FY '25. We anticipate this strong foundation will sustain the impressive growth trajectory of our loan interest income.

Following our branch expansion, we are now shifting our focus on improving the efficiency and productivity, the effect of which has already started to reflect in our

cost to income

ratio, which has improved to 64.3% in Q2 FY '25, down from 70.5% in Q4 FY '24, an improvement of about 6.2%. We expect further benefits to accrue once operating leverage will kick in. As a result, our pre-provision operating profit increased significantly to INR146 crores, up by 34% year-on-year.

With regards to asset quality, our credit cost normalized in the quarter and was at INR17.5 crores, an improvement of 24% year-on-year, and 62% quarter-on-quarter as there was a one-off technical write-off in construction finance book in Q1 FY '25. Gross Stage 3 ratio

improved to 1.6% in Q2 FY '25 from 2% as of Q1 FY '25. Net Stage 3 ratio improved to 1% from 1.2% in Q1 FY '25. PCR on Stage 3 loans stood at 40.1% in Q2 FY '25. We would like also to share that we have sold about INR71 crores of GNPA to asset reconstruction company at 90% of its value.

With regards to capital adequacy and liquidity position, as part of our resource diversification strategy, we have taken Board resolution to raise up to INR1,000 crores via NCD issuance. We continue to maintain a strong liquidity position and have got new credit line of INR3,750 crores for a CGCL entity and INR700 crores for CGHFL entity. Our capital adequacy ratio for CGCL stood at 23.7% and for CGHFL stood at 31.9%.

With regards to profitability, we reported a consolidated net profit of INR97 crores, which increased by 49% year -on-year and 28% quarter -on-quarter. Our efforts over past 2, 3 years to diversify our business and income streams are now beginning to yield results. As seen in our Q2 FY '25 performance, we reported an annualized RoAA of 2.3% and an annualized RoAE of 9.8% in Q2 FY '25, up by 0.4% and 2% quarter -on-quarter, respectively. We expect this to improve further going forward with the improvement in cost efficiency, employee productivity and operating leverage.

In regard to technology, our technology initiative, including the in-house LOF, Flexcube, LMS, Pragati Sales app for customer onboarding, Collect Xpress app for managing collection, Capri Grahak app for customer engagement, which went live in Q1 FY '25 have now stabilized and now are being extensively used by our sales and collection staff for managing the customer loan journey end-to-end digitally, thus improving their efficiency and productivity. We are also going live with our data science -driven BRE scorecard -based underwriting, which will help us improve our log-in to sanction ratio, better customer profiling and offer risk -based pricing to our customers.

Our sophisticated collection dashboard for real-time monitoring, combined with the use of advanced AI/ML models for identifying early delinquency are expected to further improve our collection efficiency and asset quality. During the quarter, we also launched several artificial intelligence -driven initiatives such as AI-driven Data Genie, which equips key decision -makers with real-time actionable insight, enhancing agility and precision. Capriglobal.ai with its AI -Dost chatbot provides instant multilingual support to our customers, ensuring seamless engagement 24/7.

Capri Global Capital Limited

Q2 FY25 Concall Transcript | October 30, 2024

Page 5 of 11

Our HireRight AI, which optimized RM-level hiring by ensuring unbiased efficient recruitment. Our AI-driven call centre with in-house voice to text conversion system adopted for Indian languages helps in cost optimizing call center operations and increase efficiency over telecalling staff. Lastly, our focus on real-time system will drive significant improvement in TAT, enabling us to meet our customers' expectation faster through hassle-free and timely disbursements.

Now I come to ESG. On the ESG front, Capri Global has established a robust ESG framework, aligning our policies with international standards and ESG guidelines. We applied for the Dow Jones Sustainability Indices

rating, with results expected soon.

Additionally, we published our business impact report, Echoes of Progress, highlighting our achievement in financial inclusion and sustainable growth. Our second sustainability report for FY '24 highlighting Capri Global's integrated approach to ESG centered on financial inclusion, operational efficiency and governance. To support our commitment, we are actively training internal teams in aligning business process and ESG requirements.

With that, I conclude my remarks. We shall now take questions.

Moderator: The first question is from the line of Taran Gupta from Elara Capital.

Taran Gupta: My first question is, the company has set a target of reaching an AUM of INR30,000 crores by FY '27. So can you please share insight into the primary growth drivers for this target?

And which segments are anticipated to contribute the most to this ambitious target?

Rajesh Sharma: Thank you, Taran. As I said, our current AUM after Q2 result is about INR19,272 crores.

And with the growth coming in from our new segment, which we added that is Micro LAP;

MSME will start again growing, adding a few more branches in the coming financial year.

And our gold loan, also, we are adding more branches. Besides that, we also launched this rooftop solar product. So, we'll continue to grow through our branch expansion in our existing products as well as the new products will continue to grow. So, from INR19,272 crores to reaching in almost 10 quarters, I think we will be able to achieve. We are already on this path.

Taran Gupta: Okay. Very helpful. And second question is, sir, Capri's mostly focused on evolving into a

technology-led NBFC. So, could you elaborate on any recent digital initiatives or technology upgrade aimed at enhancing customer experience or boosting operational efficiency? Additionally, how is technology being leveraged to facilitate deeper penetration into rural area or underserved market?

Rajesh Sharma: So, we have divided our entire journey of technology in 5 segments - onboarding a customer, credit evaluation, then collateral evaluation, collection and customer engagement; so this completes the journey from onboarding until customer servicing. Now while our LOS is in-house developed, where for sales mobility, we have built a Pragati Mobile app.

For underwriting purposes, we have built our in-house scorecard and various processes. We are digital, which is helping the team to do the work with a better precision in a lesser number of hours. So, we are saving the time and our TAT is much better. And the third element is our evaluation of collateral, where the collateral property, whatever is being mortgaged in housing finance and MSME is being evaluated through our in-house technical app, where a lot of other features are there where they can see their transaction data, they can see the delinquency data of the nearby surrounding area where we intend to land.

Capri Global Capital Limited
Q2 FY25 Concall Transcript | October 30, 2024

Page 6 of 11

Then it comes to the collection because we believe the collection is a major focus of our company. So, we have divided collection into three parts. One is the collection through chatbot calling; number two, from the tele caller unit; and three, collection agent on the field. So, with combination of the three, with the precise data analytics, real-time tracking and proper incentive schemes, I think we are able to do it better. We are driving the efficiency among them. And fifth is the customer engagement. So, customer engagement, we have telecaller unit besides we have given a customer app. So, a lot of features can be activated and serviced through the customer app.

We also have WhatsApp chatbot where all the queries can be sorted out. And besides that, as I said, our AI initiative of capriglobal.ai, where a customer can ask anything and their query can be addressed.

So, there are a lot of initiatives happening internally to improve the process efficiency and externally on the customer service side. And you will see quarter-on-quarter, the difference is coming in not only cost-to-income ratio, but our other features in terms of efficiency in the collection and also our efficiency in the productivity.

Moderator: The next question is from the line of Aman from Dolat Capital.

Aman: With a target of building INR1,000 crores loan book in rooftop solar financing, can you elaborate on your partnership with Credit Fair? And how will this facilitate faster loan approvals and disbursal in the solar finance space? And second question, with the anticipated rise in credit costs across the NBFC sector, how are you managing these increased provisions given that we have a normalized credit cost during the quarter, particularly in your MSME and affordable housing portfolios?

Rajesh Sharma: So, your first question is on the rooftop solar, so we have tied up with fintech, but we are also in the process of tying up with various business correspondent and dealers, network and other. So, since we launched the project recently, now we'll be scaling up. This year-end, we will be doing about INR50 crores. But we'll continue to grow our network and through that network, next year should be a full year of operation where significant book should be built. And here, the model we intend to follow is, we build the book, down sell it much lower yield by generating a profit because a lot of banks have this product in demand to build the portfolio.

And if you're seeing, the central government have a very high focus on this product. So, we feel that the policy push is there. We want to take the advantage of that, not only in terms of pricing of getting the lower cost funding through sell-down of the portfolio or otherwise.

So, we see that by next year, we should have a significant portfolio in this. And in near term, we should be able to achieve the INR1,000 crore book, the first target is INR1,000 crores book. But by the March, we will be able to give you the clear guidance by when it will be achieved.

I can say, we are building the technology, we are building the network of BC and building our internal team. We have already launched the product. Current run rate is about INR4 crores to INR5 crores a month, which is getting increased month after month.

Your second question was, how do we address our delinquency in the MSME and the home loan? So, I think MSME segment, last 1 year, we have not grown. So that effect was visible in the delinquency. Now we are coming back growing those branches, and plus our

restructured pool is now reduced from earlier INR200-plus crores to about INR103 crores.

Capri Global Capital Limited
Q2 FY25 Concall Transcript | October 30, 2024

Page 7 of 11

And out of that, some pool, we have transferred to ARC. So, I think combination of this will be that growth will be back. And housing finance, if you talk about delinquency, they are more or less stable. And in the price segment we operate, we believe that, that kind of GNPA and NNPA will continue to be stable.

Moderator: The next question is from the line of Aryan Oswal from Finterest Capital.

Aryan Oswal: Sir, my question was on the side of that, could you please share the net fee income generated from our insurance business this quarter? And also, how much of fee income can we expect from insurance over the next couple of years?

Rajesh Sharma: So, –in the first half, we generated about INR25 crores. And the whole year, we should be crossing about INR40 crores of fee income alone from the insurance segment. Next year, hopefully, it should further go up. So that guidance, we should be able to give you by the last quarter when we come back with the result. But current year, we should cross about INR40 crores in the insurance income.

Aryan Oswal: Oka

y. And sir, what are the new partnerships we have secured for insurance distribution and the expected impact on future growth?

Rajesh Sharma: So, we have now almost about 18 partners in the insurance. And I think these are good enough. It is not the more and more partnership is going to help us. But it is about the kind of product you get to cover all kind of customers. Gold loan customer might require a policy, and we should be able to provide only INR4,000 to INR5,000. Whereas car loan customer can still take a life insurance policy, which they might pay a premium of INR50,000 plus. So, depending on the customer profile, we give the product. And I think we have wide coverage of the product along with these partners.

Aryan Oswal: Okay. And sir, one last question from my side. Sir, we have spoken about our goal of achieving mid-teen ROE, primarily through enhanced fee income and improved operational efficiency. So, could you provide more clarity on the time line for when these efforts will transfer into visible improvements? And specifically, when do we expect us to consistently reach the 15% ROE mark as it's been a target for some time now?

Rajesh Sharma: So, if you have seen that now this year, our initiative on the technology side and the branch expansion, we already achieved breakeven, especially the gold loan vertical, all 750 branches have turned profitable. I think quarter-on-quarter, you will clearly see uptick in our ROE. This year, we should be in the close vicinity of about 11%. And I think by March '27, we should achieve our mid-teen ROE target.

Moderator: The next question is from the line of Satyaprakash Pandey from Haitong.

Satyaprakash Pandey: I have two questions. First is, how has the acceptance rate from partner banks in co-lending evolved over the past few quarters? And what growth do you expect in this segment next year, given that we continue to see strong growth here? Also, can you elaborate on the risk sharing mechanism and how you balance expanding credit reaching with maintaining asset quality.

The second question is, you've started expanding into Micro LAP with plans with some new branches. How has this initiative progress in Q2? What has been the early response from rural customer? And what challenges are you facing in scaling this segment?

Capri Global Capital Limited
Q2 FY25 Concall Transcript | October 30, 2024

Page 8 of 11

Rajesh Sharma: So, all the partner bank, you are asking what is the arrangement we have. So, we have arrangement where 20% we fund, 80% bank fund. And the cost of those lines in housing loans are sub-9.0 and gold loan is anything between 9.5 to 9.75 and MSME in the range of 9.5. In regards Micro LAP, we already have gone live with the 70 branches.

And those branches, we have an experienced team from a good background of a similar product. We have a strong risk framework in place. So, we should be able to achieve the full scale, next year will be full year of operation. We currently have already received a book of about INR30 crores. And by March, we should be able to cross about INR60 crores. Next year is something which we are likely to cross about INR300 crores.

Moderator: The next question is from the line of Jay Mistry from Equirus Securities Private Limited.

Jay Mistry: I have two questions. First question was that since now that our gold loans is profitable and

you have been gradually expanding the branches, too, so I just wanted to understand like are the new branches meeting the expected performance level?

Rajesh Sharma: So I would say the new branches, we will not know only in 3 months. New branches ideally should achieve the AUM of about INR4 crore in 15 months. And if you are able to achieve 15 months INR4 crores, then I will say they've achieved the breakeven. So all the old branches, I think our most of the branches already are over 15 months, and all the branches

have already been profitable. There are few branches, some of the branches are 3 months old, some of the branches are 4 months old. So we believe that by the end of the 15 months from the date of their opening, they should breakeven or profitable.

Jay Mistry: And my second question was that since we have implemented the new loan originations and management systems, so how has the transition impacted the loan disbursements and turnaround times in second quarter? Are the teams fully adapted to the new systems?

Rajesh Sharma: Yes. So first quarter, we launched this new LOS in the month of April, and it has taken almost 3 months to stabilize. Q2 is completely stabilized. They are not much impacted by the LOS, it is business as usual. So there is no impact of the new LOS. It has gone smooth and functioning fully.

Moderator: The next question is from the line of Shalin Kapadia from IIFL Securities.

Shalin N. Kapadia I have two questions. So with recent conditions in the auto sector and a dip in car loan volumes over the past couple of quarters, do you see the car loan business shaping better in second half? Or do you believe we can surpass last year's performance despite the current challenges?

Rajesh Sharma: So what is happening that some of the competition of CarDekho and others, they are, I think, giving more commission than they get. This is what the market we are experiencing. So there is a pressure of the competition on the commission side, in sharing the commission with the DSAs and connectors. So that is where our cost has gone up, but we are going to add the used car finance also with the same team without additional new manpower and with the help of the additional product. This year, we will have profitability slightly lower than the last year because of various transition from old CGCL to the new company. But next year, I think our profit will be all-time high and even our volume will be high. So this year, it will take some stabilization in the new entity along with the launch of the new product, where we'll see some operational cost offsetting the profit of this vertical.

Capri Global Capital Limited

Q2 FY25 Concall Transcript | October 30, 2024

Page 9 of 11

Shalin N. Kapadia Okay, sir. That's helpful. And second question is on gold loans. So with Capri's recent strong momentum in the gold loan segment, given that we have almost tripled our AUM in the last year or so, are there any plans to accelerate this growth by expanding into new regions or opening more branches? And also, how do you see your growth in gold loan business over the next 2, 3 quarters?

Rajesh Sharma: So we'll see that. Now the expansion will be moderate. We'll be adding about 50-70 branches this year. And the expansion will continue to be in the next year, but it will be in moderation. However, already, we have achieved our branch AUM of about INR8 crores plus.

And I think those branches will continue to grow along with these new branches, which will take some time. So we clearly see that we should be crossing INR12 crores of AUM by end of next year for a branch except the new branches. So growth will continue to happen despite competition, and we see the data, monetization is still in the range of 5%. And most of the market is still with the pawn brokers and local jewelers and local money lenders. So there's a huge growth possible for everybody in this segment.

Moderator: The next question is from the line of Jay from Manya Financial.

Jay: What is the outlook of maintaining net interest margins? What are the strategies you are doing to optimize the margins?

Rajesh Sharma: The strategy for optimizing the margin will be our biggest differentiator will be technology and data science capabilities, which we are significantly investing in. Our Gurgaon tech center, we have almost about 125 engineers and 25 data scientists across Gurgaon and Bangalore. I think t

these are two aspects where we see that our processes will be better, our TAT will be faster. And our efficiencies of decision-making will improve the overall cost-to-income ratio.

Further NIM margin will be improving. Currently, NIM margin, you see the decrease because the leverage is going up. If you look at the spread, that is being maintained at 7%.

So if we leverage more, while the NIM will go lower side, but spread, so far, we are maintaining improving, I think, overall, ROE, it will have a positive impact despite NIM going down.

Jay: Okay. With the current regulatory framework, which is going on in the NBFC space, how does Capri Global ensure compliance while continuing to grow? And are there any recent regulatory changes which has impacted the business operations?

Rajesh Sharma: So I think all these regulatory changes, which are coming, they are there to make the company very robust when we were scaling up. It might give you some short-term pain, but long term, it is helping us to meet the compliance and strengthen the risk management. In regards to our compliance is concerned, that we have strengthened our compliance team, keeping in mind the RBI attention on the enhanced compliance focus. We have added a few more resources in the compliance team. We hired senior people, and we have engaged big 4 consulting firm to make automated compliance tool, which will track which are the compliances done, which are not done on time. Besides the technology compliances, also we have given outside firm for telling us to make them better and perfect. So there's a sharp focus.

Capri Global Capital Limited
Q2 FY25 Concall Transcript | October 30, 2024

Page 10 of 11

I will share with you that in our Board of Director and the Chairman always want us to follow the compliance first and business later policy. So with the focus of the Board and our focus on engaging best of the consultant to make it better, we feel that compliance we will be able to meet the RBI norm. And plus, we are driving a culture also inside in every department, to comply everything as per the rules of whatever regulatory, be it RBI, be it SEBI guideline, be it listing guidelines of BSE or NSE.

Jay: Okay. And none of the regulatory current regulatory changes or the recent regulatory changes have impacted your business, right?

Rajesh Sharma: No, no. There's no regulatory changes that impacted our business. In fact, regulatory changes, they bring to team more, formally recording anything and formally conveying to the team how they should do the business. So it is all about following the proper processes. So there is no impact on the business, some compliance, the number of people you have to increase and slight cost goes up, but such a large volume I don't think it is very significant.

Jay: Okay. And about the micro finance business, do you see any pressure on your micro finance business?

Rajesh Sharma: We are not into micro finance business.

Jay: Not at all?

Rajesh Sharma: No. We don't have any unsecured lending as such.

Moderator: The next question is from the line of Rohit Shinde from Market Memories Wealth Advisors Private Limited.

Rohit Shinde: I have two questions. So my first question is that we have seen strong growth in co-lending, especially in the gold loan business. While our focus was initially on MSME and housing, most co-lending in the past year has been in gold loans. So is this shift driven more by demand? Or does the fee structure and margins make it more advantageous?

Rajesh Sharma: Okay. And what is the second question?

Rohit Shinde: Second question is, sir, non-interest income as a percentage of total income continues to decline for past couple of quarters despite our push in co-lending insurance and car loans. So how do you view the overall mix of non-interest income? And what do you see as the main drivers for growth in this area?

Rajesh S

harma: So let me answer your second question first, which talks about non-interest income in going down. If you see the Slide #15, our non-interest income, which is comprised of the car loan distribution, insurance and co-lending, in Q2, it has come to INR25.3%.

Hardik Doshi: The share of non-interest income as a percentage of net income is 25%.

Rajesh Sharma: So it is 25%. So I think it is more or less stable. It has not gone down itself. If you talk about absolute income, so there's a slight dip in the car loan income. But if you take the overall income, from INR108 crores, it has come to INR103 crores. So I think the first and two quarters in the car loan is always slightly lower. If you see, compared to last year, this

Capri Global Capital Limited
Q2 FY25 Concall Transcript | October 30, 2024

Page 11 of 11

year it has gone up significantly. Q2 FY '24, our fee income was INR80 crores against the Q2 FY '25 where fee income is about INR103 crores. Is that clear now?

Rohit Shinde: Yes, sir. And the first question, sir?

Rajesh Sharma: Your first question was, why the co-lending has gone up in the gold loan? So I will say that gold loan, we have scaled up, number of branches are much higher. And there was a co-lending product where we can cater to those customers also, which can be catered at a slightly lower margin.

But since co-lending lines are available, which are highly ROE accretive, you use those lines there. And there's a separate co-lending lines for the gold specifically by our lending partners, so we utilize them. And that is the reason you will see the co-lending in the gold loan have been higher percentage as compared to MSME and home loan.

And in regard to growth, there is no shift in our strategy. If you see our home loan portfolio is also growing at a pace of about 35% -40% year-on-year. Gold loan, because the base was lower and number of branches have been high, so that is showing you very high growth.

But if you see from current quarter onwards, the base is already in the range of INR6,000 crores. The growth will get normalized unless we open more number of branches significantly.

Moderator: Thank you very much. As there are no further questions, I would now like to hand the conference over to the management for the closing comments. Thank you, and over to you.

Rajesh Sharma: Thank you so much for sparing time and coming on the call to understand more about us.

And we would like to assure you that we'll continue to grow our secured retail lending portfolio on the back of a strong branch network across Micro LAP, MSME, gold loan and home loans. And with the effective co-lending line in place where about 20% plus portfolio will remain under the co-lending arrangement, which will continue to give lower allocation of the equity capital and high ROE.

I think our technology initiative will also drive the cost efficiency. The combined effects of this, you will see that quarter-on-quarter, we will see that our operating costs coming down in some percentage and our ROE continue to improve, and we will be on the guided path. Thank you so much.

Moderator: On behalf of Go India Advisors, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jan 2025

January 31, 2025

The Secretary

BSE Limited

Pheeroze Jeejeebhoy Towers

Dalal Street, Fort

Mumbai-400001

Scrip Code: 531595 The Secretary

National Stock Exchange of India Limited

Exchange Plaza, 5th Floor

Plot No.- 'C' Block, G Block

Bandra-Kurla Complex, Bandra (East)

Mumbai-400051

Scrip Code: CGCL

Sub: Intimation pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements), Regulations, 2015, regarding Q3 FY25 Earnings Call- Transcript

Dear Sir/Madam,

Further to our letter dated January 09, 2025, intimating schedule of the Earnings Conference Call on January 27, 2025, to discuss the Company's Q3 FY25 Earnings, we are attaching herewith the transcript of the said Conference Call.

The above is for your information and dissemination to all the stakeholders.

Thanking you,

Yours faithfully,

for Capri Global Capital Limited

Yashesh Bhatt

Company Secretary & Compliance Officer

Membership No.: ACS20491

Encl.: As above

Page 1 of 13

Capri Global Capital Limited

Q3 FY '25 Earnings Conference Call

January 27, 2025

MANAGEMENT

MR. RAJESH SHARMA – MANAGING DIRECTOR

MR. PARTHA CHAKRABORTI, CFO

MR. SANJEEV SRIVASTAVA, CRO

MS. DIVYA, DIRECTOR BUSINESS STRATEGY

MR. HARDIK DOSHI – CORPORATE FINANCE & INVESTOR RELATIONS

Indian Numbering System Legend

■ 10 Lakhs = ■ 1Mn

■ 1 Crore = ■ 10Mn

■ 100 Crores = ■ 1Bn

■ 1 Lakh Crore = ■ 1Tn

NOTE:

1) This transcript has been edited for lucid reading. To that extent, this is not a verbatim transcription of the audio transcript.

2) Factual correction/s are superscripted at relevant places in the transcript and are explained in footnote/s.

3) Wherever needed, emphasis is added in brackets (in italics) for better clarity.

Capri Global Capital Limited

Q3 FY25 Concall Transcript | January 27, 2025

Moderator: Ladies and gentlemen, good day, and welcome to the Capri Global Capital Limited Q3 FY '25 Earnings Conference Call hosted by Go India Advisors. As a reminder, all participant lines will remain in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star then zero on your touchtone telephone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Hardik Doshi from Capri Global Capital Limited.

Hardik Doshi: Hello everyone and welcome to Q3'25 Earnings Call for Capri Global Capital Limited. This is Hardik Doshi , Head, Corporate Finance and Investor Relations. As a brief disclaimer, the discussion on today's call regarding Capri Global Capital Limited's earning performance will be based on judgments derived from the declared results and information regarding business opportunities available to company at this time.

The company's performance is subject to risks, uncertainties and assumptions that could cause results to differ materially in future. Given these uncertainties and other factors, participants on today's call may observe due caution while interpreting the results. The full disclaimer is available on the Slide 42 of the earnings presentation. Participants are requested to take note of the same.

Let me now introduce the participants on the call. With us today on the call, we have Mr. Rajesh Sharma, Managing Director of the company; Mr. Partha Chakraborti, Chief Financial Officer; Mr. Sanjeev Srivastava, Chief Risk Officer; Ms. Divya, Director - Business Strategy .

I now request our Managing Director, Mr. Rajesh Sharma, to present the opening remarks.

Thank you, and over to you, sir.

Rajesh Sharma: Good morning, everyone, and I hope you all are doing very well. We declared our unaudited financial results for 3Q FY '25 on 23rd Jan 2025. And I hope you had a chance to go through the earnings presentation , which is available on our website.

As you all know, we continue to serve underpenetrated and unbanked customers in high -growth segments with substantial untapped market potential while maintaining a strategic focus on building a retail franchise with secured loan book. We are a diversified NBFC with presence in MSME loans, housing loans, gold loan, construction finance. We continue to further diversify ourselves by expanding our product offering.

In the last quarter, under our MSME loan segment, we launched Micro LAP , a small ticket secured loan product for self -employed customer, and launched Rooftop Solar loans. In addition to growing our interest income, we are also focusing on increasing share of fee income through insurance distribution and car loan originations. We continue to invest in technology as we

Capri Global Capital Limited

Q3 FY25 Concall Transcript | Janu ary 27 , 202 5

believe that our digital -first approach and superior technological processes will be the key differentiator, enabling us to serve our customers better and faster than our peers.

I shall now move to the commentary on business and earnings performance. Please refer Slide 3, 4, 5 and 6. We maintained a strong growth momentum in 3Q FY '25, with our AUM reaching INR20,663 crores, an increase of 54.6% year -on-year. This growth was primarily driven by a growth of 196% year -on-year in gold loans and 31% in housing loans. In addition, our Micro LAP segment has already touched AUM of INR157 crores in 2 quarters. Our disbursement touched INR5,839 crores during the quarter, reflecting a 52% year -on-year growth.

Our retail AUM constitute over 80% of our portfolio. Our co -lending AUM continued to surge during 3Q FY '25 and stood at INR3,681 crores, com

prising 17.8% of AUM, compared to 8.9%

in Q3 FY '24. We have further strengthened our relationship with nine bank partners, increased co-lending lines and the acceptance ratio of the loans compared to a year ago. We expect to continue this momentum in co -lending as an efficient tool for high ROE accretion and liability management.

We continue to build a well -diversified portfolio for our MSME and housing loan, with average ticket size of INR20 lakhs. Our MSME AUM including Micro LAP loans reached INR4,968 crores, up by 4% year -on-year. And housing loan segment AUM reached INR4,586 crores, up by 31% year -on-year. MSME and housing finance together continue to constitute 46% of our overall AUM. With our plans to open new branches for these segments and focus on underserved market, we are confident that our MSME and housing loan portfolios will deliver robust and sustainable growth in the coming quarters.

Our gold loan AUM increased by 196% year -on-year to cross INR7,092 crores supported by our extensive gold loan branch network of 776 branches across nine states and union territories. These branches are scaling up and have achieved a productivity level of INR9.1 crores AUM per branch, with over 65% branches having reached the vintage of more than INR5 crores AUM per branch. We are confident that our expanding reach and co -lending partnerships will continue to fuel sustainable growth and further strengthen our position in the Gold Loan segment. Our Construction Finance AUM increased by 65% year -on-year to cross INR3,742 crores, driven by strong demand in real estate sector and pipeline of new affordable housing projects. Our disbursements in Construction Finance for 3Q FY '25 stood at INR822 crores, up 51% year -on-year. We continue to maintain a granular book in our construction finance segment, with over 287 projects and average portfolio ticket size of INR13 crores. In construction finance, our focus will remain on residential projects within the affordable housing sector and smaller projects. Now in regards to earning performance , let me now provide an update on our core earnings. Our yields and spreads expanded further in the quarter to 16.7% and 7.3%, respectively, primarily

Capri Global Capital Limited
Q3 FY25 Concall Transcript | January 27 , 2025

Page 4 of 12

on account of increase in yields for housing finance to 12.9% and Gold Loan to 20.6%. Our net interest income for third quarter FY '25 reached INR347 crores, marking a 41% year -on-year increase and, for 9 months FY '25, reached at the INR953 crores, marking a 30% year -on-year increase driven by margin expansion and robust growth in our loan book.

We continue to focus on non -interest income, with its share in total income at 25.1% in 9 months FY '25. Our non -interest income comprises of 3 components: car loan distribution fees, co -lending income and insurance income. Our non -interest income was INR319 crores in 9 months FY '25, up by 20% year -on-year, supported by co -lending fee income of INR112 crores, net car loan origination fee of INR72 crores and net fee income from insurance of INR39 crores.

We have scaled our car loan origination network within a very short period and now a meaningful player in this segment, with Pan-India presence of 811 locations in 31 states and union territories and 12 partner banks and financial institutions. Our car loan origination in third quarter FY '25 was INR2,972 crores, up by 16% quarter -on-quarter and 5% year -on-year. On the insurance distribution front, we have tied up with 18 insurance companies and expected to generate more than INR60 crores of net fee income for FY '25. We anticipate this strong foundation will sustain the impressive growth trajectory of our non -interest income. As a result, our total income for third quarter FY '25 was up by 30% year -on-year and, 9 months FY '25, up by 28% year-on-year.

Our branch network

expanded to 1,066 branches in third quarter FY '25, and employee base increased to 11,022, up by 13% year -on-year. We opened 70 new branches exclusively for our Micro LAP segment. Following our significant investment in branch expansion over the past 3 years, we are now focusing on bringing more efficiency and productivity, effect of which has already started to reflect in our cost -income ratio, which improved to 58.3% in third quarter FY '25, down from 64.3% in second quarter FY '25 and down from the peak of 70.5% in fourth quarter FY '24. We expect further reduction as we see benefits of operating leverage accrue in coming quarters.

As a result, our pre -provisioning operating profit increased significantly to INR189 for third quarter FY '25 and INR480 crores for 9 months FY '25, up by 46% year -on-year and 39% year -on-year, respectively.

As regards asset quality, our credit cost for third quarter FY '25 was at INR18 crore, a modest increase of 4.8% quarter -on-quarter, whereas for 9 -month FY '25, it declined by 6.5% year -on-year and was INR82 crores, which translates to 0.7% of loan book. Gross Stage 3 ratio stood at 1.7%, and Net Stage 3 ratio stood at 1% in third quarter FY '25, an improvement of 40 basis year-on-year in both. We continue to maintain a healthy PCR on Stage 3 loans of 39.4% in third quarter FY '25.

Capri Global Capital Limited
Q3 FY25 Concall Transcript | January 27 , 2025

Page 5 of 12

As regards capital adequacy and liquidity position, we continue to maintain a strong liquidity

position of more than INR2,000 crores through cash and cash equivalent and undrawn credit lines across CGCL and CGHFL. During third quarter FY '25, we got new credit lines of INR1,025 crores sanctioned for CGCL and CGHFL. Our capital adequacy ratio for both CGCL and CGHFL remains strong and stood at 22.9% and 29.3%, respectively.

As regards profitability, our efforts over past two three years to diversify our business and income stream is now yielding results as seen in third quarter FY '25 performance. Our consolidated net profit saw strong increase and stood at INR128 crores for third quarter FY '25, up by 88% year -on-year and 32% quarter -on-quarter, whereas our profit for 9 months FY '25 stood at INR301 crores, up by 53% year -on-year. We reported an annualized return on average asset of 2.8% and annualized return on average equity of 12.6% on third quarter FY '25, up by 0.5% and 2.8% q uarter -on-quarter, respectively. We expect this to continue to improve going forward.

As regards technology, our technology initiatives, including our in -house -developed LOS, Flex Cube LMS , Pragati Sales app for customer onboarding, CollectXpress app for managing collections and Capri Grahak app for customer engagement are now extensively used by our sales and collection staff for managing the customer loan journey and end -to-end digitally and is helping them further improve their efficiency and p roductivity.

We continue to refine our data science -based business rule engine and underwriting scorecard, which will help us with better customer risk profiling and selection and offer risk -based pricing, thus improving our log in-to-sanction ratio. This, in combination with our detailed collection dashboard for real -time monitoring and AI/ML models for identifying early delinquencies will help us monitor our collection efficiency and asset quality.

Lastly, our focus on real -time system and driving improvement in TAT, enabling us to meet our customer expectation faster through hassle -free and timely disbursement digitally. As regards ESG, Capri Global has established a robust ESG framework, aligning our policies with international standards and ESG guidelines.

During the quarter, we also secured S&P Global Corporate Social Sustainability Assessment Score of 49, exceeding the industry average of 30. On the financial inclusion parameter, we secured a s

core of 75, ranking us in the 99 percentile of the industry. Additionally, we published our business impact report, Echoes of P rogress, highlighting our achievement in financial inclusion and sustainable growth.

With that, I conclude my opening remarks. We shall now take questions.

Moderator: Thank you. Ladies and gentlemen we will now begin the question -and-answer session. T he first question comes from the line of Satyaprakash Pandey from Haitong Securities.

Capri Global Capital Limited
Q3 FY25 Concall Transcript | Janu ary 27 , 202 5

Page 6 of 12

Satyaprakash Pandey: Yes. So my question is the MSME AUM presented includes small business loan and Micro LAP . Could you provide a detailed breakdown of the same? Additionally, why has the MSME loan book not grown at the same pace as other segment? What measures are being planned to enhance its growth? Yes, this is my question.

Rajesh Sharma: So as regards to our MSME, which comprises of MSME secured by collateral, small business loan and also Micro LAP . So Micro LAP is only INR157 crores , small business loan is about INR42 crores, and MSME is about INR4,769 crores. This segment will start showing better growth in next year because we'll be adding more branches here. And our Micro LAP , which is now 70 branches, will also start adding the numbers.

So, a combination of both addition of the branches and more focus on Micro LAP now going forward in terms of the growth. And the growth will be back in MSME segment also. We will start showing the growth next year onwards.

Moderator: The next question comes from the line of Kushagra Goel from CLSA.

Kushagra Goel: Yes. So congrats on a good set of numbers. So I have 2 questions. One is just around your Gold Loan portfolio. So I'm seeing that the LTV is quite high around 71%, 72%. So I just wanted your thoughts regarding this. Is that a concern area? And what happens in case Gold Loan prices drop, right? So if you could just give some color regarding that ?

Rajesh Sharma: So, gold loan portfolio, if you see, the maximum permissible LTV is around 75%, and the competition also have LTV in the range to 71% to 75% only. Gold b eing very liquid, I think these are very healthy levels of the LTV levels. And even with the auctions and the NP A cases, we are able to recover fully. So these are very safe LTV levels, and across industry, everybody operates in this range.

Kushagra Goel: Okay. Sure. And my second question is regarding your borrowings. So can you just tell us what is the mix of fixed and floating rate borrowings? Also, if you could share your expectations as

to how cost of funds will move in the next 3, 4 quarters and if there are any plans to diversify our borrowing? That's all.

Rajesh Sharma: All the borrowings, except less than 5%, are on the floating basis. Similarly, we are able to pass on any floating rate increase also to our customers. So our borrowings are by and large, in floating basis.

Kushagra Goel: Okay. And do you expect them to have topped out in this quarter? Or how do you see that moving?

Capri Global Capital Limited

Q3 FY25 Concall Transcript | January 27, 2025

Page 7 of 12

Rajesh Sharma: We expect now interest rate cycle should remain here and not go up. In the best, it might remain here for some time before it starts falling down again, but we don't expect the interest rate to go up.

Moderator: The next question comes from the line of Akshat Maniyar from Anand Rathi.

Akshat Maniyar : So my first question was on the lines of co-lending AUM. So, what are your expectations going forward, especially it seeing very good growth momentum? And what are the current structure arrangements of the co-lending that you have with the banks?

Rajesh Sharma: So, we have co-lending partnership with all our three products, MSME, affordable housing and the gold loan. And we are working with almost nine banks where diffe

rent products are

partnered with them. Currently, about 18% AUM is under co-lending, and we should be able to maintain at that level. So, co-lending will be in the range of about 18 %-20% kind of going forward as well.

And banks are quite comfortable. So I think these limits will keep getting. We will see whether we can increase a slight bit. But even though these are very healthy level, if we can maintain it, conserve our capital and our ROE is very, very high in the co-lending .

Akshat Maniyar : Okay, sir. And my second question will be on the Micro LAP segment that you just entered. So what are your key takeaways from this segment? And how do you plan to use it to basically broaden it into the rural areas?

Rajesh Sharma: So there are two aspects of it. One, we launched 70 branches to start the Micro LAP because we were always doing MSME. The next level of expansion, our existing MSME branches, which are in the range of about 150 -plus. Within that, we'll identify which are the branches we can start the lending this Micro LAP also. So those branches, we just need to put the team, and we'll save the cost there. So next April onwards, we are going to make a plan to start Micro LAP those branches besides other expansion in the Micro LAP .

The advantage here is, the yield is good. And within our ecosystem of overall supervisory -level technology in place, on cost basis, cost -income ratio will be much better. Costs will be lower when we combine it with our existing MSME branches.

So overall, it will fit into our scheme of things of the collateral lending to those customers who are not serviced by the bank. So, we believe that for the next 4 to 5 years, this will give us a good growth and also it is a high-yield product along with the security.

Akshat Maniyar : And sir, lastly, if you could provide some insight on the competitive intensity and the macro environment that we are seeing a slowdown in the sector.

Capri Global Capital Limited

Q3 FY25 Concall Transcript | January 27, 2025

Page 8 of 12

Rajesh Sharma: So if we see competition -wise, I think retail lending business will always have a competition.

There was competition yesterday and there will be competition going forward also . But this will drive on operational efficiency, coupled with the backing by technology and data science capabilities. And that is where we are investing.

Only way to create the difference is how we are able to achieve a better turnaround time, how we are able to predict the better asset quality, how do we automate a lot of processes so we reduce the dependence on manpower. And also, the requirement of the people has gone down and productivity is higher.

So with all these measures, I think within the competition also, we should be able to do well. If you see our trend, our growth is coming, and now quarter -after-quarter, if our cost -income ratio goes down, you will see significant uptick in the ROE as well.

Moderator: The next question comes from the line of Sohail from ULJK Group Financial Services.

Sohail: I wanted to ask a question about what's happening at the ground level with the loan collection officers, like perhaps you could give some light on the attrition rate over there.]

Rajesh Sharma: So, your question is related to the attrition in the team member of the collection team. So, our collection team is quite stable in the sense on the ground because we had a good collection efficiency, good technology and also the incentive plan. So, it is less than 20%.

Sohail: 20%. I see, I see. And I had another question regarding the construction finance book. So lately, we have seen a huge growth in this segment. But previously, we had faced a lot of defaults in this segment. And any particular steps you are taking to see this from happening again?

Rajesh Sharma: First of all, our construction finance is also done in a retail way. Our average ti

cket size is INR13

crores on a portfolio basis. And if you see, our INR3,700 crores portfolio is spread across 275 - plus projects. It is not that we are giving INR200 crores, INR300 crores sanction. Most of the sanctions are less than INR25 crore. So these are smaller projects.

Plus, in any case, real estate sector is doing well. The demand of housing is doing well. So we are seeing that sales are happening, and this segment is offering a low operating cost, a good profitability model. Now it's more than 12 years, we are doing it. And even including the few write-offs, our yield is high, even though we account those losses.

And hardly, we have seen any delinquency. And collectively in last 10, 12 years, we haven't seen the NPA s more than INR250 crores when we would have lend more than INR12,000 crores. So it is a very strong, stable team that we have and a very deep ground understanding which we have.

Capri Global Capital Limited

Q3 FY25 Concall Transcript | January 27, 2025

Page 9 of 12

Moderator: The next question comes from the line of Shalin Kapadia from IIFL.

Shalin Kapadia: So I only have one question. So we have heard from some of the competitors that they have started offering gold loans as EMI -based product with monthly EMIs. So is this something that you have also heard from regulators and is mandatory to offer? And also, if it is so, then how does it impact your growth or asset quality?

Rajesh Sharma: So gold loan always have various schemes, including monthly repayments. So that is not something new. Neither there is any direction from regulator. Regulator never say what should be a product. Regulator always say, your compliance requirement are A, B, C, D, you can do it. How you design your product, they don't guide us, but there's no instruction or circular on that as such.

Moderator: The next question comes from the line of Rohit Shinde from Market Memories Wealth Advisors Private Limited.

Rohit Shinde: So sir, my first question is with a target of INR30,000 crores AUM by FY '27, what strategic initiatives are being prioritized to achieve this milestone? Can you share your guidance for asset quality and profitability as well? And which segment or geographies do you expect to drive growth in the near term?

Rajesh Sharma: So we are not focusing on growth without being mindful about the asset quality. Asset quality, we intend to keep net NPA not more than 1%, and that's the philosophy we will continue to do.

As regards the growth from where it will come, the growth will continue to come from our existing segment of gold loan, MSME, micro LAP, construction finance affordable housing.

Now for the further growth, we'll add a few more branches. And with that, I think to reach from INR20,000 crores to INR30,000 crores, it should not take us a longer time. You can guess that from the kind of growth we are seeing, it should be achievable before. More than that, market offers that opportunity. There's a huge gap still there, and there's a big addressable target market which exists in these segments.

Rohit Shinde: Yes. Sir, the second question is, as you transition towards becoming a technology -driven NBFC, can you share some recent advancements or digital initiatives aimed at improving customer experience and streamlining operations? How is technology being utilized to expand our reach into rural and underserved markets, sir?

Rajesh Sharma: So I wanted to say that we are indeed a technology -led NBFC. While we operate in the segment, which are in an informal segment, but our all processes are digitized and automated. So even in the gold loan, I just want to take two minutes. When the customer walks in, in our branch, he has to just bring the gold ornaments, and no paper is required. He is onboarded with his Aadhaar OTP or face recognition.

Capri Global Capital Limited

Q3 FY25 Concall Transcript | January

His PAN is verified. And once he offer s the ornament, we weigh the ornament and check the purity . Ask the customer to download our app and customer is given their colored photograph through the app of its ornament along with the weight and the most important terms and condit ions including rate upfront, et cetera.

Once he say s he's agree ing with whatever scheme he wanted to choose , we send him the OTP - based agreement, which is signed through OTP. And then amount is disbursed in his bank account or the payment wallet . So there's zero paperwork involved even in the INR30,000 loan taken by a person who doesn't know how to sign. So that way, we have gone very deep with technology .

And because of this automation across affordable housing , MSME and everything, our growth is doing better. We are doing better than the competition plus our data analytics team is able to now predict the customer behavior not only for the repayment, but also what kind of customer target and which category we should service.

So definitely, technology is the way forward. This is not a one -time. This is for ongoing basis. We have set up a tech center, which is in Gurgaon. We have 125 -plus engineers and 25 data scientists. Our data scientists are across Bangalore, Pune, Mumbai and Delhi.

So, we are building that up, and it's going to be a regular feature. This is not one -time. So we keep enhancing our offering for our team and our customers. And going forward, our turnaround time, which has come down in all the segments, will continue to be better , outperform the competition as well as it will improve the productivity, thereby bringing our cost -to-income ratio much lower. It is a sign of better productivity.

Rohit Shinde: And sir, in your goal to develop a INR1,000 crore s loan book in Rooftop Solar financing, could you elaborate on your collaboration with Credit Fair, which we did previously, sir? And how will this partnership enhance the speed of loan approvals and disbursements within the solar financing sector?

Rajesh Sharma: So INR1,000 crores AUM is not the target for 1 year. INR1,000 crore s target will be in the period of next 4 years or so, and it will be governed by the government subsidy scheme. So, so far, government subsidy scheme will remain , there will be a strong demand for this product. Having government focus on the renewable energy where the subsidy is up to 75%, I think there's a great demand here. We have now launched the pilot product. And now we will scale this in the coming year. And we will see how fast this grows. This is a part of MSME in any case.

Rohit Shinde: And sir, finally, a small question is regarding your advertising and marketing expenses. So what was the budget you had for this fiscal year? And how much is it remaining? And is there any --

Capri Global Capital Limited

Q3 FY25 Concall Transcript | Janu ary 27 , 202 5

going ahead for the next few months or next year, any basically color you can throw on the advertis ing and marketing expenses?

Rajesh Sharma: So we have a budget of about INR15 crores for marketing, which comprises of radio, which comprises of hoarding , which comprises of newspaper, which comprises of the media. So combination of this INR15 crores is our budget. And till 9 months, we have already spent about close to INR10 crores.

Moderator: The next question comes from the line of Dr. Pradeep Kaushal from Royal Global University.

Pradeep Kaushal : Yes. So , in the beginning of the presentation, you told that you are going to fo cus less on the opening the branches. Rather, you will focus more on the business. So can you elaborate this particular point you made in the beginning?

Rajesh Sharma: So now we have 1,066 branches. Our branch expansion will happen across MSME, affordable housing , gold loan and micro LAP . And when you want to grow, the growth wil

I come, from

the growth of existing branches and also entering the newer market. For next year plan, we will plan by March. And then from June onwards, we'll start adding the branches. So far, we have not firmed up how many exact branches we'll be opening. But definitely, about 100 to 150 branches we intend to open. But that plan is yet to be firmed up in exact numbers.

Pradeep Kaushal : So what I suppose, sir, from the voice spoken by you just now that you are going to open maybe 100 to 200 branches per year in the coming years?

Rajesh Sharma: So next year, yes. Next year, we are going to open anything between 100 to, 200, but we make our budget in the month of February and till mid-March we finalize , when we keep our meeting

with all the business heads internally and go to the Board for that. So that exercise is still pending to arrive at the exact number. But yes, every year, if you see the past track record, we have kept adding branches year after year.

Pradeep Kaushal : Okay. That sounds great. And I want to know what is the reason behind such a kind of a strategy? And how it is going to impact the profitability in the future?

Rajesh Sharma: So branches, when we open, we have to grow them , then we have to add more branches in terms of newer markets. And the branches, depending on product to product, initially, they take some time to break even. Some MSME branches take 3 to 6 months, and gold loan take about 12 to 15 months. And after that, they start contributing, and start adding to the profit.

Moderator: As there are no further questions, I now hand the conference over to the management for their closing comments.

Capri Global Capital Limited
Q3 FY25 Concall Transcript | January 27 , 2025

Page 12 of 12

Rajesh Sharma: So as we look ahead, we see significant market potential across all our business segments, MSME, micro LAP , housing , gold loan, construction finance and see us continue to deliver industry -outperforming growth while expanding our spreads. We will keep investing in artificial intelligence and data science capabilities and empower our sales staff with the latest digital app, which will help them serve our customers faster and with better cost efficiency.

Given all our book is secured and granular, we feel quite comfortable of keeping our credit costs and asset quality under control. On the liability front, we continue to deepen our lender relationship and feel comfortable of securing additional credit lines with a better pricing. We remain confident of achieving our earlier guidance of INR30,000 crores AUM by FY '27 and delivering mid -teen ROE by then.

Thank you, and we look forward to seeing you all again in fourth quarter FY '25 results call.

Thank you.

Moderator: Thank you. On behalf of Capri Global Capital Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

May13,2025

TheSecretary

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PheerozeJeejeebhoyTowers

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Sub:Transcriptoftheearningsconferencecallforthequarterended31stMarch2025–Regulation30and 46oftheSecuritiesandExchangeBoardofIndia(ListingObligationsandDisclosureRequirements)

Regulations,2015("SEBIListingRegulations")

DearSir/Madam,

IntermsOfRegulations30and46readwithclause15ofParaAofPartAofScheduleIIoftheSEBIListing

RegulationsandfurthertoourletterdatedApril30,2025,andotherapplicableprovisionsoftheSEBI

(ListingObligationsandDisclosureRequirements)Regulations,2015("SEBIListingRegulations"),please

findenclosedherewiththetranscriptofEarningsConferenceCallforthequarterandfinancialyear

endedMarch31,2025,heldonWednesday,May07,2025,whichconcludedat12:52p.m.(IST).

Further,pleasenotethatthisintimationisalsoavailableonthewebsiteoftheCompany.

Theaboveisforyourinformationanddisseminationtoallthestakeholders.

Thankingyou,

Yoursfaithfully,

forCapriGlobalCapitalLimited

YasheshBhatt

CompanySecretary&ComplianceOfficer

MembershipNo.:ACS20491

Encl.:Asabove

Page 1 of 17

Capri Global Capital Limited

Q4 FY25 Earnings Conference Call

May 07 , 202 5

MANAGEMENT

MR. RAJESH SHARMA – MANAGING DIRECTOR

MR. PARTHA CHAKRABORTI , CFO

MR. SANJEEV SRIVASTAVA , CRO

MS, DIVYA , DIRECTOR BUSINESS STRATEGY

MR. HARDIK DOSHI – CORPORATE FINANCE & INVESTOR RELATIONS

Indian Numbering System Legend

■ 10 Lakhs = ■ 1Mn

■ 1 Crore = ■ 10Mn

■ 100 Crores = ■ 1Bn

■ 1 Lakh Crore = ■ 1Tn

NOTE:

1) This transcript has been edited for lucid reading. To that extent, this is not a verbatim transcription of the audio transcript.

2) Factual correction/s are superscripted at relevant places in the transcript and are explained in footnote/s.

Moderator: Ladies and gentlemen, good day and welcome to the Capri Global Capital Limited Q4 FY '25 Earnings Conference Call hosted by Go India Advisors. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr. Hardik Doshi from Capri Global Capital Limited. Thank you and over to you, sir.

Hardik Doshi: Hi. Good afternoon, everyone and welcome to Q4 FY'24 -25 earnings call for Capri Global Capital Limited. This is Hardik Doshi, Head Corporate Finance and Investor Relations. Let me read out the disclaimer for today's call. Today's call regarding Capri Global Capital Limited earning performance will be based on judgments derived from the declared results and information regarding business opportunities available to the company at this time.

The company's performance is subject to risks, uncertainties and assumptions that could cause results to differ materially in future. Given these uncertainties and other factors, participants in today's call may observe due caution while interpreting the results. The full disclaimer is available on Slide 41 of the earnings presentation. Participants are requested to take note of the same. With us today on the call, we have Mr. Rajesh Sharma, Managing Director and Promoter of the company, Mr. Partha Chakraborti, Chief Financial Officer, Mr. Sanjeev Srivastava, Chief Risk Officer and Ms. Divya Sutar, Director, Business Strategy. Let me now request our Managing Director, Mr. Rajesh Sharma, to present the opening remarks. Over to you, sir.

Rajesh Sharma: Good afternoon, everyone and I hope you all are doing very well. We announced our audited financial results for the fourth quarter and full year ended March 31, 2025 on May 5th. I trust you have had an opportunity to review the earnings presentation which is available on our website. I am pleased to report that Capri Capital Global Capital has closed FY '25 on a strong note, delivering our best financial performance, backed by robust growth across our core segments, while maintaining disciplined risk and cost management.

Our strategic focus on underpenetrated customer segments backed by a digital approach and operational excellence, continues to yield tangible results. We have expanded meaningfully across all our core businesses, MSME, affordable housing, gold loan and construction finance. With over 1,111 branches and a growing base of more than 7 lakh customer relationships, our reach into Tier 2 to Tier 4 markets have never been so strong.

Capri Global Capital Limited
Q4 FY25 Concall Transcript | May 7 , 2025

Alongside our lending business, we have also seen strong progress in non-interest income streams, which together contributed more than 27% over net income for FY '25, led by insurance distribution and car loan origination. These asset light income streams enhance our capital efficiency and provide high ROE upside while enabling deeper customer engagement. Technology continues to be our core enabler. From loan origination to collection, our in-house developed end-to-end digital journey including application for sales mobility called Pragati app, for customer's app called Capri Loan app, collection app called CollectXpress and LoanXpress, our LOS, for valuing a property our technical app and in delivering faster turnaround times and deeper customer insights.

In the gold loan segment, we have operationalized rapid sub-30-minute disbursement with fully digitized customer journeys and AI powered security infrastructure. Our u

se of advanced data

science including AI and machine learning based underwriting scorecard, risk based pricing and real time collection dashboard is driving sharper portfolio performance and enhancing operational productivity.

I shall now move to the commentary on business earning performance. We closed FY '25 with a strong momentum delivering a consolidated AU M of the INR 22,857 crores, marking a robust 46% year-on-year growth. This performance reflects the success of our diversified strategy across secured retail lending segment. The gold loan business continued to scale at an accelerated pace supported by a strong branch network and seamless digital experience growing over 130% year-on-year.

Our housing vertical also maintained its upward trajectory driven by healthy demand in affordable housing across Tier 2. Tier 3 cities, posting over 24% growth during the year. Our total disbursement for Q4 FY '25 stood at INR 8,389 crores, growing by 41% year-on-year basis. Notably, our portfolio remains largely retail and fully secured. With over 100% of the

book backed by collateral underscoring our disciplined approach to risk while maintaining our commitment to financial inclusion through responsible credit.

Our co-lending platform continues to demonstrate strong momentum and strategic relevance.

As of FY '25, our co-lending AUM stood at INR 4,079 crores, accounting for approximately 18% of our total AUM compared to 12% a year ago. We have meaningfully enhanced the acceptance ratios throughout across co-lending programs by streamlining our onboarding and credit assessment workflows. Co-lending remains an efficient tool for high ROE generation, capital conservation and liability diversification.

We continue to build a well-diversified and secured retail portfolio with MSME and housing finance together comprising 46% of our total AUM. As of March 2025, MSME stood at INR

Capri Global Capital Limited

Q4 FY25 Concall Transcript | May 7, 2025

Page 4 of 17

5,278 crores while Housing Finance AUM reached to INR 5,202 crores, growing 24% year-on-year.

MSME growth is being supported by the scaling of Micro LAP across 84 branches. Both segments maintain an average disbursal ticket size in the range of about INR22 lakh, ensuring granularity and asset quality. With a continued focus on underserved markets backed by tech-enabled credit underwriting and branch expansion, we expect sustainable growth ahead in these segments.

Our gold loan AUM grew sharply to INR8,042 crores in FY '25, reflecting a robust 130% year-on-year increase, driven by strong customer demand and rapid branch level scale up. With a network of 803 specialized branches across 10 states, we achieved an average AUM per branch of INR 10 crores where over 95% of our branches are surpassing INR5 crores of AUM.

The business continues to benefit from a fully digital loan journey, AI powered security system and high customer retention with repeat customers accounting for over 50% of the portfolio. As we deepen our geographic footprint and scale through co-lending tariffs, we expect gold loan to remain a high growth and high yield contributor to our secured lending portfolio.

Our construction finance AUM grew to INR4,133 crores, marking a strong 58% year-on-year increase supported by sustained demand in the residential real estate market and a healthy pipeline of our affordable housing projects. We maintain a granular and well diversified book comprising of 282 live projects with an average sanctioned ticket size of around INR27 crores. The business continues to focus on mid-size residential development in metro and Tier 1 cities, offering construction linked funding solutions through a robust diligence in escrow-based repayment and monitoring mechanism.

Let me now provide an update on our core earnings. Our yields and spreads expanded further in the quarter to 17.3% and 7.8

% respectively; primarily on account expansion in yields for

housing loan and gold loan. Our net interest income for Q4 FY '25 reached to INR 381 crores, marking a 49% year-on-year increase as FY '25 reached at INR 1,332 crores, marking a 35% per year-on-increase driven by margin expansion and robust growth in our loan book.

Our non-interest income continued to scale meaningfully in FY '25, Contributing nearly 27% of our net income, this growth was led by three strategically important verticals, car loan origination, co-lending and insurance. Our car loan origination business generated INR96 crores in net fee, backed by disbursement of INR10,700 crores.

Capri Global Capital Limited

Q4 FY25 Concall Transcript | May 7, 2025

Page 5 of 17

With it again across 813 locations in 31 states and union territories, and partnership with 12 banks and NBFCs, we have established ourselves as a key sourcing partner in the space, offering speed, reach and consistent volume. The insurance, tied up with 18 leading insurers in life, health, and general category and closed the year with a net fee income of INR73 crores. Our focus on digitally-enabled embedded insurance journey and cross-sell initiative especially in Tier 2 and Tier 3 markets will drive this income stream going forward. Meanwhile, co-lending income stood at INR165 crores, supported by rising disbursal volume and partner banks. Together, these three driven verticals are creating scalable capital efficient growth level levers and enhanced operating leverage and deepened customer relationships across the platform.

Our distribution network remains a key enabler of scale and reach with our branch count expanding to 1,111 and employee base crossing 11,410 by the end of FY '25. Having made

such significant upfront investment in physical infrastructure over the past 3 years, our current priority is to drive higher productivity per branch and extract benefit of economies of scale. This shift is already yielding results, as our cost-to-income ratio improving meaningfully from a peak of 70.5% in Q4 FY '24 to 54.8% in Q4 FY '25.

We expect this trend to continue as our branch network matures, tech adoption deepens and operating skill improve across core lending verticals. As a result, our pre-provisioning operating profit increased significantly by 132% year-on-year to INR254 crores for Q4 FY '25 and by 61% to INR 734 crores for FY '25.

Our asset quality continues to hold steady, supported by the secured nature of our portfolio and measured approach to risk. During the fourth quarter, credit cost remained well-contained at INR 18 crores with full year number at INR101 crores in line with our expectation. We saw a steady improvement in delinquency with Gross Stage 3 assets at 1.5% ending in Q4 FY'25 versus 1.9% year-on-year and Net Stage 3 assets at 0.9% ending Q4 FY'25 versus 1.1% year-on-year.

We have maintained the provision coverage ratio of 41.7% on Stage 3 loans reflecting our prudent stand. These outcomes are a result of consistent efforts in strengthening our collection system using sharper risk filters at origination and ensuring closer monitoring as we scale. We continue to maintain a strong liquidity position of more than INR1,827 crores through cash and cash equivalent and undrawn credit lines across CGCL and CGHFL.

During FY '25, we got new credit lines of INR7,625 crores sanctioned for CGCL and CGHFL.

Our capital adequacy ratio for both CGCL and CGHFL remains strong and stood at 22.8% and 26.9%, respectively. Our continued focus on scaling high-margin businesses and focus on cost

Capri Global Capital Limited

Q4 FY25 Concall Transcript | May 7, 2025

Page 6 of 17

efficiency is now reflecting in our bottom line. In Q4 FY'25, our consolidated net profit rose to INR178 crores, an increase of 11.5% year-on-year and 39% quarter-on-quarter. For the full year, profits

stood at INR479 crores, up 71% from the previous year.

These gains also translated into improved return ratio with ROE and ROA for the quarter is 16.9% and 3.6% and of 11.8% and 2.7% for FY25. In addition to enhancing our in-house development application, we are making investments in implementing generative AI for better underwriting assessment, fraud detection and cost efficiency. We continue to strengthen our collection process using data analytics for channel strategy based on customers partial payment behavior, monitor real-time collection, optimize route maps for fees agents and use AI-based live tracking for higher productivity. This has resulted in robust average collection efficiency of around 99%.

Lastly, we continue to focus on driving improvement in turnaround time, enabling us to meet our customers expectation faster through hassle-free and timely disbursements. ESG continue to be a core enabler of our long-term strategy embedded across operations, governance and stakeholder engagement. This year, we were recognized with an S&P Global Corporate Sustainability Assessment score of 49, well above the industry average of 30 and ranked 99 percentiles globally on financial inclusion with a score of 75, a reflection of our deep commitment to underserved markets.

On the environmental front, we have adopted responsible practices, invested in low-carbon digital infrastructure and aligned operations with the UN Sustainable Development goals.

Socially, we continue to foster the inclusive safe workplace through training, wellness and diversity programs.

On the governance front, we have put in place robust oversight framework guided by a well-balanced Board and external expertise, ensuring that our decisions remain transparent, accountable and in the long-term interest of all stakeholders.

With that, I conclude my opening remarks. We shall now take the questions.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Sohail Kanali from ULJK Financial Services Limited.

Sohail Kanali: The first question I have is about our gold loan book growth. We have grown at a very high rate, and we reached INR8,000 crores AUM in the last few years from 2022. So how would you say the journey has been how have we been able to go towards this rate?

Capri Global Capital Limited

Q4 FY25 Concall Transcript | May 7, 2025

Page 7 of 17

Rajesh Sharma: So, you have seen that we have added the capacity and capability to both. Capability by putting our collection processes automation driven by data science tools and invested on our

training and imparting on how to use these tools to our 525 -plus people in the collection. Investing on the technology side, we have set up a tech center of 150 people on the technology of 25 data scientists. And on capacity -wise, we have expanded branch network and added more product s.

So, growth is coming because of all these reasons. And I think our branches, which if you look at 4 years ago, it was just 120, which is now 1,111 Branch. So, because of those expansions and upfront investment done, they have started yielding the results.

Sohail Kanaliil: Got it. And also, business per branch, we are at around INR9 crores per branch right now. That itself is much higher than the competition? So any comments on that?

Rajesh Sharma: You mean the competition is having or we are having higher?

Sohail Kanaliil: We are having higher?

Rajesh Sharma: So, o ur per branch gold loan AUM is almost now in March is in the range of about INR10 crores. And I think it is because of that right selection of the branches and right way of servicing the customer so he is coming to us for repeat business by building the digital journey. And also our customer service, which is quite transparent where without using pen and paper the entire disbursal happens. I think because of that,

we are able to build this AUM

and I think, there's a lot of potential still exists ahead on ground to continue to remain on this growth path.

Moderator: The next question is from the line of Shalin Kapadia from IIFL Capital. Mr. Shalin, I would request you to unmute your line and speak, please. Due to no response from the current participant, we will move on to the next participant.

The next question is from the line of Jay Mistry from Equirus Securities.

Jay Mistry: Congratulations on a great set of numbers, sir. So, I had 2 questions. The first question was on the yields of the gold loan, which are now at approximately 22% level. So, like with competition increasing and there's some regulatory scrutiny also hovering, so how does CGCL retain, would be retaining such yields in the current environment? And like to maintain these yields, would we be any way compromising on LTV or asset quality front in the future? That was the first question.

Capri Global Capital Limited

Q4 FY25 Concall Transcript | May 7 , 202 5

Page 8 of 17

And on the second question, we are seeing that our construction finance vertical has seen a quite uptick in the last couple of quarters. So, like what would be the key drivers for this acceleration? Like are we adding new developers? Or is it because of pent up demand or something? So those are my 2 questions, sir.

Rajesh Sharma: So, regarding the yield of gold loan, I think the more the retail portfolio we build, the yield can be around that level. Of course, it depends on the overall market as well as the demand and interest rate scenario. But in the near future, we don't see any sharp decline in our ROI of the gold loan offering.

And whether these are or will it impact our future growth if you look at some of the competition, they are in the similar range. It will depend on company -to-company what strategy they drive and how they want to do it, but it has no direct impact or bearing on the asset quality or LTV. LTV is about 71%, which is within the overall ceiling of 75%.

And in regards to asset quality, you see that our gold loan portfolio average maturity is not more than 6 months. So, every loan is getting closed within that period of time and those impacts are coming - there's no asset quality issues. So, we have seen that the asset quality has remain ed very stable. So, there are no surprises on that part.

Coming back to construction finance, the book is about INR4,100 crores. And in couple of last quarter, we have seen that there was a lot of good demand in terms of realization and the sale of those projects, and we have seen good traction. But overall construction finance will always remain at a conservative level, not more than 20%.

By following that, while the growth has been good, so is the collection, so is the asset quality. And that gives the confidence that overall, if the economy continues to grow, this construction finance will also continue to grow by maintaining a healthy book.

Moderator: The next question is from the line of Mayank Mistry, from JM Financial.

Mayank Mistry: I had two questions. First, is that our geographical presence seems more focused on North? So is this because the company competitive intensity is high in South or our focus is only on North. Or should we see the company expanding wings in the South going forward?

And my second question is that in the gold loan book, how much would be our consumption level and how much would be income generation? Because as per the latest guidelines I think there would be some more difficulties in the consumption -led gold loans. So, would you throw some light on the sir?

Capri Global Capital Limited

Rajesh Sharma: Yes. Mayank, so in regards to our expansion strategy so far, we have been very active in the North and West. But recently, we have entered in the South by opening Micro L

AP branches.

And this year, we'll be entering in the South by adding more housing finance , MSME , and gold loan branches.

So, in the second half, you will see that these segments will have branch network in Southern states like Andhra, Telangana, Tamil Nadu, Karnataka. So, we'll grow in that segment and that geography as well. Now coming to bifurcation of the gold loan between the self-employed non-professionals or for the purpose of consumption or for the purpose of business.

So, while exact data I may not be able to give you right now. But by and large, these people who borrow money, they are running some kind of a business. Now at the moment , we aren't tracking whether he is using the money for business purpose or consumption purpose. Of course, now the new guidelines have come but essentially all these loans are taken by some micro entrepreneur. And how many percent is going to business that is not yet trackable. Now once the guidelines which are draft once finally get notified, we will adopt in our underwriting standard as well as the customer onboarding process, noting that for what purpose he is borrowing the money. And that time probably you'll get the precise number.

Mayank Mistry: Okay. And one more question is on the car loan origination. I would like to know how the risk is in this business? I mean the CGCL take the whole risk book and while the fund is being disbursed by the bank, or how does this business work exactly?

Rajesh Sharma: So, this is a pure fee vertical where we just originate the lead and share. There's no capital involved, there's no risk involved. So, there's nothing but purely the fee income. The loan disbursement is decided by the bank, their underwriting rule. Our job is to just generate the lead and share with them. If they sanction or they reject it is up to them. But every case which is sanctioned and disbursed, we get our fees on that origination. It is pure DSA arrangement.

Moderator: The next question is from the line of Satyaprakash Pandey from Haitong Securities.

Satyaprakash Pandey: I have two questions. First is your spreads improved quarter-on-quarter due to higher yields, but cost of funding is highly rising, approximately 9.5%. What is your view on the spread sustainability if systemic liquidity tightens further or if credit rating don't improve materially?

Hardik Doshi: Cost of funds I think this year we've seen that the Reserve Bank of India has started releasing the liquidity. And rates have gradually, repo rate have come down. We clearly see there is no scenario of interest rate going up based on these indicators. And we believe that rates will soften on our incremental borrowing. And with regards to the rating upgrade . Now that the Capri Global Capital Limited

Q4 FY25 Concall Transcript | May 7 , 2025

annual results have come out , we will approach the rating agency and they will see where it fits into.

So interest rate going up, there is no scenario. In case we get rating upgraded, of course then there will be risk weightage change. And of course, incremental borrowing on immediate basis will get our cost of funds to come down on existing borrowing. Whenever the interest loan reset happens, that is the time when the interest rate is reset for the lower side and upgrade of the rating have happened.

Satyaprakash Pandey: Okay. My second question, can you break down the internal movement of account between Stage 1, 2 and 3 for the past 3 quarters. There are all geographies I have seeing higher migration risk and how are you adjusting underwriting filters accordingly?

Rajesh Sharma: So I will ask my colleague, Rajneesh, to take this question up.

Rajneesh Singhvi: So Stage 1 and 2, gross is around, the numbers are in millions so it is 1,84,9 17.

Hardik Doshi : So, if you refer to the Slide 26 of earnings presentation ...

Rajneesh Singhvi: So, should I call out numbers?

Saty

aparakash Pandey: No, it is okay, I'll take it from there.

Hardik Doshi : So, if you refer to the Slide 26 of the earnings presentation, there is a detailed breakdown of Stage 1, 2 and 3, along with the ECL provision for each of the stages for the last 5 quarters, including PCR.

Moderator: The next question is from the line of Shalin Kapadia from IIFL Capital.

Shalin Kapadia: I have two questions, please. So, with increasing digitization, how are you addressing the emerging risks such as algorithmic bias in the credit scoring model or cybersecurity threats in loan disbursement and repayment ecosystems?

And secondly, sir, in a scenario where RBI further tightens the norms on LTV or co-lending exposure, what contingency frameworks are in place to preserve margins, liquidity and disbursement momentum without raising the risk thresholds?

Rajesh Sharma: I'll take the second question first regarding the co-lending, recently RBI has come out with a draft guideline. It talks about how the LTV should be calculated. And what are the other measures in terms of whether the end use of the loan aspect is to be done. So, if you talk about

Capri Global Capital Limited

Q4 FY25 Concall Transcript | May 7, 2025

Page 11 of 17

LTV-related norms on the gold loan, I think that is going to benefit the overall sector, everybody where LTV will become little conservative for the bullet repayment loan.

As regard to other aspects, I think that is only improving the compliance that is not going to reduce the demand or the cost part of it. Of course, initially, once the new guidelines come on the technology side, with our banking partner the alignment between the two organizations about the technology platform of API rather has to be done.

But that is not going to change the earnings and the rate of interest and how the customer is serviced. That is more on the compliance and the customer given the churn statement and the common yield and all that. And with regards to increased digitization and cybersecurity threat, I think we already have engaged our consulting partner which include KPMG and BCG on the technology side, and we are using a few vendors to meet those requirements on a continuous basis.

Recently, we have appointed internally, E&Y from an assignment to strengthen the overall system. So that is ongoing. Now technology is not going to be a one-time affair. It is on a continuous basis getting changed, getting upgraded and keep on going.

So, I think if you see that we are spending close to about INR90 crores to INR100 crores a year on our technology, data science and other things on this aspect. So, we are heavily invested on this. And that becomes a part of it, no need to especially focus that something has to be done. It is an ongoing affair about upgrading based on the recent trends, guidelines and regulations.

Moderator: The next question is from the line of Shripal Doshi from Equirus Securities.

Shripal Doshi: I had this question on LTV. I don't know if you already answered. So, within gold there are couple of trends that are emerging. Firstly, the ticket size that we are targeting is inching upward. Secondly also the LTV, now typically with this new regulation coming in.

Where in regulator is asking to have 75% LTV is been monitored throughout the loan tenure.

And yet LTV is increasing in the quarter so, just wanted to understand the implication of this LTV norms by the regulator. And also, our strategy on ticket size within gold going ahead?

Rajesh Sharma: So our ticket size in gold is going to be more or less so granular that it will be in the range of INR1 lakh only. And it is not going to change dramatically. Second thing is that about LTV norm, the RBI is saying bullet repayment cases, these are the draft guidelines, you must calculate the interest which is going to accrue as a part of LTV, thereby it means that your loan amount will be on the lower

side. So, LTV will get effectively reduced to that extent.

Capri Global Capital Limited

Q4 FY25 Concall Transcript | May 7, 2025

Page 12 of 17

So overall, it is a positive, while the gold has not depreciated in a drastic manner whenever in the future it happens it create extra safety buffer LTV for these kinds of loan-to-value loans. It is being applied to overall everyone. So entire gold loan lending sector will adjust to these regulations and it is not going to have a long-term impact maybe initially you have to adjust it. But since these loans are always getting reset in 4 to 6 months and loans are getting foreclosed because tenure is not longer, it is not going to have a longer impact. Had these loans been 10, 12 years due to adjust, it creates a case of recovering that kind of amount to bring that LTV down. But being these are shorter period of loan; it doesn't pose a risk. So, I believe the entire sector will adjust to these norms.

Shripal Doshi: Correct. So just one follow-up here, with respect to so what percent of our gold book would be bullet repayment book?

Rajesh Sharma: So, I do not have exact number as of now. In case you require, we can take it out and do it separately. But we run the scheme where the interest is also offered monthly by choice or by options or by design.

And some of the cases are on a bullet repayment basis, but that bifurcation is not available because we are not segregated that way. It will require specifics; we can carve it out and give it to you.

Shripal Doshi: So just from the, like more from the trend perspective rather than from number perspective here, so the question is that at system level, would you say that majority of the loans that the NBFCs are doing would be more or less bullet repayment as an option?

And one more clarification that I needed here. So, when you say bullet repayment, is it like anybody paying, interest component at, let's say, even if you did a 12 -month annual product, and if the customer makes interest repayment to me, let's say, at the sixth -year end, sixth month end, even that will be classified as a bullet repayment only, right?

Rajesh Sharma: So to give precisely your answer, there are various options and schemes customer has to choose. And if the loan has been given on the monthly repayment basis and he doesn't pay any pay of the bullet, that will not classify the bullet repayment scheme.

Bullet repayment scheme on the day one, we decide that they will not pay any interest, then pay at the end of the repayment and interest together. So somebody is paying quarterly interest or monthly interest will not qualify in the bullet repayment nomenclatures.

Capri Global Capital Limited

Q4 FY25 Concall Transcript | May 7 , 202 5

Page 13 of 17

Now, there are various lenders also follow the process, and their customer has option to switch. That initially they take the bullet but they end up paying monthly or quarterly as and when. So, they are allowed to switch from one scheme to other by paying nominal charges of INR500 or something like that depending on what are the design of that scheme is. So, to pinpoint who is doing what and what is everybody's percentage is difficult to say at the moment.

But I think when common regulation comes, this is not something affect one player or other and everybody will adjust it. Ultimately, gold loan market, if you see, growth is coming from informal segment to formal segment.

Gold loan segment you are talking about, if you look at new players are coming, old players are continuing to grow 20%, 25% and new players are also growing. Thereby, it means there is a clear -cut market opportunity gap at this. It is not that four new players have come in and the old player market share has gone down or absolute AUM has gone down.

Then some of the largest players are growing at the pace of 18% -20% year after year.

Shripal Doshi: But, sir,

our tenure is not so solid. Right? Like, at system level also, like, I mean but I'll take that question separately. But just one question here was that so now incrementally, we have to classify a loan from day zero itself that it will be bullet repayment or it will be monthly repayment, and then accordingly decide the LTV.

However, that switching option which industry currently had, like, typically, at the time of disbursement, we give him a monthly repayment option, and then the customer moves to a bullet repayment . And then the interest rate changes typically. At the time of disbursement, i f it is 11% per annum, it gets shifted to 20% if, you know, he's going from the bullet repayment as an option.

So now you believe now the incremental policy limit and on day zero, you have to, decide monthly on bullet repayment and he's going f or monthly and then trying to switch to bullet equivalent, he cannot do that. Is it so?

Rajesh Sharma: He can do that provided he adjust to the new norm of LTV as and when they are declared.

Okay. So, suppose, put your question straight, suppose you have INR1 Lakh of loan, it is given at the 14% percent rate of interest for six months and 7% is there interest, LTV will get adjusted, registered at 75%, INR75,000 of loan. You are supposed to give only IN R68,000 of loan to him . So only that much adjustment has to be done.

Capri Global Capital Limited

Q4 FY25 Concall Transcript | May 7 , 202 5

Page 14 of 17

Shreepal Doshi: Right. Got it. So that much principle repayment the customer will have to do. Got it. This is very helpful. Thank you for answering my questions, and we can. Thank you.

Moderator: Thank you. The next question is from the line of Bhavin Pande from Athena Investments. Please go ahead.

Bhavin Pande: Thank you for the opportunity. So, if we look at Slide 17, a non -interest income has moved up significantly sequentially almost 2x of last quarter. So, what are the components that have contributed to this kind of a bump up? And also, what was the share of the insurance distribution business in this?

Rajesh Sharma: Hardik, you take that question.

Hardik Doshi: Yes. So, in the fourth quarter, you see the bump up in the other non -interest income. There is a component of insurance income also in that. I will give you the exact number how much it is.

So, around INR34 crores out of those INR102 crores that you see, is coming from the insurance. And as you know that we started doing insurance distribution from fourth quarter of last financial year. And since then, the insurance income has been kind of on a strong upward trajectory. For the full year, we have a net fee from the insurance of around INR73 crores.

Bhavin Pande: Okay. And are there the sources that also continue to be apart from insurance, would you expand on those?

Hardik Doshi: Yes. So, in total, our non-interest income is comprising of three components. One is car loan - net Car Loan Origination fee. That was around INR 24 crores for the fourth quarter FY 25. The other component is co-lending income, which was around INR55 crores. And the co-lending income is proportionate to the growth rate. So, higher the disbursement, higher the loan book growth, and also, the percentage of AUM that is under the co-lending. So, if you see from third quarter FY '25 to fourth quarter FY '25, a percentage of co-lending AUM has remained flat. So, this increase that you see from INR29 crores to INR55 crores is largely coming from the higher disbursal and the growth in the loan book.

And the third component within the non-interest income is the insurance fee income, which as I mentioned is INR34 crores for the fourth quarter FY '25 and INR73 crores for the full year. And apart from that, there are other components like treasury income, which is more like an investment income.

Bhavin Pande: Okay. That was really helpful. And sir, when we look at Micro LAP and

d Solar Rooftop kind of

businesses, how have they performed specifically in this quarter? Also, we have seen some sort of subdued performance in the MSME portfolio as compared to other segments. So, what

Capri Global Capital Limited

Q4 FY25 Concall Transcript | May 7, 2025

Page 15 of 17

would be the strategy around these two segments and overall MSME book from a strategic vantage point going forward?

Rajesh Sharma: So, our focus was on the MSME that we have grown, and micro-LAPs have been added. Since we were more focusing on the gold loan and we wanted to contain our growth within 50% range, as per the direction of our Board. So, we have diverted all our credit line towards the high yield product, which is the gold loan. However, this year, we are going to add more branches in micro LAP and MSME.

And this year, we intend to grow that segment again the normal growth about 15% to 20% kind of a growth in the MSME segment. And that segment will yield a good amount of profit because we understand that segment very well, we have been doing that segment since the last almost thirteen years. So, this year, you will see a lot of branch additions happening in that and growth will be back.

Bhavin Pande: Okay. That was really helpful, and good luck. Thank you.

Moderator: The next question is from the line of Varun Kumar, who is an Individual Investor. Please go ahead.

Varun Kumar: Hi. Congratulations for the good numbers. I just wanted to ask what will be the outlook for FY '26 regarding growth?

Rajesh Sharma: So, you wanted to know overall outlook or is it only gold?

Varun Kumar: Growth outlook.

Rajesh Sharma: Okay. So, growth outlook - we will continue to grow our book in all segments. And I think what we are aiming, earlier also. In the next few years, we are going to be growth in the range of 27% to 30% kind of range and we intend to reach INR50,000 crores of AUM book by FY '28. And we have already invested in technology and collection. And now we are building our branch network and since our tech center is already built, so it's more about keeping the pace ahead of others. So, I think INR50,000 crores reaching by FY '28 should be feasible. We are working on that.

Varun Kumar: Okay. Thank you.

Rajesh Sharma: About our ROE, while we will remain in the growth phase, but 1.5% to 2% ROE we intend to generate from pure free income play. And about overall ROE, we should be in the range of about 16% despite these new branches opex will get absorbed. So, on a steady state, our ROE

Capri Global Capital Limited

Q4 FY25 Concall Transcript | May 7, 2025

Page 16 of 17

could have been higher. But yes, since you wanted to grow, couple of 200 basis kind of impact of that will come. But we'll maintain the steady state ROE in the range of 16% in next few years.

Moderator: The next question is from the line of Arup, who is an Individual Investor. Please go ahead.

Arup: What kind of leverage ratio are you comfortable with? And do you have any QIP plan in mind for the next one year?

Hardik Doshi: Yes, sure. So, I think in terms of the leverage, currently, we are around 3.5x, on a debt -to- equity basis. We will not go above, 4x kind of a level , and that is something that we have maintained historically also.

In terms of the fundraising plan, we have taken the board resolution, as all of you guys would know, for the INR2,000 crores. And the timing of the fundraising would be based on the market conditions. So, we continue to evaluate that, but I think the exact timing would depend on the market conditions and how things play out from here onwards.

Arup: Okay. Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments.

Rajesh Sharma: Yes. Thank you. As we move into FY '26, we believe our core strategy focused on secure, granular le

nding, positions us well to capture sustained demand across MSME affordable housing, micro -LAP, gold loan and construction finance . Each of these segments offer large, underpenetrated opportunities in our distribution footprint, combined with the disciplined underwriting and deep product expertise, gives us a clear advantage.

We will continue to invest in technology and analytics, not only to improve turnaround times and risk assessment, but also to drive better productivity and customer experience across the board. With a fully secured book, improving operating metrics and healthy asset quality, we feel confident in managing credit cost even as we scale.

On the liability side, we are seeing strong engagement from lenders and remain well positioned to secure diversified and cost -effective funding as we grow. As the Indian economy continues to grow strongly and the market for retail lending continues to expand further, we are confident of capturing the huge opportunity available to us to grow strongly at 27% to 30% CAGR and deliver sustainable ROE of 16% plus by FY '28. Thank you once again for your continued support, and we look forward to continuing to engage in the quarters ahead.

Capri Global Capital Limited

Q4 FY25 Concall Transcript | May 7 , 2025

Page 17 of 17

Moderator: Thank you. On behalf of Go India Advisors, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

August 11, 2025

The Secretary

BSE Limited

Pheeroze Jeejeebhoy Towers

Dalal Street, Fort

Mumbai-400001

Scrip Code: 531595 The Secretary

National Stock Exchange of India Limited

Exchange Plaza, 5th Floor

Plot No-'C' Block, G Block

Bandra-Kurla Complex, Bandra (East)

Mumbai-400051

Scrip Code: CGCL

Sub: Transcript of the earnings conference call for the first quarter ended June 30, 2025 – Regulation 30 and 46 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements)

Regulations, 2015 ("SEBI Listing Regulations")

Dear Sir/Madam,

Interms of Regulations 30 and 46 read with clause 15 of Part A of Schedule III of the SEBI Listing

Regulations and further to our letter dated July 24, 2025 and August 03, 2025 and other applicable

provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI Listing Regulations"), please find enclosed herewith the transcript of Earnings Conference Call for the first quarter ended June 30, 2025, held on Tuesday, August 05, 2025, which concluded at 12:58 p.m. (IST).

Further, please note that this intimation is also available on the website of the Company.

The above is for your information and dissemination to all the stakeholders.

Thanking you,

Yours faithfully,

for Capri Global Capital Limited

Yashesh Bhatt

Company Secretary & Compliance Officer

Membership No.: ACS20491

Encl.: As above

Page 1 of 18

Capri Global Capital Limited

Q1 FY26 Earnings Conference Call

August 05, 2025

MANAGEMENT

MR. RAJESH SHARMA – MANAGING DIRECTOR

MR. KISHORE LODHA , CFO

MR. SANJEEV SRIVASTAVA , CRO

MS, DIVYA , DIRECTOR BUSINESS STRATEGY

MR. HARDIK DOSHI – HEAD, CORPORATE FINANCE & INVESTOR RELATIONS

Indian Numbering System Legend

■ 10 Lakhs = ■ 1Mn

■ 1 Crore = ■ 10Mn

■ 100 Crores = ■ 1Bn

■ 1 Lakh Crore = ■ 1Tn

Moderator: Ladies and gentlemen, good day and welcome to the Capri Global Capital Limited Q1 FY '26 Earnings Conference Call hosted by Go India Advisors. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Hardik Doshi from Capri Global Capital Limited. Thank you, and over to you, sir.

Hardik Doshi: Good morning everyone and welcome to Q1 FY '26 Earnings Call for Capri Global Capital Limited. This is Hardik Doshi, Head, Corporate Finance and Investor Relations. As a brief disclaimer, the discussion on today's call regarding Capri Global Capital Limited's earnings performance will be based on judgments derived from the declared results and information regarding business opportunities available to the company at this time.

The company's performance is subject to risks, uncertainties and assumptions that could cause results to differ materially in the future. Given these uncertainties and other factors, participants on today's call may observe due caution while interpreting the results. A full disclaimer is available on Slide 63 of earnings presentation, which is also available on our website.

Participants are requested to take note of the same.

With us today on the call, we have Mr. Rajesh Sharma, Managing Director of the company; Mr. Kishore Lodha, Chief Financial Officer; Mr. Sanjeev Srivastava, Chief Risk Officer and Ms. Divya Sutar, Director Business Strategy. I now request our Managing Director, Mr. Rajesh Sharma, to present the opening remarks. Over to you, sir.

Rajesh Sharma: Thank you. Good afternoon, everyone. I hope you are all doing well. We announced our unaudited financial results for the first quarter of the financial year 2026 earlier this month on 1st August. I trust you had the opportunity to review the earnings presentation, which is also available on our website.

Before I move on to the financial and operational highlights, there are a couple of things I would like to specifically highlight during the quarter. We successfully completed a Qualified Institutions Placement, raising INR2,000 crores in primary equity capital. This was a landmark event for the Capri Global marking our first QIP in over a decade.

The offering received a strong and broad-based response from both domestic as well as foreign institutional investors, which we view as a powerful endorsement of our financial performance, governance standards and long-term strategic road map. This capital infusion significantly strengthened our balance sheet and enhances our ability to scale operations across core lending verticals, including MSME, affordable housing, gold loans and construction finance.

Importantly, it also provides us with the additional flexibility to invest in next-generation technologies, including generative AI and data science capabilities, which continue to play an instrumental role in sharpening our underwriting, risk management and customer engagement. Beyond business expansion, this fundraise opens up new avenues to further diversify our borrowing and deepen our liability franchise.

As we scale responsibly, we remain focused on improving credit access for underserved customer segment, driving greater operating efficiency and building a resilient, well-diversified secured portfolio. Coming to our business and earnings performance during the quarter. Overall, I would say it is a good start to the year, a good quarter on volume, a

asset under

management, opex, profitability, ROA and ROE. We commenced FY '26 with healthy momentum across our lending businesses. As of June 30, 2025, our consolidated AUM stood at INR24,754 crores, registering a year-on-year growth of about 42%.

This performance was led by robust retail AUM growth, driven by 69% year-on-year surge in gold loans and 32% Y-o-Y increase in housing loans. Co-lending AUM reached about INR4,681 crores, up by 64% year-on-year and contributing 18.9% of consolidated AUM versus 17.8% in Q4 FY '25, underscoring our deepening partnership with leading banks.

Disbursement for the quarter grew 51% year-on-year to INR8,458 crores, supported by expanding distribution reach improving customer onboarding. Growth continues to be granular and well-diversified with number of customers surpassing 5.5 lakhs, reinforcing the strength and scalability of our retail-led model.

MSME loan grew to reach INR5,477 crores, while our housing finance portfolio stood at

INR5,490 crores, translating to robust year -on-year growth of about 14% and 32%, respectively. The MSME business is gaining from our calibrated rollout of small ticket -sized secured business loan called Micro LAP, now present in over 94 locations, helping us reach emerging self -employed borrowers with lower ticket size requirement.

In housing finance, we continue to see resilient borrower demand across the affordable segment, where rising urbanization, income formalization, and housing upgrades are driving demand for secured credit. Further, Pradhan Mantri Awas Yojana subsidy scheme is also fuelling the growth.

Our gold loan business maintained strong momentum in quarter 1 FY '26 with AUM rising 69% year-on-year to INR9,105 crores. The portfolio is supported by 821 specialized branches with average AUM per branch at INR11.1 crores. As of June 25, 737 branches are operating above Capri Global Capital Limited

Q1 FY26 Concall Transcript | August 5, 2025

Page 4 of 18

the breakeven of INR5 crores AUM per branch mark. The fully digitized loan journey, AI -enabled security system and high customer stickiness driven by repeat borrowers of 55% to power this growth.

With ongoing network expansion and the activation of co -lending partnership , gold loans remain a key growth driver of high -yield secured growth business model. Our construction finance portfolio grew 61% year -on-year to INR4,521 crores, now funding our 280 active residential projects with an average sanction ticket size of INR41 crores.

The book remains well diversified and granular, reflecting our focus on working with mid-sized developer in metro and Tier 1 cities. We continue to emphasize disciplined underwriting through rigorous due diligence and escrow -based cash flow management, ensuring a risk -first approach. Demand in the affordable mid -income housing segment remains strong, providing a steady pipeline for a scalable and prudent growth.

Now I'm turning to earnings performance. Let me now provide an update on our core earnings.

Our yields and spreads on net advances remained healthy in the quarter at 16.9% and 7.2%. Our net interest income for Q1 FY '26 reached at INR416 crores, marking a 38% year -on-year increase, driven by a robust growth in our loan book.

We continue to strengthen our non -interest income streams in Q1 FY '26, reinforcing our strategy of building a diversified and resilient earnings profile. Non-interest income grew 53% year-on-year to INR166 crores, contributing 28.5% of net total income for the quarter, driven by strong growth in core lending fee income and insurance distribution. Our car loan distribution business maintained its steady momentum with originations of INR2,651 crores in Q1 FY '26, up 19% year -on-year.

With a growing footprint and deep relationship across 12 partner banks and financial distribution. We have built a scalable and high -volume platform in this

segment. In insurance

distribution, we generated net fee income of INR28 crores in the quarter. With partnerships across 18 insurers and increasing penetration across our retail customer base, we expect this business to become a meaningful contributor to our overall fee income going forward.

Meanwhile, co -lending income stood at INR73 crores, supported by rising disbursement volume with partner banks. Our branch network expanded to 1,138 locations in Q1 FY '26 with a net addition of 27 branches while our employee base remained steady at 11,546 . Over the past few quarters, we have seen a clear shift in operational efficiency with our cost -to-income ratio improving meaningfully to 46% in Q1 FY '26 , from 55% in Q4 FY '25 and 65% in Q1 FY '25.

During the quarter, we had onetime benefit of the INR15 crores in the operating expenses due to the reversal of provisions on account of change in the perquisite policy. Adjusted for that, our Capri Global Capital Limited

Q1 FY26 Concall Transcript | August 5, 2025

Page 5 of 18

cost-to-income ratio would have been 49%. The sharp improvement reflects the benefit of our maturing branch network, rising productivity due to various AI -enabled tools and increasing digital enablement.

Pre-provision operating profit surged 115% year -on-year to INR312 crores during the quarter, underscoring the impact of operating leverage and disciplined execution. As our network continues to mature and technology adoption deepens, we see further headwind to drive productivity gains and sustain this trend of improving operating efficiency.

We continued our strong profitability momentum in Q1 FY '26, delivering a robust profit after tax of INR175 crores, up 131% year -on-year. This sharp growth was driven by expanding margins, operating leverage benefits and consistent performance across all key business

segments, despite the impact of recent equity fundraise, return ratios remained healthy with ROAE of 13% and ROAA of about 3.2% for the quarter.

As regard to our asset quality, our credit cost for the quarter increased to INR81 crores in Q1 FY '26 from INR18 crores in 4Q FY '25 or 1.6% of the gross loan book and our provision coverage ratio on Stage 3 loans remained at 41%, demonstrating our prudent provisioning and conservative approach to risk management.

Increase in credit cost was on account of higher ECL provision of INR55 crores, mainly driven by increase in Stage 1 provision of INR24 crores, increase in Stage 2 assets in MSME and housing loan of INR71 crores, resulting in an incremental provision of INR22 crores; one account in construction finance with outstanding loan of INR16 crores slipping into NPA, on which provision of INR8 crores has been created. However, there was a write-back of INR7 crore s provision due to recoveries from the previous accounts; one-off provision on car loan receivables of INR11 crores

Our gross Stage 3 asset ratio were at 1.7%, marginally higher on a sequential basis, but improved by 48 basis year-on-year, while net Stage 3 ratio stood at 1%, down 19 basis year-on-year. Collection efficiency remains strong, reinforcing the resilience of our portfolio. We are further enhancing our risk management framework by leveraging advanced analytics and data science, thanks to sharpened customer risk profiling and improving underwriting ensuring disciplined sustainable growth.

Following the successful completion of INR2,000 crores equity raised through QIP during the quarter, our balance sheet is significantly stronger, providing ample headroom to accelerate growth across businesses, while maintaining financial prudence. This capital infusion has resulted in a robust stand-alone capital adequacy ratio of 34% for CGCL, supported by a total Capri Global Capital Limited

Q1 FY26 Concall Transcript | August 5, 2025

Page 6 of 18

equity of INR6,438 crores while Capri Global Housing Limited

closed the quarter with a healthy capital adequacy of 29%.

Liquidity remains comfortable with INR3,700 crores in cash and bank balances, investment in undrawn credit lines across CGCL, CGHFL, giving us the agility to navigate evolving market conditions and deploy capital strategically. Borrowing stood at INR15,979 crores with a debt-to-equity ratio of 2.5x. We continue to diversify our funding mix by tapping capital markets, increasing the share of NCDs and commercial paper.

During the quarter, we successfully raised INR150 crores of NCDs at competitive rates between 9% to 9.25%. Our Board has also approved a public NCD issuance up to INR1,000 crore s, which we plan to tap opportunistically. Additionally, the softening interest rate environment, driven by reduction in the repo rate and subsequent decline in MCLR is expected to further lower our cost of borrowing, supporting our profitability.

Our technology investments remain foundational to our ability to scale securely and efficiently. We invested INR26 crores this quarter in technology, data science and systems, reflecting our belief that technology is not a onetime capex, but a continuous engine of transformation. We are focusing on leveraging generative AI in further enhancing our processes for evaluating customer profiles, collateral in collections, cybersecurity and compliance-led upgrades remain core priorities as we expand our digital footprint.

I'm also pleased to share that Capri Global has received a strong ESG rating of 69 from NSE Sustainability Rating Analytics, placing us ahead of the most listed NBFCs on the NSE and reflecting our robust governance practices as well as our structured approach to environmental disclosures. While we see room to further strengthen the social pillar, this rating is a strong validation of our ESG journey and our commitment to responsible growth.

Complementing our ESG progress, we continue to strengthen our brand visibility through impactful campaign like Tarraki Ke Haath, which has significantly enhanced awareness and recall across our key markets. Backed by a 360-degree media plan, expanding TV, print, digital and branch level activation, this campaign is helping us to build not just visibility, but also deeper emotional connect with the people we serve.

Now we would like to open the session for question and answer.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Gaurav Purohit from Systematix.

Gaurav Purohit: So I have a few questions. I'll start with growth. Growth has been fairly robust in the recent quarter. And given the current momentum that you're seeing, is there a possibility that we exceed the 30% guided growth range for the next 3 years?

Capri Global Capital Limited

Q1 FY26 Concall Transcript | August 5, 2025

Page 7 of 18

Rajesh Sharma: Thank you. I think we are going to remain on course for the 30% growth, and that we believe that is quite healthy growth. We don't think we are going to exceed that this year.

Gaurav Purohit: And also, sir, on growth, what is giving you comfort on growing so aggressively? I understand that you are primarily into secured businesses. And what do you think can go wrong given the current environment because some of your peers have started reporting some stress in MSME segment. So, do you think that could later on result into some delinquencies or are you seeing that in your portfolio right now?

Rajesh Sharma: So, I think our confidence of 30% growth comes that we are -- as you rightly said, we are in a collateralized portfolio. So, we have ability to recover by various means, including disposing of the property, which is mortgaged to us. Out of about 35% portfolio is gold, which is the asset quality remains in complete control where we can auction the gold and recover our money. As regards to the other segment, we agree th

at MSME, we have seen some slippage, more particularly from a state of Madhya Pradesh, where we are already turning down our disbursements and we are progressing cautiously on that. However, other segments of housing finance remain very stable, where we are not seeing much challenge in asset quality. And now Pradhan Mantri Awas Yojana credit subsidy coming in the play, where the loan-to-value further goes down, giving us a higher security margin. I think we are going to see the good growth in that segment. So, while this quarter, some more delinquency have come because of various reasons, including that first quarter is always, we have seen the rise in the delinquency because of seasonality.

Also, Q4 we run a lot of campaigns and incentive programs. And one of the reasons is also that quarter is less than 90 days because of February is 28-day month. So, some of the slippage of the 60 and 90 cases in the month of April because of those 2 days less in the last quarter. So, a combination of this. However, if you see the overall delinquency that is still our GNPA in the range of about 1.7%, net NPA is about 1%. It is very, very healthy, robust.

Gaurav Purohit: And sir, like the trend we've seen in the last year, do you see the slippages coming down significantly in the coming quarters?

Rajesh Sharma: I will say that slippages will not be as much as what we have seen. We will see that overall asset quality remain s in the range we have projected. So as a company, we have given the guidance that our gross NPA will never cross 2%. Net NPA will never cross 1.2%. I think we intend to maintain within that range, specifically to project about quarter will not be possible. It can always vary 10 basis points here and there. But overall range will remain the way I said.

Gaurav Purohit: Also, in one of your recent media interactions after the QIP, you had mentioned that there is a potential of credit rating upgrade. So, any progress over there? If you can share with us?

Capri Global Capital Limited

Q1 FY26 Concall Transcript | August 5, 2025

Page 8 of 18

Rajesh Sharma: About what?

Gaurav Purohit: Credit rating. You had mentioned in one of your media interviews?

Rajesh Sharma: That exercise is on. Exercise is on. We should see the results by mid of September.

Gaurav Purohit: Okay. And then there is a possibility of a reduction in your costs from third quarter onwards?

Rajesh Sharma: Yes. I think because as far as the reduction of cost is concerned, I think for the next 12 months, we'll be having a higher issuance on NCD, commercial paper, and a lot of borrowings with MCLR is going to get reset. The MCLR reduction already announced by various banks. And we see the inflation has also come down.

So overall interest rate scenario should look like the interest rate is going to remain softened. That effect will be seen over a period of time, next 6 months, whenever the individual banks, MCLR gets reset, we'll get the advantage plus our incremental borrowing are going to be at a lower level by at least 30 to 40 basis points. So, we'll see quarter-on-quarter, our cost of funds will come down. And by the end of the year, I think our overall cost of the fund should at least come down by 40 to 50 basis points.

Gaurav Purohit: That was a sizable reduction. Just one specific question on your Micro LAP because you said that is helping you scale up your MSME. One of your peers has discontinued the disbursement in that business, specifically in the South India market. So, any comments on that? I understand it is a very recent venture, and the book is not yet seasoned, but any signs of stress that you're seeing there?

Rajesh Sharma: So, I think we are also growing that book very cautiously depending on the various feedback and observation that delinquency has risen in Micro LAP segment. However, we are creating a differentiation by using the technol

ogy and data science capability, where various risk triggers

are being built. And we have gone a little slow till our full stack of technology gets rolled out, which should happen by end of September.

So, we are cautiously trading there, and we are confident that given our experience in the collateralized lending, we'll be quite cautious the way we do the collateral evaluation, legal title search, any case going bad, your ability to recover comes from the confidence, the right valuation and the right title. So, we are quite confident that we'll be doing better than the competition in that business, backed by our technology and data science capabilities.

Gaurav Purohit: And sir, one last relating question?

Moderator: Sorry to interrupt, sir. Please rejoin the queue.

Capri Global Capital Limited

Q1 FY26 Concall Transcript | August 5, 2025

Page 9 of 18

Gaurav Purohit: Okay. I'll come back later.

Moderator: The next question is from the line of Sweta Padhi from SBI Securities.

Sweta Padhi: Congrats on a great set of numbers. So, in this quarter, we have seen a slight increase in the GNPA and the Construction Finance segment. Can you throw some light on that? And second question is on the cost-to-income ratio. The performance has been very good on the cost-to-income front. So where do we expect this cost to income to settle by FY '26?

Rajesh Sharma: I think our cost-to-income ratio on the increased scale of operation; it should come down. However, we are going to add another 200 branches this year. So, we expect this cost-to-income ratio should remain in the range of about 50% for the year. If we remove the impact of addition of the branches, the cost-to-income ratio in real terms will be in the range about 46% to 47%. But we assume that because of those branches, some impact will be there. But still, it will be much lower than the last year, and if we are able to maintain the cost-to-income ratio even in the range of 50%, we are on the track to deliver ROAA in the range about 3.5%.

Sweta Padhi: Yes, sir. And on the construction finance part, the slight increase in the GNPA?

Rajesh Sharma: So, there's one account which has slipped into the NPA. And on account of that, the value of that account was INR16 crores, INR8 crores provisions have been provided for. But already for that account, if you see the last quarter, the recovery has also happened on account of one of the NPA about INR7 crores. This is a constant phenomenon.

Further, there are a lot of developers who are coming forward to take over that account. So, this remains on a consistent basis that whenever NPA happens through the SARFAESI, other means we are able to attract other developer to take over the account and recover amount.

Moderator: Our next question is from the line of Chintan Shah from ICICI Securities.

Chintan Shah: Congratulations on great set of numbers. So just firstly, on basically the asset quality sir, as you mentioned the GNPA is likely to be below 2%, and NPA below 1.2%. So, like given that some lenders have already flagged some risk on the MSME portfolio, so what gives us the confidence? And if you could just throw some light on the collections part as well? How are the collections panning out? Yes, that's the first question, please.

Rajesh Sharma: So yes, as regards the collection is concerned, I think we have about 520 people, very strong team, and we have very good analytics on the collection, the processes automation is in place, where we are able to track actively our collection agent performance and drive them. They are attractive incentive plan to push them higher.

Capri Global Capital Limited

Q1 FY26 Concall Transcript | August 5, 2025

Page 10 of 18

Having said that, yes, we have seen some of the slippages happening in MSME. We are more cautious for our incremental underwriting and taking the right measures. Currently, our

collection efficiency in the range of about 97% upward in the segment. So, we are quite confident that our focus will be to resolve the old NPA faster by doing a lot of settlement and other things.

And we see that while our MSME is 100% collateralized, not like many other where they are giving unsecured business loan, they are collateralized, where we have LTV cushion about 55% LTV there. So, with that cushion in place, even though when accounts slip into NPA, we are quite confident to auction those properties or recover back of that property by mutual negotiation and recover those amounts.

Focus during the next 9 months will be that old NPA pool, we are able to resolve faster by settling those accounts by selling those properties faster. And I think with that pace coming back our NPA overall will remain in range bound. As I said, our GNPA will not cross more than 2%. Our net NPA will not cross more than 1.2%. Within that framework, we will work.

Chintan Shah: Sure. This is quite helpful. And also, sir, secondly, on the AUM growth. So we have guided for

around 30% in AUM growth for FY '26. But on a steady -state basis, probably over the next 2, 3 years, could we assume a similar trend here or are we looking to moderate the growth post '26? On the growth front, how should we look at it?

Rajesh Sharma: So, I would like to say that if you observe that we are a well-diversified company in the secured segment, we have currently five products. So, we have ability to change the levers and increase one product, which is doing better and reduce the other product, which is doing not that well given the macro environment in some of the segments or some of the geography.

With that capability in place, I think we are quite confident to achieve the 30% growth for the next 3 years by targeting the AUM to be INR50,000 crores by FY 2028 and maintaining our ROAA at 3.5% upward. So, with those two metrics in place, we are quite confident to continue that path. And I think gold loan, we have done well, where the yield is very good.

Similarly, our retail construction finance segment is also doing quite well, given the housing demand on rise and a lot of traction we are seeing, RERA in place, security structures are good.

Again, the housing loan growth remains a very high -- a very good growth driver. So, with combination of this, I think we are well placed to achieve a 30% growth for the next 3 years.

Chintan Shah: Sure. And sir, just lastly, on the opex front. So I think our opex is relatively elevated, like around 6% odd, so do we see this moderating like if the ROA is set to improve from here on, so what could be the key driver, other interest income, opex or margins or credit cost? Some thoughts on that, please. That's the last question?

Capri Global Capital Limited

Q1 FY26 Concall Transcript | August 5, 2025

Page 11 of 18

Rajesh Sharma: If you see our cost -to-income ratio, if you look at last quarter, Q1 FY '25, it was about 65%. Constantly, by our gold loan branches delivering higher margins, and overall our scale also going up with AUM going up, the cost -to-income ratio have this quarter come below 50%. And as I said earlier, if overall basis, we intend to maintain our cost -to-income ratio in the range about 50%.

Given that, we are going to add another 200 to 250 branches this year. Had not been that done, our cost -to-income ratio would have been the range of about 47%.

Chintan Shah: Sure, sir. This is very helpful. Yes. And that's it from my side, and all the best for the future quarters.

Moderator: Next question is from the line of Sagar Shah from Spark Capital.

Sagar Shah: First of all, congratulations, sir, for excellent set of numbers. I have around three questions. My first question was related to credit cost. So this quarter, we saw the highest almost credit cost as compared to last few quarters, and you had given the clarification

that was regarding the one account in construction finance and some stress in MSME.

So looking at the picture and will Q2 follow and will see kind of a mirror to Q1, so what kind of credit cost should we be building for the entire year sir, for FY '26 per se? That was my first question?

Rajesh Sharma: Thank you. So I think overall basis, if you look at our credit cost has been in the range of about 60 basis. And we don't see that much elevation at the most credit cost will not go beyond 70 basis. It's too early to share because we have seen the seasonality that every year, Q1 is a little higher.

So this year will be slightly more, higher than the previous average. But Q2 to Q4, between that, we see the remarkable recovery in terms of our old NPA. And by that, we will be able to bring overall credit cost down. Even though on the conservative side, we said this year with the credit cost goes up by 10 basis. It will not cross more than 70 basis for an overall year basis.

Sagar Shah: My second question was related to our growth. Growth in this quarter was way above the industry average and one of the best quarters for you in terms of AUM growth. So even sequentially, the AUM has grown by almost more than 8%. So, I wanted to understand which geographies are you exactly targeting? Is there any geographies that you are -- particularly that you're targeting, that you're getting such robust growth during the period?

Rajesh Sharma: So I think we are going to add second half of the year, Southern India market, which will be Tamil Nadu, Andhra, Karnataka and Odisha also, we are going to add as far as the gold loan is concerned. So these states we are good, Andhra, Telangana, Tamil Nadu, Karnataka and Odisha.

Capri Global Capital Limited

Q1 FY26 Concall Transcript | August 5, 2025

Page 12 of 18

These are the five states we are going to add gradually, and we'll roll out the branches in the last quarter of this year.

Sagar Shah: So basically, is it fair to assume that this growth has been from the non-Southern region, means

in the Western as well as the Northern region?

Rajesh Sharma: Yes.

Sagar Shah: My third question, last question was related to co-lending AUM. The co-lending AUM for this quarter was at around 19%. So going ahead for the entire year, what kind of percentage should assume for the co-lending AUM to be on books?

Rajesh Sharma: Co-lending AUM, we intend to project in the range of anything between 18% to 20% range. At this range, only we intend to maintain this.

Moderator: Our next question is from the line of Asutosh from Ashika Stock Broking.

Asutosh : Congratulations for a good set of numbers. So I'd like to understand fee income front. So currently, we are approx 30% of our net revenue is coming from the fee income side of it. So what is our strategy going forward on this front?

Rajesh Sharma: Our fee income is mainly coming from co-lending, from car loan, and from insurance distribution. And our fee income, we intend to maintain in the range of about 25% to 27% throughout the year. Quarter-on-quarter can be up and down by 2%. But overall yearly basis, our plan is to maintain it in that range.

Asutosh : And within these three segments which you have discussed, which is a major contributor? And right now, what are strategies....

Rajesh Sharma: Our major contributor is co-lending and also income from car loan and insurance.

Asutosh : Second question is on the cost of fund front. Like how much of our borrowing liability fixed versus floating? And how we see things moving forward from here on that front?

Rajesh Sharma: So I think next 12 months, we are going to keep a major reliance on raising the commercial paper and NCD to meet some of our requirement, and those will be at a lower cost. Our lending side, given the few regulatory changes, we might shift our -- some of the loan to the fixed basis because we see that interest

rates are going to be remained softer going forward, so that would be our policy.

Capri Global Capital Limited

Q1 FY26 Concall Transcript | August 5, 2025

Page 13 of 18

Asutosh : And like MCLR benefit and all those, how much of cost of fund benefit you are expecting in this whole year? I mean from the current rate, do you expect it to come by 30, 40 basis points for this whole year, something like that?

Rajesh Sharma: So, there are two elements to it. One is incremental borrowing. Incremental borrowing already started coming down by 20 to 25 basis, hoping that we will get some rating update. That will further go down by another 25 basis. Second point is that all the MCLR rates are getting reset on the due date of their 1 year and 6 month if the negotiation done during the time of drawing that loan.

So, in that manner, those banks, MCLR, rate reduction benefit will accrue. So, by every quarter, we'll see some benefits keep coming in. Overall basis, I think we should be able to get the benefit of the MCLR reduction by 30 to 40 basis, this is depending on bank to bank.

Asutosh : And sir, on this cost to income, IT expenditure is also one of the areas which we are focusing on. So, can you give something like what we are doing, what type of expense you continue to incur in that area?

Rajesh Sharma: Last quarter, we spent about INR26 crores on various initiatives of the technology, data science and now this year, we are actively enhancing our team on the data science and generative AI side, we already deployed a few tools on the AI transformation, which are going to drive the productivity and impact on reducing our cost to income.

So I think the spend on the IT is going to be a permanent feature. This is not going to be something that we'll achieve as a milestone, it will come down. But this is a futuristic investment, which we will continue to do. We have currently about 200 people team in the technology infrastructure and data science.

Asutosh : And last question on the geographical expansion. So any changes in the opening of the new branches or something like that you want to highlight to investors on that front?

Rajesh Sharma: No, as I said, we are going to add 200 - 250 branches this year, a combination of the gold, MSME, home loan, et cetera. And this pace will remain for next year. We are going to add about 700 to 800 branches in 3 years. And that is important because we need to plan 30% growth for the next year, you have to plan at least 6 - 9 months in advance.

Asutosh : These new branches will come in any new geography or our existing geography only?

Rajesh Sharma: So most of the new branches will come in the new geography. Some of the existing geographies where we see the potential, we will increase. The majority expansion will happen Southern India as I said earlier.

Capri Global Capital Limited

Q1 FY26 Concall Transcript | August 5, 2025

Page 14 of 18

Moderator: Our next question is from the line of Ninad Jadhav from LKP Securities.

Ninad Jadhav: So my question is on yield side. So you have mentioned that the borrowing costs are expected to trend down by 40 to 50 basis points for this year. So how are we looking at yield front? Like are we going to pass on the benefit to our customers as well and if you could quantify how much yield have declined by this year?

Rajesh Sharma: So, I think we have to say that overall, if the interest rate goes down for everybody, that at least cost benefit get passed on to the customer because of the intense competition in the retail segment. However, whatever cost benefit and risk spreads going down because of our negotiation and also the rating potential upgrade, that benefit will be able to accrue to our P&L.

Ninad Jadhav: So any specific basis points it could go down there ?

Rajesh Sharma: I think our current spread is in the range of about 7%. We intend to maintain that spread 7%. It

can slightly be better because gold loan composition is slightly improving, it will add another 3% to 4% to current composition and which is a high-yield product and for which all the infrastructure cost and operational cost is already in place.

So that is going to improve our overall spread. In regards to the interest rate benefit, which comes to because of the potential rating upgrade, that additional benefit will happen. As far as the MCLR reduction is concerned, because of the competition, that benefit, as I said, will get passed on to the customers.

Ninad Jadhav: So my second question is on the recent announcement that we have made. So we have incorporated two new companies. One is financial services and other is wealth management company. So if you can tell us on how we are looking to scale these businesses and what kind of customers we are looking to target? And would the cost for setting up these businesses will affect our cost-to-income guidance for this year or for next year as well ?

Rajesh Sharma: There are two companies we have incorporated. One is going to carry out the investment banking activities only for the debt capital market. And another company is a securities company, which is going to engage in the sales and distribution of the debt placement at institutional level, online bond platform and exchange trading.

Both of these will not consume much capital, and they will be from the year 1 that will be accretive to the profit rather than taking any dent on the cost income side. On a full-scale operation, we expect that this will also enhance our fee income for that - by the end of the year, we will give the exact projection for the coming year.

This year, it is in the setup mode. However, whatever the cost, they will be able to make that kind of money. So that will be cost neutral and no impact on the cost income side.

Capri Global Capital Limited

Q1 FY26 Concall Transcript | August 5, 2025

Page 15 of 18

Ninad Jadhav: Sir. And any probable customers we are looking to target, any set of customers?

Hardik Doshi : Sorry, can you come again on the question, a probable set of customers for which segment?

Ninad Jadhav: For these companies, which we have incorporated ?

Rajesh Sharma: These companies -- we have a team of about 10 people. We are going to add more people there.

The team is specialized in understanding the need of the bond market, see the price trend and we have a large treasury book. Within that, we use those funds to buy the bond and do the buying and selling of the bond, plus we hold them for a short term 15 to 30 days.

We help the corporates to come out with the issuance of the bond, merchant banker. So these are the fee-based activities we are going to do. These clients can be corporate, midsize or the larger size. And it is similar to various bond issuance bankers you would have observed that they are associated with such bond issuance.

Further, this team will also help us to reduce our cost of fund because of their access to the capital market and their connect and understanding of the bond market.

Moderator: Our next question is from the line of Darshil Jhaveri from Crown Capital.

Darshil Jhaveri : So first of all, congratulations for great set of numbers. Most of my questions have already been answered. One question related to your business model. So I mean we have fully secured and have higher lending book, but macroeconomic cycles, I mean can pressure demand collection and risk appetite. So how resilient our model across down cycles, especially in MSME and construction finance, I mean, where borrower cash flows can be volatile?

Rajesh Sharma: So construction finance, we are seeing that there are two, three important things have happened. One that after RERA coming in, there is a designated construction account, is a receivable account of the customer where all the money comes in. And we

see it is a very, very strong

monitoring tool as well as the security structure. So having seen the good demand in the

construction finance side, we don't see any such challenges.

And even out of the 280 accounts, every year, one or two accounts, which slips into NPA for one or other reason, our team have shown the capability to find another developer, take over that account in the SARFAESI and recover the entire amount. So we are quite confident that even the risk-adjusted return with the low opex and secured nature backed by the strong cash flow of the sale of those apartments, we don't see any problem there.

So we are quite confident. And this business we are doing since last almost 12 years. We have built a very niche, very good monitoring tools, and we don't see any surprises coming in that segment at all.

Capri Global Capital Limited

Q1 FY26 Concall Transcript | August 5, 2025

Page 16 of 18

Darshil Jhaveri : And one last question. I mean, post this fundraise of INR2,000 crores, how soon can we expect return ratios to normalize?

Rajesh Sharma: So I will say this year, we are confident to deliver RO AE in the range of about 13.5% to 14%.

And RO AA will not be less than 3.5%. Next year onwards, our strong fee income and coupled with our cost-income ratio further coming down because now operating leverage with scale will kick-in. So then our ROAA will improve to about 4% and RO AE should be in the range of about 16% to 17%.

Darshil Jhaveri : So RO AE 13% to 14% this year and 15% to 16% in FY '27?

Rajesh Sharma: No, FY '27, RO AA will be about 4%. RO AE will be in the range about 16% to 17%.

Darshil Jhaveri : 16% to 17%.

Moderator: Our next question is from the line of Saumil Jain from Lucky.

Saumil Jain : Congratulations on a good set of numbers. On the 30% AUM growth guidance, can you talk a little bit about what the mix will look like between the segments? Do you expect momentum in gold to continue and softness in MSME to continue?

Rajesh Sharma: So we see that gold will continue to grow as we are adding more branches in that segment because we are seeing the strong traction and demand. And now our distribution team is all in place. So gold should be in the range of about 37% to 40% kind . MSME will remain in the range of about 20% - 22%. Housing will remain in about 20 %-22%. Construction finance will remain in the range of about 17 %-18%.

Saumil Jain : Gold, you mentioned 37% to 40%?

Rajesh Sharma: Yes.

Saumil Jain : And secondly, on the branch addition guidance for this year, I think you mentioned 200 branches, right?

Rajesh Sharma: Yes, 200 to 250 branches will add this year.

Saumil Jain : And this will be -- any mix on gold or non -gold?

Rajesh Sharma: So I think gold will be in the range of about 100 branches and rest will be between housing and MSME.

Saumil Jain : And finally, on the 16%, 17% ROE sort of expectation for next year, what is the credit cost that you've built in?

Capri Global Capital Limited

Q1 FY26 Concall Transcript | August 5, 2025

Page 17 of 18

Rajesh Sharma: So credit cost on a long term, we have built in about 70 basis . If you look at last few years credit costs barring the COVID year, the credit cost has remained more or less in this range.

Saumil Jain : And Q1 opex , you mentioned will stabilize for the year because you're going to add more branches. Correct?

Rajesh Sharma: I think operating cost, keeping in mind our branch expansion, will be in the range of about 50% , cost-to-income ratio.

Moderator: Our next question is from the line of Lalit Kumar, an investor.

Lalit Kumar: Good afternoon. Congratulation for a good set of numbers and my question was ...

Rajesh Sharma: Your voice is not audible.

Lalit Kumar: I am saying that my questions have already been answered.

Moderator: According to Lalit, sir, his question is already answered. We'll move to the next question. Th

e

next question is from the line of Gaurav Purohit from Systematix. It's a follow -up question.

Gaurav Purohit: I just have one question on the Micro LAP book, understanding it is a very new business. But in case there is a default in future, what is the legal recourse you have given that the ticket size is around 10 lakh and not eligible for SARFAESI?

Rajesh Sharma: So the eligible recourse, ideally, the major effort is by negotiation, we make borrower to agree to come forward and sell his property or find in ner ecosystem to give him the money so that we

need not to sell the property at much discounted rate. And another option is Section 138 to build the pressure and initiate the arbitration proceedings.

And within that, these tools are effective. The combination of bilateral negotiation or using these Section 138 filing to build the pressure as we move to the arbitration to get the order and then sell the property and realize our money.

Gaurav Purohit: And what would be the typical timeline for this in your best assessment?

Rajesh Sharma: So for bilateral negotiation, you can yield the result a case -to-case basis less than a year. But cases which are not solved by bilateral negotiations, if you go for arbitration, then it takes a period of effective realization of money, anything between 2 to 2.5 years.

Gaurav Purohit: Very clear. And last question I have on the competition intensity. So gold loan sector is seeing phenomenal growth. Everyone is focusing on either growth or affordable housing, so what is the kind of intensity you are seeing here, given that we have a steep target of 30%. So I just wanted to know your take on that?

Capri Global Capital Limited

Q1 FY26 Concall Transcript | August 5, 2025

Page 18 of 18

Rajesh Sharma: So I think, in all our segments which are collateralized, if you talk about competition, it is a very intense competitive. Your right to win has to be how you use your technology automation and ability to turn around the sanction faster and do a better customer service in terms of how you handle them, how seamless your journey is, how less the paperwork you seek without compromising on the asset quality.

So I think amid the intensity, it is the turnaround time. It is the approach you take it, simplified approach to carry out the whole process, makes a difference. The lending doesn't have a quality other than the service.

Gaurav Purohit: Fair enough, sir. Thank you so much for patiently answering all the questions.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments. Over to you, sir.

Rajesh Sharma: Yes. So I think I would like to say that our Q1 have set a solid tone for FY '26. The addition of INR2,000 crores capital raise gives us the financial strength to accelerate the growth across lending and new verticals. Backed by a secured book, healthy asset quality and solid technology infrastructure, we remain on track to grow 30% annually and deliver sustainable ROAE of between 16% to 18% and ROAA in the medium term to 4% and even going up to 4.5%. There will be constant endeavour to bring our cost of fund down and you will see by the end of the year, the significant reduction in the cost of fund, where we will be quite conscious of bringing our operating cost in control by using technology and various other intervention of artificial intelligence.

As regard to asset quality, there are enhanced effort on the collection side and monetizing the NPAs, disposing of those repurchased assets to bring the overall net NPA in the check. So overall basis, we are on a quite good growth trajectory, and we are all thankful for the support shareholders and other stakeholders are offering to us. Thank you.

Moderator: Thank you. On behalf of Go India Advisors, that concludes this conference. Thank you for joining us

and you may now disconnect your lines.

Call: Nov 2025

November 6, 2025

The Secretary

BSE Limited

Pheeroze Jeejeebhoy Towers

Dalal Street, Fort

Mumbai-400001

Scrip Code: 531595 The Secretary

National Stock Exchange of India Limited

Exchange Plaza, 5th Floor

Plot No-'C' Block, G Block

Bandra-Kurla Complex, Bandra (East)

Mumbai-400051

Scrip Code: CGCL

Sub: Transcript of the earnings conference call for the second quarter and half year ended September 30, 2025 – Regulation 30 and 46 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI Listing Regulations")

Dear Sir/Madam,

Interms of Regulations 30 and 46 read with clause 15 of Part A of Schedule III of the SEBI Listing Regulations and further to our letter dated October 22, 2025, October 24, 2025 and October 30, 2025 and other applicable provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI Listing Regulations"), please find enclosed herewith the transcript of Earnings Conference Call for the second quarter and half year ended September 30, 2025, held on Friday, October 31, 2025, which concluded at 1:00 p.m. (IST).

Further, please note that this intimation is also available on the website of the Company.

The above is for your information and dissemination to all the stakeholders.

Thanking you,

Yours faithfully,

for Capri Global Capital Limited

Yashesh Bhatt

Company Secretary & Compliance Officer

Membership No.: ACS20491

Encl.: As above

Page 1 of 19

Capri Global Capital Limited

Q2FY26 Earnings Conference Call

October 31, 2025

MANAGEMENT

MR. RAJESH SHARMA – MANAGING DIRECTOR

MR. MONU RATRA, CEO

MR. KISHORE LODHA, CFO

MR. SANJEEV SRIVASTAVA, CRO

MS. DIVYA, DIRECTOR BUSINESS STRATEGY

MR. AJAY MANGLUNIA, EXECUTIVE DIRECTOR FIXED INCOME MARKETS

MR. HARDIK DOSHI – HEAD, CORPORATE FINANCE & INVESTOR RELATIONS

Indian Numbering System Legend

■ 10 Lakhs = ■ 1Mn

■ 1 Crore = ■ 10Mn

■ 100 Crores = ■ 1Bn

■ 1 Lakh Crore = ■ 1Tn

Moderator: Ladies and gentlemen, good day, and welcome to Capri Global Capital Limited Q2 FY '26 Earnings Conference Call hosted by Go India Advisors. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Hardik Doshi from Capri Global Capital Limited. Thank you, and over to you, sir.

Hardik Doshi : Good afternoon, everyone, and welcome to Q2 FY '26 Earnings Call for Capri Global Capital Limited. This is Hardik Doshi, Head, Corporate Finance and Investor Relations. Before we begin, as a brief disclaimer, the discussion on today's call regarding Capri Global Capital Limited's earnings performance can be based on judgments derived from the declared results and information on business opportunities available to the company at this time.

The company's performance is subject to risks, uncertainties, and assumptions that could cause results to differ materially in the future. Given these uncertainties and other factors, participants on today's call may observe caution while interpreting the results. The full disclaimer is available on Slide 63 of the earnings presentation. Participants are requested to kindly take note of the same.

Let me now introduce the management team on today's call. With us today on the call, we have Mr. Rajesh Sharma, Managing Director and Promoter of the company; Mr. Monu Ratra, Chief Executive Officer; Mr. Kishore Lodha, Chief Financial Officer; Mr. Sanjeev Srivastava, Chief Risk Officer; Ms. Divya Sutar, Director Business Strategy; Mr. Ajay Manglunia, Executive Director, Fixed Income Markets.

I would now request our Managing Director, Mr. Rajesh Sharma, to present his opening remarks on the results. Over to you, sir.

Rajesh Sharma: Good afternoon, everyone. I hope you all are doing well and had a joyful Diwali celebrations. We announced our unaudited financial results for the second quarter of FY 2026 on 29th October. I trust you have had the opportunity to go through our earnings presentation, which is also available on our website.

Before I move on to the financial and operational highlights, I would like to touch upon the key developments during the quarter. We strengthened our leadership team by the appointment of Mr. Monu Ratra as CEO of the company. Mr. Ratra brings over 2 decades of experience in the Capri Global Capital Limited

Q2 FY26 Concall Transcript | October 31 , 2025

financial services and mortgage finance and having held leadership roles across leading banking and financial institutions.

We successfully completed our maiden public issuance of secured rated listed redeemable non -convertible debentures for INR400 crores. The issue received an overwhelming response, being oversubscribed across all investor categories, institutional, non -institutional, high net worth individuals, and retail investors.

The strong subscription reflects the trust and confidence investors place in our business model, governance standard, and long -term growth outlook. This successful issuance not only broadens our investor base, but also enhances our access to debt capital market, paving the way for larger issuance and further diversification of our borrowing profile in the future.

Coming to our business and earnings performance during the quarter. If we talk about business performance, we began FY '26 with a strong momentum across all our lending businesses and sustained that trajectory through the second quarter. As of September 30, 2025, our consolidated AUM stood at INR27,040 crores, reflecting a robust

40% year -on-year growth and 9% quarter -on-quarter growth. This performance was underpinned by broad -based expansion across segments.

Gold loan grew an impressive 58% year -on-year, while housing loans rose 37% year -on-year. Our co -lending AUM also surged 61% year -on-year to INR5,677 crores, now accounting for almost 21% of total AUM, up from 18.9% in Q1 FY '26, highlighting our strategic focus on capital -efficient growth.

Disbursements for the quarter rose 64% year -on-year to INR8,952 crores, supported by a widening distribution network and growing customer base. Our growth remains granular,

diversified, and retail linked. With our customer base now exceeding 5.9 lakhs, we are reaffirming the scalability and resilience of the business model.

In our gold loan business, we achieved a significant milestone this quarter with the gold loan AUM crossing INR10,000 crores, and over 10 lakh customers serviced since inception. Gold loan AUM grew by 58% year-on-year to INR10,406 crores, reinforcing our strong position in this high-yield secured lending segment.

During the quarter, we added 21 new gold loan branches, further expanding our presence in Madhya Pradesh, Gujarat, Uttar Pradesh, and marking our new entry into Bihar. Branch productivity continued to strengthen during this quarter. Average AUM per branch increased to INR12.4 crores, supported by improved employee productivity with AUM per employee rising from INR1.4 crores in Q2 FY '25 to INR2.1 crores in Q2 FY '26. As of September 2025, 762

Capri Global Capital Limited

Q2 FY26 Concall Transcript | October 31, 2025

Page 4 of 19

branches are operating above the breakeven threshold of INR5 crore AUM per branch, underscoring enhanced operating leverage across the network.

With a fully digitized loan journey offering TAT of less than 30 minutes, AI-enabled security systems, and stronger customer stickiness, evidenced by 55% plus repeat borrowers, the gold loan business remains a key growth engine, driving profitable and scalable expansion for the company.

Our MSME AUM grew to INR5,602 crores, up by 18% year-on-year. During the quarter, we further expanded our MSME presence in Uttar Pradesh and the addition of 13 new branches. We are also broadening our reach through MSME Prime, a focused offering designed to cater to low-risk self-employed customers in urban markets of Maharashtra NCR.

Within MSME, our Micro LAP business continues to gain strong traction with AUM rising to INR543 crores. This vertical enable us to serve emerging self-employed borrowers with smaller ticket size requirements. The Micro LAP business is now present across 137 locations, following 43 net branch additions during the quarter, expanding our footprint in Andhra Pradesh, Telangana, and marking our entry into Tamil Nadu and Karnataka. Our immediate focus is on enhancing sales productivity and operational efficiency across these new branches before undertaking further expansion. We see significant long-term potential in MSME segment. And with the recent network additions, we expect growth momentum to accelerate in the coming quarters.

Housing AUM stood at INR5,972 crores, building a year-on-year growth of 37%. We continue to see resilient demand across the affordable housing segment, where rising income levels and lower interest rate regime are driving demand for housing loans.

We also announced our foray into Southern India Housing Finance with the opening of 4 new branches in Telangana to deepen our presence in this high-quality affordable housing market. This expansion marks an important milestone, positioning Capri as a national player in the housing finance space. This strategic expansion will further enhance portfolio granularity, strengthen asset quality, and support healthy yield expansion over time.

Our construction finance AUM grew 48% year-on-year to INR4,969 crores, now funding over 286 active residential

projects with an average sanction ticket of size of INR51 crores and outstanding portfolio ticket size of INR17 crores, reflecting a very granular ticket size in construction finance too. The book remains well diversified by geography and granularity, reflecting our focus on working with midsize and small developers in metro and Tier 1 cities. We continue to emphasize disciplined underwriting through rigorous due diligence and escrow-based cash flow management, ensuring a risk-first approach.

Capri Global Capital Limited

Q2 FY26 Concall Transcript | October 31, 2025

Page 5 of 19

Our total branch network expanded to 1,224 locations in Q2 FY '26 with a net addition of 86 branches during this quarter, while our employee base increased marginally to 12,197, up by 6% quarter-on-quarter.

During the quarter, we also entered several new geographies, further strengthening our ambitions of building a pan-India footprint. This expansion not only enhances our customer reach and brand visibility across newer territory, but also lays the foundation for the next phase of growth as we continue to deepen presence in existing high potential states and selectively enter underpenetrated regions.

Let me now provide an update on core earnings. Our yield and spreads on net advances remained healthy in the quarter at 16.5% and 6.9%, respectively, reflecting a 50 basis point improvement year-on-year. The increase in yields was broad-based, driven by expansion across all key retail products, that is MSME, gold loans, and affordable housing loans.

Our net interest income for Q2 FY '26 stood at INR480 crores, representing a strong 57% increase year-on-year and 15% quarter-on-quarter. This robust performance was supported by continued loan book expansion, improved pricing, and enhanced margin efficiency. We continue to strengthen our non-interest income streams in Q2 FY '26, reinforcing our strategy of building a diversified and resilient earnings profile.

Non-interest income grew 97% year-on-year and 22% quarter-on-quarter to INR203 crores, contributing 29.8% of our net total income for the quarter. This strong increase was largely driven by growth in commission on insurance distribution and co-lending fee income.

In our insurance distribution business, we generated a net fee income of INR28 crores during the quarter. We further broadened our product offering with the inclusion of products such as Capri Jewel product, a jewelry insurance product and group personal accident cover for customer groups. With the launch of our digital distribution platform, Capri Care, we aim to enhance insurance penetration across our growing retail customer base.

Over time, we expect insurance to evolve into a meaningful contributor to our overall fee income. Meanwhile, our co-lending income stood at INR81 crores, reflecting continued strength in the segment, driven by higher disbursal volumes and deeper engagements with partner banks.

Our car loan distribution business maintained its steady momentum with originations of INR2,830 crores in Q2 FY '26, up 14% year-on-year. With a growing footprint and deep relationship across 13 partner banks and financial institutions, we have built a scalable platform with the pan-India network in this segment with the potential to monetize further through distribution of other products.

Capri Global Capital Limited

Q2 FY26 Concall Transcript | October 31, 2025

Page 6 of 19

On the expense front, our operating expense increased 29% year-on-year and 25% quarter-on-quarter. The year-on-year increase was primarily driven by increase in our employee base, while the sequential rise reflected salary increments, bonus, and incentive payout during the quarter, and the impact of one-off benefit of INR15 crores in the previous quarter.

Adjusting for this, the quarter-on-quarter increase would have been around 18%. Our continued focus on operationa

l efficiency is clearly visible, with our cost-to-income ratio improving significantly to 49% in Q2 FY '26 compared with 64% in Q2 FY '25. This sharp improvement underscores the benefit of a maturing branch network, rising productivity, and strong operating leverage across our business.

As a result of margin expansion, improvement in operating efficiency and strong traction in fee income, our pre-provision operating profit surged to 137% year-on-year to INR345 crores during the quarter. Further, we continued our strong profitability momentum in Q2 FY '26, delivering a robust PAT of INR236 crores, up 143% year-on-year. Our return ratio considerably improved during the quarter with ROAE of 14.4% and Return On Average Assets at 4% for the quarter. This sharp growth was driven by consistent performance across all key business segments.

As regards to asset quality, our impairment cost for the quarter stood at INR31 crores in Q2 FY '26, down from INR81 crores in Q1 FY '26 or 0.6% of the gross loan book and our provision coverage ratio on Stage 3 loans improved to 43%, demonstrating our prudent provisioning and conservative approach to risk management.

Stage 2 assets remained flat quarter-on-quarter and Stage 2 ECL provision increased by INR8 crores quarter-on-quarter. Stage 3 asset declined INR61 crores quarter-on-quarter. Stage 3 ECL provision declined by INR19 crores quarter-on-quarter. This was on account of INR79 crores of MSME portfolio sale to ARC. Gross Stage 3 asset at 1.3% was down sequentially by 39 basis, while net Stage 3 stood at 0.7%, down 26 basis sequentially.

As regards to capital and liquidity position, following equity capital infusion of INR2,000 crores in Q1 FY '26, our balance sheet is now significantly stronger, providing ample headroom to support accelerated growth across business segments. Our standalone capital adequacy ratio of CGCL is about 32.9% and 26.1% for Capri Global Housing Finance Limited. Our leverage ratio remains quite comfortable at 2.5x. Liquidity remains comfortable with over INR3,200 crores in cash and bank balances, investment and undrawn credit line across CGCL and CGHFL.

Our borrowing increased by 31% year-on-year and incremental borrowing sanction limits year-to-date this fiscal was around INR3,500 crores. We continue to diversify our funding mix by raising funds through other instruments such as NCD and commercial paper.

As I mentioned earlier, we raised INR400 crores through NCD at a coupon rate up to 9.7% and tenure of up to 4 years. With the softening of interest rate environment and decline in MCLR, we expect further benefit to accrue in our cost of borrowing in next couple of quarters.

As regards to technology, our technology investment remains central to our ability to scale securely, efficiently, and profitably. During the quarter, we invested INR29 crores in technology, deploying several artificial intelligence -driven initiatives aimed at strengthening asset quality and enhancing recovery.

For instance, our newly launched digital auction platform is enabling higher realization by attracting a broader pool of bidders for repurchase properties. We are also leveraging artificial intelligence to refine customer and collateral evaluation processes. Our AI -based bureau analytics tools empower teams with data -driven insights, enabling smarter and faster credit decisions.

On the data analytics front, we are transitioning to real -time analytics capability, which will allow proactive portfolio monitoring and sharper business decisions across functions. In parallel, our Capri Communication Portal, a state -of-the-art omnichannel platform now ensures seamless, consistent, and faster communication with both customers and employees across multiple touch points.

Cybersecurity and compliance -led upgrades remains core pri

orities as we expand our digital

footprint. I'm pleased to share that systems reliability has significantly improved with outages now virtually eliminated and our infrastructure is fully equipped to perform at scale.

Coming to ESG. On the ESG front, we achieved a significant improvement in Sustainability ESG risk rating from 31.1 to 24, moving us from the high risk to the medium risk category. This 7-point improvement reflects our continued progress in strengthening ESG management system, governance framework, and data -driven reporting practices across the organization. We also published our annual business impact report and sustainability report highlighting our progress initiatives across ESG and broader sustainability goals.

To summarize, we delivered consistent and all -round performance in the current quarter, achieving our highest ever quarterly profit. With a strong capital base, a scalable branch network, a diversified portfolio, already having invested heavily in the technology, we are well placed to deliver 25% to 30% in annualized AUM growth and sustainable return on average equity of 16% to 18% plus return on average assets of 4% to 4.5% by FY '28.

We shall now take the questions. Thank you.

Capri Global Capital Limited
Q2 FY26 Concall Transcript | October 31, 2025

Moderator: The first question comes from the line of Aman A. Baheti from InCred.

Aman A. Baheti: My first question comes in context of our branches. So our net addition for this quarter was 86 branches, which was quite sharp compared to the earlier quarters, and most of these are non -gold branches. So how should we look at the overall branch expansion strategy? Is the focus now shifting back towards MSME and housing verticals?

Rajesh Sharma: So this quarter, we added 86 branches. MSME added about 13, Micro LAP we added about 43, which is a newly introduced product 1 to 1.5 year ago. Gold loan, we added 21 branches. So focus is back to MSME, you can say that. But at the same time, in gold loan also, we are going to add more branches.

By the end of the March 2026, we should have gold loan branches in the range of about 995. So there will be more branches that we'll be opening in the South. And Micro LAP, we will be adding more branches in the last quarter. So the expansion will continue to remain.

Last quarter, we expected to add another 50 -plus branches and this expansion will continue. More branches we'll open in the gold, and some expansion in the Micro LAP too., so we'll keep on adding branches.

Aman A. Baheti: Second question was about co -lending. So now our co -lending forms about 20% - 21% of the total AUM. So how are the unit economics working out in terms of the spread and the fee income? And do you see a meaningful improvement in ROE in this space?

Rajesh Sharma: Regardless the spread, co-lending remains the same. It is just a tool to use your treasury in a manner that you need not to provide any capital and credit line. The exposure by the bank sits in the books of the bank on the individual borrower rather than the NBFC, nor those limits count

in our borrowing.

At the same time, we get the entire spread. So there's a lower capital requirement. So while we get the spread on the entire 100%, capital is required only for 20%. So it is a very capital-efficient model without compromising any margins or the spread.

And going forward, I think our co-lending still will remain in the range of about 20%. Last quarter, there's a change in the co-lending guidelines. And that will not impact as such, because all the banks will shift from CLM 1 to the one common CLM new guideline. And we expect that all the banks will align, and we'll be able to maintain this. In longer term, we intend to keep this co-lending in the range of about 20%, plus/minus 2%, 3% here and there.

Capri Global Capital Limited

Q2 FY26 Concall Transcript | October 31, 2025

Page 9 of 19

Aman A. Bbahi: Sir, one last question. So you have started issuing NCDs and the share of market borrowings are going up. So over the next year or couple of years, what's your target mix between NCDs and bank loans? And what will be the blended cost of funds?

Rajesh Sharma: So cost of funds currently is about 9.6. We expect that reduction in MCLR rate plus diversification and some mix of commercial paper in short-term borrowing should bring our cost of fund down by another 30 to 40 basis points gradually in next 2 to 3 quarters.

And as regards to the mix is concerned, now the more borrowing will happen from the alternative sources. So that mix will go up. It can be public issuance of the bond. It could be borrowing from the various other sources like ECB, foreign currency loans as well as the borrowing from the mutual fund. So we believe that next year, which is by end of FY '27, you will see significant jump in share of finances from nonbank sources.

Moderator: Our next question comes from the line of Karan Kamdar from Choice Institutional Equities.

Karan Kamdar: Hello. Hope I'm audible? Congrats on a good set of numbers. Sir, the MSME provision has decreased. How do we see the stress in this segment going forward? Do we see that the stress has declined and is been on a declining trend? Or do we see something else happening here?

Rajesh Sharma: I'll ask Kishore to answer this, who is the CFO.

Kishore Lodha: Yes. So I'll take this. So if you look at the quarter-on-quarter, then MSME NPA numbers have reduced from 4.3% to 3.1% on gross. And subsequently, the net NPA has also gone down.

However, there is no significant change in the external environment as far as overall MSME book is concerned. This reduction is largely on account of the ARC sale, which we have done. So what we have done as a strategy, wherever we have lent, where the property value is below INR20 lakhs, where we do not get the benefits of SARFAESI, we have transferred those to an ARC, which is of the value, sir has earlier explained that it is INR79 crores.

So that at ARC level SARFAESI is available for anything, any exposure above INR1 lakh, so that we can invoke SARFAESI and expedite our collection effort. So if we take that out, then we are almost flattish quarter-on-quarter as far as overall NPA in MSME book as well as credit cost.

Karan Kamdar: And sir, so consequently, anything on the construction finance? Any movement there, do you expect on credit quality?

Capri Global Capital Limited

Q2 FY26 Concall Transcript | October 31, 2025

Page 10 of 19

Rajesh Sharma: If you look at our Construction finance book over the period of years, it has remained very stable. And as you understand that our construction finance book is also in a very retail way of doing very smaller ticket size, outstanding which is INR17 crores, sanctioned which is INR51 crores.

So that reflects that risk is very granular. Markets are doing well. Housing market is very, very strong. So we don't see any risk emanating from that. Besides our underwriting standard is as such that we do only residential project, money is disbursed linked to the construction only after RERA approval in place. So considering all these parameters, we don't expect any slippage or surprises in that segment.

Karan Kamdar: One last question, if I can squeeze in, about gold loans. So now that gold price has rocketed, like everyone knows, what kind of top-up loans are we seeing? What is the consumer behavior regarding this?

Rajesh Sharma: So top-up loan or repeat loan, they are the one and the same thing in the gold loan, because same customer keep repeating coming again and again, be it a top-up loan or be it is even after repayment with 100%, again he comes back or he comes back for the increased value of the top-up loan, 55% customers are repeat customers.

And top-up loans keep happening, is

a regular feature. So I think with the increase in the gold loan, that helps growing book better. And even though if you look at our loan-to-value, despite top-up, it still remains very, very conservative at the level of about less than 65%.

Moderator: Our next question comes from the line of Sagar Shah from Spark PWM.

Sagar Shah: And first of all, congratulations to the entire team of Capri for delivering such numbers. Sir, I had some few questions. So my first question was related to the previous participant's question, actually, as we are growing very fast actually in gold as well as housing and now our focus, as you said, that we'll be shifting towards MSME. So what kind of mix are we targeting for next year between these 3 segments out of your total loan portfolio, sir?

Rajesh Sharma: So I think our gold will remain in the range of about 40%, plus/minus 2%, 3% here and there. And the rest of the segment of affordable housing, MSME, and construction finance will remain in the range of 20% to 22%.

Sagar Shah: So are we going to see any change in the yield on advances or the NIMs due to this change in mix, sir, by next year?

Capri Global Capital Limited

Q2 FY26 Concall Transcript | October 31, 2025

Page 11 of 19

Rajesh Sharma: So our current portfolio yield is in the range of 16.5%, and there could be a slightly improvement of 25 basis or so on account of gold loans and on account of Micro LAP. However, we are also improving our yield in affordable housing. So overall, you can expect that about 25 basis improvement in the yield of the advances will be there. Besides that, we also expect our cost of funds to go lower. So that also bring some benefit, which can be in the range of anything between 30 basis to 40 basis.

Sagar Shah: My next question was related to the gold loan AUM. We saw almost 58% growth actually in that segment. So I wanted to know how much was the tonnage growth actually that we have as collateral in our total AUM out of that?

Rajesh Sharma: So the growth under tonnage is about 16.4 tonnes, which is an increment of about 18% Y-o-Y and 3% quarter-on-quarter.

Sagar Shah: Okay. So 18%?

Kishore Lodha: Our tonnage is around 16.4 tonnes as of second quarter FY '26, which implies an 18% growth Y-o-Y.

Sagar Shah: My next question was related to MSME. The MSME AUM growth is around 16%, but our live accounts under the MSME actually are up by 35%. So basically, what I wanted to know that are we incrementally, on the MSME side, are we increasing our average ticket size? Are we looking to tap actually higher turnover MSME clients? Is the change in mix is there? Is it there in MSME?

Rajesh Sharma: Can you repeat the question, please?

Sagar Shah: Yes. So MSME AUM growth is around 16%, but the number of live accounts which we envisage, they are actually down Y-o-Y but they are growing Q-o-Q, but a very marginal number. So what I wanted to know is that, are we incrementally, are we increasing our ticket size? Are we looking for higher ticket clients in MSME?

Rajesh Sharma: So while you're taking the growth, you are taking the growth of MSME, including Micro LAP. While you are taking the number of customers, you are taking only of MSME, so that is why this disconnect is happening. On the contrary, Micro LAP ticket size is lower, the average ticket size is about INR5 lakhs. So overall Micro LAP is a subsegment of the MSME. And also, the total number of customers including Micro Lap is 45,505. It is not 31,100.

Sagar Shah: Sir, I was referring to the Slide #9 of yours, which states the live accounts to 31,100 for MSME business. So I was referring to that slide.

Capri Global Capital Limited

Q2 FY26 Concall Transcript | October 31, 2025

Page 12 of 19

Rajesh Sharma: You would have to see MSME AUM and then MSME customer and Micro LAP and Micro LAP customer. But one hand, you are seeing the AuM number of MSME in

cluding Micro Lap. On

other hand, you are seeing only customer of MSME without Micro LAP. So I think that is causing a disconnect. Total number of MSME customers, including Micro LAP are 45,505, and the growth within that is happening at about 16%.

Sagar Shah: Okay.

Rajesh Sharma: It is not 31, 100 but 45,505 customer.

Sagar Shah: So my next question was related to housing yield. The housing yields actually even though we saw almost 100 bps of repo rate cuts, so still our housing yields haven't decreased. So is it safe to assume that you will be passing on some sort of benefits to our housing customers in the next 2 quarters, sir?

Rajesh Sharma: I think passing on the benefit is taken care of the open market competition. It is a ticket size granularity and a conscious decision, how do you play between salaried, non-salaried, self-employed and then we focus on the yield.

Our focus is that our yield, which is currently 13.3 %, we are targeting the yield has to improve to 13.7 %. And for that, we are going a smaller ticket size, smaller locations, Tier 3, Tier 4, and focusing on improving the yield of the overall housing finance business.

Sagar Shah: So the housing yields won't decrease even in H2 FY '26, that you're saying basically?

Rajesh Sharma: Incremental yield have already started coming in the range of 13.5 %. Our target is to take it to about 13.7 %.

Sagar Shah: My last question, sir, was related to our ...

Moderator: I'm so sorry, sir, to interrupt you. Mr. Shah, sorry to interrupt you. Please come back in the queue for the next question.

Sagar Shah: Sure, sure.

Moderator: Our next question comes from the line of Varun Dubey from Share India Securities.

Varun Dubey: Congratulations on your strong set of numbers. Sir, just wanted to understand what's driving the overall net interest margin for the company, because the net interest margins have gone up by around 60 bps on a quarter-on-quarter basis. Your cost of borrowing is down by 10 bps and spread is up by around 20 bps. So what's actually driving the overall net interest margin? And

Capri Global Capital Limited

Q2 FY26 Concall Transcript | October 31, 2025

Page 13 of 19

with the 30 bps to 40 bps decline in cost of funds that you are expecting in the next 2 to 3 quarters, where will they stabilize?

Rajesh Sharma: I think the improvement in net interest margin is also supported by the capital infusion. So that has helped, and in addition, margins have expanded slightly due to a higher mix of gold loans and micro LAP.

Varun Dubey: Sir, but this 30 bps to 40 bps that you're expecting cost of funds to go down. So where will your margin stabilize going ahead, expecting a 30 bps to 40 bps decline in cost of fund? And also when you say 30 bps to 40 bps decline in cost of funds, are you factoring the further rate cuts by RBI?

Rajesh Sharma: No, we don't expect the further rate cuts. What we are saying is because a lot of our interest rate loans are now happening at the lower rate, plus old loans are getting reset and those rates are happening on an annual basis. So whenever the annual reset date comes, they get aligned with the new MCLR and MCLR has already gone down between 15 to 30 basis.

Plus new loans are happening at a slightly better pricing on account of capital infusion and better risk profile. So because of the 2 things, our cost of fund will come down. It will happen in a gradual manner in next 2 to 3 quarters, you will see that getting reflected in our cost of funds.

Varun Dubey: Sir, just one clarification I wanted. You said in the starting that you would be ending with 995 gold loan branches by end of FY '26. Is it 995 or 895, because currently you have 842 branches?

Rajesh Sharma: 995.

Varun Dubey: So it's going to be addition of 150 more branches for next 2 quarters in gold loan?

Rajesh Sharma: Yes. South, we are entering. There could be some rollover in April

, but we already have planned

that. And I think the intention is to close March by 995 branches gold alone.

Varun Dubey: But then what would be the total branch addition? If 150 branches addition would be in gold loan alone, so what would be the total branch addition for next 2 quarters?

Rajesh Sharma: So we'll add about mix of Micro LAP, housing, and gold loan. It will be in the range of about 200 branches in the next 2 quarters.

Moderator: Our next question comes from the line of Priyanshu Jain from GrowthX Infinity.

Priyanshu Jain : First of all, congratulations on a good set of numbers. The whole Capri team is like doing a phenomenal job over there. I have a few questions, my most of the questions have been answered

Capri Global Capital Limited

Q2 FY26 Concall Transcript | October 31, 2025

Page 14 of 19

already. So I just want to know like what will be your credit cost going forward, because like

it's been in a range less than 1% as of today, so like?

Rajesh Sharma: So while credit costs have been lower than 1%, but on a safer side, while we have to project, we will say it will be in the range of about 80 bps to 90 bps.

Priyanshu Jain : Sorry, can you repeat?

Rajesh Sharma: While our credit costs have consistently remained below 80 to 90 basis points, we prefer to stay conservative in our projections. So, for our planning purposes, we have assumed credit costs in the range of 80 to 90 basis points.

Priyanshu Jain : And like ly target for the upcoming year for ROA and ROE, like can we expect around?

Rajesh Sharma: So our ROA, we are targeting anything between 4.25% to 4.5% and ROE in the range of about 16%.

Priyanshu Jain : And sir, like my last question will be on the gold yield. So like as a customer, I just want to know like, who are those people who are paying like this 20% yield on gold loan? So how the process take place? Can you just throw some light on it?

Rajesh Sharma: Yes. So it's a very good question. So we have to understand what amount? Who is borrowing? And what purpose? So somebody is borrowing a INR1 lakh, let's say, for the sake of convenience, you assume 20%. So somebody is borrowing INR1 lakh for 20% for 6 months would mean that he has to end up paying INR10,000 of interest cost.

Now he is using that money, for example, somebody is buying when the -- giving advance to farmer, buying some crop, getting at 20%, 30% discount or somebody putting the agriculture product in the cold storage, when you know the prices are lower at the time of crop and selling it later, earning a margin 30%, 40%. So these are the businesses, they look at, my cost will be INR10,000 for this loan, whereas in 6 month, he would generate INR40,000, INR50,000, INR60,000 of margin.

For example, recently concluded Diwali, there are a lot of people on a seasonal business, they will buy firecracker in bulk, set up 2 to 3 stall in the town. And on a INR1 lakh inventory, they will make INR70,000, INR80,000. So by paying just INR10,000 interest even for 6 months.

Most of the people borrow for 3 months to 4 months. So they do not calculate the rate of interest.

It is the availability of money without going through a complex credit sanction requirement, within 30 minutes, that makes them avail this loan .

Capri Global Capital Limited

Q2 FY26 Concall Transcript | October 31 , 2025

Page 15 of 19

So their business essentially runs on return on effort, rather than return on equity. So it is the absolute interest in such a low amount is very practical for them rather than just looking at the rate of interest.

Moderator: Our next question comes from the line of Aditya Sen from RoboCapital.

Aditya Sen : Sir, my first question is about the spread. As of now the spread is of 6.9% in this quarter. And can you please let us know how will it shape going forward?

Rajesh Sharma: Can you speak a little loudly? We are not able to hear clearly.

Aditya Sen : Clear n

ow?

Rajesh Sharma: Please carry on.

Aditya Sen : The spread as of now is 6.9%. Going forward, can you please let us know how will it shape?

Rajesh Sharma: So spread should become slightly better by reduction in cost of fund and operational efficiency, we expect the spread quarter -on-quarter should improve ultimately. We expect this spread should be in the range of about 7.2% or so.

Aditya Sen : 7.2%. All right. That was my question. Rest have been answered.

Moderator: Our next question comes from the line of Vikrant Pankaj Shah from Choice Institutional Equities.

Vikrant Pankaj Shah : Hello. Firstly, congratulations on good set of numbers. So where do you see the AUM number and PAT at the end of FY '26 and FY '27?

Rajesh Sharma: So AUM at the end of FY '26 should be in the range of about INR32,000 crores. Profit should be in the range of about INR850 crores. At the end of FY '27, AUM should be in the range of about INR42,000 crores and profit should be in the range of about INR1,200 crores.

Vikrant Pankaj Shah : And my second question is, as the company increases its focus on the MSME segment, so do you have any plan to further expand AUM mix for the segment in the future?

Rajesh Sharma: Next year plan is frozen. We will continue to remain in the segment we operate in. And as I said earlier, the overall mix will be 40% in gold loans and rest MSME, affordable housing, and construction finance will be in the range of 2 0%. There could be variance between 2% to 3% here and there in any of the segments.

Capri Global Capital Limited

Q2 FY26 Concall Transcript | October 31 , 2025

Moderator: Our next question comes from the line of Aakash Jha from AJ Wealth.

Aakash Jha : So just one question. I think in the last quarter, you had guided for 70 bps of credit cost. And now we have increased it to 80 bps, 90 bps, I think. So is this purely out of conservatism? Or are we seeing something on the ground that led to this revision?

Rajesh Sharma: No, no. I think when we have to give guidance, we should be a little bit more conservative. So we project that credit cost to be 90 basis. While historically, it has always been in the range of about 70 basis. But you always account for slightly increased credit cost when our Micro LAP portfolio is growing in proportion. So being on a conservative side, when we project, we have say about 90 basis.

Moderator: Our next question comes from the line of Devansh Chandan from FinDock .

Devansh Chandan : My question is regarding the cost -to-income ratio. In this quarter, it increased from 46.9% to around 49% Q -o-Q. And as we know that we are going to add branches going ahead. So will there be any effect on cost -to-income ratio?

Rajesh Sharma: So first of all, the first quarter there is a INR15 crore one -off item. Last investor call also, we have disclosed that. And because of that, the cost -to-income was lower. Actually, if we adjust that amount of INR15 crores, it would have been in the range of 49%. So cost -to-income ratio more or less have remained the same. And as you know that despite putting up 86 branches, the cost-to-income ratio have been fairly in the same range.

Looking at the expansion, it can be 1%, 2% here and there. But by and large, coming year, cost -to-income ratio will remain in the same way. We expect it to be maybe in the range of 47% to 50%. In the 2 years' time, we expect it to come down by another 4% to 5%.

Moderator: Our next question comes from the line of Vansh Solanki from RSPN Ventures.

Vansh Solanki : Yes. So my question is that as we have a very new book of Micro LAP and gold loan, so our credit cost is in a limit in 70 bps you have told, it is very natural. But if I see next 2 to 3 years, is there a chance that this will go to 1% or more even when our book gets old and Micro LAP also will increase. So there is a chance that our credit cost will also increase, right?

R

Rajesh Sharma: So I do not think that our credit cost will go up more than 1% ever. And if you talk about the gold loan, there is no higher credit cost. Credit cost is coming only from the mortgage business. Micro LAP, the way we are building it with the help of data analytics and technology, we expect it to do better than many other players in the segment. And so far, our all metrics of collection

Capri Global Capital Limited

Q2 FY26 Concall Transcript | October 31 , 2025

efficiency and others are giving that indication to us that Micro LAP will also behave in a very predictable fashion to us.

Vansh Solanki : And the second question is that you just guided for financial '27, is it AUM INR42,000 crores, that's really possible , 30% Y -o-Y growth you have mentioned, right? So will this be achievable because now the growth is also slowing down? When I see the last year, we have a growth in March '25 of 46% Y -o-Y.

As of September '25 we are standing at 40% growth. So annually the growth percentage is coming down, and our book is getting larger in size. So will the 30% be achievable in FY'27 or FY'28 or so?

Rajesh Sharma: Yes, we will be able to do that. We'll be able to do that, because we are doing branch expansion. And with that, it should be achievable.

Vansh Solanki : And the last question from my side, sir, you have mentioned 55% is repeat customers in your cycle. So what is the trend in the past, like there was 70%, 80% and that has reduced to 55%, which is increasing in the number of repeating customers? Can you just give the past history?

Rajesh Sharma: So I was talking about gold loan. Gold loan, there was earlier 50%. Now it has gone to 55%. Same customers keep coming back. So at least the business 55% customers are repeating, and that is very healthy. I would say the gold loan customers keep borrowing , again, repaying. This is the way gold loan operates. And this is a good number to have, that our customers who will come experience us. keep coming back to us.

Moderator: Our next question comes from the line of Mani shankar Mandal from Alembic .

Manishankar Mandal : Hello. Most of the questions that I had has been already answered. So you can pass on to the next participant.

Moderator: Our next question comes from the line of Shasank Shah, an individual investor. Since there is no response from Mr. Shah, we'll move forward to the next participant. Our next participant, the call from the line of Devansh Chandan from FinDock .

Devansh Chandan : I have one follow -up question. Do you have any guidance regarding the PAT number in next 3

years to 4 years?
Rajesh Sharma: PAT number?
Devansh Chandan : Yes.
Capri Global Capital Limited
Q2 FY26 Concall Transcript | October 31 , 2025

Page 18 of 19

Rajesh Sharma: So we said, this year INR850 crores, next year INR1,200 crores.
Devansh Chandan : And by FY '28, what number you are looking at?
Rajesh Sharma: PAT number for FY28 , we are not projecting yet.
Moderator: Our next question comes from the line of Gaurav Purohit from Systematix Group.
Gaurav Purohit : Congratulations on a great set of numbers. Just one question from my side, sir. You just mentioned that you are planning to grow the AUM to INR 32,000 crores this year and INR 42,000 crores next year. So are you essentially upping the growth guidance from a 30% CAGR to a 35% CAGR?
Rajesh Sharma: Yes, because the first half has gone very well, we are already up 40%. So basis these numbers, we have revised our guidance from earlier one to INR 32,000 crores.
Moderator: Our next question comes from the line of Vansh Solanki from RSPN Ventures.
Vansh Solanki : You just mentioning FY27 - INR1,200 crores of PAT on AUM of INR 42,000 crores. It's giving me approx. 2.8% ROA. So like we have just guided that it will be a 4.25% or 4.5% in financial '26. And we are guiding indirectly for FY 27 of 2.8%, like very big mismatch a

s I see?

Rajesh Sharma: So I think you have to look at the number of return on average asset rather than return on average AUM, because you have included the co -lending data also in that. So if you look at the ROA, that you have , there is a 20% co -lending. So if you adjust those data, the ROA will be in the range of 4% plus.

Vansh Solanki : So even I just assume there is the 20% book will be the co -lending and 80% of the AUM will be on -book AUM, then also it is coming around 3.5% only, like very far from 4.5% what we have guided for '26.

Rajesh Sharma: Can you explain about how you're calculating?

Vansh Solanki : So like you just told that INR 42,000 crores AUM, then the 80% of that is INR 33,600 crores approx., will be my on -book AUM. And INR 1,200 crores from INR32,000 crores will be only 3.5%. That's why , is there any mismatch what I am calculating or what?

Rajesh Sharma: You have to do opening and closing balances average also. You cannot take only closing.

Hardik Doshi : See, I think the guidance, which we just gave 4%, that is a return on average asset. So when you calculate, given the numerator is the P&L number, the beginning total asset is somewhere in the

Capri Global Capital Limited
Q2 FY26 Concall Transcript | October 31 , 2025

Page 19 of 19

range of around INR 25,000 crores. So then if you do an average, you will get to a number of around 4%.

Rajesh Sharma: So I want to explain, if you would like this. So closing of FY26 and opening of FY27 year will be INR 32,000 crores, assume 20% in co -lending. So it will reduce INR 6,400 crores from that. So it will become about INR 25,600 crores. Then you have to take closing of FY27 .

Vansh Solanki : Yes, yes.

Rajesh Sharma: Average both of them. And then if you calculate ROA 4%, it's about INR1,200 crores.

Vansh Solanki : So the same we can , we will be able to maintain for '27 and '28 also like, that I want a bigger picture in '28, will it be possible for 4% in long term also?

Rajesh Sharma: Yes, we are going to do business in a manner that we are able to deliver 4% RO A minimum.

Moderator: Ladies and gentlemen, due to time constraint, that was the last question for today. I now hand the conference over to the management for the closing comments. Thank you, and over to you, sir.

Rajesh Sharma: So to conclude, Q2 marked another quarter of a strong broad -based performance driven by geographical expansion, improving margins, enhanced cost efficiencies, and ongoing technology -led transformation. We remain well positioned to achieve 30% plus annual g rowth, while delivering sustainable ROE of 16% to 18%, ROA of 4% to 4.5% over a period of time. Thank you for your continued trust, and we look forward to building on this momentum in the quarters ahead. Thank you.

Moderator: Thank you, sir. On behalf of Capri Global Capital Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2026

February 6, 2026

The Secretary

BSE Limited

Pheeroze Jeejeebhoy Towers

Dalal Street, Fort

Mumbai-400001

Scrip Code: 531595 The Secretary

National Stock Exchange of India Limited

Exchange Plaza, 5th Floor

Plot No-'C' Block, G Block

Bandra-Kurla Complex, Bandra (East)

Mumbai-400051

Scrip Code: CGCL

Sub: Transcript of the earnings conference call for the third quarter and nine months ended December 31, 2025 – Regulation 30 and 46 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI Listing Regulations")

Dear Sir/Madam,

Interms of Regulations 30 and 46 read with clause 15 of Part A of Schedule III of the SEBI Listing Regulations and further to our letter dated January 20, 2026, January 29, 2026 and February 2, 2026 and other applicable provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI Listing Regulations"), please find enclosed herewith the transcript of Earnings Conference Call for the quarter and nine months ended December 31, 2025, held on Monday, February 2, 2026, which concluded at 1:02 p.m. (IST).

The said intimation was received by the Company on February 06, 2026 at 04.09 p.m. (IST).

Further, please note that this intimation is also available on the website of the Company at

www.caprilans.in.

The above is for your information and dissemination to all the stakeholders.

Thanking you,

Yours faithfully,

for Capri Global Capital Limited

Yashesh Bhatt

Company Secretary & Compliance Officer

Membership No.: ACS20491

Encl.: As above

Page 1 of 19

Capri Global Capital Limited

Q3FY26 Earnings Conference Call

February 02, 2026

MANAGEMENT

MR. RAJESH SHARMA – MANAGING DIRECTOR

MS. DIVYA, DIRECTOR BUSINESS STRATEGY

MR. KISHORE LODHA, CFO

MR. SANJEEV SRIVASTAVA, CRO

MR. HARDIK DOSHI – HEAD, CORPORATE FINANCE & INVESTOR RELATIONS

Indian Numbering System Legend

- 10 Lakhs = ■ 1Mn
- 1 Crore = ■ 10Mn
- 100 Crores = ■ 1Bn
- 1 Lakh Crore = ■ 1Tn

Capri Global Capital Limited

Q3 FY26 Concall Transcript |February 02, 2026

Page 2 of 19

Moderator: Ladies and gentlemen, good day, and welcome to Capri Global Capital Limited Q3 FY '26 Earnings Conference Call hosted by Go India Advisors. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Hardik Doshi from Capri Global Capital Limited. Thank you, and over to you, sir.

Hardik Doshi: Thank you. Good afternoon, everyone, and warm welcome to Q3 FY '26 Earnings Call for Capri Global Capital Limited. This is Hardik Doshi, Head, Corporate Finance & Investor Relations. Before we begin, as a brief disclaimer, the discussion on today's call regarding Capri Global Capital Limited's earnings performance is based on judgments derived from the declared results and information on business opportunities available to the company at this time.

The company's performance is subject to risks, uncertainties and assumptions that could cause results to differ materially in the future. In that context, participants on today's call are advised to consider the same while interpreting the results. The full disclaimer is available on Slide 63 of the earnings presentation. Participants are requested to kindly take note of the same. Format of today's call would be opening remarks by the management team, followed by Q&A.

Let me now introduce the management team from Capri Global Capital present on the call today. With us today, we have Mr. Rajesh Sharma, Managing Director and Promoter; Ms. Divya Sutar, Executive Director, Strategy; Mr. Kishore Lodha, Chief Financial Officer; and Mr. Sanjeev Srivastava, Chief Risk Officer. I would now request our Managing Director, Mr. Rajesh Sharma, to present his opening remarks on the results. Over to you, sir.

Rajesh Sharma: Yes. Thank you. Good afternoon, everyone. I hope you all are doing well and had a good New Year break. We announced our unaudited financial results for the third quarter of FY 2026 on 29th January. I trust you have had the opportunity to go through our earnings presentation, which is also available on our website.

Before I move on to the financial and operational highlights, I would like to touch upon the broader operating environment during the quarter. India's economy continues to demonstrate resilience amid a mixed and uncertain global backdrop. Domestic demand remains steady, financial conditions and government schemes are supportive and budgetary push for infrastructure spending, indigenous manufacturing and service sector will drive the consumption and credit growth.

Capri Global Capital Limited

Q3 FY26 Concall Transcript |February 02, 2026

Page 3 of 19

India is expected to be among the fastest-growing major economies in FY '26, underpinned by a stable inflation trajectory and strong structural fundamentals. At the same time, the macro environment continues to be affected by external headwinds, including geopolitical issues, global market volatility and currency movements, underscoring the need for disciplined execution and prudent risk management for financial institutions.

Against this backdrop, I'm pleased to say that Capri Global delivered a strong quarterly performance in Q3 FY '26, continuing its growth momentum and maintaining asset quality, while delivering highest ever quarterly profit of INR255 crores, a 99% increase year-on-year. This performance reflects our strong execution capability and resilient business model even during the uncertain macro conditions.

Now coming to our detailed business and earnings performance during the quarter. The strong momentum we saw in the first ha

If of FY '26 continued through the third quarter

across all our lending businesses. As of December 31, 2025, our consolidated AUM stood at INR30,406 crores, reflecting a robust 47% year-on-year growth and 12% quarter-on-quarter growth.

This performance was underpinned by broad-based expansion across segments. Gold Loan grew an impressive 80% year-on-year, while housing loan rose 40% year-on-year. Our co-lending AUM surged 93% year-on-year to INR7,138 crores, now accounting for almost 23.5% of total AUM, up from 21% in Q2 FY '26, highlighting our strategic focus on capital-efficient growth. Disbursements for the quarter rose 87% year-on-year to INR10,879 crores, supported by a widening distribution network and growing customer base.

Our growth remains granular, diversified and retail-led with our customer base now exceeding 6.3 lakhs, reaffirming the scalability and resilience of our business model. For our Gold Loan business, we delivered a strong and well-balanced performance in line with our strategic objective of growth driven by branch expansion while maintaining focus on effective risk management.

We successfully met our branch expansion target with the net addition of 68 new branches across South India. While last quarter, we focused on deepening our presence in existing geographies, this quarter, we marked our entry in high potential new geographies of Orissa, Andhra Pradesh, Telangana and Karnataka to support the next phase of growth.

Gold Loan AUM saw robust growth, increasing from INR10,170 crores at the end of September to INR12,799 crores by December, a sequential increase of 26%, led by healthy customer demand and improving branch productivity. In the context of rising gold prices, we maintained conservative loan-to-value ratios while ensuring strong collection practices across the portfolio. Asset quality remained a key focus.

Capri Global Capital Limited

Q3 FY26 Concall Transcript |February 02, 2026

Page 4 of 19

Our Gold Loan gross NPA stood at 0.39% as of December, underscoring our focus on risk management and portfolio quality even amid rapid growth. Overall, Q3 marked an all-round performance for the Gold Loan business, combining scale alongside strong credit discipline and operational execution with branch productivity increasing to INR14.1 crores AUM per branch.

Our MSME AUM grew to INR5,886 crores, up by 19% year-on-year, supported by steady execution and network expansion. In the MSME business, all 16 branches in Uttar Pradesh, we opened in Q2 FY '26 are now fully operational. And by December end, these branches have achieved monthly disbursement run rate of INR9.5 crores, and we expect this to cross INR20 crores per month by March.

During the quarter, we also commenced MSME operation in prime urban markets such as Mumbai, Pune and Delhi which will help diversify and strengthen our overall customer risk profile. Within MSME, our Micro LAP business continues to gain strong traction with AUM rising to INR650 crores. This vertical enables us to serve emerging self-employed borrowers with a smaller ticket size requirement. In Micro LAP, we added 14 branches during Q3, taking the total branch network to 151 branches as of December end.

Our immediate focus now in this segment will be on improving sales productivity and operating efficiency across the expanded network before undertaking the next phase of branch expansion. Housing AUM stood at INR6,490 crores, delivering a year-on-year growth of 40%. We continue to see resilient demand across the affordable housing segment where rising income level and lower interest rate regime are driving demand for housing loans.

With net addition of 18 branches, we further expanded our presence in high potential South India market by entering the state of Andhra Pradesh and Karnataka. This strategic expansion is step towards becoming a national player in housing finance, increasing portfolio granularity and support y

ield expansion over time.

Our construction finance AUM saw steady growth of 37% year-on-year to INR5,109 crores, now funding over 279 active residential projects with an average ticket size of INR37 crores sanction-wise and outstanding portfolio ticket size of INR18 crores. The book remains granular and well diversified by geography, reflecting our focus on working with mid-sized and small developer in metro and Tier 1 cities.

We continue to emphasize disciplined underwriting through rigorous due diligence and escrow-based cash flow management, ensuring a risk-first approach. Our total branch network expanded to 1,331 locations in Q3 FY '26 with a new addition of 107 branches during the quarter, while our employee base increased to 13,066, up by 7% quarter-on-quarter.

Capri Global Capital Limited

Page 5 of 19

Our entry in new geographies is a step towards our ambition of building a pan-India footprint, enhance customer reach and increase brand visibility, laying the foundation for the next phase of growth. Let me now provide an update on our core earnings. Our yields and spread on net advances remained healthy in the quarter at the 16.4% and 7%, respectively, driven by continued loan book expansion, decline in cost of funds and enhanced margin.

Our net interest income for Q3 FY '26 stood at INR510 crores, representing a strong 48% increase year-on-year. We continue to strengthen our noninterest income stream in Q3 FY '26, reinforcing our strategy of building a diversified and resilient earnings profile. Non-interest income grew 124% year-on-year and 18% quarter-on-quarter to INR240 crores, contributing 32% of our net total income for the quarter.

This strong increase was largely driven by growth in commission of insurance distribution and co-lending fee income. In our insurance distribution business, we generated fee income of INR34 crores during the quarter. Q3 marked an important strategic milestone with the deployment of the upgraded Capri Care insurance ecosystem. During the quarter, we unveiled a refreshed brand identity and fully digital end-to-end platform that enables instant real-time policy issuance, significantly easing insurance adoption across our retail customer base.

More importantly, we have expanded our product portfolio beyond traditional financial indemnity product to a holistic wellness-led offering. By embedding preventive health care solutions such as annual health screening and cashless consultation into the ecosystem, Capri Care is evolving from a claims-product offering into a proactive health and protection partner for our customers. This digital-first and integrated approach is expected to drive higher insurance penetration, improve customer engagement and meaningfully enhance fee income contribution over time.

Our co-lending income stood at INR116 crores, driven by higher disbursal volumes and deeper engagement with partner banks. This capital-efficient model continues to enhance ROE, diversify funding sources and scale fee-led income without incremental balance sheet strain. Our car loan distribution business maintained its steady momentum with origination of INR3,290 crores in Q3 FY '26, up 15% year-on-year.

With a growing footprint and deep relationship across 14 partner banks and financial institutions, we have built a scalable platform with pan-India network in this segment with potential to monetize further for distribution of other products. On the expenses front, our operating expenses increased 15% quarter-on-quarter. This was mainly driven by increase in the employee cost on account of net addition of 869 employees quarter-on-quarter and increase in employee incentive linked with higher disbursement.

Capri Global Capital Limited

Q3 FY26 Concall Transcript |February 02, 2026

Page 6 of 19

Our continued focus on operating efficiency is visible with the cost-to-income ratio improving

to 51.6% in Q3 FY '26 compared with 58.2% in Q3 FY '25. This sharp improvement underscored the benefit of a maturing branch network, rising productivity and a strong operating leverage across our businesses.

As a result of margin expansion, improvement in operating efficiency and a strong traction in fee income, our pre-provision operating profit surged 92% year-on-year to INR363 crores for the quarter. Further, we continued our strong profitability momentum in Q3 FY '26, delivering a robust PAT of INR255 crores, up 99% year-on-year. Our return ratio considerably improved during the quarter with ROE of 15% and ROA of 4% for the quarter.

Coming to our asset quality, our impairment cost for the quarter stood at INR23 crores in Q3 FY '26, down from INR31 crores in Q2 FY '26 or 0.4% of the gross loan book and our provision coverage ratio on Stage 3 loans improved to 43.6%, demonstrating our prudent provisioning and conservative approach to risk management. Our Stage 2 assets increased by INR95 crores quarter-on-quarter and were 4% of gross loans.

However, our Stage 3 ratios improved quarter-on-quarter for Gold Loan, Housing Loan and Construction Finance and remained flat for MSME loan. At consolidated level, our Stage 3 assets remained flat at INR275 crores quarter-on-quarter, resulting in our gross Stage 3 ratio at 1.2%, down sequentially by 10 basis, while net Stage 3 ratio stood at 0.7%, down 7 bps sequentially.

Let me talk about liability side. Our borrowing increased by 38% year-on-year and incremental borrowing sanction limit year-to-date this fiscal was around INR6,860 crores. We added 11 new lender relationships year-to-date, taking the active relationship now to 30-plus. We also continue to diversify our borrowing mix by raising funds through other instruments such as NCDs and commercial paper. During the quarter, we raised INR635 crores from NCDs and commercial paper.

As a result of MCLR reduction and our effective effort on repricing existing liabilities, we are happy to share that we saw quarter-on-quarter reduction of 24 basis in our cost of funds. Following equity capital infusion of INR2,000 crores in Q1 FY '26, our balance sheet is now significantly stronger with a low leverage ratio of 2.8x, providing ample headroom to support accelerated growth across business segments.

Our stand-alone capital adequacy ratio of CGCL is at 30.3% and 24.8% for Capri Global Housing Finance Limited. Our liquidity remains comfortable with INR4,274 crores in cash and bank balances, investments and undrawn credit lines across CGCL and CGHFL. Our technology investments continue to deliver tangible outcomes and to understand the sustainability of these numbers, we need to look at the engine powering them. 4 years ago, Capri Global Capital Limited

Q3 FY26 Concall Transcript |February 02, 2026

Page 7 of 19

we began rebuilding Capri as a platform-centric NBFC, and that decision is now generating exponential operating leverage. Our performance is not just the outcome of incremental manpower, it is also the product of scaling our systems. Our in-house technology stack delivers higher disbursement, sharper credit selection and shorter cycle times, all without a proportional rise in cost.

Our disbursements are up 87% year-on-year. However, manpower has increased by just 19% year-on-year, driven largely by the addition of 265 new branches year-on-year rather than rise in core operating load. This is the compounding effect of AI native operating model, one where productivity, speed and the risk discipline accelerate together and where growth is driven by architecture, not headcount.

We have built an AI-first lending platform from the ground up and embedded at the core of our credit architecture made around the critical element of clean, governed continuously in this data. The customer journey runs on a fully native, seamless flow from digital onboarding through our mobility app called S

PARK into a centralized loan origination system called Orion that orchestrates complex workflows end-to-end.

This foundation delivers insight, speed and risk precision that legacy vendor-led ecosystem cannot match. This distinction is most visible in our proprietary intelligence model, for credit and for collections. Credit model acts as a vigilant guard, moving us from static scoreboard to dynamic risk compliance, while collections model drive time-driven escalation aligned to delinquency aging.

Our agentic communication stack across voice, WhatsApp, SMS and GenAI bots now manages customer engagement end-to-end. It sends nuggets automatically, analyze call transcripts, detects early risk signals and triggers the right action instantly, creating a real-time high accuracy feedback loop across the collections funnel.

On ground, our field collection executive operates on a specialized geotech mobility app called Pegasus, ensuring fast-moving wide coverage execution by optimizing routes and tracking widgets in real time. This structurally lowers the cost of collections and improve cure rates without expanding our feet on the street workforce.

Underpinning this capability is a robust hybrid multi-cloud strategy and unified data foundations that feeds our real-time executive dashboards ensuring that decisions regarding funnel visibility and asset quality are backed by live data. We have modernized the entire application development life cycle by embedding artificial intelligence at every stage, driving an 83% year-on-year improvement in employee to PR code productivity.

With AI-driven automated reviews and agentic testing framework, we have brought our error rate down to below 5%, supported by 4x increase in code coverage year-on-year. As Capri Global Capital Limited

Q3 FY26 Concall Transcript |February 02, 2026

Page 8 of 19

a result, we are delivering new features faster with higher reliability and with leaner teams, giving us a sustained execution advantage. This velocity translates directly into business outcomes and customer experience.

Consequently, products like Gold Loan have a turnaround time of less than 30 minutes and

our preapproved top-up loans are disbursed in 60 seconds. We are monetizing trust and leveraging the India Stack to acquire and verify customers at very low cost. Importantly, we have ensured that speed does not come at the expense of governance and is aligned with regulatory guidelines.

The technology foundation is in place. The systems are mature and are built to compound earnings at scale. On the ESG front, I am pleased to share that our ESG practices have been recognized by leading global independent rating agency, including S&P Global and Morningstar Sustainalytics.

Capri Global has achieved an S&P ESG score of 71, the highest among all NBFC peers and has been assessed as Low ESG Risk by Morningstar Sustainalytics. These ratings place us firmly among the leaders in ESG practices within the NBFC sector and reflect our adherence to globally benchmark standards.

Importantly, these assessments are based entirely on publicly available independently verified data, underscoring the strength, transparency and resilience of our governance and operating model. We shall now be happy to take your questions.

Moderator: The first question is from the line of Aman Baheti from InCred Capital.

Aman Bbaheti: So my first question is, with our ongoing investments in distribution, how should we think of the benchmarks like AUM per branch, per employee that signal our transition from build out to operating leverage in Gold and Micro LAP businesses?

Rajesh Sharma: Yes. Thank you. So as far as the AUM per branch is concerned, Gold Loan as we have narrated in our call also that it has already crossed INR14.1 crores per branch AUM. And we expect this Gold Loan AUM continued to grow in line with our -- there are many branches which are still less than INR10 cor

es, while the AUM is 14, where some of the branches are about 25, some of the branches are below 10.

So, there exists a good scope that these branches will continue to deliver a 30% plus growth.

Plus, we intend to add more branches. So currently, if you talk about 910 branches, there are about 20% branches are more than INR20 crores per branch. Between INR5 crores to INR 20 crores per branch, almost there are about 67% branches. And there are some newly opened branches we opened in the last 2 quarters, less than INR5 crores. So those branches will continue to grow, plus we also intend to add the new branches.

Capri Global Capital Limited

Q3 FY26 Concall Transcript |February 02, 2026

Page 9 of 19

So, the existing branches will also continue to grow with the addition of the opening of the new branches. So, per branch AUM, we can expect we are at INR 14.1 crs and these existing branches will continue to grow for 30%, and then there will be addition of the new branches.

If we talk about Micro LAP, which we are opening about 151 branches currently, the AUM is about INR650 crores, which is average about roughly -- about close to INR5 crore plus. These branches will deliver AUM about, say, INR10 crores by the next year. And we intend to achieve INR3,000 crores of AUM in about another 2.5 years from now. So that is the trajectory we are following.

Aman Bbaheti: So, second question is in line with our portfolio mix. So, as we are seeing a shift from traditional lending towards Gold loans and Co-lending. So -- but our NIMs have remained largely unchanged. I mean, so what's our outlook there on Gold Loan yields?

Rajesh Sharma: Gold Loan yields are currently in the range of about 17.8%. And overall -- if we talk about the overall yield of the company, it is about 16.4% at the portfolio level. With the increase slightly in the Gold Loan portfolio, the overall yield and spread will improve plus Micro LAP segment is also increasing, where the yield is also -- is going to be supportive. We expect the Gold Loan to remain in the range of about 18%.

Likely, there will be improvement about 20–25 basis going forward by various retail loan -- Gold Loan focus, we are bringing it now increasing the branches. So there, we should see some improvement in our yield plus certain other measures we are taking. So overall, Gold yield is likely to be 18% and our overall yield of the company, which is 16.4% should improve slightly. It should improve by 20 to 25 basis in next year.

Moderator: The next question is from the line of Sohail Kanalil from ULJK Financial Services.

Sohail Kanalil: Very good -- congratulations for the good performance in this quarter. I had a couple of questions to ask. So basically, we have seen Co-lending has been scaling faster from 20% to 22.5% in Q3. And how do we -- how do you see this shape up going ahead? Do we -- is this going to keep increasing further on?

Rajesh Sharma: I think Co-lending will remain largely in the current range of between 22% to 23%. We do not intend to grow it further from this level. And we are able to maintain, this is a very good level to have it. It's very, very highly ROE accretive. And there is a focus of regulators

as well as the banks to partner in the Co-lending so that it is a collaboration between the low-cost fund and the low-cost collection efficiency of NBFC and low-cost fund of the banks. But we intend to maintain this level.

Capri Global Capital Limited

Q3 FY26 Concall Transcript |February 02, 2026

Page 10 of 19

Sohail Kanali: Got it, sir. And one more question I had regarding -- so how these gold loan prices have -- I mean, the gold prices itself has gone up significantly in the last few quarters. And right now it has peaked. So, if we see further downside in gold prices, what kind of scenarios have you embedded for your loss and provisioning have you done for that?

Rajesh Sharma: Yes. So, I think it's a very good question i

n the recent times of the volatility of the gold

loan. But as a company, we follow the very conservative practice in terms of the way we decide the LTV. In the rising trend of the gold, we reduced our LTV. So during the January, whatever we disbursed, our loan disbursement was happening at the LTV about 64% against the 75% permitted. And the portfolio level, our LTV is 60% overall. So it means we have a portfolio level 40% margin in the current trend.

So second thing is that the moment we also have a system that early warning triggers we are able to send to the customers through SMS and WhatsApp messages in case anybody's LTV breaches. And at individual level where the loan amount is anything between INR 50,000 to INR 2 lakh, if the gold prices have fallen and the margin call trigger, we send the message.

And we manage the dynamic collateral monitoring where we monitor the portfolio and individual loan account system-wise and take the prompt corrective action. Borrowers are required to restore the margin within 14 days of intimation, limiting prolonged exposure during period of price correction. And then we retain the right through our agreement to initiate auction of gold, including prior to loan maturity if collateral coverage becomes inadequate or borrower risk increases materially.

So there are various safeguards inbuilt. If you talk about currently, as I said, in the January month, our all disbursements where we are taking the -- we have disbursed the loan where the AUM was only 64%. So 36% of the margin we have maintained during the time when the gold was going up one way. Between December and January, we were maintaining our fresh disbursement LTV not 75%, but between 65% to 70%.

So there also, we have taken a conservative approach. Also the gold loan lending happening on the 30-day -- last 30 days average price. Accordingly, rate per gram is decided. So basis all these frameworks, we are at quite comfortable position where the LTV just 60% at a portfolio level.

Sohail Kanali: I think the book has been very well managed.

Moderator: The next question is from the line of Varun Dubey from Share India Securities.

Varun Dubey: First of all, sir, congratulations on your superb set of numbers. I mean the company has shown really good growth. If you can just throw some light on what was the reason for

Capri Global Capital Limited

Q3 FY26 Concall Transcript |February 02, 2026

Page 11 of 19

decline in the overall net interest margin to 9.1%. And also the company has said that the overall spread would reach to 7.2% going forward. So I mean, does the company stay with the same guidance for spreads we have said?

Rajesh Sharma: I think what is the relevant indicator to track is the spread and the spread has not come down. The spread has improved from 6.9% to 7%. So there's an improvement in the spread and our margin. As regards net interest margin is concerned, the more you leverage, net interest will fall. So I think right indicative spreads where we are showing an improvement of 10 basis from 6.9% to 7%.

Varun Dubey: Okay, sir, but you have guided for 7.2%, I remember in the second quarter. So do you stay with the guidance of 7.2%? I mean will we see more 20 basis point improvement in spread in the fourth quarter?

Rajesh Sharma: Yes, there will be improvement in the fourth quarter in the spread further. On the back of our AUM of the Gold Loans rising, some support will come from the scale benefit and also from the cost of fund is going down. So already, we reduced about 24 basis cost of fund now in the last quarter, some of the loan will get further reset and the mix of borrowing of the short-term commercial paper and other measures, our overall spread will continue to improve. And I think we've given a guidance of 7.2%, which we hope to deliver that.

Varun Dubey: Okay, one last question I just wanted to understand on your Gold Loan branches because I

remember you're saying

995 branches was a target for FY '26. I mean what would be the addition for Gold Loan branches in FY '27? I think so there was a separate RBI approval that the company needed for additional branches. So what's the update on that, sir?

Rajesh Sharma: So I think the branches which we will add in the last quarter of the Gold Loan, we'll let them stabilize and achieve at least 6 months' time. We'll approach the RBI at appropriate time and RBI give their approval and decision within 45 days. So in the second half of FY '27, we'll announce the expansion of our Gold Loan branches based on what time we approach and subject to our approval and program. And accordingly, we'll announce at the right time how many branches we'll be adding in the second half.

Varun Dubey: Once again congratulations on the superb set of numbers.

Moderator: The next question is from the line of Ishank Gupta from Choice Institutional Equities.

Ishank Gupta: So my first question was for Gold Loan segment that we have already observed a sharp decline in yields. So what was the primary reason? Was it because of higher competition?

Or -- and I couldn't hear properly, so could you reiterate what is the expansion we are seeing in the yields of Gold Loan?

Capri Global Capital Limited

Q3 FY26 Concall Transcript |February 02, 2026

Page 12 of 19

Rajesh Sharma: As far as expansion is concerned, by current quarter, we will be ending up 999 branches of the Gold Loan. And last quarter, you have seen we have added about 68 branches in gold alone. As far as the yield is concerned, the decline in the yield in Q3 FY '26 compared to Q2 FY '26 is directly linked to our strategy of expanding the retail loan book with a particular focus on the smaller ticket size loan in rural markets.

This shift has been effective in driving customer acquisition and enhancing market reach, but it naturally result in lower average ticket size and a slight compression of the yield.

Furthermore, the rural market has seen improved cash flow availability due to the harvesting cycle, allowing customers to make timely repayment, access rebate schemes and remain within the lowest ROI brackets. However, next quarter, we expect the yield to improve by 20 basis or so.

Ishank Gupta: And any further expansion in '27 and '28?

Rajesh Sharma: '27, '28, we will go to our regulator for the approval. And second half, we'll announce our phase of expansion in the Gold Loan branches. First half, we will try to make our existing branches which opened in last 3, 4 months to make them grow and achieve the breakeven. And thereafter, we'll go for the next expansion round.

Ishank Gupta: And sir, what about the expansion in other branches other than Gold Loan? What do you pencil in for FY '27 and '28 other than Gold Loan?

Rajesh Sharma: So in the MSME, Micro LAP and Home Loan, we are continuously adding. So next year, we can assume that between 100 and 125 branches across Micro LAP, MSME and Home Loan, we will add.

Ishank Gupta: Understood. So sir, taking further on the point of MSME sector, the government has continued its stance of supporting the MSME sector. So based on that, can we assume our exposure towards MSME should also improve? So what would be the AUM mix within next 1 to 2 years?

Rajesh Sharma: So you have seen this quarter also, overall, we have shown the 19% growth in the MSME segment. So if you talk about the composition of AUM, currently, Gold is about 42%, and which will improve to about 45%–46%. As regards MSME and Construction Finance and Housing is concerned, they will largely remain in the range of about 18% to 20% each one.

Ishank Gupta: Understood. Understood. And sir, we have already reached our exposure to 40%. So we are currently penciling 45% is our exposure towards Gold Loan. So currently, the gold prices have already witnessed high volatility in January. So do you see a good growth based on it if the prices do fall further or has volatile

in Feb and March?

Capri Global Capital Limited

Q3 FY26 Concall Transcript |February 02, 2026

Page 13 of 19

Rajesh Sharma: So even though some price correction, which we've already seen happening, but on ground, there is still the larger market of the gold loan is still exist in the informal segment with the small money lender and the small jewellery shop who also do the lending activity. That market is continuing to shift to the organized sector because of the fair practice and the better interest rate. I believe that still a lot of market, which is going to shift from the

informal to formal. And we'll see decent growth in the Gold Loan segment in the coming years.

Moderator: The next question is from the line of Prit Nagersheth from Wealth Finvisor.

Prit Nagersheth: Sir, my question is that given that the borrowings announced in the budget is going to be more and this will increase the -- this will result in higher yields for government finances.

Do you see an increase on cost of funds for the company because of that for FY '27?

Rajesh Sharma: So I put it this way that across the level if the cost goes up, then by all the lenders, that is actually get passed on to the borrower. But any cost reduction happens because of a better credit rating or otherwise, that benefit accrue to us. So in case the cost goes up, we'll be able to pass on because that will happen for every lender.

And that cost will -- of course, will get passed on to customers. So that will not change our spread. However, any cost reduction which we achieve because of our mix of borrowing by using the short-term instrument like commercial paper or short-term NCD or by improvement in credit rating, these 2 factors, that benefit will directly accrue to the P&L.

Prit Nagersheth: So what happens in the case where banks who are competing with gold loans in companies like Capri Global, for them, their cost of funds do not increase as much as they will be for an NBFC, so because of heightened competition, could this result in the yields on gold loans coming down?

Rajesh Sharma: So in any case, banks are lending at less than 10%. And the gold loan NBFC are lending anything between 15% to 18% rate. So already that difference is there. So -- but the customer segment of the bank and NBFC will be entirely different. Second thing, focus of the gold loan NBFC is purely only on the gold loan customer where the banks do many other products also.

So attention to the customer, customer serving to the small borrower borrowing INR30,000, INR40,000, INR50,000 for a 6-month loan where banks margin may not be even INR500. The service and attention of the NBFC is going to be the key differentiating area. It is not that the banks are not lending today at low rate. So that 25 basis here is not, even the today difference is more than 500 basis points.

Capri Global Capital Limited

Q3 FY26 Concall Transcript | February 02, 2026

Page 14 of 19

But still all the gold loan NBFCs are continuing to grow. So I think that is not the factor of rate of interest, what rate banks are lending, what rate we are lending they are entirely 2 different segment of customers.

Prit Nagersheth: Got you. The other question I had was regarding the gold LTV. So you explained right now regarding the prior participant. The question I wanted to ask was that till what price of gold are we comfortable, after which if it falls, we would have to start -- as you explained, you would have to start calling customers and managing that. So what kind of price fall would you still be okay with?

Rajesh Sharma: So you have to understand it is like this, that a customer whom we have given a INR1 lakh, say INR1 lakh against the gold of INR1 lakh, we have given a INR75,000 of loan. That is a regulatory limit. But our portfolio currently sitting at INR60,000. It means that our portfolio is already at INR60,000. Assuming that somebody we have given the loan in the month

of January when the gold loan prices have gone up 10%, again then followed more than 10%.

That time, we were having margin on loan-to-value around 25%, but now we are following a loan-to-value of only 65%. So 35% margin we were taking. Even though gold loan prices fall 10%, still that -- till then, it will remain within 75% range. The moment LTV breaches, where the LTV exceeds 75% because of the reduction of the gold loan value, suppose some customers, LTV has begun 78% or 79% on a particular day, 4% breach in a INR75,000 loan, which means that INR3,000 we have to recover from him.

From the system, auto message will be sent to the customer that your LTV has been breached by this in this amount within 14 days if you don't restore the margin, we have the right to auction the gold plus it will also invite the penal charges and this and that. Customer is being called by the branch and SMS is already sent to him and recovery is done. So customer -- so it is not that in 1 day, 25% correction will happen and we are out of the money.

Correction will happen gradually and there is a automatic system-based alert and calls are triggered, and recovery is made from the customer. Individual customer, we have to INR3,000, INR4,000, INR5,000 only to make up that margin. In the worst scenario, we will end up in selling the gold and realizing our money.

Our ticket size being so granular and the risk is so diversified, this does not pose a real risk in terms of recovery, gold being so liquid and gold is the only asset class where customer

part with the possession, it remains in our custody. So there is no process of taking the possession, something like that in property. Here, gold is in our possession, we can sell and realize dues. So there's no real risk against as such.

Capri Global Capital Limited

Q3 FY26 Concall Transcript |February 02, 2026

Page 15 of 19

Prit Nagersheth: Got you. Got you. The other question I wanted to understand is that what kind of growth momentum do you foresee for quarter 4 and also for the next financial year, if you can give some guidelines?

Rajesh Sharma: So I think we have said that this year, we will continue to deliver a growth AUM to be in the range of about INR33,000 crores to INR34,000 crores, and we are on that track.

Already, we achieved INR30,400 crores this 9 months period. And we will continue to grow. Next year, we have revised our guidance to deliver anything between about INR43,000 crores to INR44,000 crores. Earlier, we said that we'll achieve INR50,000 crores AUM by FY '28. Now that guidance we revised to reach to INR55,000 crores by FY '28.

Prit Nagersheth: So alongside this growth, do you have any targets for your ROAs and ROEs. What you would think...

Rajesh Sharma: I think we are -- we have already delivered in this quarter, 4% ROA, and we continue to maintain that. Our aim will be to deliver ROE in the range of about 16% plus and ROA anything between 4% to 4.25%.

Moderator: The next question is from the line of Mr. Bansal from NBG Investments.

Bansal: My question is on this Gold Loan ratio, while answering the earlier participant questions, you said that you have a margin of around 35% to 40%. But I see your presentation where you said that your loan-to-value ratio is around 72%, which means that you have the margin of around 28% to 30%. So can you help me understand what is these 2 things?

Rajesh Sharma: So what I think you have seen the Slide number 8 is referring the incremental disbursement. So incremental disbursements all 3 months, if you have seen Q3 FY '26 showing is 72%. Now 72%, thereby, it would mean that on the day when we disburse, suppose we disburse in the month of November and gold prices have gone up, thereby it would mean that my LTV will keep coming down. So in the current trend where the gold was going up, our LTV started falling. We are able to clarify you?

Bansal: Yes, yes, yes. Understood. Understood.

Moderator: The

next question is from the line of Vikrant Pankaj Shah from Choice Institutional Equities.

Vikrant Pankaj Shah: Could you share your perspective on the medium-term capital trajectory as growth continues, as capital adequacy converges towards target levels, how should investors think about trade-off between growth leverage and potential capital return?

Capri Global Capital Limited

Q3 FY26 Concall Transcript |February 02, 2026

Page 16 of 19

Rajesh Sharma: We have adequate capital, as I explained, currently, it's about in the range of about 30%. We have adequate capital to support our growth for next 2 years. So till FY '28, the AUM, whatever we intend to reach to INR55,000 crores. Within that, as I said, 23% is off-balance sheet item, which is the co-lending. For that, there is no capital allocation required. So keeping that in mind, we are -- we currently only have about 2.8x leverage. We are quite comfortable to achieve our target AUM for FY '28 with the current capital.

Moderator: The next question is from the line of Vikramaditya Gajbar from Ventura Securities.

Vikramaditya Gajbar: My question is, given higher competition in secured MSME and LAP, are new loans coming at similar economics as before? If pricing is getting tighter, how are you compensating through underwriting discipline or risk controls?

Rajesh Sharma: So I think the biggest lever we are focusing, as you said, we are using technology platform across the way we onboard the customer, the way we process our loan, the way we do underwriting and later, how do we do collection of the loan. The entire focus is how do we improve our productivity by continuously improving. And these technological led initiative platform and AI -- agentic AI tools are making a sea change.

If we can say that our -- while number of branches have gone up significantly, AUM have been doubled, our manpower have -- headcount have increased only by a marginal 19% of that. So our focus is going to become how we become operationally very, very efficient by using all these tech and data science tools. So our focus is going to remain that same amount of disbursement we do with the less number of people with the less operating cost and our

model has become very, very robust.

And that is driving our ROA and ROE. If you see quarter-on-quarter, the improvement have been seen despite we continue to remain in growth phase, while we continue to add on the branches, the new capital has been added and still we are able to deliver the ROA of 4% and ROE about 15% as a result of the focus on productivity, efficiency using the technology and data science tools.

Moderator: The next question is from the line of Sagar Shah from Spark Capital.

Sagar Shah: Congratulations, sir, for such excellent set of numbers. Majority of my questions are answered actually. I just had one question. We had -- we have been affirmed by CRISIL, the rating of A1+. And our cost -- average cost of borrowings, stands at 9.5%. And the lowering of cost of borrowings is one of the major things for us behind our ROA accretion. So you guided around a few quarters before that our cost of borrowings is expected to come down once the rating gets upgraded. So any -- something like talks with the rating companies so that it's a big driver for us regarding our return ratio, sir?

Capri Global Capital Limited

Q3 FY26 Concall Transcript |February 02, 2026

Page 17 of 19

Rajesh Sharma: So I would like to say that cost of funds have already been reduced by 24 basis on the back of a strong performance. The internal rating model, which banks follow, this is that they have reduced the rate of interest in risk spread. Further, we are diversifying the borrowing by mixing the short-term loans, which are available. It is shorter tenure, but at lower cost like commercial paper and short-term NCD. So 24 basis is already achieved. And we expect on the back of good performance, credit rating should happen

Now not that credit rating agency tell that in advance, it will happen. But we believe it is a focus on continuous effort and better performance will yield to the rating upgrade.

Whenever it happens, that they decide and they let everyone know in the public domain also. But without that also, by mix of borrowing and other measures, we see that continuously we will bring our cost of funds further down.

Whenever the credit rating happens, maybe after annual result or when, everybody will let you know. But there's a sharp focus on reducing the cost of fund by another 24–25 basis so that whatever 50 basis we expected that we bring it down in the next 3 to 6 months' time.

Sagar Shah: Okay. So basically, due to the RBI rate cuts and follow-through from the banking system, you are estimating around 25 to 50 bps, another one. But if the rating gets upgraded to more AA+ or anything like that, then what is the minimum expectation that the company has of lowering the cost of borrowings because that will be in line with the top A NBFCs, that is right, and that will be a big trigger for companies like Capri Global sir?

Rajesh Sharma: As we said, 24 basis is already achieved. Another 24, 25 basis, we intend to achieve in the next 3 to 6 months without accounting any rating upgrade. Whenever the rating upgrade happens, it is a gradual process that a lot of other avenues open up. And then banks also take the measure. And then another, it takes 6 to 9 months to actually effect to come in the P&L because the rating reset of the existing borrowing happened at the reset date. New borrowing immediately start happening at the lower rate.

So it is a process which happened by -- in a gradual manner, not that the moment rating upgrade happen, the entire borrowing cost comes down. But, yes, in 6 to 9 months, the effect can be seen. So again, 24 basis is already achieved, another 20 to 25 basis we'll achieve another between 3 to 6 months' time. And whenever the rating upgrade happens, that will happen, the cost advantage will accrue between 6 to 9 months from there on.

Sagar Shah: Again, congratulations for excellent set of numbers.

Moderator: The next question is from the line of Ninad Jadhav from LKP Securities.

Ninad Jadhav: Sir, my question is on Micro LAP. So you mentioned you are targeting a portfolio of INR3,000 crores in next 2 to 3 years. So if you could share some color on customer

Capri Global Capital Limited

Q3 FY26 Concall Transcript |February 02, 2026

Page 18 of 19

demographics like what is the yield you're targeting and the average ticket size of the portfolio? And also what are the driving factors you are seeing that you would be able to achieve this target in next 2 or 3 years?

Rajesh Sharma: Micro LAP average ticket size is about INR5 lakhs. It is collateralized by security. The yield is in the range of about 23% to 24%. And currently, AUM is about INR650 crores from the 151 branches. In next 3 years' time from now, we intend to have a loan book of about INR3,000 crores.

Ninad Jadhav: Any ground situation you're seeing, how is the customer behavior or how is the repayment ability? So the factors that would help in achieving your...

Rajesh Sharma: Currently, our collection efficiency in the range of a micro level is 99%, which is very, very good. And we -- not like other Micro LAP, we are using here technology and other tools to see that we are able to -- at the time of sourcing the customer, bad customers are rejected there itself. So GNPA at Micro LAP, GNPA at the end of third quarter is about 0.9%, which is very, very good.

Our P&L account for -- even the NPA -- GNPA happen in this range because we are making the yield about 23%, 24%, even 2%, 2.5% is reasonable. But since it's a new portfolio, and we are continuing to focus on our technological tool, I think the way we are sourcing customer, way we are underwriting the customer, we are going to create the new benchm

ark in the industry in the Micro LAP.

Moderator: The next question is from the line of Mokshang Sanghvi from BSC Advisors.

Mokshanki Sanghvi: So, I guess, majority of my questions have been answered. My specific query was on the resignation of the CEO. So the person was appointed and resigned within a period of less than 4 months. And I just -- and there were some rumors in the market as well. I just -- if the management could provide a little more clarification than the sentence that was provided in the press release that he is pursuing the personal entrepreneurial journey, it would be a little more better for us?

Rajesh Sharma: Yes. Thank you. So yes, Mr. Monu who was based through and throughout from Delhi, he was earlier in IIFL. We hired him. And within a -- before actually he gets settled down, I think rather than coming to Bombay and shifting his base here, he thought and reconsidered his decision in terms of that at this juncture of his 52 age, he would like to pursue some entrepreneurial opportunity. And he changed his mind, and he has gone back to Delhi, and he's told us that he's going to start something entrepreneurial in fin-tech space.

Having said that, not that he has built some businesses and involved. He just recently came And within a short span of time, less than a quarter, he made up his mind. So neither he

Capri Global Capital Limited

Q3 FY26 Concall Transcript |February 02, 2026

Page 19 of 19

brought any certain number of team members along with him. So there's an impact of team coming, team going.

And I don't think it has much impact. There's an adequate number of professionals in team in each vertical, be it MSME, be it Gold, Micro LAP, Housing Finance, Car Loan. There's a separate risk head, there's a group CRO. So all that is in place, and it is not going to have any adverse impact as such.

Mokshanki Sanghvi: Understood. My specific issue was on the front that if there's such a high-level KMP is entering the company and leaving in such a short span of time, it might have a signal that there are some type of underlying issues or something. But, I guess, your answer addresses my question.

Moderator: Ladies and gentlemen, due to time constraint, that was the last question. I would now like to hand the conference over to the management for closing comments.

Rajesh Sharma: Yes. Thank you. To conclude, we all know that we delivered a strong performance in Q3 FY '26 with a healthy AUM growth across our key lending segments, supported by a diversified and predominantly secured portfolio. Profitability improved during the quarter, driven by changing mix to high-yield products, improving margins, strong growth in fee income and operating leverage from our existing branch network, while asset quality remained resilient.

With a strong capital position and continued investment in technology and distribution, we are well positioned to scale efficiently and are confident of increasing our AUM target to INR55,000 crores by FY '28 and sustainable return on average equity of 16% to 18% and return on average asset in the range of about 4% to 4.25% by FY '28. Thank you.

Moderator: On behalf of Go India Advisors, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2026

May 08, 2026

The Secretary
BSE Limited
Pheeroze Jeejeebhoy Towers
Dalal Street, Fort
Mumbai - 400 001
Scrip Code: 531595 The Secretary
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No - 'C' Block, G Block
Bandra -Kurla Complex, Bandra (East)
Mumbai – 400 051
Scrip Code: CGCL

Sub: Transcript of the earnings conference call for the quarter and year ended March 31, 2026 – Regulation 30 and 46 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI Listing Regulations")

Dear Sir /Madam,

In terms of Regulations 30 and 46 read with clause 15 of Para A of Part A of Schedule III of the SEBI Listing Regulations and further to our letter dated April 24, 2026, April 30, 2026 and May 04, 2026 and other applicable provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI Listing Regulations"), please find enclosed herewith the transcript of Earnings Conference Call for the quarter and year ended March 31, 2026, held on Monday, May 04, 2026, which concluded at 04:58 P.M.(IST).

The said intimations was received by the Company on May 08, 2026 at 12:30 P.M. (IST).

Further, please note that this intimation is also available on the website of the Company at www.caprilans.in.

The above is for your information and dissemination to all the stakeholders.

Thanking you,

Yours faithfully,
for Capri Global Capital Limited

Yashesh Bhatt
Company Secretary & Compliance Officer
Membership No.: ACS 20491

Encl.: As above

Page 1 of 13

"Capri Global Capital Limited
Q4 FY '26 Earnings Conference Call
May 04, 2026

MANAGEMENT

MR. RAJESH SHARMA – MANAGING DIRECTOR
MS, DIVYA, EXECUTIVE DIRECTOR BUSINESS STRATEGY
MR. KISHORE LODHA, CHIEF FINANCIAL OFFICER
MR. SANJEEV SRIVASTAVA, CHIEF RISK OFFICER
MR. HARDIK DOSHI – HEAD, CORPORATE FINANCE & INVESTOR RELATIONS

Indian Numbering System Legend

- 10 Lakhs = ■ 1Mn
- 1 Crore = ■ 10Mn
- 100 Crores = ■ 1Bn
- 1 Lakh Crore = ■ 1Tn

Capri Global Capital Limited
Q4 FY26 Concall Transcript | May 04, 2026

Page 2 of 18

Moderator: Ladies and gentlemen, good day, and welcome to the Capri Global Capital Limited Q4 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in a listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Hardik Doshi. Thank you, and over to you, sir.

Hardik Doshi: Good afternoon, everyone, and warm welcome to Q4 FY '26 Earnings Call for Capri Global Capital Limited. This is Hardik Doshi, Head, Corporate Finance and Investor Relations.

Before we begin, let me read out a brief disclaimer. The discussion on today's call regarding Capri Global Capital Limited's earnings performance is based on judgments derived from the results declared and information on business opportunities available to the company at this time.

The company's performance is subject to risks, uncertainties and assumptions that could cause results to differ in future. In that context, participants on today's call are advised to consider the same while interpreting the results. The full disclaimer is available on Slide 63 of the earnings presentation, which is available on our website. Participants are requested to kindly take a note of the same. Format of today's call would be opening remarks by the management team, followed by Q&A.

Let me now introduce the management team from Capri Global Capital present on the call.

With us today, we have Mr. Rajesh Sharma, Managing Director and Promoter; Ms. Divya Sutar, Executive Director, Business Strategy; Mr. Kishore Lodha, Chief Financial Officer; and Mr. Sanjeev Srivastava, Chief Risk Officer.

I would now request our Managing Director, Mr. Rajesh Sharma, to present his opening remarks on the results. Over to you, sir.

Rajesh Sharma: Yes. Thank you, Hardik. Good afternoon, everyone. I hope you all are doing well. We announced our audited financial results for the fourth quarter of FY '26 on 30th April. I trust you have had the opportunity to go through our earnings presentation, which is also available on our website.

Before I move on to the financial and operational highlights, I would like to touch upon the broader operating environment and the key developments during the quarter. Recent geopolitical situation triggered demand upheavals due to supply chain disruptions and higher fuel and energy costs. However, India's economy continues to demonstrate resilience amid a mixed and uncertain global macroeconomic backdrop with domestic

Capri Global Capital Limited
Q4 FY26 Concall Transcript | May 04, 2026

Page 3 of 18

high-frequency indicator for March not reflecting much adverse impact. Amidst this soft macro environment, I'm delighted to share a key development in the history of Capri Global.

The company has secured credit rating from 2 leading global rating agencies, long -term issuer default rating of BB - with a stable outlook by Fitch Ratings and Ba3 Corporate Family Ratings with a stable outlook by Moody's Ratings, marking a significant milestone in our growth journey and offering a strong validation of our business model, governance standards and risk management practices.

These ratings reflect company's diversified and 100% secured lending portfolio, with

strong asset quality, robust capitalization and focus on prudent lending and risk management processes. The stable outlook from both agencies underscore confidence in the company's ability to sustain its growth momentum while maintaining financial discipline.

With this backdrop, I am pleased to say that Capri Global has delivered strong quarterly performance in Q4 FY '26

6, continuing its growth momentum and maintaining asset quality while delivering highest ever quarterly profit of INR283 crores, a 59% increase year -on-year and full year profit of INR949 crores, almost double from the last year. Also, we delivered marked improvement in asset quality this quarter with gross NPA declining to 0.9%.

Now coming to our detailed business and earnings performance during the quarter. We continued our strong momentum across all lending businesses in fourth quarter FY '26. Our consolidated AUM stood at INR36,623 crores, reflecting a robust 60% year -on-year growth and 20% quarter -on-quarter growth.

Gold loans grew an impressive 111% year -on-year and MSME grew at healthy 23% year -on-year, while housing loans rose 43% year -on-year. Disbursements for the quarter rose 116% year -on-year to INR18,145 crores on account of growing customer base and widening distribution network. Our growth remains granular, diversified and retail led with our customer base now exceeding 6.9 lakhs.

For our gold loan business, we delivered a strong and well -balanced performance in line with our strategic objective of growth driven by branch expansion while maintaining focus on effective risk management. During the quarter, we further expanded our presence in high potential Southern and Eastern regions of India with the net addition of 89 new branches, mainly 36 in Telangana, 18 in Andhra Pradesh, 8 in Karnataka and 20 in Odisha to support the next phase of growth.

Capri Global Capital Limited
Q4 FY26 Concall Transcript | May 04, 2026

Page 4 of 18

Gold loan AUM saw robust growth to INR16,965 crores, a sequential increase of 33% quarter -on-quarter, led by healthy customer demand and trust. Our aggregate branch productivity continues to see strong gains and has improved now from INR14 crores per branch in previous quarter to INR17 crores per branch. Our gold loan employee base increased only by 10% year -on-year, resulting in significant improvement in our employee productivity from INR1.6 crores AUM per employee earlier to INR3.1 crores now. Considering the volatility in gold loan prices, we maintained conservative loan -to-value ratios on new disbursements while ensuring strong collection practices across the portfolio. Our efforts in controlling asset quality proved effective with gross NPA in gold loan standing amongst the best in the industry at 0.3%, underscoring our focus on risk management and portfolio quality. Overall, Q4 marked strong performance for the gold loan business, combining growth through geographical diversification alongside risk discipline and operational execution with 90% branches now operating above the breakeven threshold of INR5 crores AUM per branch.

Our MSME AUM grew to INR6,465 crores, up 23% on year -on-year and disbursement stood at INR2,550 crores for FY '26, up 65% year -on-year, led by steady execution and network expansion. Within MSME, our micro -LAP business continues to gain traction with AUM rising to INR824 crores as at the end of Q4 FY '26. This vertical enables us to serve emerging self -employed borrowers with smaller ticket size requirements. In this segment, our immediate priority is to leverage robust technological interventions to boost sales productivity and enhance operating efficiency across the expanded network before moving into the next phase of branch expansion.

Our housing AUM stood at INR7,447 crores, delivering a year -on-year growth of 43%. We continue to see resilient demand across the affordable housing segments, where rising income levels and a stable interest rate regime are driving demand for housing loans. With foray into high potential Southern India market by entering states such as Andhra Pradesh in the previous quarter, we now have strengthened our presence in Southern India with 25 branches. The strategic expansion is step towards geographical diversification

on, increasing

portfolio granularity and supporting yield expansion over time. Further, our yields in housing finance segment have increased consistently ; a result of our efforts to pivot the mix towards self -employed customer segment, which now comprises 74% of AUM. Our construction finance AUM saw healthy growth of 38% year -on-year to INR5,708

crores, spread across 282 active projects with an average sanction ticket size of INR48 crores and outstanding portfolio ticket size of INR20 crores. The book remains granular and well diversified by geography, reflecting our focus on working with mid-sized developers in metro and Tier 1 cities. We continue to emphasize disciplined underwriting

Capri Global Capital Limited
Q4 FY26 Concall Transcript | May 04, 2026

Page 5 of 18

through rigorous due diligence and escrow-based cash flow management, ensuring a risk containment approach.

Our total branch network expanded to 1,429 locations in Q4 FY '26 with a net addition of 98 branches during the quarter and 318 branches during the year. We continue to invest in expanding our network and geographical footprint in line with our goal of becoming a large-scale pan-India retail lender.

Let me now provide an update on our core earnings. Our blended yields and spreads on net advances remained healthy in the quarter at 16.3% and 7.1%, respectively, driven by increasing share of high-yield products and decline in cost of funds. Our net interest income for Q4 FY '26 stood at INR596 crores, up 56% year-on-year and FY '26 stood at INR1,998 crores, up 50% year-on-year, driven by strong loan book expansion.

In line with our focus on building a diversified and resilient earnings profile, we continued to strengthen our non-interest income stream in Q4 FY '26, reinforcing our strategy of generating recurring quality fee income. Non-interest income grew 36% year-on-year to INR247 crores, contributing 29% of our net total income for the quarter. This strong increase was largely driven by growth in commission on insurance distribution and co-lending fee income.

In our insurance distribution business, we generated net fee income of INR65 crores during the quarter and INR153 crores for the full year. With the help of our upgraded fully digital end-to-end platform, Capri Care launch in Q3 (third quarter), we can now issue policy real time with speed and convenience, thus significantly easing insurance adoption across our retail customer base and scale our insurance distribution segment.

While our loan protection insurance has addressed life-related risk, we have embedded preventive health care and wellness solutions such as annual health screening and cashless consultation into the Capri Care ecosystem, evolving it from a claim-driven product offering into a proactive health and protection partner for our customers.

Going forward, we will continue to strengthen our insurance offering for gold loans and MSME customers while expanding into cross-sell for retail health and motor insurance through digital channels. This digital-first integrated approach is expected to drive higher insurance penetration, improve customer engagement and meaningfully enhance fee income contribution over time.

Our co-lending AUM surged 91% year-on-year and 9% quarter-on-quarter to INR7,783 crores, now accounting for 21% of total AUM, reflecting our strategy of capital-efficient growth. As you may be aware, new co-lending guidelines have come into effect from 1st

Capri Global Capital Limited
Q4 FY26 Concall Transcript | May 04, 2026

Page 6 of 18

Jan 2026 and as per that industry will start moving to new co-lending guidelines once existing contracts expire. Because of this, there could be a temporary slowdown in co-lending volume for a couple of quarters, but eventually, volume should come back. Going forward, we would also be exploring direct assignment ro

ute as there is a good demand for

the same from partner banks considering the PSL nature of our loan book as well as gold portfolio.

Our co-lending and DA income for the quarter stood at INR97 crores, up 76% year-on-year and down 16% quarter-on-quarter, driven by higher disbursement volume and deeper engagement with partner banks.

Our car loan distribution business maintained its steady momentum with origination of INR3,492 crores in Q4 FY '26, up 18% year-on-year and INR11,910 crores in FY '26, up 13% year-on-year. With a growing footprint and deep relationship across 14 partner banks and financial institutions, we have built a scalable platform with pan-India network in this segment with potential to monetize further for distribution of other products.

On the expenses front, our operating expenses increased 7% quarter-on-quarter. This was

mainly driven by net addition of 692 employees, up 5% quarter -on-quarter on a ccount of new branch additions.

Our continued focus on operati onal efficiency is visible with the cost -to-income ratio improving to 49.4% in Q4 FY '26 compared with 54.8% in Q4 FY '25. This sharp improvement signifies the benefit of investment in technology, a maturing branch network, rising productivity and improving op erating leverage across our businesses.

As a result of margin expansion, operating efficiency improvement and a strong traction in fee income, our pre -provision operating profit rose 68% year -on-year to INR427 crores for the quarter and a robust 97% year -on-year to INR1,446 crores for the full year.

Further, we continued our strong profitability momentum in Q4 FY '26, delivering a robust PAT of INR283 crores, up 59% year -on-year and INR949 crores for FY '26 up strong 98% year-on-year. Our return ratios considerably improved during FY '26 with return on average equity at 16.5% versus 11.8% for previous year and return on average assets at 3.5% for the year versus 2.7% for the previous year.

Now coming to our asset quality. We saw marked improvement in our asset quality across each of our business segments. Our gross Stage 2 assets decreased by INR100 crores, driven by a reduction of INR22 crores in MSME, INR18 crores in gold, INR53 crores in construction finance. The decline in construction finance is on account of strong collection

Capri Global Capital Limited
Q4 FY26 Concall Transcript | May 04, 2026

Page 7 of 18

efforts and rollback of 3 accounts. Our gross Stage 2 ratio for the quarter improved to 2.8% from 4% in previous quarter.

Our gross Stage 3 asset decreased by INR11 crores quarter -on-quarter, mainly driven by decrease in housing loan delinquencies . Our gross Stage 3 ratio improved quarter -on-quarter for gold loan to 0.3%, for housing loan 1% and remained flat at 3% for MSME and 0.3% for construction finance. At consolidated level, our gross Stage 3 ratio improved further to 0.9%, down sequentially by 61 b ps , while net Stage 3 ratio stood at 0.5%, down 35 bps sequentially, which is amongst the top quartile in the industry.

Our impairment cost for the quarter stood at INR54 crores. This is largely attributed to Stage 1 provisions on account of increase in the loan book and management overlay of INR16 crores to account for evolving macroeconomic conditions as prudent practice . Historically, our credit cost has remained in the range of 0.6% to 0.7% of the average total assets. At consolidated level, our provision coverage ratio on Stage 3 assets remained steady at 41.2% and our segment -wise PCR also remained healthy and amongst the best in our peer group.

Let me now talk about our liability side. Our borrowings increased by 55% year -on-year and incremental borrowings sanction limits for the full year was around INR10,950 crores. We added 15 new lender relationships this year, taking the active relationship now to 35 plus.

We also continue to diversify our borrowing mix by ra

ising funds through other

instruments such as non -convertible de bentures and commercial papers. During the year, we raised INR2,187 crores from non -convertible debentures and commercial papers. In addition, we also closed last week our second public NCD issuance for INR489 crores with average tenure of 4 years. As a result of MCLR reduction and our active effort on repricing existing borrowings, our cost of borrowings declined further by 18 b ps quarter -on-quarter. Our balance sheet remains robust with low leverage ratio of 3.3x, providing ample headroom to support growth across business segments. Our stand -alone capital adequacy ratio, C apri Global Capital (CGCL) is 25.8% and 27.7% for our housing finance subsidiary (CGHFL) . Our liquidity remains comfortable with over INR3,964 crores in cash and bank balances, investments and undrawn credit lines across CGCL and CGHFL.

On the technology front, this year, our focus was something fundamental for building fast that is to build right. 4 years ago, we made a deliberate structural choice to move away from being a traditional NBFC that operates on technology to becoming a plat form native AI-first financial institution. What we have built is not a static endpoint, it is a scalable

Capri Global Capital Limited
Q4 FY26 Concall Transcript | May 04, 2026

Page 8 of 18

architecture that will continue to deepen operating leverage as we progressively embed AI

across the technology stack. Let me anchor this in the numbers first.

As you all are aware, our AUM grew 60% year -on-year. Disbursement grew by 83%, while headcount grew just by 19%. The delta between disbursement growth and headcount growth is not incidental. It reflects technology and AI replacing linear growth with intelligent scale. And this is clearly visible in our financial outcomes. As mentioned, our cost-to-income ratio for the year has compressed to 49% from 60% a year earlier and return on average assets expanded to 3.5% and return on average equity expanded to 16.5%. Capri today operates on real-time event-driven architecture where every customer interaction across sourcing, underwriting, servicing and collection is captured within our in-house lending ecosystem and instantly converted into decision-grade intelligence. In Q4 alone, we processed over 115,000 customer interactions through speech-to-text pipeline and executed more than 40,000 multilingual AI voice interactions, entirely autonomous and without human intervention. The real value, however, is not in the volume, it is in the conversion of interaction into intelligence.

These interactions feed into a continuous learning feedback-driven system that generated over 285,000 structured intelligence output during the quarter, each and every tag scored and rooted into our credit risk and collection engine in real time.

We have fundamentally graduated from process-based lending to data empowered decisioning. Our bureau rule engine processed over 61,000 applications in Q4 alone. Our automated bank statement analysis pipeline completed over 29,000 assessments without human intervention. What this means in practice is that a growing share of our book is now witnessing reduced variability, compressed TATs and improved portfolio behavior, coupled with consistency.

During Q4 FY '26, our Capri loans customer app recorded over 31.5 lakh digital customer engagements. In terms of output, the app facilitated transactions of approximately INR784 crores during the quarter. For the full year FY '26, the app delivered over 85 lakhs customer engagements with an aggregate transaction value exceeding INR1,700 crores.

On the collections side, the system operates as a predictive closed-loop framework. We triggered approximately 145,000 automated nudges every month driven by AI-led action models. Our platform is built on an API-first micro services-driven architecture, which handles

over 310 million actionable API calls in a single month across our various applications.

Capri Global Capital Limited
Q4 FY26 Concall Transcript | May 04, 2026

Page 9 of 18

Behind these external calls are billions of internal interactions that allow us to run the entire lending life cycle real time. At this scale, we are no longer operating applications. We are running a unified intelligence platform that empowers fast, high-quality decisions at a scale. Let me now come to what we believe is the most important strategic milestone in this transformation journey. While most institutions today are consumers of AI, they integrate third-party LLMs, layer workflows on top and position that as transformation. Capri has moved into a different category.

We have built and deployed our own specialized small language model, SSLM, that is domain trained model, purpose-built for financial services use cases in India and already operating in traction for collection communication across voice and messaging channels. Because it runs within a controlled closed-loop environment, it delivers our critical properties simultaneously, that is low latency, high domain accuracy, zero external data leakage and near-zero hallucination risk.

Equally important, every output is auditable, explainable and aligned with regulatory expectations. This is not an incremental layer on top of existing system. It is a fundamental shift in how intelligence is created, controlled and deployed within the organization. I can now say that Capri technology and AI has become a moat and not merely a tool.

On the ESG front, I am pleased to share that our ESG practices have been recognized by leading global independent rating agencies, including S&P Global and Morningstar Sustainalytics.

Capri Global has achieved an S&P ESG score of 70, ranking 20th globally within its industry and seventh in the Asia Pacific region, the highest amongst our NBFC peers. We have also been recognized in the S&P Global Sustainability Yearbook as the highest scoring NBFC in its category, receiving the prestigious Industry Mover Award. Further, the company has established a sustainable financing framework independently validated by Sustainable Fitch through a second-party opinion and rated good and has been assessed as low ESG risk by Morningstar Sustainalytics.

These ratings place us firmly among the leaders in ESG practices within the NBFC sector and reflect our adherence to globally benchmark standards. Importantly, these assessments are based on publicly available independently verified data, reinforcing the strength, transparency and resilience of our operating model.

Before we open the floor for questions and answers, let me sum up. We delivered a strong performance in FY '26 with healthy AUM growth across our key lending segments, supported by a diversified and predominantly retail secured portfolio. Profitability

Capri Global Capital Limited
Q4 FY26 Concall Transcript | May 04, 2026

Page 10 of 18

improved during the year, driven by changing mix tilting towards high-yield products, improving margins, strong growth in fee-based income and operating leverage from our existing branch network, while asset quality remained resilient.

With a strong capital position and continued investment in technology and distribution, we are well positioned to scale efficiently and are confident of achieving our AUM target of INR55,000 crores and sustainable return on average equity of 16% to 18% and return on average assets to 4% to 4.5% by FY '28.

We shall now be happy to take questions.

Moderator: Thank you. We will now begin the question-and-answer session. The first question is from the line of Ishank Gupta from Choice Institutional Equities.

Ishank Gupta: Sir, my first question is regarding our AUM mix -- gold loan AUM mix has already reached 46%. As of last quarter, we

were targeting around 45% gold loan mix. So what would be our target for the gold loan mix?

Rajesh Sharma: Yes. Thank you. So gold loan mix looks like the way we are operating and opening more branches. Gold loan mix can reach to about 50%.

Ishank Gupta: Got it.. And as of last quarter, you mentioned that you were going to -- go to RBI to seek permission to open new gold loan branches. But in RBI and February policy have done away with the requirement to take the permission. So what is the target for new branch addition, gold loan branch addition over the next 2 years?

Rajesh Sharma: So next 2 years, we would like to add about 700 to 800 branches, including gold loan. Majority will be the gold loan branches. And now as you rightly said, we don't require any permission. So that will make us plan in a manner that we will be able to open those branches in a very time-frame manner. This year, we should be able to add about 350 branches in gold loan alone, and all these branches should be operational within this financial year.

Ishank Gupta: Got it. Our yields on gold loan have again dropped sequentially by 90 bps. Last quarter, we were targeting 18% gold loan yield. So what would be the sustainable yield for the gold loan segment and overall blended yield?

Rajesh Sharma: So if you look at the growth, it has happened largely because we followed a high co-lending in Gold Loan book. And in that, we have decided that to capture the market and also to open the new markets, we lowered the yield, but we are able to do down sell through the co-lending route.

Capri Global Capital Limited
Q4 FY26 Concall Transcript | May 04, 2026

Page 11 of 18

So meeting those banks criteria and some of the customers whom we would not otherwise lend, we have decided to lend as part of the co-lending scheme. And overall, it is accretive to our overall profitability and contribution per branch. While the yields have gone down, that is compensated by much higher volume growth.

Ishank Gupta: Sir, but the co-lending AUM in the gold loan segment has reduced sequentially from 39 - odd percent to 31%. So going forward for -- specifically for gold loan, what would be the target in terms of co-lending?

Rajesh Sharma: So I think as a company between the DA and co-lending, it will remain in the range of 20% which is the target.

Ishank Gupta: That is overall 20% to 25%?

Rajesh Sharma: Yes. 20%, not 25%. 20% of overall AUM will remain in the co-lending and DA across mix of all MSME, gold and housing loan products.

Ishank Gupta: Understood. And my last question was regarding the cost of funds. So last quarter, we said that we will be targeting a reduction of 20 to 25 basis over the next year. But in the quarter

itself, we have witnessed a reduction of 18 to 20 bps. So is there a possibility of further reduction? And if yes, how much over the course of next 2 years?

Rajesh Sharma: So overall basis, cost of funds have come down because we also changed the mix of borrowings by including the debentures and commercial paper. And I think this year, looking at the interest rate hike that might happen post-elections and other things, I think we should be able to do about 10 to 20 bps reduction. This year, we are not expecting much cost of borrowing going down. But even though we reduce 20 bps, that will be very good from our perspective.

Ishank Gupta: So exit of around 9% to 9.1% for the year?

Rajesh Sharma: 9.1% is -- conservatively, you can consider 9%.

Ishank Gupta: And for '28, any further reduction?

Rajesh Sharma: '28, I think it will also as we expect at some point of time credit rating upgrade to happen. And that will be in addition to this rate reduction. If the credit rating happens in the next 6 to 9 months, which we expect to, in that case, the further cost of fund will go down by another 20 bps.

Ishank Gupta: I would like to add in one last

question. So our sustainable credit cost could be 0.6% or 0.7% for the year because for the quarter, it came at 0.8%?

Capri Global Capital Limited
Q4 FY26 Concall Transcript | May 04, 2026

Page 12 of 18

Rajesh Sharma: So sustainable basis, our credit costs will remain by and large, in the range of 0.7%. This quarter increase has happened because we have taken that management overlay as guided by the Board, and we are very conservative that way. So we've taken about INR16 crores additional management overlay due to macroeconomic environment.

And barring that, if you look at our asset quality, it has been best in the quarter and the year. So -- and almost majority of the provisions have also come because of the new loan book. So, there is no slippage.

Moderator: The next question is from the line of Siddesh from PL Capital.

Siddesh: So sir, just wanted to understand on the car loan front. So what is the strategy to monetize? And what are the plans for starting other products in that entity?

Rajesh Sharma: So currently, car loan is a completely distribution business model. We are currently distributing the leads generated by our team with about 12-plus institutions and partner banks. And in the times to come, we'll add more products like used cars, credit cards, personal loans and mortgages over the period of next 3 to 4 years.

This year, we'll be adding used cars. And the advantage will be the same supervisory team and team of 1,800 people will be able to drive the same business. So, that cost allocation will happen on the higher revenue. And next year, we will be able to see that about INR20 crores of profit is able to deliver by the car loan entity alone.

And idea is and target is that over the next 4 to 5 years, this INR20 crores has to become one significant amount of INR60 crores, INR70 crores income, which will be coming purely from the fee income. So, in that direction, this year, we're adding another product from used car loans distribution through our partner banks.

Siddesh: Understood. And how do you see AUM mix changing at the company level?

Rajesh Sharma: So as of now, AUM mix is about 46% gold. I think gold will become about close to 50% and rest of the 3 segments of MSME, housing finance, construction finance will range between 16% to 18% each.

Siddesh: Okay. And so -- lastly, can you help me with your AUM, ROA and ROE targets for FY '27 in terms of guidance?

Rajesh Sharma: So as I said in my opening remarks also, our guidance for the FY '27, our aim will be to achieve an ROA about 4% and ROE not less than 16%.

Moderator: The next question is from the line of Hardik Dara from Grow more Credit Advisor.

Capri Global Capital Limited
Q4 FY26 Concall Transcript | May 04, 2026

Page 13 of 18

Hardik Dara: Am I audible? Just wanted to understand the strategy apart from gold loan on the other 3 verticals, MSME, HFC and construction finance, how aggressive are we planning to grow these other 3 verticals? And what can be the growth expectations? I agree that 16% to 18% is the tentative mix, but just wanted to understand as to how aggressively will these 3 grow over the next 2 years?

Rajesh Sharma: So individually, I think the segments will also grow; MSME will grow in the range of about 20% to 25%, construction finance will also grow in the range of about 25% to 30% and housing will also grow at 25% to 30%. So overall, if you look at our business mix is designed in a manner to grow in tandem with the overall growth.

Gold has done wonderfully well because gold price increase also helped in the faster growth. So we assume that price remaining stable, we should be able to grow all the segments together. Gold can still rise more because there are a lot of branch additions underway. But all other segments will grow in the range of about 25% to 30%.

Moderator: The next question is from

the line of Suhani Singh from Seja Capital.

Suhani Singh: I wanted to understand how do you see origination growth trending in the car loan segment?

Rajesh Sharma: So car loan, if you see, we have seen about 18% growth. We expect our car loan origination will continue to grow in the range of 12% to 15% year-on-year. And next year, our more focus will be improving the margins rather than the volume growth alone. FY '26, we originated about INR11,910 crores and which was up by 13% year-on-year.

Suhani Singh: Okay. Okay. Also, with pressure on fee margins despite higher growth volumes, where do you see margins stabilizing and profitability settling?

Rajesh Sharma: You are asking about the car loan or overall?

Suhani Singh: Sir, overall.

Rajesh Sharma: So overall, we clearly see there are 2 things. One is the operating scale is kicking in. So that efficiency is coming in; where in the cost/income ratio is declining and our overall efficiency is improving because of the technology part as well.

And on similar lines, the gold loan branches, the old branches which are growing, which are already delivering high profits with break-even point being achieved long back and with more growth in volume per branch, expect more profitability improvement in the gold loan segment as well.

Capri Global Capital Limited

Q4 FY26 Concall Transcript | May 04, 2026

Page 14 of 18

So currently our AuM per branch is about INR17 crores, and we break-even at about INR5 crores. I think per branch AUM basis, we are among the top 3 players in the country. And that speaks for our profitability of the branch. So, I think gold loan business will start delivering higher profitability ahead.

This is the scenario for the gold per branch AUM in the coming year. And as far as the MSME and home loans are concerned, home loans have achieved a base of about INR7,500. So operating scale will kick in there as well and margins will significantly improve in the coming year. MSME has already stabilized and MSME margin will remain stable on the similar pattern what was in the current year.

Moderator: The next question is from the line of Prince Choudhary from PINC Wealth.

Prince Choudhary: Sir, can you share more light on what are the changes of RBI for the new guidelines of co-lending? And how this will impact our growth for a couple of quarters?

Rajesh Sharma: So per RBI guideline, the co-lending norms come with more clarity. Second, on the moratorium loan, they have advised that interest accrued should be included in the LTV.

And third, the income assessment of the customers above loan of INR250,000 should be mandatory.

So, these are being implemented across our co-lending partners but technology integration will take some time. So, we expect the company to resume the full business volume with the co-lending partners in the quarter of July to September.

By June, I think most of the players will go live. A couple of players have already gone live and the rest of the partners will go live by the next quarter. So, I think the full volume we'll be able to see from the September quarter.

Moderator: The next question is from the line of Saumya from Nirvana Capital.

Saumya: I just have a couple of questions. Starting with what is the strategic rationale behind entering capital markets? And how do you see this contributing to fee income?

Rajesh Sharma: Yes. So on the fixed income side, since we are NBFC, we always maintain a high liquidity in our treasury. And some of those treasury holdings remain in the negative carry most of the time because we put the money in the debt mutual fund, where negative carry is sometimes even 2% and 2.5% to 3%.

Against that, we have decided to start this vertical where some part of the book will be maintained as part of the treasury operations by buying the bond and down selling them

Page 15 of 18

and also helping some of the issuers to raise the bond from the bond market by managing their public issues.

So, it will contribute to the fee income as well as also to reducing our negative carry in our treasury income. So, it is incidental to what we are doing today. And I think next year, you will see the same once we get this category -- license under application.

And we have been told that by end of June, we can have that. We will see some income flows. But our income target, net fee income target is in the range of about INR40 crores to INR50 crores at gross level. At net level, it will be in the range of about INR20 crores to INR25 crores.

Saumya: Okay, sir. Got it. And secondly, what is the current scale of revenue contribution from fixed income and bond-related activity?

Rajesh Sharma: So, bond-related activity, the contribution is that highly likely it reduces the negative carry first. So, if we earmark about INR600 crores to INR800 crores book return, we expect to reduce almost 3% negative carry on this portfolio. So, it helps contributing indirectly about INR25 crores of income to the bottom line.

Moderator: The next question is from the line of Kushal, an Individual Investor.

Kushal: Since, we are expanding a lot of branches. Currently, we have 1,400 branches and those old branches are going to become efficient in next year. And our target is to open around 700 branches in next two years. What is the PAT guidance we are giving for FY '27?

Rajesh Sharma: So we have given the PAT guidance for next year or FY '27 at about INR1,300 crores.

Moderator: The next question is from the line of Ameya Khandekar from HDFC ERGO.

Ameya Khandekar: My question is if you can give like the LTVs on the book for the gold loans. So, we have the disbursal LTV, but if you can provide the LTVs on the gold loans which are on the book currently?

Rajesh Sharma: So, portfolio level LTV is about 66%. And on the new disbursement, LTV is about 70%.

Ameya Khandekar: Okay, understood. And on the overall AUM guidance, so I think previous quarter, you had said we would be doing around INR55,000 crores of AUM by FY '28. So is there any update on that number? Because I think what we have said as a target for FY '26, we have surpassed that. So, is there any upward guidance on the AUM front?

Page 16 of 18

And also in the overall -- so you have mentioned individually MSME would grow between 20% to 25% and construction finance and housing would grow between 25% to 30%. So in this kind of a mix, how do you see the gold loans also growing because we are adding branches. So how do you see that also growing if you can give that number?

Rajesh Sharma: Yes. So overall growth, we are targeting conservatively 25%. And we are giving a guidance of INR46,000 crores by end of FY '27 and about INR57,000 crores by FY '28. So we revised FY '28 guidance by about INR2,000 crores. And as gold loan is concerned, you have rightly said that, we are adding more branches.

So gold loan proportion in overall AUM will grow. Gold loan will grow in the range of about 25% to 30%. So overall growth may remain in 25% to 30% range, but conservatively, we are saying 25%. And gold within that segment will grow a little higher because we are adding more branches as well.

Moderator: The next question is from the line of Kashvi Dedhia from Centra Insights.

Kashvi Dedhia: Sir, since the cost of borrowings are declining, how much scope remains further for expansion in spreads?

Rajesh Sharma: So cost of borrowings further declined. I said earlier also that by the year-end, we are targeting about 20 basis points. And another 20 basis points can also be achieved further from the rating upgrade from the 12 months from the

time the rating upgrade happens. So

I think we expect some positive news on that over next 6 months. However, it depends on various other factors, and it doesn't remain in our complete control. But we hope that all the environment and macro environment remain positive. We can expect and aim for that.

Kashvi Dedhia: Okay. And do we see any impact of recent macro situations on MSME book?

Rajesh Sharma: So far, we have not seen any deterioration in our collection efficiency or asset quality. So we have not seen any signs till now.

Kashvi Dedhia: Okay. And also the decline in capital adequacy appears mainly driven by subsidiary investments. So how do we think about this? Like how -- what will be the capital allocation going forward?

Rajesh Sharma: So going forward, we will increase the DA /co-lending that will conserve some part of capital. And at some point of time, if required, we will raise Tier 2 capital also to shore up the capital base. So in a nutshell, about 18 to 24 months, our aim is to effectively utilize all the DA and co -lending and also raise Tier 2 capital. So capital requirement is taken care off.

Capri Global Capital Limited
Q4 FY26 Concall Transcript | May 04, 2026

Page 17 of 18

Moderator: The next question is from the line of Pehel Sharma from PG Capital.

Pehel Sharma: I just want you to put some light on the strategic intent, like what is the objective behind the proposed international bond issuance?

Rajesh Sharma: So international bond issuance is with the purpose to diversify our resources of borrowing s. And it will give us one more avenue to borrow the money, and it can be done every year. We being into lending business always require the debt capital and which is one of the major raw materials.

So I think it is just opening that avenue, and we have got the international rating s done. But we are a little cost conscious in terms of our cost of funds. And currently, because of the macroeconomic environment and West Asia crisis, the hedging cost has substantially gone up. So we are waiting that to settle down and hoping that happens in the next 2 to 3 to 4 months, whenever it happens, we intend to access the market depending upon the underlying situation.

Pehel Sharma: Great, great. In addition with that question, I have one more question that what are the key drivers like behind the improvement in GNPA and NNPA during the quarter?

Rajesh Sharma: So key driver to NPA improvement is, of course, collection efficiency because a lot of emphasis is put not only on the technology, but also on the ground by right hiring, right push, right training program, right AI -enabled videos on various fronts and at customer engagement levels . So that all put together has helped all verticals to improve collection efficiency. And hence, our GNPA, net NPA numbers are on the lower side .

Moderator: The next question is from the line of Kalmesh, an Individual Investor .

Kalmesh: So my question is currently, we are at 70% loan -to-value ratio. So what if the gold prices crash by 10% to 15%? And how would you manage that?

Rajesh Sharma: So I think you have very relevant question in terms of current volatility. So gold loan prices will not fall in one single day. So assuming that gold loan prices fall 4% and customer LTVs decrease to that extent, either we request the customer to pay additional money to bring back his loan -to-value within the norm of 75% or he has to give additional gold to pledge to bring the LTV back in the norm.

And failing which we give him a notice that within 14 days, if he don't take back those pledged goods, margin goods, we have right to auction the gold and recover money. So, whenever it happens our team on ground does collection calling and is able to recover the money. For example, if on INR 1 lakh , 2% gold rate falls, we need to recover INR 4000 and a jewellery worth INR 5500 and the mix of

those we are able to do so easily in most

Capri Global Capital Limited
Q4 FY26 Concall Transcript | May 04, 2026

Page 18 of 18

of the cases . And in case the customer doesn't fulfil this requirement , we have the right to auction the jewellery and recover the money. So we hope the gold will not fall 10%, 15% in single day.

Kalmesh: Yes, sir, yes. I just asked a hypothetical question, thank you, sir.

Moderator: The next question is from the line of Vignesh Iyer from Sequent Investment .

Vignesh Iyer : Just one question from my side. So , I wanted to understand what is the kind of growth that we can see on the insurance income side and fee income side as a whole in FY '27?

Rajesh Sharma: I think insurance distribution is purely in line with our AUM growth target. So insurance income should also grow in tandem at about 25% to 30%.

Vignesh Iyer : And overall, the fee income, I mean, on the noninterest income...

Rajesh Sharma: Car loan income will grow about 12% to 15%. Insurance income will grow in the line with our AUM growth of 25% to 30%. And co -lending income, I would say that it will remain more or less same as the last year because co -lending now at least for one quarter will be tad on the lower side. So there may not be any growth in the co -lending income, but that will be compensated by the DA. So more or less, it will remain the same.

Moderator: Ladies and gentlemen, we take this as a last question. I now hand the conference over to Mr. Rajesh Sharma for closing comments. Rajesh sir, please go ahead.

Rajesh Sharma: I thank you for participating in the earnings call today. Should you have any questions, you can reach out to us or to our IR Advisors, and we shall be happy to answer your queries. I reiterate we are on track to achieve an AUM of INR55,000 crores by FY '28 with return on average equity of 16% to 18% and return on average assets of 4% to 4.5%. Thank you once again, and have a happy week ahead. Thank you.

Moderator: Thank you. On behalf of MUFG, that concludes this conference. Thank you for joining us. You may now disconnect your lines.